Shilpa Medicare (SHILPAMED)

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Call: May 2023

Shilpa Medicare Limited
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31 May 2023

To
Corporate Relationship Department,
BSE Limited,
1st Floor, Rotunda Building
P J Towers , Dalal Street,
Mumbai -400 001

To
National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
Dear Sir/Ma’am,
Sub: Transcript of the Q4 Conference call
Scrip Code: BSE - 530549/Stock Symbol: NSE – SHILPAMED

In furtherance to our intimation dated 25th May, 2023 with regard to the Q4 FY 23 conference call held on Friday, 26th May, 2023 at 1 PM IST, please find the enclosed transcript of the call.

Thanking you.
Yours faithfully,
For Shilpa Medicare Limited

Ritu Tiwary
Company Secretary & Compliance Officer

 Shilpa Medicare Limited
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SHILPA MEDICARE LIMITED
Q4-FY23 EARNINGS CONFERENCE CALL TRANSCRIPT
MAY 26, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Shilpa Medicare Q4 FY23 Earnings Conference Call .
As a reminder, all participants' lines will be in the listen- only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch- tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Rangnekar. Thank you and over to you, sir.
Siddharth Rangnekar: Good afternoon everyone and welcome to the conference call hosted by the management of Shilpa Medicare Limited to discuss the “Quarterly and Annual Performance” for the period ended March 31, 2023, and the discussion on s trategic

initiatives that are underway.
The Management is being represented by Mr. Omprakash Inani – Chairman of Shilpa Medicare, Mr. Vishnukant Bhutada – Managing Director, and Mr. Alpesh Dalal – Chief Financial Officer.
Mr. Vishnukant Bhutada will lead the discussion with thoughts on the business model and his perspectives on the strategy. He would be followed by Mr. Alpesh Dalal who would give financial perspectives and share them with you. There would be an opportunity to get your queries answered at the close of the opening remarks.
Before we commence, I would like to state that some of the statements made on today's call could be forward looking in nature, and a detailed disclaimer in this regard has been captured on the conference call invitation which is available on the stock exchange's website.
I would now like to invite Mr. Vishnukant to take this discussion forward. Thank you and over to you, Mr. Vishnukant.
Vishnukant Bhutada: Thank you for being present on our call today to discuss Shilpa Medicare's 4th Quarter and Annual Results. Whereas I will focus on the operating and the strategic progress made during the year, I will be joined by our CFO – Alpesh, who will cover the financial aspects with you. Once we complete our remarks, we would like to invite queries and questions from the participants.
Before I begin on the each sector -wise, I wanted to highlight some of the key things which have happened during the last year and as on today :
The most important approval which we received from the 1st NDA of Shilpa is Pemetrexed RTU which is one of its kind in that particular Pemetrexed product. It is RTU and then the second one is a room -temperature- stable product we are doing it. This p

roduct will be launched along with the partnership with Amneal in the US. We

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are preparing ourselves for the launch because this is a launch- on-approval product. So, maybe in another 1- 2 quarters, hopefully we should be able to launch this particular product from the third party.
The second most important is we have received the Albumin. Phase -1 trial has been already started. As you know, albumin is a life- saving product and always it is in a shortage. So, we are doing the recombinant A lbumin. Phase -1 is already started. Hopefully, we should be able to complete this Albumin Phase- 1 by this year end, and once that is completed, we will s ubmit once again to the authority for the next review.
The second most important product is A flibercept, as you know that the A flibercept is a very complex product in the ophthalmic range. As far as our knowledge goes, the Aflibercept Phase -3 trials in India nobody has started for the India launch. So, we are starting now the Aflibercept Phase- 3. We have received the permission also from the authorities to start the trials. In 1 or 2 months, we will start the Aflibercept trial also for the India launch. We are trying to develop this particular product for the global market. And with this, we will be able to try to file into the various ROW, EU, as well as the other markets we will try to file this particular product. Aflibercept is, again, most important which we have started Phase- 3 study.
Again, the Adalimumab which is we are waiting for the clearance from the authority on a high- concentration Adalimumab. We are trying to see that this month or by this quarter, we should be able to launch this Adalimumab into the India market. And we are trying to focus to file this Adalimumab into the various ROW as well as the EU market at least.
As you know that we have made the investment in several long gestation projects with a high earning potential, th e import alert of FDA squeezed the cash flow. I will give an update shortly of the FDA separately. But the most important is that the investment whatever we have made into the API, onco API, peptide, polymer, CDMO business, these are all businesses which r equire a gestation period and huge CAPEX.
We completed almost all work which we need to complete. Onco is our main portfolio, API is the cash giving division, and we are working on all the products thoroughly. The second most important happening in this th at the peptide which we are trying to
take; already exhibit batches of the 2 products has been completed. This year, we are going to complete the L iraglutide and Semaglutide exhibit batches also in the API.
Polymer is again the division which we are focusing and where complex polymer we

are trying to make it and give it to the innovator or somewhere as the carrying agent in the formulation. The CDMO business I am happy to say that some of the customers whom w e have delivered the CDMO came back to us and they are giving the second project or third project. So, CDMO business again will try to give the revenue from this year onward also. And we are trying to see the API , which is non -oncology API which has a high potential in the growth as well as the import substitute API. We are trying to do that also. So, API division continuously will grow as anticipated.

You will see the operating cash flow for the year which Alpesh will explain you separately. We are doing s everal cost cutting measures into the R&D including the formulation R&D. We are trying to shift our entire focus into the FTF which is 100% division of the Shilpa. There we are trying to focus and the R&D cost can be reduced

regularly and that also will gi ve a substantial saving on our cash flow. This is what the major things. We have launched the 5 nutraceutical products in the US from the film formulation. Transdermal patch Phase -3 study has been already started. These are the key things in each of the di vision we are trying to do which have a long gestation period. Reduction in the CAPEX also we are trying to do except the Biocare where the commercial plant for the A lbumin fermentation we are creating 250 KL fermentation facility in India, which will take care of the Albumin once we do the commercialization. Not only A lbumin, but several clean chemistry if really somebody

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wanted to start with the CDMO business, that also can be started. This is what the key remarks of the last year and the current year whatever we are trying to do.

Coming back to the API :

We have already explained that several DMFs have been filed. Almost (+ 200) DMFs have been filed in various geographies. And we will see that the revenue and putting up the focus on the marketing in that particular geography will give us additional revenue. Of course, from the polymer, peptide, the CDMO business, import -substitute APIs, increasing the capacity of the existing APIs, and focusing more customers on the existing APIs, this is what will add the r evenue in the future for the APIs.

On the formulation front, whatever we have since February '21 due to the import alert, the cash flow was badly impacted. So, we are trying to see that all the remediation measures is almost completed and we have submitted to the FDA that we are ready for the inspection. FDA has said that they have seen our compliance reports. They will try to visit our facility. This is what the message we got from them. But the dates are not known to us. So, we are waiting for them when t hey will come for the visit.

Other than the US, recently we have got the clearance from the Canadian authority. Then, again, all the regularly TGA also inspection has been completed. Recently, the Nacharam facility which FDA has inspected our facility for the quality, whatever products were manufacturing at Jadcherla and other sites all have been getting it analyzed at our Nacharam facility. That facility also has been recently got cleared from the FDA two times. Second time inspection also got cleared from the FDA. Other than the US FDA, Jadcherla facility I think we are clearing all the other authorities as well as customer inspection regularly.

On the complex formulation whatever we are developing, either we are transferring to the other facilities or filing it in the European market, ROW market, trying to get the licensing out of this. The asset s which we have which have been created for the last 3-4 years, we are trying to monetize these all assets regularly. This is what the focus is there on the formulation and the reduction into the R&D expenditures which I mentioned. This will give the operating cash flow regularly.

Again, on the film formulat ion and transdermal, due to the UK MHRA approval of this facility and the launch into the US , the nutraceutical product, this will help us in building up the revenue also next 1- 2 years will start giving us the revenue also from our Bengaluru facility for the film formulation and transdermal.

Biologicals as I mentioned that the A dalimumab, Aflibercept, and Albumin , these are the products were completed almost; the development has been over. Another 3 products are there in the pipeline like the A batacept, the Prezalumab, and the Tenecteplase. These 3 molecules are there under development. These also for this year and the next year

whatever we can do it, we will try to complete these molecules. We are taking the most complex project in the biologics also which will definitely give
us a revenue in the future. On the biologics also, as I mentioned, but we have reduced
the cost there also – rationalization costs on the R&D, which are the most important
projects only we are trying to get. These all expenditures on the R&D also have been
completed because of the 3 products have moved to the clinical level now. So, the
major focus is reduction in the CAPEX . Other than the Biocare and some small
CAPEX into the APIs, rest all CAPEX has been done. So, further, no CAPEX is
required.
Managing the cash flow and trying to get the highest revenue as well as the bottom line is the focus for the current year. As we pride ourselves as a research orientation
organization, the team has a rich domain expertise and we are looking to build a
formidable niche in the categori y where we are present. I am hopeful that by the next

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year, we will see this transformation taking place in the performance backed by a
robust portfolio ac ross the segments.
With this, I end my opening remarks and wish to invite the CFO to continue the discussion forward. Alpesh, over to you.
Alpesh Dalal: Good afternoon to everyone and thank you for being with us today for this earnings call. I will quickly share some financial highlights of our consolidated performance.
During Q4, our overall revenues were flat at Rs. 266 crore compared to the sequential
quarter that we look at. However, our better business mix in Q4 resulted in better
margins for us in the Q4 and thus improving our EBITDA to Rs. 40 crore as compared to Rs. 34 crore in the previous quarter.
I would focus more on the Annual Performance to pr ovide a clearer picture of our
performance. Our overall revenues recorded an 8% decline at Rs. 1,068 crore as
compared to Rs. 1,160 crore and this was mainly on account of the dip that we saw
in the formulation business on account of pricing pressure acros s various markets.
But this reduction or pricing pressure obviously has its impact on profitability and we have been able to reduce this overall impact by working on our efficiencies and reducing our costs. We have seen reduction in our costs mainly on acc ount of lower
remedial costs that we had to incur at our Jadcherla facility plus reduction in the plant -
related expenses that were getting incurred. We have brought in efficiencies over there.
As an organization, we continuously keep looking at various ini tiatives for containing
our costs and try to bring in more efficiencies across various businesses. We will continue doing so in the current year as well to bring in more efficiencies. As I was mentioning that whereas on the profitability front we have had a tough year but I am happy to share that we have tightened our overall operations and have been able to
generate a positive operating cash flow of over Rs. 250 crore as compared to Rs. 140
crore last year on a consolidated basis. In Rs. 250 crore, we have also been able to
release working capital of about Rs. 148 crore. We are overall tightening our operations in a manner that we are monitoring our costs, we are putting a close watch on our working capital requirements, and we are tightening our screws acr oss the board to bring in more efficiencies and improve our overall cash flows. And that effort
will continue even in the current year where we hope to keep working on the
efficiencies across the board.
Our focus in this year and the coming years will cont inue to remain on the cash flow
generation as the management of the company. Just to update

that in the past, the
company has been paying dividends fairly regularly, but in the current year, due to
negative operating profit as well as the need for conservi ng cash, the Board of the
company has decided not to recommend any dividend.
With this, I would like to close my commentary and would want to open the forum for Q&A.
Moderator: We will now begin the question- and-answer session. Anyone who wishes to ask a
question may press * and 1 on the touch telephone. If you wish to remove yourself
from the question que you may press * and 2 . participants are requested to use only
hand sets while asking questions Ladies and gentlemen, we will wait for a moment
while the question queue assembles.
Ladies and gentlemen a reminder, if you wish to ask to any question please press * and 1
Our first question comes from the line of Shikhar Mundra with Vivog Commercial

Limited. Please go ahead.

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Shikhar Mundra: I want to understand for the biologics, A dalimumab, what is the market we are targeting and what is the market potential and the revenue potential we are targeting?
Vishnukant Bhutada: Current market is whatever we are getting is for India market only. The high-concentration formulation was just recently launched by I think , one more company.
The high- concentration market A dalimumab has a very good market. This is the highest selling product in the US and If you see in the biologics, the Humera is around $20 billion+ product. In India, we are launching this particular product. The revenue target will be around this year conservatively we are trying to see that around Rs. 20 crore to Rs. 25 crore we can do.
Shikhar Mundra: What is the expected launch date?
Vishnukant Bhutada: I think this quarter only, but max next quarter.
Shikhar Mundra: And how big is the India market you would say?
Vishnukant Bhutada: It's almost Rs. 100+ crore market.
Shikhar Mundra: Right now, it is being catered by the other companies or is it being imported?
Vishnukant Bhutada: It is catered by the other countries but it is not the high- concentration formulation; it's the old formulation.
Shikhar Mundra: What's the margin profile we would expect for this A dalimumab?
Alpesh Dalal: Essent ially, biological products are better margin earning products as compared to API and chemistry formulations.
Shikhar Mundra: For Albumin, we are right now in Phase- 1 trial, right?
Vishnukant Bhutada: Yes, Phase- 1 we have started.
Shikhar Mundra: How long do you expect we will be able to launch it? When can we do Phase- 2 and Phase- 3 trials and then launch it?
Vishnukant Bhutada: I think 2024 end, we should be able to launch this product.
Shikhar Mundra: Is there a probability that our trials might not be successful? What would you say the likely probability? Will we be able to complete our Phase -2 and Phase- 3 trials? Or is there a probability of the project being rejected?
Vishnukant Bhutada: No, project rejection I don't think there is a remotest possibility. Rather, there is a very negligible possibilities in this because we completed we have received the NBE (new biological entity) status . We have granted patent from the several countries. The most important in this is we have completed the sepsis study already in the animals. Now, we are doing the biologicals. Biologicals probably as you know, until and unless the biosimilarity is not prove n, you will not be allowed to begin a trial. The chance of failure is remote.
Shikhar Mundra: And how big is the market for A lbumin and the revenue we are targeting?
Vishnukant Bhutada: The market is huge. It's an all over the world shortage product. The m ark

et is almost
$6 billion to $7 billion market.
Alpesh Dalal: Globally it is about $9 billion market and A lbumin as a product, as Vishnuji was mentioning, is a shortage product. When we launch a product, we expect that it can have the effect of expanding the market instead of trying to capture an existing

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market. We can obviously get some part of existing market as well, but it can also have an effect of expanding the market because there is a significant demand and supplies are not there.
Vishnukant Bhuta da: that is why we are trying to complete the facility The biggest fermentation facility we are trying to complete before we get the final clearance. Our commercial facility also should be validated. This is what our intention is.

Shikhar Mundra: These wil l be manufactured out of Dharwad, right?
Vishnukant Bhutada: Dharwad from there, it will be completed the trials. But the manufacturing will be done near Raichur.
Shikhar Mundra: Coming to the Bengaluru plant, I want to understand what are the fixed costs for the plant and what's the breakeven for the Bengaluru plant and our revenue potential?
Vishnukant Bhutada: I think that can be given separately once you send a mail. I think we should be able to give that.
Shikhar Mundra: Ok. Thank you
Moderator: Ladies and gentlemen if you wish to ask to a question please press * and then 1 Our next question comes from Tushar Bohra with MK Ventures. Please go ahead.
Tushar Bohra: thanks for the opportunity and congratulations to the management for better show this time. Sir, quickly, first on Albumin. While the pharmaceutical grades you mentioned 2024 end possible launch, we can also launch Albumin in excipient grade, right? If you could share the timelines around that and what are the initiatives being taken?
Vish nukant Bhutada: You are correct, Tushar. We can launch always the excipient grade or the other grade microbiological grade. That all can be done, but I think next year mid, we should be able to launch that also.
Tushar Bohra: For pemetrexed RTU, assuming w e the launch it in the next 1 or 2 quarters as you say, what kind of revenue profile do you see possible in this year and next year? And over a stable state, what kind of size do you think this molecule can build conservatively and in an aggressive scenari o?
Vishnukant Bhutada: As already given in the disclosure, we are working with Amneal on this particular product. Two days before only, we received this approval. We are trying to work with them and as this is manufactured in the third party, that will giv e us, but I can tell you one thing I think the same product of Eagle Pharmaceutical which is launched. This is RTD and 2-to-8-degree temperature product. That product is I think around $50 million to $80 million product that is.
Tushar Bohra: So, we should ideally be able to gain market share from that product as well as create a market of our own with better characteristics around room temperature storage?
Vishnukant Bhutada: Correct. This is what we are expecting from Amneal .
Tushar Bohra: We also have a licensing component, right? So, pemetrexed ideally with the product being approved, we should expect a licensing revenue as well?
Alpesh Dalal: As per the terms of the agreement, we will recognize those revenues.
Vishnukant Bhutada: Confidential information.
Tushar Bohra: Sure . I am done sir.

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Moderator: Ladies and gentlemen if you wish to ask to a question please press * and then 1 Our next question comes from Anuj Sharma with M3 Investment. Please go ahead.
Anuj Sharma: I think we mentioned there is another player who has been supplying Albumin in the Indian market. Is that correct?
Vishnukant Bhutada: No, we are not supplying anything in A lbumin.
Anuj Sharma: I am saying another competitor offering Albumin in the Indian market. Did I hear it correctly?
Vishnukant Bhutada: That is plasma derived.
Anuj Sharma: What is the capacity? And does it disrupt our opportunity set in any which ways?
Vishnukant Bhutada: That is the plasma- derived product and the capacity individually whatever they are producing. I mentioned that this is a shortage product in India also – all over the world but in India also, there is always shortage product. So, whatever the capacity they have it, from the blood, you have limitations of getting this plasma product. That is why we have developed this technology where we can make it from the recombinant Albumin. There is no blood plasma required here.
Anuj Sharma: Another question is we were exploring a transaction in one of our options. We are still open to that. Is that ongoing or due to improvements, we don't see ourselves getting a new partner or something?
Vishnukant Bhutada: It is whatever we have disclosed in the stock exchange, still it is live only.
Moderator: Ladies and gentlemen if you wish to ask to a question please press * then 1 Our next question comes from Aniket with BMSPL. Please go ahead.

Aniket: I had a few questions on the API business. Can you just give a color on what went wrong in the oncology segment in FY23 overall? What type of growth can we see in
the API business in the coming year? And what is your assessment on margins like
how will the margins shape up in this segment for the coming year? If you could give
some color.
Vishnukant Bhutada: Oncology is again, regularly we have been known in the oncology an d we were the
first company to start on the oncology APIs. And oncology being a focus area, we will
continuously try to grow in this particular division. The margins are normally high in
oncology . So, oncology will be a focus area for sure. The growth in o ncology is always
possible because some of the molecules which are going to get expired in the '23- 24,
these are all '25. The molecules which are up to '27, all molecules which are getting
expired, almost all molecules are already covered in our API develo pment and the
filings. Onco being the focus area, we are there in that, and this will definitely grow for
sure.
Aniket: In the overall API business, can you give some color or any kind of guidance if you can give?
Vishnukant Bhutada: I mentioned double- digit growth probably is definitely possible for the API and the
onco, non- onco, polymer, peptide, and the CDMO business, each of the division will
grow in this year. And the Corona era has been now almost getting over. A lot of companies have restarted buyin g it. Prices are more or less getting stabilized on the
intermediates. This all will improve the API offtake and the margins.

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Aniket: The final question on the CDMO and CRAMS business as a part of the API. Do you
have any targets where you want to take this part of the business over the next say 3
to 5 years?
Vishnukant Bhutada: Yes, definitely we have, but probably the numbers and all can be done maybe after 1
year or 2 years, but we are continuously focusing on the CRAMS and the CDMO business. We have all the capability. We can do it in onco CDMO, we can do in non-
onco CD

MO, we can do in polymer or peptide. All the divisions which are required –
fermentation – whatever the people need in the API or in any of the chemistry, we
have inhouse capability of doing all these things. We feel that the CDMO capabilities and we have great expertise also. A scientist team has been already built on that. In CDMO business also, we will definitely grow.
Aniket Thank you so much
Moderator: Ladies and gentlemen a reminder, if you wish to ask to a question please press * then 1 A question comes from the line of Tushar Bohra with MK Ventures. Please go
ahead.
Tushar Bohra: Sir, if you can highlight on the CDMO side both biologics and the traditional API CDMO, what are some of the opportunities that have crystallized recently? Biologics
have we been able to make any headway is this CDMO ?
Vishnukant Bhutada: CDMO there are several interests are coming now because we have from the clone
development to fill -finish facility. S o, we are trying to work with the various companies
who are interested in working in the CDMO as well as in the development part also. This is what we are doing. But the CDMO on the API, CDMO specially working with
some of the intermediates with the origin ator or the European and the US companies
where we are trying to focus into the intermediates where we will have a continuous
revenue in the API. And the biologicals the major part comes from the CDMO
business only and this is what our focus now.
Tushar Bo hra: In terms of the outlook for the coming year, should we take Q4 as the new base and
hope that profitability will improve further from here in FY24? Is there any outlook that
you can share? I think you mentioned double- digit revenue growth. Did I hear t hat
correctly? If you can give an outlook for the overall business FY '24- 25?
Vishnukant Bhutada: I have given the general overview of the outlook of the business in each of the
segments. We have already invested in the high capital -intensive area and almost we
are at the verge of completion of in each of these biologics, APIs, formulations, the
transdermal patch & film formulations, and CDMO business. This year onwards, we feel that each division will get matured and try to give the revenue f rom each division.
Tushar Bohra: Therefore, should we assume that overall revenue level may be a double- digit growth
is possible more than 10% and profitability should be much better? We are still at a

PAT level loss in this quarter as well. We assume that going forward, we will return back to profitability at PAT level as well.
Vishnukant Bhutada: This is what's our intention also. That is what you are seeing that there are several cost cutting measures, increasing the volume, increasing the product mix, adding more geographies for the formulations, getting it licensing revenue, reduction in the CAPEX in all these things, and reduction in the interest cost. These all factors definitely will add for the growth of the company from now onwards.
Tushar Bohra: Remediation efforts how much would we have spent in FY23? And assuming that we have almost completed the remediation, should we assume that FY24, there would not be much cost aligned towards this head?

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Vishnukant Bhutada: Yes, now almost all remediation is completed. Now, very bare minimum maintenance expenditure is there, nothing else.
Tushar Bohra: And how much would have been the expenditure in FY23 on remediation efforts at Jadcherla?
Alpesh Dalal: It has been a little over Rs. 7 crore, Tushar. The previ ous year, it was roughly around Rs. 30 crore. Against Rs. 30 crore, we have spent roughly about Rs. 7 crore during FY23.
Tushar Bohr

a: And just a quick clarification on P emetrexed. What are the activities that further need to be done since we have got the approval? When you mentioned 1 to 2 quarters, when is the earliest you think we could launch the product?
Vishnukant Bhutada: Frankly, we are not knowing it, but we can launch it because we have to transfer this, again get it manufactured, and they will al so gear up for their marketing and all. We will be knowing it by the next month around 10th or 15
th, a clear strategy on this.
Alpesh Dalal: Tushar, since this is an NDA, the commercial & marketing team would need to now assess the on- ground situation and create a strategy around launch, when to launch, what all steps to take while launching and all. That's where there might be some timeline requirement including the lead time for manufacturing the commercial batch.
Tushar Bohra: But there are no regulator y things pending, right?
Vishnukant Bhutada: No, nothing.
Tushar Bohra: Ok Thank you
Moderator: Our next question comes from Shikhar Mundra with Vivog Commercial Limited. Please go ahead.
Shikhar Mundra: How much have we invested in the Dharwad facility for biologics?
Alpesh Dalal: In Dharwad, we have invested around Rs. 600 crore till now.
Shikhar Mundra: This is only for biologics, right? I want to understand like A dalimumab does not have a very big revenue potential; we said Rs. 20 crore to Rs. 25 crore. And Albumin is being introduced at 2024 end. What's the plan to use this facility for?
Vishnukant Bhutada: Aflibercept manufacturing, manufacturing of the other products plus CDMO business we are trying to do.
Shikhar Mundra: How big are we targeting the CDMO business to be in the next 3 years?
Alpesh Dalal: Basically, Shikhar, there is a significant requirement for good quality facility being available for biological products and which is the area which we are trying to exploit right now and our team is w orking actively on getting the CDMO opportunities over there. I think when certain things are crystallized, we will be able to talk more about that. It will be a little premature to discuss more details about those opportunities.
Shikhar Mundra: And can we assume like we are at the end of our CAPEX cycles or do we plan to do any more CAPEX or any more plants?
Vishnukant Bhutada: I think Biologics almost we completed; nothing is there. Our film & transdermal patch, nothing is there. R&D we completed. Now exc ept in the API and the Biocare which is now we have to complete the fermentation facility for A lbumin.

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Shikhar Mundra: How much do we plan to invest in the Biocare facility?
Vishnukant Bhutada: I think this year another Rs. 75 crore.
Alpesh Dalal: In toto, we probably would do around that kind of a CAPEX during this year.
Shikhar Mundra: And this is a general question. I know it's tough to answer but as a company, where do we see ourselves in the next 3 to 5 years? What's the revenue target we set for ourselves? Having done some much CAPEX across all the segments – biologics, formulations.
Vishnukant Bhutada: Giving a specific number will be difficult but we have already told you the segments which we are in, they are all complex, high- growth, and high- margi n segments which we have invested for several years. Now on, we see only the possibilities of growth.
Shikhar Mundra: And I want to understand because of the US FDA observations, how much would you say has been the revenue impact? If not for the observation, what would have been our formulations revenue till now?
Alpesh Dalal: It is difficult to put a number how much could have had been our formulation

revenue
because then there are several new product approvals that could have come in and the market situat ion for some of our existing products could have changed. So, we can't really put up a number over there that how much could have had been the sales and all.
Shikhar Mundra: And when do we see this whole situation getting resolved? What's the expected date?
Alpesh Dalal: I think Vishnuji just mentioned in his opening remarks that we have communicated with FDA and now are awaiting action at their end. That's something which is not known to us. We will just have to wait it out.
Moderator: Our next question comes from the line of Bhagwan Chodhary with Sunidhi Securities. Please go ahead.
Bhagwan Chodhary: Thanks for opportunity sir. Sir, just two questions. What is the CAPEX plan for the next year? As you said that this will be mainly for the Albumin, right? How much it would be?
Vishnukant Bhutada: For Albumin, as I mentioned Rs. 75 crore.
Bhagwan Chodhary: Secondly, your thought process on the debt side. Right now, I think we are having around Rs. 800 crore of debt. Just broadly, what we ar e thinking from a 2- 3 years' perspective that how it is going to pan out in terms of cash flow and in terms of reducing the debt?
Alpesh Dalal: Basically, as we discussed in our opening remarks also, Bhagwan, that we are taking various measures on the oper ational front to improve our overall performance and profitability as I had discussed in my remarks that operational cash flows have been better as compared to last year because we have tightened our working capital as well. Having said that, we are also l ooking at other options and opportunities for bringing down our leverage on the strategic front as well. We are working on those options along with the opportunities that we see . Certainly, we are looking at deleveraging our current debt as quickly as poss ible.
Bhagwan Chodhary: Sir, one question on the Albumin side. You said that we are likely to launch by the next year's end. My understanding is it would be the Phase -1, Phase -2, and then filing with the regulator. So, every process will take 8- 9 months or more than that?

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Vishnukant Bhutada: Phase- 1 we have to complete, then it will be Phase- 3.
Bhagwan Chodhary: And then sir, filing with the regulator or it will be the approval by the end of the Phase -3? Just want to understand the timeline.
Vishnukant Bhutada: As I said you that we have to complete the Phase- 3, submit it to the authorities. After verifying the data, they will tell.
Moderator: Our next question comes from Ritwik Sheth with One- Up Financial. Please go ahead.
Ritwik Sheth: My question is on the margins. You mentioned that we are looking at double- digit top line growth in FY24. If I look at your historical figures, this will be the highest ever revenue for us. What kind of margins we can expect? What range we can expect for FY24? Can it be m id to high teens?
Alpesh Dalal: Basically, as we mentioned, currently if we look at our EBITDA margin, this year margin was anyways at 11%. After taking those measures that we are talking about and incremental business, our expectation would be that there will be improvement in that.

Ritwik Sheth: Any range that you are looking at?
Alpesh Dalal: No, we probably would not be in a position to provide any guidance over there, but we certainly expect improvement over there.
Ritwik Sheth: Just one broad question on the peak turnover for us. Now you have done a lot of CAPEX in the last 3 years. With the enhanced capacity and capability and 3 new products that we are going to launch in the next 1 to 2 years, what kind of

peak
turnover we are looking at from our cur rent base?
Alpesh Dalal: Again, as Vishnuji had just mentioned that we can expect double- digit growth for the foreseeable future, and it's a running situation, right? We keep investing, we keep getting higher growth and all. So, there is no concept as peak revenue per se. Peak revenue could come from a specific plant oriented but not as a company or as an organization.
Ritwik Sheth: One follow -up to the previous participant's question on the debt. What would be your comfortable debt on an absolute basis for the company?
Alpesh Dalal: We will come back to you guys a little later on that because we are actively working on certain plants for the deleveraging as I was talking about. So, at this point, I wouldn't want to make any comment on that.
Ritwik Sheth Thank you and all the best Sir
Moderator: Our next question comes from the line of Aniket with BMSPL. Please go ahead.
Aniket: Thanks for the follow -up question opportunity My question was on the formulations business. Basically, I wanted to ask how do you see the business growing from where we are right now and what are the opportunities that lie ahead of us in this segment
going ahead?
Alpesh Dalal: For the formulations business, as Vishnuji was mentioning that we have new product approval that has come in Pemetrexed, we are expanding our horizon in various other geographies as well. We basically have built our commercial team now to exploit these opportunities further. So, we expect a decent turnaround happening in our formulations business from hereon.

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Vishnukant Bhutada: With getting the approval from the Canadian authorities and TGA, these all will help us to build the sales in the other regions also.
Aniket: Thank you so much and best of luck
Moderator: we take our last question from the line of Anuj Sharma from M3 investment, please go ahead
Anuj Sharma Thank you. My question has just been answered
Moderator: Ladies and gentlemen, we reach the end of the question & answer session. I now hand the conference over to the management for closing comments.
Alpesh Dalal: Thank you all for coming and joining our Earnings Call today. We hope to continue with this initiative and hope for your continued support for our company. Thank you everybody.
Moderator: On behalf of Shilpa Medicare, that concludes this conf erence. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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17 August 2023

To
Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001.
To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.

Dear Sir/Ma’am,
Scrip Code: BSE■ 530549/ Stock Symbol: NSE – SHILPAMED

Sub: Transcript of the Q1 Conference call

In furtherance to our intimation dated 7 August, 2023 and 11 August, 2023 with regard to the Q1 FY24 Conference call held on Friday, 11 August 2023 at 03.00 PM IST, please find the enclosed transcript of the call.
Thanking you,

Yours faithfully

For SHILPA MEDICARE LIMITED

Ritu
Tiwary
Company Secretary and Compliance Officer

Moderator: Ladies and gentlemen, good day and welcome to the Shilpa Medicare Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please not e that this conference is being recorded. And now hand the conference over to Mr. Siddharth from CDR India. Thank you and over to you, sir.
Siddharth Rangnekar : Thank you. Good afternoon, everyone, and welcome to the conference call hosted by the management of Shilpa

Medicare Limited to discuss the first quarter performance for the period ended June 30, 2023 and the discussion on the strategic initiatives that are underway. The management is being represented by Mr. Om Prakash Innani, Chairman of t he company, Mr. Vishnukant Bhutada, Managing Director, Mr. Alpesh Dalal, Chief Financial Officer. We shall have Mr. Vishnukant Bhutada lead the discussion with his perspectives on the business performance and the strategic progress. He will be followed by Mr. Alpesh Dalal, who will give his views on the financial and operational highlights.

After the management comments, there will be an opportunity for getting your queries answered. Before we commence, I would like to state that some of the statements mad e on today's call could be forward looking in nature and a detailed disclaimer in this regard has been captured in the conference call invitation which is available on the Stock Exchange website. I would now like to invite Mr. Vishnukant to take this discu ssion forward. Thank you and over to you Mr. Vishnukant ji.

Vishnukant Bhutada: Thank you for joining us today on the call. I will be sharing prospective of Shilpa Medicare first quarter results 23 -

24. I will commence with the operating progress and combine it with the highlights on the strategy . I will be followed by our CFO Alpesh w ho shall take forward the discussion on the financial aspect. Subsequent to our speech, we will be glad to address queries and concerns from the participants. I will commence with the key updates of the quarters.

I will go by the segment wise first. Withi n the API, we have completed the augmentation of our facilities to offer the peptide , polymer , CDMO services. These new subcategories within API represent a step up in a value creation for us, but conversely are associated with the certain gestation period. We are taking exhibit batches of the initial products of our clients in the peptide and in response are likely to translate into the firm commitment. This segment also makes the polymer s, again which are also high end produ

ct within API , which we are making for the

innovators.

Our CDMO business is ramping up well to a sizable order position. We are also venturing as per the strategy into the non -oncology API. Wherever we can make an impact, timelines have been followed for the delivery of the project which has boosted the CDMO business and clients are providing new contracts. During FY24 , two new DMFs has been filed and to add around 231 DMFs, we have filed across the geographics. Some of these APIs are oncology products that will see the expires throughout around up to 2028.

Our focus is also on developing the API that can replace imports where these are presently coming from the outside of the country. By enhancing utilization and capabilities of our existing products, we are seeking to enhance the engagement with the existing clients for our core API and this will show the results. And all these things considered, I am confident that our API business once again will be the crown jewel of the performance. The again the highlights on the f ormulation , I will just start it.

We have on oncology the new drug application from the Pemetrexed injection 1000 mg, 100 mg, 500 mg and the 100 mg formulation approved by the US FDA. This was the first NDA approved in our Shilpa. The unique formulation supply as a ready -to-use product solution and this product approval from the third party manufacturing sites. Commercialization arrangement is in place for the Amneal pharmaceutical LLC for the US market.

Planned to launch under J -Code program by Q4 FY 23-24. US market size approximately is around USD 735 million. We filed the, again, one Nilotinib capsule, which is also filed into Germany. And this is a centralized BCP procedure we are filing. The product filed in the Europe and expected launch of this complex product will be Q2 FY24, partnered already with the two customers in the European market. And European market is approximately USD 418 million. And for US, the pivotal studies also ongoing. We have on e more product that is called as SML NUD07. This has also entered into the phase 3 study. We already received the CDSTO approval for this to start the phase 3 clinical study. The most important is the indication of this is NAFLD that means non -alcoholic fa tty liver disease. This we will be able to complete this study Q2 or Q3, FY24. This is the most common liver disease which is affecting almost all part of the world and the huge population pool is there for this. And this is the unmet need where you know t hey need these particular drugs on this NAFLD and we are happy to say that the phase 3 studies already started on that.

Then the first partnership deal in to the transdermal patch. So as you know that the transdermal patch also is a very complex developme nt which is for the future it is required and we have invested for the 2 -3 years in this.

We are happy to say that the first partnership we have done already with the European company on this and the pivotal study we will plan in Q2-Q3. While Ema Science device already we have taken it on that and the size of this molecule is around USD 240 million . Then we have launched the film formulation also into the US market.

We are partnering with the other companies, vitamin D3, melatonin, methylcobalamin, simethicone and green tea. These are all dietary supplements has been you know marketed now into the U S. Then we have received on a biosimilar update, we have received the high concentration Adalimumab the into the India market. Hopefully, we should be able to launch in this quarter.

We already partnered with, we are going to launch with us as a Shilpa an d one more with the big Indian company.

Then we have done this recombinant albumin already phase 1 study already initiated. As you know that NB E, ie new biological entity status we already received it from the authority and this phase 1 study will be compl eted by December 23. Then one more molecule

Aflibercept , Phase 3 study already we have received the approval from the
CDSCO for the starting the study. As everybody knows that Aflibercept is a very complex ophthalmic molecule and we already completed phase 1. Now, Phase 3 we are starting it, Phase 3 we will start by next quarter we will start the Phase 3. And this is what on the complex formulations we are doing it .

We are on a crucial task to facilitate the launch of new products under the API and Formula tion as these will bring us the predictable cash flow s. The new segments are closer to giving visible contribution from the commercialization of the product and will help us to enhance our margin profile overall. As touched upon by me earlier, we are looki ng at rationalizing R&D expenses and monetizing our work as swiftly as possible.

You will see the operating cash flows from the year, which Alpesh will explain you separately. We are doing several cost-cutting measures into the R&D including the formulati on R&D without compromising on the niche segment.

With that, and on the US FDA front, the update is same as we have completed our all remediation measures and we are waiting for the FDA to come and do the inspection. Other than US, almost all the regulator y authorities in the world have approved our facility and were continue to export to the other part of the world including US some of this the shortages product.

And the unit 7 , the interim unit 7 analytical lab has cleared USFDA inspection recently with VAI classification in March, April 23. This is the second USFD A inspection within one year. The Dabaspet Unit 6 which is MHRA approved has started commercialization of the some o f the ODF products in the nutraceutical and dietary supplements category in the US market. And soon we are going to launch into the RoW as well as in the European market. One product Dossier ODF has been completed satisfactorily viewed by the UK MHRA and e xpected to get the approval in the recent future. Commercialization of some of the products into India is ongoing either from the unit 4 site or the CMO site.

Commercialization is U.S for one more OSD product will start from the CMO site. With that I draw to the close to my opening remarks and hand over to the CFO Alpesh to continue. Alpesh, over to you.

Alpesh Dalal: Thank you sir and good afternoon , everybody. I will provide the financial highlights for the quarter, for the first quarter of the current f inancial year. So, from revenue perspective we reported a flattish quarter with revenues of INR262 crores on a consolidated basis. However, we witnessed strong improvement in our profitability backed by our focused efforts on bringing in operational effici ency and improve monetization of our investment in R&D to higher licensing fees.

Consequently, our EBITDA stood at INR50 crores higher by 74% year -on-year and 23% sequentially. The improvement in EBITDA has helped us turning in black at PAT level as well on a consolidated basis.

On the debt front, our net debt as at the end of the quarter stood at INR745 crores compared to INR764 crores at the end of the previous quarter, resulting in a lower net debt at about INR19 crores. And a quick u pdate on our capex that we have incurred. During the quarter we have incurred capex of roughly around INR30 crores, and of which majorly it has been in our albumin facility where we have invested roughly about INR24 crores for the

albumin.

And I also wante d to update all of you about another major development which we have completed just yesterday where we have successfully completed issuance of NCD of INR450 crores to select marquee investors on private placement basis. Now this NCD issuance will help us r eorganize our debt portfolio in a manner that helps us spread our repayment obligation in line with our expected future cash inflows with an initial moratorium period of 27 months.

So, this should

ease out the overall pressure that we had on our cash flow. So, with that intent, this arrangement has been carried out. And on operation front, as Vishnukant ji was mentioning earlier, that we are prioritizing the launch of products that are ready in various segments that he spoke about. And we are also ensur ing that our overall cash flow gets restored, right?

So, obviously, these are all being done on the back of efforts that we are doing to curtail our spend on R&D without really impacting any of our developmental efforts which are required for our business purpose and we are also optimizing our working capital requirements to generate sufficient operating cash flows. So, as I had indicated last time also that we had positive operating cash flows.

During this quarter also we have had decent operating cash f low being generated of roughly about INR70 crores that we have done. So, overall I think the business is coming back on track and with those closing remarks, I would like to open this forum for Q&A.

Moderator: Thank you very much, sir. We will now begin w ith the question -and-answer session. Thank you. We take the first question from the line of Shivan Sarvaiya an Individual Investor. Please go ahead, sir.

Shivan Sarvaiya: Hello, thank you for the opportunity. So a few questions from my end. So just a clar ification, you said the NCDs that were raised were for a moratorium of 27 months. Did I hear that correctly?

Alpesh Dalal : Can you repeat your question, please? I didn't hear it clearly.

Shivan Sarvaiya: Hello, can you hear me?

Alpesh Dalal : Yeah, we can hear you. Can you please repeat your question?

Shivan Sarvaiya: Yes, sir. This is just a clarification on your opening remarks. You said the NCDs that you issued yesterday INR150 crores. The moratorium is 27 months. Is that right?

Alpesh Dal al: Moratorium is 27 months. That's correct.

Shivan Sarvaiya: Okay, sir. And the rate of interest here that we would be paying?

Alpesh Dalal : The rate of interest is slightly higher than the normal rate, but it helps covering up on the operational size w

here we
are able to get better terms on our supply prices. So, overall we'll be able to more or less take care of the impact of increased cost that we may have.

Shivan Sarvaiya: Correct, and sir if you could quantify that rate?
Alpesh Dalal : I think some of these things we may not be able to immediately quantify, but we'll be able to provide you in due course.
Shivan Sarvaiya: Sure. And so my next question is on the API business and this pertains to slide number 20. So historically, we've
been bifurcatin g the API business between Onco, Non -Onco, CDMO, CRAMS, and others. So, at this time, the CRAMS piece does not show here. Is there a change in the way we look at the API business?
Alpesh Dalal : See, basically, CRAMS business is something that, if you reca ll, in the previous calls also we indicated that by design we are bringing it down and we have now stopped doing that particular CRAMS business because that was a planned move that we had. Since, there is no CRAMS business that we are doing anymore, that p articular block has been taken out.
Shivan Sarvaiya: Okay, okay. And in terms of the CDMO service, could you just explain a little bit more, a bit nuanced way, what
is exactly that we do here in the API piece when we say CDMO/ Service?
Vishnukant Bhutada : CDMO we are doing the -- especially for the new drug development, so some of this like either it is into the any
special molecules if we have to work for them, some of these we have to make the pilot batches , we have to make and give them for the phase 1 study or phase 2, phase 3 study. These are the things particularly covered in the CDMO -API business.
Shivan Sarvaiya: Okay. And sir, what would be the client profile in the different number of clients, the phase at which the molecules
are currently some c olour there ?
Alpes

h Dalal : Client profile, what kind of clients do we have?
Vishnukant Bhutada : These clients are, some of the clients are the U.S ; region wise I can tell you more is from the US, not from the any
other part, some other part, but 75%, 80% is coming from the U.S, where such development takes place more. And typically what happens in the US, the smaller company takes up to phase 1 or th e phase 2 and then the bigger company acquires that particular brand and they take to the phase 3. This is what is happening. We have the mix of all.
Shivan Sarvaiya: Okay, fine. And sir in terms of others, what is there in facing others and why is it so volatile in the sense, quarter -
on-quarter , we see a lot of volatility in these numbers?
Alpesh Dalal : So I think on the other side, actually there isn't much volatility. What has happened was that in Q1 of last year, obviously this other also includes wha tever CRAMS business that we had, which is not there in this quarter. So, that is one portion that results into this difference which is coming up. And the other portion in last year Q1 that we had was that we had done this slump sale of our business from Shilpa Medicare to Shilpa Pharma. So, goods which were on Highseas basis, we had to do a facilitation transaction to ensure that we were able to import the goods correctly. So there was a Highseas sales done, which was a one -time small Highseas sales done of about INR16 crores, which is sitting and getting reflected here in others.

Vishnukant Bhutada : And to add this, currently we have almost 7 active IC projects ongoing currently into the CDMO. We have different
projects, as I mentioned, US, Europe, some of these from Europe, this is what I can tell you.
Shivan Sarvaiya: Okay, okay. Okay, sir. And one more question on the formulation part. So the license fees part of the business,
could you just help understand how the license fees are on, what is the -- is this like a stable cash flow or these are based on certain milestones and how much of the INR53 crores would be license fees and how much would be PDC
Alpesh Dalal : Your voice is not clear. Voice is not coming very clearly.
Shivan Sarvaiya: Can you hear me now?
Moderator: Sorry to interrupt Mr. Shivan, are you on your headset sir?
Moderator: If you are on a headset, I would request you to switch to your handset.
Shivan Sarvaiya: Yes,
Shivan Sarvaiya: Hello, am I audible?
Alpesh Dalal : Yes, Shivan yes, slightly better now.
Shivan Sarvaiya: Okay, so my question was on the license fee, PDC in the formulation business. Could you explain the flow of the
license fees, the way it occurs, on what basis are these license fields earned, and what is PDC, and if you can bifurcate between license fees and PDC?
Vishnukant Bhutada : As you are probably aware any licensing fees once it is given or agreed that means , that they have due -diligence
already has been done of that particular product and we get the initial milestone or the second milestone once we

file in that country. There are several initiatives and signing after verifying and they are a scertaining that they are confident that what we have enough material to license this particular product in their region. This is the one initial requirement. for doing, I am accounting or agreeing for any milestone deed. So, this is what it has been done and if the milestone payment or the licensing fees is not a new for us. Licensing fees every quarter we are getting it. Sometimes it is little more or sometimes that particular milestone or that particular quarter, there is why, we take into that quarter m ore.

But this shows that the, strength of our R&D and strength of our regulatory and strength of our plant and the people. So, once they are confident on all aspects, it is not only on the product, it is not only on the regulatory, it is not only on the pi votal and the pilot data, which you have generated. So,

these are all has been taken into the consideration
including the plant audit sometimes. So, these are all safety, technical, all once that is done, then they will agree for the licensing fees.

This i s what the major, I can say about the licensing fees and this is a regular in nature. The PDC is a product development charge we call it, I think Alpesh can explain more on that. But the, each of the licensing fees, whatever we are getting it, it is a diff erentiated product, which we are doing it for that like a specially as I mentioned the

transdermal patch, what we got it in this particular spot licensing has been done.

The second the NDA approval, what we got it. That licensing milestone also has been in this particular quarter. One NCE molecule, which we are doing it form the API to the formulation development, that also has been captured in this particular quarter. And this is the beginning, this is not the end. Here from here, again it starts more. Not only the licensing revenue, as well as the commercial sales also is, that is a part of this platform.

Shivan Sarvaiya: Okay.

Alpesh Dalal: So, Vishnuji mentioned that there are different milestones, there, which are captured, and based on, as and when
we keep achieving those milestones, we keep receiving our licensing fees. So the licensing fees that we have received this time also is a combination where we had signed up certain agreements in the past, where we have achieved a new milestone and we have re ceived those fees. In certain cases, we have entered into a new arrangement, which has given us new licensing fees and all. So it's a combination of the two. And it's a very regular feature in any formulation business in the pharma industry.

Shivan Sarvaiy a: Okay. So do we expect this to sustain, the INR53 crores, and growth from here? Like is this the end of a phase and
which we keep growing on?

Alpesh Dalal: On a rate, this is, based on the R&D pipeline and it's a churn that happens. So, there are, as and when newer products
keep getting developed, that ends up providing new opportunities. So, it is a continuous process that you have.

Shivan Sarvaiya: Thank you. I will come back in the queue. Thank you.

Alpesh Dalal: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Kaustav Bubna from BMSPL. Capital. Please go ahead, sir.

Kaustav Bubna: Yes, hi. So, last time we spoke, Alpesh, the message was that, the company strictly does not want to add more debt
to its balance sheet. And then we come out with another INR500 crores, INR400 crores, INR500 crores of debt. So I wanted to understand, why the shift of strategy and also what is our total debt now after this debt NCD issuance. And also, is it fair to assume that, you have cho sen to go the debt route instead of the rights issue route? Because you all had come out with a rights issue notice and then didn't get back on that. But then instead raised NCDs. So then does the rights issue stand canceled?

Alpeh Dalal: Okay. So let me answer the first part first. Whilst we have taken this NCDs of INR450 crores, this has been predominantly utilized to retire our existing term loans. So, it is not adding on to the debt burden. Right, this was just as I mentioned in my opening remarks as w ell, that this was more of a reorganization of our debt, right. So, obviously, there is slight increase that would happen because of the quantum that we have got, but it is still within, our overall acceptable limits.

Second question on the rights issue, w e basically are not really, rights issue is still very much part of our strategy.

Rights issue typically requires certain regulatory timelines to be completed and all. And in the meantime, we wanted to, as I mentioned earlier, reorganize our debt. So this is only towards reorganization. This is not towards increasing our debt. And, rights issue again is planned with a pr

edominant intent of deleveraging our balance sheet. And, we
will do so once we have that rights issue in place.

Kaustav Bubna: Okay, great . Thank you so much.

Alpeh Dalal: Thanks, Kaustav.

Moderator: Thank you. We take the next question from the line of Shaikh Mohammed Ayaz, an individual investor. Please go ahead, sir.

Shaikh Ayaz: Good evening, sir. Congratulations for the excellent set o f results. I just want to ask that, what kind of performance
we expect from the further process, whether this performance will continue or we can expect some bullishness in

that?
Vishnukant Bhutada : That is the reason why I said that to make the predictabl e cash flow, I have given in opening remarks itself,
mentioning that the predictable cash flow is very important for our company. We were losing for, last one or two
years because of this unpredictability, not because of us, but on a regulatory front from the US FDA. But now we
are coming back on track and we fairly feel that, this will definitely continue, not only continue, it will improve.
Shaikh Ayaz: Okay, sir, thank you.
Alpeh Dalal: Thank you.
Moderator: Thank you. We take the next question from t he line of Shivan Sarvaiya , an individual investor. Please go ahead, sir.
Shivan Sarvaiya: Thank you for the opportunity again. So, question on the Albumin part. So, what would be the total investments we
would have done in the Albumin project till date?
Vishnukant Bhutada : Total investment where, you are asking? No, but where?
Shivan Sarvaiya: In the Albumin business?
Vishnukant Bhutada : No, this is the different, we are doing some in the capex, some in the development, what is the argument?
Shivan Sarvaiya: Yes, suppose, what would be in the capex and what would be in the development part, the total investment?
Vishnukant Bhutada : I think, we will come back to this.
Shivan Sarvaiya: Okay, sir. And so we were supposed to start selling the recombinant human albumin as an excipient this year. So
is that on the card?
Vishnukant Bhutada : Yes, definitely it is there on the card. This year probably what will happen, we will give them the excipient grade

because now we are preparing the drug master file also on this. And once we try to give the, submit the samples,
getting it there in the formulation approvals and all, we will start definitely this year.
Shivan Sarvaiya: Okay, so far, by when? And so what is the top line that you expect to be done with the ex cipient sales?
Vishnukant Bhutada : Now it is a very small quantity. We have currently 1,000 liters of, for months. So I do not think we will have any
substantial sales from this excipient grade . But yes, anyhow whether you have a longer or smaller, you nee d to get
established yourself and get it approved vendor. That major work will be completed before our commercial facility
put into that operation. Otherwise that will take more time. Here, what we are trying to do is, with the existing
facility, completin g the DM F , submitting the sample to the customers, getting it approved in that formulation and
start commercial supplies, whenever you get.
Shivan Sarvaiya: Okay, sir. And sir, in terms of CDMO for the biological piece, where are we currently, are we exp ecting the revenue
to flow, if they are flowing, what could that be?
Management: Yes, definitely the CDMO is the biggest opportunity into the biologics. We are continuing to explore this. We have
some good leads are also coming into that.
Shivan Sarvaiya: Okay, sir. I will get back to you offline for the capex on the albumin part of the business. Thank you.
Vishnukant Bhutada : Sure.
Moderator: Thank you, sir. Thank you. As there are no further questions, I would now like to hand the conference ove r to the management for closing comments.
Alpesh Dalal : Thanks, Seema. Basically, thanks a lot everybody for coming and joining the call. And we hope to continue with the

good performance that we have had this quarter. And we will keep in touch with you an d keep updating you
about the progress of the business that we have. Thanks a lot. Thank you.
Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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16 November 2023

To
Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001.
To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.

Dear Sir/Ma’am,

Scrip Code: BSE- 530549/ Stock Symbol: NSE – SHILPAMED

Sub: Transcript of the Q2 Conference call

In furtherance to our intimation dated 7 November, 2023 and 11 November 2023 with regard to the Q2 FY24 Conference call held on Saturday, 11 November 2023 at 11.00 AM IST, please find the enclosed transcript of the call.

Thanking you,

Yours faithfully

For SHILPA MEDICARE LIMITED

Ritu Tiwary
Company Secretary and Compliance Officer

Shilpa Medicare Limited
Q2 FY24 Earnings Conference Call
November 11, 2023

Moderator: Ladies and gentlemen, good day and welcome to Shilpa Medicare's Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India.
Thank you and over to you Mr. Rangnekar.
Siddharth Rangnekar: Thank you, Michelle. Good morning everyone and welcome to the conference call hosted by the management of Shilpa Medicare Limited to discuss the second quarter and first half performance for the period ended September 30, 2023 and the discussion on the strategic initiatives that are underway.
The management is being represented by Mr. Omprakash Inani, Chairman of the company, Mr. Vishnukant Bhutada, Managing Director and Mr. Alpesh Dalal, Chief Financial Officer. We shall have Mr. Bhutada lead the discussion with his perspectives on the businesses performance and the strategic overview. He will be followed by Mr. Alpesh Dalal who will give us perspectives on the financial performance. After the management comments, there will be an opportunity for getting your queries answered.
I would like to state that some of the statements made on today's call could be forward looking in nature and a detailed disclaimer in this regard has been captured in the conference call invitation available on the stock exchange website.

I would now like to invite Mr. Vishnukant Bhutada to take this discussion forward. Thank you and over to you Vishnuji.
Vishnukant Bhutada: Thanks a lot. Welcome to our call to discuss the performance of Shilpa Medicare during the second quarter of the year 2023-2024.
As always, I shall commence with the highlight of the operating performance and touch upon initiatives segment wise. Our CFO Alpesh Dalal will share perspectives on the financial performance by the company. Following our opening comments, we shall invite queries from the participants in order to address those comprehensively.
SML comprises of three segments. Firstly, the API, which is a major segment for us. Building upon our strength in developing and commercializing products, we are moving the business, up-chain. We are exploring the non-oncology API segments, which has a high growth potential or can serve as an import substitute API. We are committed to facilitating the successful introductions of the novel products within API.
We are already engaged with our clients to build the peptide business. As you will be aware that we have completed the required upgradation of our facilities for these forays already. We are moving forward with the polymer as well, where these will be aimed at innovators seeking quality products.
As previously mentioned, we are actively streamlining R&D expenditures and expenditures the monetization process. By concentrating our efforts there, we aim to consistently lower R&D costs, resulting in a substantial saving that will positively impact our cash flow without compromising on the quality of the product research. And of course, the niche product developments.
Within API, we have completed the augmentation of our facilities to offer peptide, polymer, and CDMO services. These new subcategories within API represent a set up in value creation for us, but conversely are associated with a certain gestation period. We are taking exhibit batches of few products to our clients in peptide, and response is likely to translate into firm commitments.

This segment also makes polymers, which are high-end products within API, which we are making for the innovators. Our CDMO business is ramping up well in a sizable order position. We are also venturing up as a strategy into non-oncology APIs, wherever we can make an impact.
During the quarter, we filed six new DMF to add to 237 DMF filings across geographies. Some of these APIs are for the oncology products that will see expire through the 2027.
I am glad to share that Shilpa Pharma LifeScience, Raichur facility for API, completed a GMP inspection by PMDA of Japan successfully. We make oncology and non-oncology products here.
Moving to in a formulation, we are scaling up the launches through our third-party arrangements, preparations are also ongoing for the launch of the Pemetrexed injection in US market via Amneal Pharmaceutical LLC. Another significant product will be SML NUD07, indicated for the NFLD, where we are expecting to complete the study soon in Q4 FY24-25.

Also, one more NDA is actively being reviewed at USFDA. We will be, mostly, we should be able to get that also approval by September, December 2024.
We are also adding to the company's complete phase 2 trials for its Topical lotions – SML TOP09 for the treatments of androgenic alopecia.
Product development completed in phase 2 trials, completed in phase 3 trials will be initiated in Q3, '23. Shilpa's SML TOP09 Topical lotion product is covered by the granted patent in the countries up to June 2038 in India, USA, China, Japan, Korea, and the pending patents are reviewed in the Europe. The global alopecia market is valued at $8.2 billion in 2022 and expected to grow at the CAGR of 9% from 2023 to 2030.
I would like to share that our Jadcherla facility has undergone a successful inspection by ENVISA of Brazil in August and also re

ceived the GMP approval
from UAE and Australia. We utilize this unit for sterile injection and non-sterile oral solids for the cancer and adjuvant therapies. This marks the third major regulatory inspection following Russia, Australia, Canada that were cleared in the last two years.

Recently, our Jadcherla facility also underwent a 'For Cause' inspection that has happened from 9th November with 10 observations. I would like to inform you that none of the observations relates to 'data integrity' or has been listed as a 'repeat observation'.
Our commitment towards the opening of the new market for our product is thus duly exemplified. We also received approval for three products in Mexico market and one of three products is first generic approval in Mexico. Recently, we have received marketing authorization from the UK for beta-hexane dihydrochloride oral dispersible film 24 mg. This is the first of its kind approval for 24 mg strength in a film formulation in the UK. This is very much in keeping with our endeavour to create value in the business through differentiation.
This product is used for the treatment of vertigo, hearing loss and nausea associated with the Menière's syndrome. Ours will be the film formulation format, thereby enhancing the patient compliance and ease of administration of the product.
It remains our earnest intention to further de-risk our business mix with the help of differentiated products and the complex products. Our efforts to introduce Transdermal patch based offerings are on track. Our initial products are in a different stage of clinical studies and plans to go for the global market.
Regarding the Biocare facility, this facility is also which is Albumin facility. This facility's construction and the erection is on track and will complete by June 2024. Currently, phase one study is also going on for the Albumin and it is running smoothly. By the time we complete this plan, the phase one study also will be completed.
Speaking now about Shilpa Biologics, we have launched high concentration Adalimumab in India over the brand name ORIADALI™, which is a crucial step into the realm of our biological offerings aimed at enhancing patient comfort in treating Rheumatoid Arthritis. Piggybacking on India approvals and launch our strategy extends to tapping into various international markets with this product.

This marks the first several very good potential products that we have lined up. For the next two years, there will be a series of complex products coming from Shilpa in addition to the extension of the existing products into the new countries.
We are looking at robust improvement in cash flows. As our business mix evolves, we will have a higher stake in higher margin therapies through a new product and platforms. Initiatives are also afloat to reduce cost of operation and cost of development alike and net results being a tighter cost profile that will allow us to retain better margin as growth.
I thus draw my opening remarks to a close and our Alpesh, our CFO, to continue this discussion with his perspective on the financial performance.
Alpesh, over to you.
Thank you and happy Diwali to all who are participating and to everyone.
Alpesh Dalal: Thank you, sir. Good morning and happy Diwali to all of you. I will now provide

the financial highlights for the second quarter and half year ended 30th September.
So, from a revenue perspective, we reported a strong quarter with consolidated revenues aggregating to INR315 crore, which registered a growth of 20% sequentially and 18% year-on-year. It also helped us improve our profitability with EBITDA of INR62 crore as compared to INR50 crore in the previous quarter and INR16.6 crore during the same quarter last year.
So, we have had significant improvement in EBITDA happening and this immense EBITDA performance has also translated into a positive PAT level result

for us. So, for this quarter, we had a PAT of INR1.6 crore as compared to a loss of INR18.6 crore during the same quarter last year.
Now, quickly let's dwell on to into our financials for the first half of FY'24. So, our revenues stood at INR577 crore, reflecting an increase of 8% and EBITDA was at INR112 crore, registering a growth of 148% over H1 of FY'23.
Now moving on to other financial parameters, our net debt as at 31st September was INR840 crore and our capex in the first half was INR64 crore,

majority of which has been invested into our upcoming Albumin manufacturing facility. That has been approximately about INR52 crore of the INR64 crore has been invested in that.
During the first half of current year, we have generated a positive operating cash flow of INR91 crore. Now, these positive cash flows are a direct result of our ongoing effort to streamline our operating expenses and R&D spends without compromising the essential development activities which are crucial for our overall business objectives.
So, by and large, I think that our business is back on track and with those closing remarks, I would like to open the forum for Q&A.
Moderator: Thank you very much, sir. We will now begin the question and answer session. anyone who wishes to ask question may please press star and one on their touchtone phone. If you wish to withdraw yourself from the question queue, you may press star and two. I request you to use only handsets while asking a questions Ladies and gentlemen, please wait for a moment while the question We'll take the first question from the line of Shaikh Mohammad Ayaz, an individual investor. Please go ahead.
Shaikh Ayaz: Hello, good morning. Thank you for the opportunity. Congratulations for the excellent set of numbers. My question is regarding the USFDA ‘for cause’ inspection with 10 observations with Form 483. How can we take it as a positive or as a negative? What will be the next development regarding the Form 483 we have received in 2020?
Vishnukant Bhutada: So, we have clearly given that this is ‘for cause inspection’ because in 2020 we received this import alert on this current facility which has been inspected.
So, at the closure we have received with the 10, 483 which has also been communicated. But none of this 483 has a repeat observation. And the second one is no data integrity in this. Answering your specific questions, should we take positive or negative? Trust us, nobody will understand or be able to comment on this. That is whatever we know, the fact we have been informed to all these people. We have to submit this report within 15 working days to the FDA on the compliance and the, or the timelines of whatever the observations have been received, which is a normal practice. We will do that.

Of course, we have to take the help of FDA ex-inspectors and all who can help us interact, reply. We are committed to do this. One thing is that the remediation measures which we have been taking and this, whatever we have committed to the FDA, that is the reason why none of this in the 10, the repeat observations are there. That shows that the remediation measures and the commitment what we have given to the FDA has been followed by us. So, we have to submit this report and wait for the FDA. That much I can tell you.
Shaikh Ayaz: How much time it will take maximum and minimum?
Vishnukant Bhutada: No, you never know. You, you do not know what the timeline. We know from our side is that within 15 working days, we have to submit our reports on the observation. Either we have to complete that or we have to give the timelines in that, that when we are going to complete on that. That is in our hand. That’s all the review which will be going on to the FDA. That they only know.

Shaikh Ayaz: Okay, that is helpful. Sir, another question is regarding the de-merger and rights issue process. Where it is currently and w

here it is going forward?
Alpesh Dalal: So, which de-merger are you talking about, Sheikh Ayaz Menon, if I may ask?
Shaikh Ayaz: Shilpa Biological Limited and Shilpa Pharmaceutical something. We are making two companies.
Alpesh Dalal: So, yes, so basically, see what we had done was we had done a slum sale of our API business into Shilpa Pharma Life Sciences from Shilpa Medicare. That anyways got completed on 30th of June 2022. So, it's been more than one year and three, four months, that that has got completed. There is no further de-merger or anything happening there.
And as far as rights issue is concerned, we are, evaluating the overall prospects. We are in active, we are in touch with our board members to determine, you know, the way forward what is required to be done. So, at the right time, we will update the shareholders about where and how we are progressing on that.
Shaikh Ayaz: Okay, so regarding the two entities, another will remain as a subsidiary like that. What is that thing actually?

Alpesh Dalal: Shilpa Pharma Life Sciences, your question is Shilpa Pharma Life Sciences is a subsidiary of Shilpa Medicare? It is. It is a 100% subsidiary of Shilpa Medicare.
Shaikh Ayaz: And what about Shilpa Biologics Limited?
Alpesh Dalal: Shilpa Biologics is also 100% subsidiary.
Shaikh Ayaz: Okay, so both will remain as the same. Shilpa Medicare is the whole owner of both companies, right?
Alpesh Dalal: That is correct.
Shaikh Ayaz: Ok. Thank you. Thanks a Lot.
Moderator: Thank you, sir. We'll take the next question from the line of Tushar Bohra from MK Ventures. Please go ahead.
Tushar Bohra: Yes, thanks for the opportunity. Wishing everyone a happy Diwali and congratulations to the management for a much better set of numbers this time.
Sir, a couple of questions. First, just want to understand in more detail the licensing and the strategies that we are working towards monetization of the different products through licensing, income and collaborations.
Because it looks like it will be a consistent and meaningful component of the overall revenue and especially in terms of profitability. So, if you can qualify the opportunities that you're pursuing in licensing and monetization of specific products?
Vishnukant Bhutada: See, as we have mentioned, that we are working on a differentiated and the complex products, either in the injectable and the oral. So, both segments we are working. So, what we have done it for the last three, four, five years, whatever we have done, we wanted to have the consistent monetization of our assets.
So, it is not that the one-off things will happen and the next quarter it will not be there. We're trying to see that once we have a Phase 1 completed or the pivotal bio is over or after filing, we wanted to have this, the licensing

arrangement, which whatever the current licensing fees what we are getting in last two quarters is with the either on the initial stage licensing fees is there.
So, whatever currently we are doing it in the licensing arrangement is for the monetization of the assets currently we are having it in our R&D pipeline.
That shows that the company trusted us because nobody will give the licensing fees without verifying the documents and without getting them certain that the product has its strength and once they launch into their respective markets, they will get a revenue, much more revenue what they are giving it to us currently. So, this is the one licensing revenue. Then we have a supply arrangement. Then we have some parts, some products where we have profit share arrangement also along with that. So, this is what currently we have given a thought process on our monetization of our existing assets and we continuously earn on the whatever the products currently we have it.
Tushar Bohra: So, just to further understand this, maybe how many products from your existing set have you qualifi

ed where you think that there are licensing
opportunities, which can be pursued? And or What is the licensing revenue component? Do you think that on average over the next few quarters consistently we may be able to book some quarters will be more lumpy? But is there some guidance that we can have as to what percentage of the revenue would come from licensing income across say FY '24 or FY '25? Generally, how this would work?

Vishnukant Bhutada: Answering your question of percentage of revenue is really not possible to answer this. Currently, what we are trying to whatever the two quarters you are seeing it, another two quarters, three quarters definitely we have a visibility of at least two quarters where the licensing revenue will be there. One more question which you have it that the how certain we are there? So, I mentioned that the two quarters definitely will have this the next two quarters for sure. And as and when we progress, Phase 1 to Phase 3, Phase 3 to filing, this continuous these things will be there.

I mentioned already the like one more NDA is also at the review stage at the active review stage at the FDA, like Pemetrexed, like the one more product we have it, which is already disclosed also, Bortezomib RTU, which is the RTD,

that also product is now at the final review at the FDA. After this inspection, probably the whatever we were eagerly awaiting these FDA inspections at our Jadcherla facility.

Now, it has been inspected. Now, we need to comply whatever the observations they are given it and submit them the satisfactory reply. This is the most crucial event. Now, without that we were having this the revenue at our portfolio. Once we get cleared, hopefully, if we do that and submit the report and FDA accepts, then the licensing revenue can be continuously will be there and more also it will be there.

Tushar Bohra: Got it, sir. Next question, just to understand where we are on the Albumin, I understand Phase 1 trials are in progress, you mentioned on the facility also, but we were also looking at developing Albumin for other grades, right? Excipient grade and so where are we on that opportunity, sir?

Vishnukant Bhutada: Yes, you are correct. The Albumin in the therapeutic grade is one grade, which is widely used because this is a therapeutic grade and all over the world there will be always shortage and there is a huge requirement of this. With the tag that this is at the price is the little lower in the market. But now we are working the Phase 1 study which is going on for therapeutic grade.

For the excipient grade, which is a much higher cost and very few people are there in the world to give the excipient grade because it's a 99.99% purity and it can be used as a drug carrier and the vaccine also it can be used. There are several uses for the Albumin derivative. So, several things can be used for the excipient grade. That already we have completed all the validation batches and soon we will file this from our existing biological facility, we are making excipient grade Albumin. And hopefully, I think by March, we should be able to file this the DMF also for that.

Tushar Bohra: So, sir we would need the DMF approvals to be able to supply for excipient grade or whose filing you would be able to approach clients with, how would that work?

Vishnukant Bhutada: It depends on the authority. We will file if they consider us only, then there is no need of coming once again for the inspection and approving it. But some

cases they may do this as approval also. So, it's not nothing, the procedure is not clear in various authorities how they will take it because it's Albumin and it's a drug carrier, very actively involved into the formulation. So, they may think of coming for the inspection also. That is the reason I said, once our facility is ready, this biological bigger facility, we can definitely start immediately the excipien

t grade at least for sure. Because then it will be a technology transfer from our existing unit to the Biocare unit.

Tushar Bohra: Got it sir. And one last if I may quickly check on the biologics side other than Adalimumab which you mentioned we have launched. What are the other opportunities on the biologic side we are pursuing specifically on CDMO and staying on CDMO on the small molecule, which is API CDMO also, is there any interesting developments that you may want to highlight sir?

Vishnukant Bhutada: Aflibercept Phase 3 studies already we have received the approval from the

SEC meeting. Our CT batch is currently going on. So, probably we'll start this by the before March definitely we'll start the Phase 3 study for the Aflibercept. So, which the development is completed, Phase 1 also completed we have received the Phase 3 study approval. So, we will start working on Aflibercept which is again a very good molecule. Nobody is there in the India market other than the innovator.
The second – The current scenario in our biologic is that we will take additionally two products; the development are at a little advanced stage. I'll not be able to disclose the name currently, but the two products biologicals are there. Recently in our investor presentation, we already given that we sign one CDMO project with the Korean customer who has visited our facilities and after seeing our facility he has awarded first product on in a Korea market. So, that CDMO work already we have started. Every quarter probably two CDMO projects we are thinking that at least two CDMO projects should be added in our biological facility. So, working on a one on an Adalimumab like molecules where we have immediate commercial revenue. Second one on Phase 3 the study will take at least one year for the Aflibercept. So, Aflibercept is a molecule which can go the next two products will come into the pipeline which will give next six months to one year down the line Phase 1 and Phase

3 study will be completing during that time also and the CDMO projects. So, combination of this all will see that the revenue the sustainable revenue should start in the biologics.
Tushar Bohra: Thank you sir. Will join back in queue for more.
Moderator: Thank you. The next question is from the line of Jigar Valia from OHM Group. Please go ahead.
Jigar Valia: Hi, good morning. Thanks for this opportunity. My question pertains to the topical lotion TOP09. So, if you can help understand the nature of the trial and more details around it and where are we doing and how intensive this thing will be? And once we start or initiate say in Q3, typically how long would it go?
Vishnukant Bhutada: About the TOP09 you are asking, right?
Jigar Valia: Yes, the thing which area I mean which part how much we be addressable part for us based on our trials and etc?
Vishnukant Bhutada: We are not able to hear you properly. Could you please tell once again?
Jigar Valia: Yes, I will repeat. Sorry. I have a bad throat. My apologies for that. My question pertains to the topical lotion, alopecia product that we have, and I wanted to understand more with regards to the trials. So, if you can help understand how big are these trials and are we doing it and once we start in Q3 and typically how long will it take? And of the overall global market which is there what is our addressable based on our trials that we are doing right now and the market that we are planning for?
Vishnukant Bhutada: Okay. I think we have given you this, Phase 1 and Phase 2 trials is completed for this particular product. Phase 3 trials, the CT batches are going on. We will start the Phase 3 also of this particular product now and we have a granted patent in India, USA, China, Japan, Korea. I mentioned up to June '2038 we have this granted patent on this, and of course Europe it is still, the US is ongoing.
The global alopecia market was around

$8.2 billion in ‘2022 and growing 9%

CAGR till 2030. So, these the end we are trying to launch currently because India itself and the ROW market itself is a huge market. We have already drafted our scientific advice for the EU market and soon we will be receiving from them. US we have received already Phase 3 comment from the US FDA. So, then once we have this EU and US combined reply, we will probably study to make it and launch into the global market. So, this is what the current scenario of this particular product.
Jigar Valia: So, right now the Phase 3 will be more targeted towards India and ROW markets and after you get the advice from EU, you will incorporate the Phase 3 for EU and US both together. Is this understanding correct?
Vishnukant Bhutada: You are correct.
Jigar Valia: Okay and got it. So, this under EU feedback we will get in Q4 and thereafter we need to plan for Phase 3. So, these would be separate Phase 3 then which

one you are doing for India, ROW which you will initiate in Q3 and there will
be the separate this thing for US/Europe that you will consider post whatever
Q4 or in FY ‘25. So, that is right and if you can help understand in terms of
generally the cost as far as and would there be any monetization before for
the US or the Europe?
Vishnukant Bhutada: No, all options will be open. So, today we are not partnered with anyone. So,
once we have the Phase 3 study some data is already there with us from the
India market that will help us in the monetization of these assets when we go
for the EU and US market.
So, answering your specific question, yes, still not monetized but possibility
because a lot of people will be interested in such product probably you must
have seen several deals into the market where this alopecia market is
growing, and a lot of people are interested in such type of products.
Jigar Valia: Right and just generally to understand how big is the India ROW market, I
mean in terms of billion dollars or whatever?
Vishnukant Bhutada: Currently, it is not known, but I think more than around $1.5 billion market is
there for the India and ROW at least.

Jigar Valia: Great, sir. Got it. For the non-oncology also NUDO7. So, any sense in terms of
the incremental cost which are there and would any of these two products be
in your monetization pipeline for the next two or three years in the next
couple of years?
Vishnukant Bhutada: You are talking on NUD07?
Jigar Valia: The licensing should continue subject to the 483s and all, based on the other
pipelines or would these also be potential because for the licensing, we don't
understand product specific but whenever these certain large products are
involved or the non-products, so it would just be good to understand if which
all have been licensed out or monetized?
Alpesh Dalal: So, these products like monetization or licensing strategy would be
dependent on would be taken up as we do further development because all
these products basically, the longer you go in your development, the better is
the licensing in potential. So, we have to strike a balance between the cost
and the benefit. So, I think some of these things are regularly monitored at
the management team level to determine what should be licensed out at
what point in time.
So, I think it would be a little premature to talk about product specific
licensing strategy that we would adopt. I think as and when we decide, we
progress further, we'll keep updating all of you.
Jigar Valia: Got it. Sir, the other question is with regards to Adalimumab, how is your
sense in terms of its contribution towards the current quarter’s performance?
It's been quite good, but has it been as per your expectations or above that
or and has it been a meaningful contributor in or a reasonable contributor in
Q2 towards margins or top line and with a marketing partner should this go
meaningfully larger?
Vishnukant Bhuta

da: Early days for us. We are recently launched because as Rheumatoid Arthritis,
people will not change so easily. So, once you start with one therapy you have
to continue with that therapy. The new patients need to be added or existing
patients slowly it will be shifted. So, it is too early to comment on this but by
moving by, before March or around April to June quarter, we'll have realistic

figure to comment on this.
Jigar Valia: Understood. That's it. So, I think compliments that for the overall numbers
also, for the overall business. And sir, last question pertains to our debt and
the finance cost and also we have a pipeline with regards to the products and
trials and everything. So, based on this, how should we look at these aspects
because whatever we are doing is also quite great but there is a kind of a
reflection of it into maybe the debt and the finance cost and overall. So, I
mean, if you can help understand how we should look at that part.
Alpesh Dalal: Your voice was not clear. I think You wanted to understand about the
increased finance cost and how should we look at it going forward, right?
Jigar Valia: Yes, sir?
Alpesh Dalal: Is that you wanted to know
Jigar Valia: Yes sir.

Alpesh Dalal: Yes. So, see basically, this particular finance cost, if you recall even during our last call we had mentioned that we have raised an NCD, right. And we have reorganized our debt in a manner that, we do not have any repayment burden coming up for a little over two years. So, but we do have an option and an opportunity to start pre-paying after one year. So, based on the cash flow that we generate, what we really wanted to do was, we wanted to provide the right kind of cash flow support for the business to grow.
So, with the help of improved cash flows and all we should be in a position to start paying those NCDs faster and also, we are looking at various other strategic options that we have been contemplating which could result into certain cash coming in, some equity flows coming in and all which could then be utilized to lower the cost. But till the time, we take any such step, the finance cost is likely to remain bit on a higher side.
Jigar Valia: Perfect. Understood perfectly sir. Thank you very much
Moderator: Thank you very much. Participants who wishes to ask question may please press star and one on their touchtone phone. The next question is from the

line of Bhagwan Chodhary from Sunidhi Securities. Please go ahead.
Bhagwan Chodhary: Yes, thanks for the opportunity and congratulations on the good set of numbers. So, one thing on this licensing income, if you can just help me to understand that, what I understand out of this is, there are two ways to look at this. One is that in future this product could have given us a better cash flow if we could have not monetized it. So, one way is looking at this and the other way is that there are the opportunities in the other market where we cannot go directly. So, we are getting some clients from that markets and then we are out licensing to those markets. So, in that scenario, this is a win-win situation for both. Okay. So, I am just trying to understand this out-licensing. It is better, sir? Actually, I am trying just to understand on this out-licensing deal. So, there are two ways to understand this. One is that if we could not have monetized on these molecules. So, one way could have been that in future this could have given a better cash flow to us. So, this is the one way to looking at this and the other way is that there are the other markets where we cannot lease directly. So, some of clients are trying to get these products for those markets and then we are out licensing.
So, I just want to understand that where we are actually. In that scenario, it's a win-win situation for us as well as for the client. So, just you can highlight and just you can share that where we are, what

kind of products these are,
where we are out licensing, and we are looking at this opportunity.
Vishnukant Bhutada: Answering your questions, the out licensing the deal as Alpesh was mentioning, we are doing at various levels. Some we are doing it once we complete the development and we file the NDA specific. One example I will give the Pemetrexed. We file the NDA, then we licensed it. So, that it was very clear to everyone that it is filed, first query was received and then it is easy licensing because nothing is pending in that.
Second, you complete the pilot bio or any complex development of phase one studies completed and then you go to the licensing partner where we convince them that this is what we have this data, this is what next phase is like this and the signing amount is that and at each milestone, there will be a licensing revenue.

Third one is you complete the pivotal and you are ready for filing like in the oral product one of the classic example recently we filed in the Europe, Nilotinib one product. So, what we have done it, there we completed the pivotal bio and everything and we were probably will get the early launch also in that market. After that we have licensed it with the partner.
So, it's a combination of all Alpesh mentioned already that we do depends on the nature of the product, risk of the product, expenses of the products, how we wanted to hedge it. So, all this take the permutation combination, we discuss as a team internally and we license it, but the majority cases are the 95% cases we make the proof of concept. We come to one certainty where licensing will be very easily can be accepted by the licensing partner. It should be a complex not generic product so that the licensing revenue can be a substantial licensing revenue and continuous licensing revenue not only up to

the filing, approval after launch, the life cycle of all these products wherever
the licensing we're going to do it, will be not less than three to seven years
minimum.
Bhagwan Chodhary: Got it. And second is one question on this peptide developments where we
are on semaglutide and therapeutide. What is stage, we are right now and if
I understand this is for the CDMO?
Vishnukant Bhutada: No, we are not doing any semaglutide. Who said you that semaglutide we
have?
Bhagwan Chodhary: Well, I just I just guessing that this comes under the CDMO part, or this is
where we are developing the APIs for this?
Vishnukant Bhutada: No, I don't think such a confidential information we can discuss on this, but I
think I can tell you that it is currently we are not doing any sema in our Shilpa
project.
Bhagwan Chodhary: Ok. Got it. Thank you
Moderator: Thank you, sir. Participants who wishes to ask question may please press star
and one now. We'll take the next question from the line of Vishal Kapoor, an
individual investor. Please go ahead.

Vishal Kapoor: Perfect. Thank you. And thank you so much for the opportunity. And the first
question is regarding the ODF, the green tea, means which we are
manufacturing. I just wanted to ask is it in the Indian market we are targeting
or selling it because if you look at the product on the online, we are not able
to find it online. So just wanted to ask some something about that?
Vishnukant Bhutada: You are asking film formulation. Am I correct?
Vishal Kapoor: Yes, right. That's right.
Vishnukant Bhutada: Yes, US film formulation. We have launched the five products into the US
along with the partner in the US online, nutraceutical and OTC product we
already got. It is picking up very well. So slowly we are getting the traction in
the online launch. And I think the business is growing that much I can tell you.
And we have received very good response from the US market.
Vishal Kapoor: Okay, that's great. And also to check about the green tea films. Is that film,
we are selling in the Indian markets as well? If y

es, are we selling it through
the online channels like B2C or are selling to the normal traditional channels
like distributors and like that?
Vishnukant Bhutada: Green tea currently we have very few in India market, but in US market we
have launched.
Vishal Kapoor: Alright. Thanks for that and congratulations for the good set of numbers and
efforts have been highly appreciated. Thanks
Moderator: Thank you. Participants who wishes to ask question may please press star and
one now. Ladies and gentlemen, as that was the last question, I would now
like to hand the conference over to the management for closing comments
over to you, sir.
Alpesh Dalal: Thank you, everybody for your continued interest in Shilpa. And, we all of us
at Shilpa wish you all a very happy Diwali. And, you know, those of you who
have got the New Year's coming up, we wish you a very happy and prosperous
year to come. Thank you every body .
Vishnukant Bhutada: Thanks everyone.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Shilpa Medicare,
we conclude this conference. We thank you for joining us and you may now
disconnect your lines. Happy Diwali to one and all. Thank you very much .

Call: Feb 2024

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15 February 2024

To
Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051.

Dear Sir/Madam,
Sub: Transcript of the Q3 Conference call
Ref: Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED

In furtherance to our intimation dated 6 February, 2024 and 8 February 2024 with regard to the Q3 FY24 Conference call held on Monday , 12 February 2024 at 11.30 AM IST, please find the enclosed transcript of the call

Thanking you
Yours faithfully,
For Shilpa Medicare Limited,

Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited
Q3 FY’24 Earnings Conference Call”
February 12, 2024

MANAGEMENT : MR. OMPRAKASH INANI - CHAIRMAN – SHILPA
MEDICARE LIMITED
M R. KESHAV BHUTADA – PROMOTER – SHILPA
MEDICARE LIMITED
M R. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shilpa Medicare Earnings Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please Note that this conference is being recorded.
I now hand the conference over to Mr. Dilip Kankani from Shilpa Medicare Limited. Thank you, and over to you.
Dilip Kankani: Thank you, Yashasvi. Good morning, everyone, and welcome to the conference call, hosted by the management of Shilpa Medicare Limited to discuss the third quarter and 9 months performance for the period ended 31 December 2023, and the discussion on the strategic initiatives that are underway. The management is being represented by Mr. Omprakash Inani, Chairman of the company; Mr. Keshav Bhutada; and Mr. Alpesh Dalal. We shall have Mr. Keshav Bhutada, is a son of Vishnukant Bhutada, from the management team, will lead the discussion with his perspectives on the business performance and the strategic overview.
He will be followed by Mr. Alpesh Dalal, who will give us perspective on the financial performance. After the management's comments, there will be an opportunity for getting your queries answered. I would like to state that some of the statements made on today's call could be forward-looking in nature. And a detailed disclaimer in this regard has been captured in the conference call invitation available on the stock exchange website.
I would now like to invite Mr. Keshav Bhutada to take this discussion forward. Thank you, and over to you, sir.
Keshav Bhutada: Yes, very good morning, everyone. I'm Keshav Bhutada, I'm from the senior management team. And in this call, I will be briefing you about the operational performance of the third quarter where I'll be taking you -- I'll be running across various business segments, where overall in Shilpa Medicare business, we have mainly four verticals, which is API, formulation, Biologics and BioCare, okay. These are the four main segments on which I will be running a small brief.
So first, let me start on the API business. In API, totally, we have five verticals in which oncology, non-oncology, CDMO, peptides and polymers so where oncology being our legacy business where Shilpa Medicare is very well known for and which is our core business where our focus is -- remain continuous, where we are focusing on more of a complex APIs and some important products -- complex products where we can get the early launch possibility or good market share.
So when I talk about oncology in this quarter, we have successfully started the validation of first product, which is Methotrexate, which is a fully import substitute product, which we are planning to finish it before April of 2024. Apart from that, in the oncology space, I'm happy to say that we are supplying to some of the innovator companies also, the generic APIs for their specific applications where to one of the US innovators whom we were supplying, they could get a breakthrough designation also. And this business will remain steady, and it will grow quarter-on-quarter.

So same way now, let me brief about non-oncology business where you would have seen over every quarter-and-quarter where there is a substantial growth, where, again, the company is mainly focusing on the import substitute products or complex products, where two of the main projects, which we have added, which is Ursodeoxycholic acid and Tranexamic acid.
In both the products, whatever capacity we have scaled up, we were able to sell, and there is -- we have seen that there is a subsequent demand in the market. I'm happy to share that Ursodeoxycholic a

cid, the CEP is also filed by the company, and we are expecting the approval of the DMF and CEP in this year.
Apart from that, in the Tranexamic acid, where currently our capacity is 15 metric tons per month. We are enhancing it to 25 metrics tons per month and the project is already initiated, expecting to complete that project by December 2024, with which we are very sure that we will be able to further enhance our non-oncology revenue, which will further help us in growing our API business.
Apart from that, Shilpa has -- the company is completely investing on CDMO business, polymer

business and peptide business, where it has been continuously investing in last 2 years, where we have seen already a return on investment in the CDMO business, where every quarter-on-quarter, there is a substantial growth, which is further adding to the growth of API business. Today, in the CDMO business, we have more than 10 clients, who are -- where Shilpa is developing either intermediate or an API for them, which is going into a Phase I supply, Phase II supply or Phase III supply. I'm happy to share that we have more than 6 Phase I programs actively going on and 1 program which has entered into the Phase III trial.

And we have also developed 1 API for 1 of the US customers, where the API successfully done. We have also developed a formulation for them, which is a new chemical entity, which will be filed by our partner sometime in June '24, with which we are very sure that further, this will also add us to a substantial growth.

Apart from that polymer business, which is a focused business where we have focus on more of a specialty polymer, where we have continuously added client every quarter-on-quarter, and the business is growing every quarter double-digit. And we are very sure that this business, we have currently more than five clients, in which two are the -- two big clients to whom we have supplied them the pilot quantities and -- where the commercial supplies will be starting in the next financial year.

Apart from that peptide segment where we have always been very focused, where from last 2 years, we have been investing. I'm happy to share that our first CEP of peptide Desmopressin is filed in Europe. And the second CEP of the product, octreotide will be filed in March. And now on every quarter-on-quarter, we will be trying to file at least one product CEP in the regulated markets.

So in peptide business also, we are seeing a decent traction from the market where we have got one peptide CDMO project from one of the European companies, where the revenues have

started kicking in. So with this, we are very optimistic about our API business, and we are sure that we'll be growing this business quarter-on-quarter.

Now talking about formulation business, which has been our focus area, where I'm happy to share that formulation business also, we have had very significant milestones in the third quarter, where our first product, which is Pemetrexed ready to use, which had received US FDA-NDA approval in June of this year. And after that, we have applied our product for J-Code also.

And we have got a J-Code for this product where J-Code is a specialized market where today the market is around $130 million. And with the granting of J-Code, we have already partnered with Amneal, which is the number one still in the top five US generic companies. And they will be launching our product in April, and Shilpa will supply them the quantities in March.

Apart from that, our second NDA product, which is Bortezomib where we have, again, then the site transfer, the facility transfer is finished. And our product -- additional site also, we are filing in the February. And this, again, being a new chemical -- NDA 505(b)(2) product where we will have a very good advantage because it will be the first ready to use subcutaneous product in the ma

rket.

Apart from that, we are happy to share that we had filed a prucalopride US generic product, which is an ANDA where we have got a CGT designation, which is competitive generic therapy. And if we get a first approval in this product, we will have a [inaudible]. So we are trying our best, and we are continuously working with the agency to get secure the approval of this product in the next year.

Apart from that, the two unique differentiated products, which Shilpa Medicare has developed, which we have mentioned in the presentation also, which is SMLNUD07 which is a product which we are developing for NAFLD, non-alcoholic fatty liver disease, which is first of its kind, very unique product. I'm happy to share that we have got a permission to start the Phase III studies, and our patient recruitment has also started already. And we are planning to finish this study sometime in June.

And subsequently, in the Q3 FY '25, we will be filing this product in India. Apart from that, the second product, which is SML TOP09, which is a topical product for Androgenetic alopecia, which is, again, first of its kind product what we have developed, where company has successfully finished the Phase I studies. And now we have got a permission to start the Phase III studies also.

And going forward, we will be starting the Phase III study sometime in April or May of FY '25.

Apart from that, Dr. Clot, which is a Tranexamic acid spray, what we have received the CDSCO approval already. And in this product, we have further -- tried to work with various government agencies where we have tried to get essential drug list -- the product getting listed in essential drug list. And I'm happy to share that today, this product is approved in Project Bhishma, which

is run by PMO.
And further, we are working with PMO how we can work with this product in the Army segment also. Apart from that, in the transdermal patch and the ODF facility, where we have a U.K.

MHRA approved facility, where in the last quarter, we had seen that we have already partnered for 1 of our transdermal patch products with the European company.
The product is on track for filing sometime in September of FY '25. And we have successfully finished the registration batches and the clinical study has already started. And upon filing of the product also, there are milestones for licensing fees. And then upon launch, there are again milestones and then the commercial support. So on the first transdermal patch, we are on track for getting the filing and subsequently approval.
Apart from that, we have also added 2 new transdermal patch products for which the development has already started, and we are on track to give -- take it to the market. Apart from that, in the ODF space, in the orally disintegrating strip platform, we have filed Tadalafil ODF in Europe, which is, again, first of its kind in Europe.
And again, for this product, there is an interest from partners, and we are discussing on partnering. And this product also, we are expecting to get approval in next year. And again, to give you an update on the regulatory inspection, on our Jadcherla facility, which is our formulation facility, we had an audit from European authority, which we cleared with 2 minor observations. And further, we are working with agency on clearing the inspection also.
Apart from that, we also had a US FDA inspection in November 2023 where the company had received 10 observations. And subsequently to 10 observations, we have given response to the agency. And currently, the facility is still under OAI, and we are working with the US FDA for further action where they will be giving us how we should work further with the US FDA. But I would like to emphasize that there was no repeat observations, no data integrity during the recent inspection also.
And company is very clearly working on a strategy

where whatever products, which will give
us a substantial growth in next 2 years. There, already, we have done a facility transfer. And from there, we are planning to launch. So there will be no impact of this on the revenue on both EBITDA as well as on the turnover -- top line.
Now coming to biologics, which is biologics which is -- which has been a pain point for us from last 3, 4 quarters. I'm happy to share that this quarter, we are having a positive EBITDA in biologics which is purely because of our focus in the biologic space where we see there is a lot of opportunity. And going forward, we are very positively focusing on the biologic space to give a more positive growth.
In biologics, our first product, Adalimumab, which we had received the India approval. Subsequently, we have launched on our own and also we have partnered with Sun Pharma where we have done up to currently 2 commercial supplies. And every quarter, they have a binding forecast against which they are giving us orders, and we are giving them the supplies.
Our second product, which is Eylea, aflibercept, where I'm happy to share that we have got a permission to start the Phase III study. Our clinical trial batch has -- the scale-up has started and we are planning to start the aflibercept India clinical study sometime in April of this year. And subsequently, it's a 1-year study, and we have already seen a lot of traction from various partners

in partnering which Shilpa on this product and company is very seriously working on partnering for aflibercept also.
We have also filed a European scientific advise for this product in this quarter. And we are expecting a response from the European authorities sometime in March or April of this year. Once the European advice comes, they will give us the clearance or they will give us suggestions that how we should move forward for Europe for this product. Based on it, we plan to start the clinical studies for Europe also in next year or we will go for partnering.
So this is something where we are clearly -- and apart from that, we already are running one of the CDMO projects in biologics with one of the Korean companies. I'm happy to share that the project is going on track with respect to deliverables. And once the first phase of the product is -- project is finished, there is a second phase of the project, which will be starting in next year. And subsequently, the bigger supplies will start. So the project is going fine, and we are seeing a very good traction from various customers in biologic space where they want to get some

CDMO services done in our biologic space. And we are working seriously to [inaudible]
EBITDA every quarter-on-quarter.
And the last segment, which is Shilpa BioCare where recombinant human albumin, which is the first of its kind product which we have developed. I'm happy to share that our Phase I studies are going on track. And we are planning to finish it by March of this year, where all the patient dosing is already completed and the bioanalytical phase is going on.
And once this is done, we will be filing back to the agency sometime in April, and we expect to start the Phase III study sometime in June. And apart from that, the BioCare project where we are building a large-scale fermentation facility, the project is going on track and planning to commission this facility sometime in July or August of this financial year.
And subsequently, the various products for albumin, we will be doing the validation and we will be adding this facility also with our albumin from where we will be planning to have a commercial launch. So overall, I'm -- to consolidate, I would tell you that company is very focused and we are seriously focusing on monetizing of each of the assets. And every segment, we are trying to see that we build it and convert it into a positive growth segment or a positi

ve
EBITDA so that it will not hit our balance sheet and it will grow.
And I now leave it to Mr. Alpesh Dalal to give highlights on the financials.
Alpesh Dalal: Thanks, Keshav, and good morning, everybody. I'll now quickly provide financial highlights for the third quarter and 9 months ended December '23. From a revenue perspective, we reported a steady quarter with consolidated revenues of INR289 crores, registering a year-on-year growth of 9%, whilst our EBITDA of INR68 crores is higher compared to INR62 crores sequentially and INR34 crores during the same quarter in the previous year.
This EBITDA of INR68 crores, I would like to clarify, is after making certain one-off provisions of receivables to the extent of INR4 crores. And I'm also happy to state that this is the fifth consecutive quarter where we have seen improvement in our sequential EBITDA. So quarter-

on-quarter, we have been improving our EBITDAs in the past 5 quarters. And this is on account of our continuous endeavour to optimize our costs and enhance operational efficiency, whilst rationalizing our R&D investment. And R&D investments are getting rationalize, but that is without impacting our development timelines.
Now I would also like to clarify that this enhanced EBITDA performance has translated into a positive result at PAT level with a quarterly PAT of INR4.7 crores as compared to INR1.6 crores during the previous quarter and against a loss of INR6.6 crores during last year same quarter.
On the financial highlights for the 9 months of the current year, our revenue for the period stood at INR866 crores, reflecting an increase of 8% and EBITDA stood at 80%, registering a growth of 127% over the same period last year.
And now moving on to other financial parameters. Our net debt as at 31st of December was INR874 crores. And our capex in the first half was INR146 crores, majority of which has been invested in our upcoming albumin facility, which is roughly about INR117 crores out of INR146 crores as we invested there. I'm also happy to report that during the first 9 months of the current year, we have generated positive operating cash flows with a tune of INR134 crores, which helps us provide the right growth impetus to our business going forward.
And with that small update, I would like to open this forum for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press * and 1 on the touch tone telephone. If you want to remove yourself from the question que you may press * and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question que assembles. We have a first question from the line of Ranvir Singh from Nuvama Wealth & Investment. Please go ahead.
Ranvir Singh: Thanks for attending my question. So I had a couple of questions, 1 related to this albumin, how much investments so far we have made there including you mentioned in this quarter. So what was the total investment there?
Alpesh Dalal: So in albumin facility, we have invested a little over INR300 crores as of now.
Ranvir Singh: Okay. And how much more investments are expected there, including the trial expenses?
Alpesh Dalal: Yes. So basically, in completing the facility, we would require another INR30 to INR35 crores of investment, maybe max approved of INR40 crores. But in next INR30 crores, INR35 crores, we should be able to complete our facility. As far as the trials are concerned, Keshav, would you like to put throw light upon it?
Keshav Bhutada: Yes. On the clinical trial up to for Phase I studies, we have already spent up to INR4 crores to INR5 crores. And in Phase III study, we will be spending around INR10 crores.
Ranvir Singh: Okay. And that Phase II study should be by end of FY '25?

Keshav Bhutada: Yes. The Phase III study, we will be starting sometime in FY '25, and we will be finishing also in FY '25.
Ranvir Singh: Okay, fine. Secondly, on polymer side, that I wanted to understand the overall market size we are aiming at and what kind of potential we can see from this business. If you could give some highlight about the kind of client we have? What potential we can see in terms of revenue?
Keshav Bhutada: Yes, the polymer space, mainly the we are focusing on a specialty polymer, okay, where to be more specific, we are actually working on some of the pegylated products, which is a very differentiated polymer, which is used mainly either in some specific applications like drug delivery or in ADCs, which is a very growing segment, right?
So what we are doing there is we are working only on a specialty polymer, okay, where the market is growing every year on a double-digit growth. And also there, we are working with various US and Europe clients currently, where we have been working with them either on an ophthalmic where they are using this PEG and using it as a drug carrier or we are working with some other companies for a very differentiated application.
Ranvir Singh: Okay. So how big it could be? This may be a very significant portion of our overall revenue in next 2, 3 years so that I wanted to be there.
Keshav Bhutada: Yes. See, currently, in this year, we will be doing almost INR15 crores in polymer business, which next year going forward, it will in next 2 years, it will surely touch above INR100 crores.
Ranvir Singh: Okay. That's nice. And in biologics side, the CDMO project working with the Korean client so what's the timeline there? When can we expect the revenue coming to our P&L from this project?
Keshav Bhutada: Yes. See, there is already some revenue which has already come in. You would have seen in Q3 also. And now going forward, the first phase of the project, we are planning to finish it by April, okay? After that, the second phase of the project will also start. The first phase of the project, the total value of the project is INR6 crores, okay? And then the second phase will be much more than INR6 crores.
Ranvir Singh: Okay. Okay. Nice. So I think the INR13 crore CDMO revenue includes that INR13 crores what we have generated in this quarter so that includes part of revenue coming from this?
Keshav Bhutada: No. See, the INR13 crores, what you are seeing is in Shilpa Pharma Life Science, okay, which is the API business. You will see a Shilpa Biologics business where it will be coming this, whatever I'm talking on the biologics.
Ranvir Singh: Okay. Fine that’s it. I have a couple of questions but I think more participants would be there so I will be back in que.
Moderator: Thank you. We have a next question from the line of Shaikh Mohamed Ayan, an Individual Investor. Please go ahead
Shaikh Mohamed Ayan: Thank you for the opportunity. Sir, my question is regarding one spray that previously we have launched in maybe in 2021 or '22, which is for keeping the low pH intimate areas. Just want to

know what is the status of these products and whether we are launching it or -- just want to know about it?
Keshav Bhutada: No. Currently, we are not launching that product because internally on various assets, we have done a very clear plan where we felt that this is not a segment where we want to move forward, where -- because it requires very much of investment to build the field force and partners. So currently, we are not moving ahead with that product.
Shaikh Mohamed Ayan: But I think it is a very unique product because the product available in the market has already monopoly on it, and that is also a liquid form. We have, I think, launched spray -- in the spray form. Dont you think it's worth to move forward for that?
Keshav Bhutada: No,

you are right, but it requires lots of effort from our side, either if we go ahead for partnering or if we have to launch on our own, then we have to build a significant field force, which is not our core segment. So currently, we are not focusing on it.
Shaikh Mohamed Ayan: Sir, you have -- another question is regarding the age spray, you have shown in the investor presentation. What is the market we are trying to attain for that product particular? Sir, we are launching in India? Or -- I don't know about where it is -- you have launched, but I just want to know where we are serving that product?
Keshav Bhutada: Yes, you are talking about Dr. Clot. Is it correct?

Shaikh Mohamed Ayan: Yes, yes. Dr. Clot, yes, yes. You are right, sorry.
Keshav Bhutada: See, that is a product, currently, our major focus is on India where we are trying to work with various government authorities because we are targeting 2 main segments in this. One is wherever there is a bleeding, whether it is a humeral bleeding or a very detailed bleeding, there we are targeting.

And apart from that, we are also targeting dental area, okay, where we see that there is a huge scope if we work with Army as well as the public dental hospitals. So that is the main focus where we are currently working. And this will grow the product has a lot of regulatory procedures, so it is taking time. Once we launch this product, then it will really be a big product. And we are very much focused to take up this project further.

Shaikh Mohamed Ayan: Okay, sir. Sir, just 1 last question. Sir, you told about update regarding that Form 83 and we have arranged for cause inspection. Just give an update for that matter fully. I was a little busy over for that. Just give an update again, sorry for that.

Keshav Bhutada: Yes. I'll again repeat. So we had a US FDA inspection in November of this last year. And subsequently, after the inspection, we had received 10 483s, and to the 10 483s, we have given the response to US FDA. And currently, the status is the facility is still in OAI, and we are working with agency how we should move forward and what is the way forward. So we are waiting for the updates from the US FDA.

Shaikh Mohamed Ayan: Sir, how much time it will require to give an -- to receive update for that facility? And sir, when we are targeting to get that plant to US FDA approved in 1 year, 2 years, some quarters like that?

Alpesh Dalal: Shaikh Mohammed, see, the thing is this is something where it is with regulatory authorities and what action they take, at what point in time they take is beyond our control. So we can hope that they respond quickly to us. But at this stage, we will not be able to comment about the timing of it and what point in time can be expected. It is purely prerogative of the agency as to when they respond and how much time will they respond.

Shaikh Mohamed Ayan: ok. Thanks a lot

Moderator: Thank you. Ladies and gentlemen, to ask a question may press * and 1 on your phone now. We'll take the next question from the line of Kartik from Samatva Investments. Please go ahead

Kartik: Thank you for the opportunity. So for the consolidated results for the first 9 months of this year and compare it with the previous year correspondingly, I would like to understand the split between the volume growth and the price growth between the 2 major segments of our revenues, which comes from APIs and formulations, considering that biologics boost do not yet significantly contribute to our revenue.

Alpesh Dalal: Yes. So Kartik, we -- you can reach out to our team separately to get some of these updates. It will -- we can provide you this answer 1 on 1 about volume growth and value growth.

Kartik: Sure, sir. Sure, sir. The so then relatively now this is a broad-based question. We have been observing that Shilpa's revenue split between oncology and non-oncology

is currently roughly at 50-50 or so, very near to that piece. And there has been significant decline in oncology revenues and has been ably substituted by non-oncology revenues. Now should we understand that there is a material change being witnessed in the core value proposition of the company? And what currently Shilpa stands for and what is the key differentiator?

Keshav Bhutada: Yes, I will take up this answer. So see the dip in the oncology revenue is only because of the Intas where you would be aware that Intas, who is our big supplier for the oncology API, they have got 483s and they are working with US FDA on remediation, okay? So you will see that for next quarter -- up to next quarter, there will be a dip in the Intas business on the oncology space, which we are coping up with our non-oncology as well as CDMO, polymer and peptide. Together, they are trying to replace this revenue.

And even in the oncology space, we already are supplying apart from Intas to many of the other players as well as to some of the innovators where we are supplying for their Phase III or for Phase II supply. So that business is picking up. So what we are trying to say is we are not defocusing from oncology. Oncology still remains our focus area. There is a dip in the oncology revenue only because of Intas remediation issue.

Kartik: Just last question before I pass it on to the other participants here. The company previously informed that the market size for albumin is very big and probably to the tune of USD7 billion to USD9 billion. Now considering that we will be soon completing the Phase I trials for the

albumin project and we'll move on to the Phase III, which, of course, delayed and you have explained the reason for the delay and all that.
Now and we are also excited to probably launch the excipient version soon because it is a non-therapeutic use. Could you please explain is this the plan that we will launch the nontherapeutic use for albumin very soon, probably this current financial year or the next financial year, and the therapeutic will come probably after FY '26?
Keshav Bhutada: Yes. See, as you rightly said, in albumin, there are 2 markets. One is the therapeutic market where there is a requirement of clinical studies. And the second is excipient and cell culture grade, where there is a requirement of filing a drug master file, okay? So our drug master file for the excipient grade is ready, and we are planning to file the DMF for this product in March, okay?
Once we file it, then people will review our product where initially, they will take up small supplies, okay, where they will use this our product in this formulation and see how it is behaving, then they will add our product in their drug product. So this will take at least 1 year time. So the revenues, whatever we will be talking, either it will be excipient grade or cell culture grade or a therapeutic grade, it will start coming from FY '26. Is it clear?
Kartik: Yes, sir. Thank you so much
Moderator: Thank you. We have a next question from the line of Aditya Sen from Robo Capital. Please go ahead
Aditya Sen: Hi. Thank you for the opportunity. So we have started tracking this company a month back, and we have seen that there is a significant increase in the capex, some of which you already explained. But in past 3 years, we have increased our fixed assets by roughly INR400 crores. So I just wanted to understand if we have started utilizing this asset completely? Or if not, where is the capacity utilization for the capex?
Keshav Bhutada: Yes. Alpesh ji, I will take up this question.
Alpesh Dalal: Sure Sure
Keshav Bhutada: So coming to capex, I will be very clear that our majority of capex, which is going on, is only for the albumin project, okay? Apart from that, what we are very clear that for next 2 years, we don't require any significant capex in othe

r segments. Only we will be doing some expansion where we see an immediate return on investment in 1 or 1.5 year. Only there, we are doing our major capex, okay?
What we are trying to do is wherever we have already done capex, we are focusing on monetizing those assets, which you would have seen in the biologics, which in this quarter. Same way we are planning to do in our transdermal patch facility where we have already done capex, okay?
So overall, in the next 2 years, if you asked me, the major capex only will be in the Shilpa Bio Care and some capex we will be doing in the API business like Tranexamic acid capacity and

expansion, which I already briefed in the call, which will give us a growth. So we are not planning any other high-value capex. Is it clear?
Aditya Sen: Yes, that's clear. But in terms of capacity utilization, if that's a number, that's possible for you to share?
Keshav Bhutada: See, in terms of capacity utilization, to tell you accurately, it is very difficult because every facility has multiple production blocks and to give the answer in very crisp, it will be difficult.
So I will not be able to tell that. But what I can tell you is in the biologics space, still, there is a lot of capacity, which we feel that which can be utilized, which will further convert into revenues, okay? So you will see that there is a capacity which is available in biologics and in our transdermal patch facility, which we are working with various clients and getting it occupied over every quarter.
Aditya Sen: All right. And any asset turn that you are expecting on the biologic’s facility or the INR360 crores Capex that we did last year in terms of asset turnover, if you can guide us?
Keshav Bhutada: Sorry, your question was not clear. Can you repeat?
Aditya Sen: In the albumin, we did we have done roughly INR300 crores of investment till now. And we will be doing 40 Cr more. So here, the if you can guide us the asset turnover or the maximum potential revenue that we can assume?
Alpesh Dalal: So see yes, I'll take this, Keshav. See we are setting up this new facility. And this particular facility, as was discussed by the earlier, has potential first to do excipient grade material, then do a complete full-fledged product over a period of time. So these are early days. It will not be appropriate to comment about how much will be the asset turn.
But yes, this particular product is a product which is in significant short supply globally. And hence, the demand for this product is expected to be very high. So at the right point in time, we will update you once we have progressed further on this product as to what is the maximum

potential that can be realized out of it.
Aditya Sen: All right sir. Thank you
Moderator: Thank you . participants who wish to ask a question may please press * and 1 on their phone .
The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead
Tushar Bohra: Thanks for the opportunity and congratulations to management for improvement in the numbers rationally. Sir, first, we see a consistent buildup on the licensing income side. It has been highlighted by management across successive calls on the individual products or opportunities that are being licensed out. But just to get a sense of overall strategy for licensing across all our segments.
If there's a ballpark number, let's say, how many molecules across if the API formulations and on the biologics side, how many opportunities or projects specifically, which have already been licensed out? How many are potentially under discussion? And one the one that has been

licensed out, are there any products that are maybe close to a further monetization of the royalty generation stage or maybe we'll get there].
And I just want to understand, first question, wha

t is the number of projects independent numbers of projects have been taken up for licensing, say, across different segments? And of these, which are the ones that are close to royalty generation stage or where we can expect a continuous revenue stream? And how should we look at licensing income going forward?
Keshav Bhutada: Yes, Tushar, I'll give you a clear answer on that. So first thing, what is licensing revenue, whatever we are getting is what we have done is each of the assets where we will require either a more investment going forward or we see a good potential because we are a pure B2B company. What we are doing is -- for all of that, as said, we are going ahead and partnering with the end partner, who will be marketing our product, okay? That is first point.
And coming to the number of products, see, every quarter, we are doing at least 2 products licensing revenue. And already, there is a rest of the world market where we have maybe more than 30, 40 generic products, which we are going ahead and licensing in each of the rest of the world market, okay? So if I tell you in brief that every quarter, there will be 2 new licensing opportunities and existing rest of the world business, which where the lot of genetic products, what we are developing or what we are filing, that revenue will come, okay?
And coming to royalties or coming to sales, there is nothing like royalties mainly in this -- all licensing projects what we are doing, there are 2 things. One is upfront, there is a licensing fee on various milestones. And then there will be a commercial supply and then there is a profit share, okay? These are the 3 main principles, on which we work where the first product is Pemetrexed where we will be starting to see the licensing the commercial revenue as well as the profit share revenue from next year.
And then there is a subsequent product where the next product will be Bortezomib, then we have various products like Rotigotine transdermal patch, and then there is a series of products where we are already discussed. Is it clear?
Tushar Bohra: Yes, yes. That's helpful. Second, the transdermal unit and let's say, polymers and peptides, what would be the kind of capital we would have employed so far, either through R&D or through capex? And for the transdermal, specifically, do we expect a breakeven in this financial year or say, FY '25?
Keshav Bhutada: Yes, Tushar, in the transdermal facility and ODF facility, we have invested more than INR200 crores. And there, already, we have done a licensing revenue with one of the European partners where we have done a PAN-Europe and ROW deal with them. And we would see a breakeven starting in from that plant from FY '26, okay? But already, whatever is the expenditure which we are having currently, against that, we are having a much better licensing revenue.
So if I tell you today, it is not hitting my bottom line, and it is a positive EBITDA generating unit, okay? And coming to polymer and peptide, together in polymer and peptide, we have invested more than INR75 crores, and where already the polymer, we have started seeing ROI where we have clients from where the revenue is coming. And next year, it will give me a much

better return, okay? And in peptides, still, we have not seen an ROI, and ROI will start coming in from next year.
Tushar Bohra: Got it. And on the biologic’s facility, the we are expecting to be profitable at a PAT level in next financial year. Is that a fair assumption?

Keshav Bhutada: Not I can only tell you I cannot give you an exact number, but we are focusing mainly on EBITDA because we have a debt already there. So I can tell you from an EBITDA standpoint, we are focusing on being positive.
Tushar Bohra: Got it sir. Thank you so much
Moderator: Thank you . We have a next question from the line of Kartik from Samatva Investments. Please go

ahead
Kartik: Thank you everyone for the opportunity. In the capex front, we have mentioned that we are now ending the large capex cycle. And going forward, probably, we would need around INR50 crores per annum and mainly for maintenance capex or opportunistic enhancement in capacity where we find a good return on investment in the near term. Now would this also mean that the trial cost and registration costs for both the API formulations as well as biologicals have covered in this INR50 crores itself? Or is it separate?
Keshav Bhutada: Sorry, your voice was not clear, Kartik. We couldn't hear you. There was an echo.
Kartik: Okay. Okay. Should I repeat? Am I...
Moderator: Can you use your handset mode please, Mr. Kartik?
Kartik: Yes, I'm on the handset, ma'am. Am I audible right now?
Moderator: Sir, can you confirm, please?
Keshav Bhutada: Yes, now it is okay.
Kartik: Okay. So my question, I'll just repeat it once again. We mentioned that we are at the end of a large capex cycle that we have been doing for a few years now. And going forward, we would probably need around INR50 crores give and take, mainly regarding the maintenance capex and any opportunistic enhancement in certain products where we find a good return in short term. Now does this include -- that this INR50 crores include the trial cost, registration cost of both biologicals, any API and formulation filings? Are these taken into account in this INR50 crores itself?
Keshav Bhutada: No, no, Kartik. That is not taken care because it is up to us that how many products we want to do the clinical studies and how we want to move ahead. But as I clearly mentioned, what we are trying to see is in whichever product, we will see a big clinical study cost. We are going ahead and partnering with the end partner, okay?

So that there is an upfront licensing fee from them. And against that, some part of the study is funded also, okay? And then we have also internal cash flows, which are kicking in from next year, which will have further growth so together that will take care of the steady cost, that is the thought process.
Kartik: Okay. Thank you so much. And there's a second last question which I have is, we have earlier mentioned that probably in the biosimilars program, we would launch molecule in every 6 to 8 months, are we still on track with respect to this? Or something has changed in a positive direction?
Keshav Bhutada: See, as I clearly mentioned you, Adalimumab is 1 product which we have already launched in India. Apart from that, what we are trying to see is these products, we see a lot of potential in the rest of the world market [inaudible] that already we have started the licensing of this product in certain regions, okay? So it will depend on the regulatory agency how fast they can review and how fast they can approve. So what I can tell you is every year surly we will have 1 new launch, okay?
Kartik: Okay. Thank you so much.
Moderator: Thank you. We'll take our last question from the line of Chetan Gade from Potdar Private Limited. Please go ahead
Chetan Gade: Thank you for the opportunity. Sir, I can see we have a lot of products in pipelines in Phase I, Phase II trials. Can you please provide us with rough numbers of what will be the EBITDA contribution from all the products?
Keshav Bhutada: No. I think it will not be appropriate for me to comment on EBITDA of these products currently, but what I can tell you is for each of the products, we see a very good potential and we are already starting in lot of interest from various partners, okay? And next year, you will see that we will start licensing out also these products what we are developing, okay? So that is what I can tell you. And this will have a very sizable contribution to EBITDA going further.
Chetan Gade: All right. And one last question. Is there any plan to reduce the debt?
Kes

hav Bhutada: Pardon?
Alpesh Dalal: He's asking about debt reduction. Yes. Yes. That's Chetan, we are working very systematically on a debt reduction plan, and we are working on certain initiatives including the internal cash

condition that we are having, that we are working towards making the full group debt free in the next 2 to 3 years' time period. That's a target with which we are working right now.
Chetan Gade: All right. Thank you so much
Moderator: Thank you . As there are no further questions, I would now like to hand the conference over to Mr. Alpesh Dalal for closing comments. Over to you, sir.
Alpesh Dalal: I would like to thank all of you for your continued interest, and we had a very interesting set of questions coming in. We would continue to be available if you have any further questions, please

reach out to our teams. And I would like to thank all of you for your interest in our company.
Thanks a lot.
Moderator: Thank you . On behalf of Shilpa Medicare, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Date: 28 May, 2024
To
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P.J. Towers, Dalal Street,
Mumbai – 400 001. To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
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Dear Sir/Madam,
Sub: Transcript of the Q4 Conference call
Ref: Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED
In furtherance to our intimation dated 20 May, 2024 with regard to the Q4 FY24 Conference call held on Friday, 24 May 2024 at 1.00 PM IST, please find the enclosed transcript of the call .
Thanking you ,
For Shilpa Medicare Limited,
Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited Q4 FY24 Earnings
Conference Call ”

May 24, 202 4

MANAGEMENT : MR. OMPRAKASH INANI – CHAIRMAN , SHILPA
MEDICARE LIMITED
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER ,
SHILPA MEDICARE LIMITED
MR. VISHNUKANT BHUTADA – MANAGING DIRECTOR ,
SHILPA MEDICARE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Shilpa Medicare Earnings Call for Q4 FY24. As a reminder, all participant lines w ill be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Pl ease note that this conference is being recorded.

I now hand the conference over to Mr. Nachiket Kale from Ernst & Young Investor Relation s. Thank you and over to you, Mr. Kale .

Nachiket Kale : Good afternoon everyone and welcome to the conference call hosted by the management of Shilpa Medicare Limited to discuss the 4th Quarter and Financial Year ‘2 024 performance. The management is being represented by Mr. Omprakash Inani – Chairman of the Company , Mr. Keshav Bhutada and Mr. Alpesh Dalal .

The discussion will be led by Mr. Keshav Bhutada with his perspectives on “Business Performance” and “Strategic Overview ”. He will be followed by Mr. Alpesh Dalal – Chief Financial Officer of the Company to give his perspecti ve on “Financial Performance” . After the management ’s comments , there will be an opportunity for all your queries to be answered.

Before we proceed, I would like to state that some of the statements made on today’s concall could be forward -looking in nature. A detailed disclaimer in this regard has been mentioned in the conference call invitation which is available on the Stock Exchange . We have also published result s presentation prior to the call. I hope everyone had a chance to go through it.

I would now like to hand over the call to Mr. Keshav Bhutada to take this discussion forward. Thank you and over to you , sir.

Vishnukant Bhutada : There is a small correction I am going to draw this Vishnukant Bhutada here. Welcome to our Call to discuss the Performance of the Shilpa Medicare during the 4th Quarter of the Year ‘ 23-24. As always , I shall commence with the highlights of the “Operating Performance” and touch upon “Segments Wise Initiatives” and Mr. Alpesh Dalal – CFO , will share prospective on the “Financial Performance” by the Company . Following our opening comments, we shall invite queries from the participant in order to address it comprehensively .

I will begin with the update from the API business which is the most important division for us . Building upon our strengths in developing and commercializing products , we are moving up on the value chain in our API busines s.

For non -oncology API segments, we are exploring products which have a high growth potential or can serve as an import substitute API. During the quarter, we have added 3 molecules in our portfolio, Methotrexate, Liraglutide and Teriparatide , which are at the validation stage and are likely to be completed du ring Q1 FY 25. We are also enhancing the capacity of one of our key

molecules Tranexamic acid from 15 metric ton to 25 metric ton per month with tentative completions in 2024. For another key molecules, UDCA we are witnessing the significant improvements in volume pickup. A nd with the filing of our USDMF and EU for the GMP, we feel that this molecule will have a signifi cant improvement in the volume.

We are progressing fairly on the polymer initiative as well, where our focus is on innovators seeking quality products and we have already developed one product for the US -based clients and supplied them with the pilot and the validation quantity.

On oncology APIs, we are developing almost 8 API, which will come at the plant level before FY26 for API CDMO services, which are g rowing with the gr eat potential, which provides a significant growth opportunity in upcoming years.

Moving on our formulations, we launched successfully our

first NDA product with our partner
in the US mark et under the J -code in the US market by Amneal . Another significant product will be our innovative product NUD07 Phase -3 studies have been initiated and the recruitment of NAFLD patients , fibrotic stage F2 and F3 for Phase -3 trials have been completed across multiple centers. Phase -3 clinical study dosing is expected to be completed by end of the Q1 FY25 and study is likely to be concluded by end of Q2 25.

We also completed the Phase -2 trials of another product which is a tropical lotion SMLTOP09 for th e treatment of Androgenic Alopecia. We are now planning to initiate the phase three trials in July -August 24. Additionally, we have expanded our geographical reach by entering in to emerging markets through our marketing partners for launching our approved products portfolio, providing access to the private market and enabling us to participate in the local tenders as well.

We have successfully completed the inspection by the AGES, Austria in January 24. Our Jadcherla facility has been issued GMP certificati on, which will facilitate continued supply to various countries of the European Union from this unit. For our Jadcherla facility, which has undergone a USFDA inspection in November 23, I would like to share that we have submitted all compliance for the 10 observations that were issued. We are closely working with the FDA to meet the expectations of the FDA in a current regulation. We are also appointed some additional co nsultants for our GAAP reports which was found out by the FDA during the November 23 inspection.

Coming to the ODF post-US launches of various ODF products, we are entering into the emerging market where we have signed licensing and supply deals in the key market and also exploring further partnerships. And in US also we are trying to launch even the Paracetamol film into the US market under the ODF category. Our efforts to introduce transdermal -patch based offering on track. We have partnered for the Rotig otine, which is the most complex product in Europe and the emerging market.

Clinical studies completed for the EU market and skin irritation studies completed on the Indian subjects and ongoing at abroad. Plan to complete in Q2 FY25, followed by the fi ling in EU and emerging market.

Apart from this, we have partnered another two products for EU and emerging market.

Rotigotine we are planning to take to the US market also, which is used in a Parkinson's disease.

Speaking now about the Shilpa Biologics, we are monitoring the volume growth in high concentration product, piggybacking on the India approvals and launch for strategy extended to tap into the various international markets with this product. Also, addition al indications approval submitted to the Indian Authority. For our NBE Recombinant albumin the Phase-1 studies have been completed, and we are working for submitting the data to the CDSO for further Phase -3 pathway .

For Aflibercept CDSCO approval for the P hase-3 has been received and manufacturing of CT batches will be done in the Q2. Additionally, our first biologic CDMO project for microbial fermentation has been moved to the second level and we have signed the further one more CDMO projects in the biolog ics. To conclude, we are working towards into the various markets and also having innovative products along with the regular generics.

I just draw my opinion and remarks to a close and ask Alpesh, our CFO to continue these discussions with his comments on the financial performance. Thank you.

Alpesh Dalal : Good afternoon everybody. I will now provide the financial highlights for the 4th Quarter and full year ended 31st March 2024 . From a revenue perspective, we reported a steady quarter with consolidated revenues of Rs. 294 crore s registering a growth of 11% year -on-year and with an EBITDA of

Rs. 72.5 crores as compared to Rs. 68 crores in the last quarter and Rs. 40 crores during the same quarter in the last year. This is the sixth consecutive quarter where we have seen improvement in our sequential EBITDA, thus reflecting improved business mix and continuous endeavor to rationalize our cost and increase our operat ional efficiency. And this enhanced EBITDA has also translated into an improved profit after tax with quarterly PAT of Rs. 24.5 crores as compared to Rs. 4 crores during the previous quarter and that is against a loss of Rs. 8.1 crore s during Q4 of last ye ar.

Now I will quickly take you through some financial highlights for the full year of FY24 where our revenues for the period stood at Rs. 1,160 crores reflecting an increase of 9 % compared to FY23 and EBITDA was at Rs. 252.7 crores registering a growth of 111 % over the previous year. So, previous year our EBITDA was at about Rs. 119-120 crores and this is more than doubling of EBITDA there.

And on the other financial parameters our net debt as at 31st March was Rs. 912 crore s and net CAPEX that we have incurred has been Rs. 172 crores, majority of which has been in our upcoming albumin manufacturing facility to the tune of roughly about Rs. 150 crores. During

the year, we also generated operating cash flow of Rs. 172 crores , so we have been moving in the right direction as far as control financial performance is also concerned.

An another important development, I am very happy to report that we have recently in the month of April raised equity funding of Rs. 500 crore s through QIP issue and this has been subscribed to by some marquee investors and this QIP issue has helped us in dele veraging our balance sheet and also provide us the requisite growth funding to enable our future growth and the further journey ahead. With those closing remarks, I would like to now open up the session for Q&A. Over to you.

Moderator : Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Rahil Dasani from Mittal Analytics. Please go ahead.

Rahil Dasani : So, first of all, I need you to understand the balance sheet that is the goodwill , the intangibles and the intangibles under development these are very significant, approximately Rs. 500 crores.

So, last few years, the overall P&L has been hit, but now that it is getting better, any plans to write down the goodwill and take a hit in any 1 year? And if I am not wrong, the intangible under development and the intangibles are related to the R&D , so why have we not expensed this? What sort of judgment has been taken here from the management to include it in the balance sheet ? That is the first qu estion.

Alpesh Dalal : As far as the goodwill is concerned, goodwill basically is acquired goodwill when we have acquired certain entities and as a matter of process under Ind-AS, there has got to be an impairment testing done of the goodwill. So, on the impairment testing of goodwill we do not have any charge that is required or that comes up and hence it continues. If in any impairment testing if you are required to write down the goodwill, we will do the same. As far as intangibles are concerned, we have a very clearly defined policy where any product, any development which is still at development stage and has a risk of development involved in it is charged off to P&L. Once the p roduct development has been completed and we see a commercially viable path for the product, all the expenses incurred after that till the time the product is commercialized are capitalized and this is what we have been doing consistently. We have not had any situation where we have followed a different accounting policy because we had difficult years. We have been following consistent accounting policies which have been very clearly laid down a

nd laid
out in each of our annual reports also you can check ou t all those accounting policies in relation to R&D, what gets capitalized and what doesn't get, what gets charged to P&L , so we are following that consistently. It is not based on whether we are having a good year or a bad year that we keep changing our accounting policy.

Rahil Dasani : So, the next question is about the Pemetrexed injection , what is the update for this pro duct? It was launched in Q1 FY23 in Europe , since then, how have the numbers grown from there? Also, we were to launch it in April in the US , so what has been our off take to Amneal in March ? And how have the sales grown from April and May?

Vishnukant Bhutada : Here Pemetrexed will be as expected. We have already mentioned that it has been launched in the month of April and the number is yet to come , so currently commenting on numbers may not be possible , but yes, successfully we have launched in the month of April. So, once the quadrant is over, probably we will be doing the number on this.

Rahil Dasani : But that is for the US side and we launch ed this product in Europe in Q1 FY20 if I am not wrong?

Vishnukant Bhutada : No, we have not launched in FY20.

Rahil Dasani : No, we had launched this product in Europe in Q1 F Y23?

Vishnukant Bhutada : Yes, that is there.

Rahil Dasani : So, that is what I am asking, how have the numbers grown from there?

Vishnukant Bhutada : In the Europe and US this is a totally different a pproach. In US it is a 505(b)2 J-Code. In Europe it is again generic. So, it is not 5 05(b)2 or something is there in that or there is no J -Code specifications. It is normally we are competing against generic.

Alpesh Dalal : We generally do not provide product level sales details and all , so this is like any other normal product that we have got . It is as Vishnuji was mentioning it is not a differentiated product as it would get classified in the US . It doesn't get classified as a differentiated product in the EU market , so for all the generic products we anyways don't provide product level pick up of sales.

Rahil Dasani : My next question is on albumin if you can go in a bit of detail from a scientific perspective and explain via form of NAVYA was able to crack it and considering the huge market potential and shortage why other M NCs who are a lot more liquid with a larger R&D workforce not pursuing it?

Vishnukant Bhutada : No, I cannot comment on why other MNCs are not pursuing. I can comment on my this one that we are pursu ing this. We completed the Phase-1 and the Phase-1 study will be submitted to CDSCO, and probab ly we will submit for the Phase-3 approval also. And as you mentioned, that the size is huge, the demand is huge. Why others are not pursuing and all, I think it is not possible for me to comment , but yes, it is a complex product not easy to be developed, not easy to see that as the cost competitiv e against the plasma product. That is why we are putting up the huge facility of the fermentations also into the near to the Raichur , where we want to manufacture this particular product once we get Phase-3 approval. We have a commercial manufacturing capa city also for manufacturing this albumin .

Rahil Dasani : Secondly, we have to register the DMF for the excipient grade and start selling it this year. So, what is the capacity we have for the excipient grade ? And since the plant is to start by July or August, can we expect increased excipient grade sales or will we only utilize the plant once the pharma grade is approved?

Vishnukant Bhutada : On excipient grade we are submitting the DMF for sure, but submitting the DMF doesn't mean that immediately the sales will start. People will use our excipient grade albumin in their formulation put it for the stabil

ity because albumin itself is not a drug, means it will not be used
in excipient. They will use in various fo rmulations that formulation then in that also Phase-1, Phase-3, so it is a long term process. It is not that immediately the sales revenue will come on that. But yes, the people will at least start using our excipient grade and we will start giving them the development and some pilot quantity .

Moderator : Thank you, sir. We will move on to the next question, which is from the line of V ishal Manchanda from Systematix . Please go ahead.

Vishal Manchanda : Sir on albumin could you kind of share some color on what could be the price differential between a recombinant one and a blood derived one?

Vishnukant Bhutada : The price difference currently stating is difficult because in a various market the excipient grade and the therapeutic grade has a various prici ng. Of course, excipient grade has a much more value than the therapeutic grade. But in US, Europe even therapeutic grades, in India therapeutic grades, in ROW market therapeutic grades has a different pricing. That is the reason why we feel that we have t o compete including the India pricing. This is the reason why we have put the largest capacity on that , so that once you are competitive in India market also on a therapeutic grade, definitely we will be competitive in other markets. This is what our goal.

Vishal Manchanda : So, you would definitely be lower than the blood -derived albumin in terms of the pricing? Would that be?

Vishnukant Bhutada : Yes, our intention is that only.

Vishal Manchanda : And it should be significantly lower kind of get a marke t share here?

Vishnukant Bhutada : First of all, definition of significantly lower itself is questionable , but I can tell you that this is a shortage product. Once you have this quality of the product with the 99% plus purity and consistency of not having any impurities from the other blood derived products, definitely our product will be little premium, not the more premium on this in the therapeutic g rade also. So, we are working on all aspects. Keeping that into the mind only, this product development has been taken and the fa cility has started building up.

Vishal Manchanda : So, you will initially target India and then go global with this product ?

Vishnukant Bhutada : I think India and ROW for sure immediately, parallelly because we are using the EU RLD against this, even in our India trials. That will allow us to penetrate into the India and ROW market. Of course, Europe and US also parallelly it is th ere, but once we a re seeing this India, now phase-1 is completed. Now with this, can we go with the parallelly into the US and Europe that still it is not decided, but India and ROW for sure.

Vishal Manchanda : Are there other companies globally who have either tried this recombinant albumin and successfully done that?

Vishnukant Bhutada : Excipient grade, yes, one or two companies are there , but on therapeutic, I think we have not heard anyone .

Vishal Manchanda : And sir second one on the US, you have a para IV filing on a product called LENVIMA and probably you are the first to file or SUN Pharma and you have it along with SUN P harma. Could you share timelines on when potentially could be the launch of this product?

Vishnukant Bhutada : It is Lenvatinib we and the SUN are the only 2 filers for the first to file. I don't know more on this, but I think publicly probably it is known that the S UN has settled with them on this. But still we are litigating , the litigation is ongoing. So, commenting o n that will be a ….

Vishal Manchanda : Shilpa Medicare has not settled yet?

Vishnukant Bhutada : No, we are not settled. We are still continuing and we fairly feel that we are non-intriguing . So, that still litigations are going on and commenting on that on litigation will be ver

y difficult for
me today on this , but yes, answering your specific questions, the litigation is ongoing. So, what time they launch, when it will happen, still it is ver y difficult to comment on that.

Vishal Manchanda : Just final one would you be able to share what would be your total investment on the gross block on the biologic front , excluding albumin just on the other biosimilar s like Adalimumab and others ?

Alpesh Dalal : On biologic s front , our gross block for our biologic s is about Rs. 450 crores .

Moderator : Thank you. The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen : So, we have got a few products such as the Aflibercept , Albumin and Adalimumab in the line and we believe they are of huge market size , so once we decide the products, do we have any aspirational market share in our mind while proceeding with the product that we want to achieve?

Vishnukant Bhutada : Normally, we are not doing direct marketing by ourselves, except for Adalimumab we have done in India , but rest all markets we partner with the strongest partner in that particular division in the various region , so this is what we do. In India, as it is k nown that we have partnered this Adalimumab with the SUN Pharma and they are known for taking the bigger market share.

Aditya Sen : I am new to this Company , so just to understand how do we anticipate the incremental growth from the new products of Afliberc ept, albumin and Adalimumab I understood , but specifically about a Aflibercept and albumin?

Vishnukant Bhutada : Yes, of course that is the reason why we selected such a complex product.

Aditya Sen : And about the margins of our 3 segments, Formulations, API and Biologics , can you please let us know how much margin we did in each segment and any guidance going forward on all 3 segments?
Alpesh Dalal : Basically, we generally do not provide segment level margin per se , but if you look at our standalone business, which is our Formulation business, you can get an idea about the margins over there for our standalone business and for our API business, we are typically operating at an EBITDA margin of about 25% to 27% I cannot give you the exact numbers over there, but that is the range in which we operate.
Vishnukant Bhutada : And I thin k guidance we are not providing .
Alpesh Dalal : Guidance we are not providing, but this is the general thing.
Aditya Sen : The last one, the biologic s margin, if you can?
Alpesh Dalal : Biologic s is basically, it is at an initial stage , so there not the entire costs get absorbed operationally in a full -fledged operation. So, at this stage, it may not be appropriate to look at the margin profile of biologics separately .
Moderator : Thank you . The next question is from the line of Krishna Kansara, an Individual Investor. Please go ahead.
Krishna K ansara : First of all congratulations on a good set of numbers. My first question is on the QIP money that we have raised around Rs. 500 crores , so as far as I know our prepayment option is opening up in July this year , so can we expect the bullet repayment to happen in July because that will save around Rs. 45 crores to Rs. 50 crores of interest expense, which is huge. So, when can we expec t the debt repayment to happen?
Alpesh Dalal : So, I think we need to wait till not July, but till mid of Augus t to make a partial payment. We have already planned to make a partial payment towards that NCD and of the QIP money that we have received the QIP funding that has come in portion of that has been already kept in FD for the repayment that comes up, that we can make in the month of August. There is no repayment obligation, but we are planning to make repayment of partial amounts. So, a significant chunk of the NCD will be reduced. We will be carrying some small portion maybe we will tr

y and settle it out or pay it out in next 1.5 years to 2 years ’ time maximum .
Krishna Kansara : So, majority will be repaid in August ?
Alpesh Dalal : Yes.
Krishna Kansara : And another question is on the import alert, so how long will USF DA take to issue the compliance certificate? I am asking this because majority of our delta in let us say next 1 years or 2 years is expected to come from formulation segment , so do you think that any risk could

arise in future because of this? Of course we have complet ed all the remediation expenses, but when will the final notification from USFDA is expected to come?
Vishnukant Bhutada : Commenting on the final when they will give it is very difficult , but yes we are working . Now we are at the stage where w e are almost trying to complete this all whatever their expectations are there , so that much I can tell you and the risk mitigations and the delta what we are thinking for the US see like Pemetrexed were launched from the other side . Another product we have filed 5 05(b)2 for the Bortezomib that also probably we have already shifted, and the review is going on that is from other side s. So, any products which we feel have a risk mitigation, we already have two sites. So, whatever the larg est chunk of our products which are like a 505(b) 2 or very complex, we are parallelly keeping one more site also , so that is the reason I don't think that any such risk we are caring for our future growth.
Krishna Kansara : For Pemetrexed, we are using our own site, or are we using some other Company 's site o n contract manufacturing basis?
Vishnukant Bhutada : It is a CDMO s ite, another site we have used.
Krishna Kansara : Another question on formulation , so what kind of products have we already deve loped in this segment, which we plan to monetize over a period of next 1-2 years? I wanted to understand a potential sales number which this formulation product can generate as a licensing fee in the next 1-2years ?
Vishnukant Bhutada : Our policy is there to develop the complex products. So, the licensing revenue will come always it will be there every year. That is the reason why you are seeing that there is a licensing revenue. Until and unless somebody sees the potential of this molec ule, nobody is going to give you licensing fees. So, we are continuing to do such a complex project. So, from that, how much revenue and all will come is very difficult to tell today. But like Bortezomib 505(b)2 what we

doing you can see the IMS data also. So, currently nobody is there in a subcutaneous RTU. We have developed that product and we have already filed 5 05(b)2 and the review is going on. Another product, whichever products we are trying to do it, either it should be a very complex product, like Lenvatinib first to file we had done it. SUN and we only two people were there. It is a 1.2 billion product since settlement has not done with us , but we normally do the non -infringement or the complex or the patient compliance product we try to select in -house and try to see that such unmet need is always scattered. Then only people will come here for the licensing and will be interested in to launch not only in the US, Europ e, and other part of the world.

Krishna Kansara : Just not the potential field, if you can just tell us the number, let us say how many agreements have we currently already signed? If you can tell the quantum of that, that would be helpful ?

Vishnukant Bhutada : It is a difficult now to tell because in the ROW market if I am able to tell you. See in each product there is a different agreement is happening. It is not one product, one Company and one Company and then we sign 10 products with them we never do that. We spec ialize like

somebody specializes in Onco, s omebody specializes in non -onco , so

mebody specializes into the OTC segments where we do our farming , the ODF and the TDF , so accordingly we work with the various companies. We have a flexibility of working such ty pe of companies and then licensing deal happens. But particularly telling about how many licensing agreements we have signed and all , but we have signed number of that, that much I can tell you.

Moderator : Thank you. We will take the next question from the line of Harsh Bhatia fro m Bandhan AMC. Please go ahead.

Harsh Bhatia : I just have 2 quick questions , one just from accounting perspective in the audited statements , again this is standalone ver sus consol idated, licensing and service income is Rs. 58.4 crores in the consol idated and Rs. 28 crores in the standalone level . And in the presentation under formulations, it is somewhere around Rs. 32 crores - Rs. 33 crores for this quarter. If you can help us sort of better understand how are these numbers getting segregated maybe standalone is where the formulation related licensing and service income is coming and therefore that is the difference , so maybe you can help us understand ?

Alpesh Dalal : Harsh, basically licensing income, what you see in the presentation that is provided for the formulation business and we do receive licensing income in our other foreign subsidiary where we could have done the deal. So, especially in this particular year, there was some licensing income that was also received in the European territory in a separate subsidiary. So, what you see here is basically a formulation business and not a standalone business.

Harsh Bhatia : And in terms of this new facility for albumin that will probably come in this ongoing first quarter, without getting into the numbers, the incremental OpEx part do we feel anything incrementally that could come into picture? Obviously, I am not sure to wha t part of the construction is done and what part of the OpEx is there in the P&L , so could you just help us understand qualitatively?

Vishnukant Bhutada : We have completed almost all construction and the majority of the equipment at place. That is why probably next quarter we will start the trial batches. So, the majority CAPEX probably will be completed by the next quarter. So, another maybe Rs. 50 crores additionally we may have to spend it this is what I can tell you.

Harsh Bhatia : Man power cost is yet to come into picture ?

Vishnukant Bhutada : That automatically will come, once we complete this and once we start the commercial production, that only it will be there more, but otherwise it will be less on the initial days. That is why we have not provi ded any guidance. We are saying that first after next year March only we should be able to get some revenue from this particular site. Till then, the stabilization, some of the batches, the exhibit batches we need to complete that all work will be complete d in this current financial year.

Harsh Bhatia : One last clarification , I think there is some confusion at mind that the Pemetrexed related sales, nothing has been booked in March because the product has been launched in April , so your shipments must have gone out in March, maybe I am assuming , so it is fair to say that 4th Quarter didn't have any Pemetrexed related shipment because the US formulation has also shown an uptake, if I am not wrong ?

Vishnukant Bhutada : Yes, you are correct. We have shipped this material in the month of March to the US , but please note that we are here giving on a transfer price to our US partner. There is a profit share arrangement once the sale starts. There is a substantial profit share arrangement s.

Alpesh Dalal : Harsh, j ust to add on, the initial orders which were there have been shipped and have been booked in our US sales for Q4. That is where you see the uptake also over there and as Vishnuji was mentioning

that once we have the entire reconciliation done for t he profits that are generated
during the quarter, then the profit share related portion will ge t booked at that point in time.
Moderator : Thank you . The next question is from the line of Dheeresh Pat hak from White Oak Capital.
Please go ahead.
Dheeresh Pathak : In slide 12, sir, you are talking about the third peptide molecule , so can you just explain the assets that you have here? This is I am assuming for USD MF filing , is that correct? And which are the other which you can talk about? And whether they have been filed in the US or not?
Vishnukant Bhutada : Which , for the peptide you are talking?
Dheeresh Pathak : Yes, slide 12 mentions Liraglutide , right? Which is our third pe ptide molecule trial that has successfully completed meeting the USDMF. we are going to file this already filed in the US. I am more interested in US DMF filing , so have we filed there and the other 2 also have filed there as well? And which of those other 2 if can you explain?
Vishnukant Bhutada : No, Liraglutide still we have not filed in the US. We completed the batches and probably w 0ith the stability data, we will file now to the US. Of course, our intentions are there to complete this validation and all. Our intention was there to file globally, including USA. The other two molecules are still already earlier are there, b ut we are trying to take this Semaglutide , Tirzepatide also in the future .
Dheeresh Pathak : So, this is our first GLP-1, the other 2 would be non -GLP-1, the other 2 peptides?
Vishnukant Bhutada : Yes, both GLP only.
Dheeresh Pathak : Sema and Tirzepatide that you will file now . Lira, you are already completing the studies.
Vishnukant Bhutada : No, we have not filed. Please, we have Sema and we are still under development. Only Lira will be filed.

Dheeresh Pathak : Our third peptide molecule, you referring to all the three GLPs or you talking about some other non-GLP peptide molecule when you refer to Lira as third?
Vishnukant Bhutada : No, another 2 is non -GLP.
Dheeresh Pathak : This type for DMF filing for albumin that you will do once the commercial plant is ready from then, you will take stability batches , and you will file from the current capacity ?
Vishnukant Bhutada : For the API or formulation?
Dheeresh Pathak : So, Albumin US DMF filing that you will do once th e plant is ready, commercial plant is ready, then y ou would file from the existing capacity ?
Vishnukant Bhutada : No, we will file from both sides. We will add both sides.
Moderator : Thank you. The next question is from the line of Sanjay Kumar from it hought PMS. Please go ahead.
Sanjay Kumar : First on the Pemetrexed injection, what is the agreement with Amneal if you could share? Do we get some kind of royalty or is it cost plus some profit share?
Vishnukant Bhutada : Agreement cannot be disclosed on th is, but I think you are right that there is a cost plus there is a profit share.
Sanjay Kumar : Second just a follow up to the previous question , so you mentioned Semaglutide and Tirzepatide , when can we launch any timelines for all 3 GLP -1, Lira, Sema and Tirze ?
Vishnukant Bhutada : No, Lira we have completed the exhibit batches. S ema and this Tirze is under development. Maybe another 1-1.5 years minimum it will take .
Sanjay Kumar : And on Albumin, why are we not focusing on developed markets parallelly and why we li mit ourselves to India and ROW?
Vishnukant Bhutada : I have not said that we are not focusing on the developed market. We are definitely doing that. That is the reason why we are c ompleting the study with the EU RLD. That means including Europe we are completing it. Once we see the results of the EU and the other, then we will parallelly work on the US.
Sanjay Kumar : Finally, on the fermentation CDMO, any special techno

logy about this fermentation and how big can this segment be in the next few years for us? Is it very niche technology?
Vishnukant Bhutada : As you know, now the world is moving to the clean technology , so the demand for especially on the fermentation is very high. And current situation of the China because of the Red Sea fiasco, now the majority of people are moving to the other than the China, to have the CDMO work to

be done and the size of the fermentation facility, what we have put it , probably ve ry few companies in India have such type of capabilities into the GMP environment. So, answering your specific questions that yes, there is a huge opportunity for this CDMO. We are working

into the microbial facility, which is the demand for the enzymes an d other products also and the food grade, including the albumin, all these things can be done in our facility , so it is a multipurpose plant and we see that there is a serious interest in the large size plant .
Sanjay Kumar : How big can this segment be? I think you mentioned Rs. 6 crores in the last call for the Phase-2 of the Korean order , but how big can the segment be in the next few years? And if you could talk about the US order also, that would be very helpful ?
Vishnukan t Bhutada : No, Rs. 6 crore s is from biologics site, it is not that something from the albumin plant. That is from our biologic s facility from the Dharwad not from this facility.
Sanjay Kumar : Any size, you could call out for let us say how big can this se gment be for us in the next few years ?
Vishnukant Bhutada : The size can be very huge that much I can tell you , but commenting on number will be difficult , but the size is much bigger when we have put around 230 KL fermentation facility and with the current prices of albumin , you can calculate and accordingly you can judge .
Moderator : Thank you. The next question is from the line of Tushar Bo hra from MK Vent ures. Please go ahead.
Tushar Bohra : The first question is on albumin, c an you just confirm by when will we be able to file the Excipient grade DMF in albumin ? Do we expect to do this in next month or couple of months?
Vishnukant Bhutada : Yes, I think this quarter end or early next quarter.
Tushar Bohra : So, later by Q2 of this financial year, we should be able to file ? There is no dependency on the new facility starting for albumin for this DMF filing, right?
Vishnukant Bhutada : Not at all.
Tushar Bohra : Second just picking up from the previo us participants question on CDMO , is it fair to assume that we can do more than 1x of the gross block at the biologics plant between our own products as well as CDMO in terms of revenue on a full -scale ut ilization basis ?
Vishnukant Bhutada No, biologics, which biologics you are talking? There is one Shilpa Biologics and Shilpa Biocare. Biocare is where we are trying to put the large commercial scale facility for the fermentation on the albumin and biologic s is like Adalimumab , Aflibercept and of course the CDMO project. Which one you are talking?
Tushar Bohra : I am talking for the biolo gics for the mammalian facility .

Vishnukant Bhutada : The commercialized for Adalimumab and all facility. Is it correct? Once we start working onto the probably, comment number will be difficult, but it should happen because once we are doing this Adalimumab , Aflibercept and then the CDMO work, what we are trying to put it plus we have a facility for CDMO especially for the as I mentioned, microbial to the mammalia n, plus clone development to the fill/finish. So, such type of the GMP -grade facility with all this infrastructure's availability and working on a CDMO is very rare to find. So, I think we are getting quite good interest. We have, as I mentioned in our presentation also, we have successfully

completed one NCE for the Korean client. Now they are given the second, in that next stage they a re given it to us. That shows that we have good capabilities working on that. And definitely we will get a CDMO as well as the other once we start completing the Aflibercept itself and Adalimumab getting it approved into the various markets. But it is a slow process , so I cannot say that immediately this will happen. But biologics is not the way it will happen overnight. It takes time.
Tushar Bohra : This second project that we have signed with the US client that is also a fermentation project or is it in the mammalian plant?
Vishnukant Bhutada : It is very difficult to tell but it is I think on the same microbial .
Tushar Bohra : So, just a follow up on this, I just like to understand for the biologics plant, not the fermentation but the other one, what are the initiatives that we are taking, what kind of inquiries we have, any qualitative details of the CDMO pipeline or opportunities being discussed and also on the regulatory status, are we looking at USFDA approvals for this facility, what is the regulatory status in next steps?
Vishnukant Bhutada : Currently we are not working on to the US for sure. So, we are trying to see that the Europe and the ROW market, in cluding the ANVISA and the peak countries, European approvals, so that we are going to trigger it. US still we are not able to file it or anything. We don't have our intention to currently go to the US because the spending is huge and until unless we find some good partner in that and then we would want to take it. But initially, Europe and ROW market and India market we are focusing on this.
Tushar Bohra : The business development for CDMO projects?
Vishnukant Bhutada : Yes, we are doing a lot. We have appointed in the US, in Europe, in ROW , so we have now 3 business development people, those who are working in various regions to get the CDM O business.
Moderator : Thank you. The next question is from the line of Prashantk umar Haz ariwala, an Individual

Investor. Please go ahead.
Prashant K. Hazariwala: Congratulations on a good set of numbers. My question is how are we going to use QIP money that we have raised Rs. 500 crores ?

Vishnukant Bhutada : Already it has been explained . I think you were not there during that. We have informed already.
Prashant K. Hazariwala: Just can you repeat for me, please?
Alpesh Dalal : See broadly what we are doing is we are predominantly using it to de-leverage our balance sheet. Large chunk of it is getting used towards partial repayment of the NCD that we had raised in the month of August and for that we need to wait for the partial repay ment till mid of August. So, we have kept that much amount in FDs with bank , so we are not using up that particular money what is required to be repaid for the NCDs. So, predominantly it is getting used for de-leveraging the balance sheet and also to an ex tent using it for providing the growth requirement of the business .
Prashant K. Hazariwala: So, how much money will go for de-leveraging ?
Alpesh Dalal : So, substantial chunk is going there and I think you will start seeing thos e results in the coming period.
Moderator : Thank you. We will take the next question from the line of Karan from Invexa . Please go ahead.
Karan : I have two questions on formulation segment , so for further can you expect the profit share to come in quarter 1 of FY25?
Vishnukant Bhutada : Yes, I think we should be because in April we launched it , so maybe April, May, June , I think definitely there will be a sale. We can see from the next quarter onwards.
Karan : So, my question is on the formulation segment , so this quarter we have done Rs. 72 crores , so can we assume this as a new base going ahead?
Vishnukant Bhutada : Yes, you can assume.
Karan : Lastly, on the overall

EBITDA, can we assume the EBITDA margins an d the absolute EBITDA to grow from the base which we have set this quarter?
Alpesh Dalal : Basically, as I had mentioned earlier, that we are constantly working at improving the overall business mix, business quality, plus working on various other aspects o f cost optimization and all, so ideally, those things should result into better results , but to what extent and what it would be, we can't provide that kind of guidance , but we have certainly looked to keep improving where we are currently.
Moderator : Thank you. The next question is from the line of Shashwata Chakraborty, an Individual Investor. Please go ahead.
Shashwata Chakraborty : Sir, I would like to know your CAPEX plan for the next upcoming year like the maintenance CAPEX you have or you have som e growth CAPEX plan for the upcoming year?

Vishnukant Bhutada : As I mentioned in my opening commentary that we are building up the capacity enhancement for the Tranexamic acid from the 15 metric ton to 25 metric ton per month , so that will be there and the additional CAPEX to complete this plant of this Biocare for the fermentation of base that will be there. Rest all , I don't think we need anywhere in the CAPEX .
Shashwata Chakraborty : Can you tell any numbers regarding this? How much 1 year going to invest any particular amount for this particular project?
Alpesh Dalal : So, for this Tranexamic acid p roject, I think we are expecting to invest somewhere about Rs. 25 odd crores for this particular block capacity enhancement that we are doing , so that is not very significant in any case.
Shashwata Chakraborty : And second thing I would like to know, sir, like last one year back, the net profit margin was in negative, but this year it becomes positive. And the revenu e was good, but is there anything happened in this year, like the price hike or any particular demand has increased because of that, the profit margin in positive, and in the future also you can see the positive. Can you please tell a bit or light on this particular topic?
Alpesh Dalal : See basically I had already mentioned in my opening remarks as well as in one of the answers that as a management team we have been looking at constantly opportunities to rationalize our cost structure as well as bring ing operational efficiencies like the way we are increasing our Tranexamic acid capacity similarly , we have done similar things in the past . We have also to an extent been helped by softening of some of our input costs and all, but broadly if you see we have been fairly active on our cos t specialization aspects and obviously also looking at improving the overall quality of the business. So, these things obviously have helped us in changing our prof itability profile significantly and obviously we intend to cont inuously strive to improve this further to the extent feasible. But we can't really provide any specific guidance as

to what extent will keep improving .
Moderator : Ladies and gentlemen this will be the last question for today which is from the line of Rahil Dasani from Mittal A nalytics . Please go ahead .
Rahil Dasani : Sir quickly on Adalimumab, we not being the only manufacturer in our dosage concentration, how are we comparing in terms of prices for our product, especially when we hav e come in second in the market?
Vishnukant Bhutada : Yes, I was mentioning that the Adalimumab , we have already licensed to the SUN P harma and with the additional indications which were applied for getting it approved from drug authority with that year-on-year we feel that the volume as well as the value will increase.
Rahil Dasani : On licensing, I wanted a very simple understanding for example, a milestone would be Rs. 100 crores or maybe 100 tons then you get a payment from the licensee. Then at 150, you get the

next payment and going on , but if the partner s don't scale up from 100 to 150, then what happens , do your agreements have something bui lt in around timelines and product off -take or how is it ?
Vishnukant Bhutada : Answering specific will be difficult, but I think we have taken enough precautions to see that licensing revenue comes to us. But if there is a failure from either side, we have to look that t his is not only from their side s ometimes in a licensing revenue, we have to see from our side also. So, we take enough precautions while doing the licensing agreement that the importan ce is not getting the more licensing fees importance is getting the licensing fees at this stage and then increasing the ultimate sales is more important in this .
Rahil Dasani : So, sir that is what I am trying to understand because from what I have understood, we have recently licensed a lot of p roducts and a significant chunk would be from the initiation fees. So, I wanted to understand if the partners are not able to scale up those licensing, our numbers will get stuck there , so if you can explain how will the partner be able to scale or something around it?
Vishnukant Bhutada : See, first of all, it depends on the product -to-product , so no product is mentioned that the licensing revenue from this, which initiation or the initiation will happen, but you have to see that whether that already developed, or we filed, or it is ready for the launch. Various product has a various aspect in this . Now we are not licensing at the very initial stage. We are licensing at the stage where we feel that the confident that this is in a 1 year to 2 years dow n the line, the product should get launched.
Rahil Dasani : And how many products have you licensed till now?
Vishnukant Bhutada : No, answering number will be difficult , but we have done quite number of products.
Moderator : Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to Mr. Nachiket Kale for closing comments. Over to you.
Nachiket Kale : Thanks everyone for joining the call. I would also like to thank the management for taki ng time out of their schedule and answering all the queries. EY IR is the Investor Relations Advisor to Shilpa Medicare. For any queries, please feel free to connect with us. Thank you everyone.
Moderator : Thank you , sir and t hank you members of the management . Ladies and gentlemen, on behalf of Shilpa Medicare Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2024

Shilpa Medicare Limited
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Date: 12 July, 2024

To

Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001.
To

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.

Dear Sir/Ma’am,

BSE- 530549/ Stock Symbol: NSE – SHILPAMED

Sub: Transcript of the Business Update Call

In furtherance to our intimation dated 5 July, 2024 with regard to the Business update call held on Monday, 8 July, 2024 at 11.00 AM IST, please find the enclosed transcript of the call.

Thanking you,

Yours faithfully

For SHILPA MEDICARE LIMITED

Ritu Tiwary
Company Secretary and Compliance Officer

“Shilpa Medicare Limited
Business Update Call”
July 08, 2024

MANAGEMENT : MR. VISHNUKANT BHUTADA – MANAGING DIRECTOR
– SHILPA MEDICARE LIMITED
M R. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED

MODERATOR : MR. DIWAKAR PINGLE – ERNST & YOUNG GLOBAL
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Shilpa Medicare Limited Business Update Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from EY IR. Thank you, and over to you, Mr. Pingle.

Diwakar Pingle: Thank you, Rico. Good morning, everyone. Welcome to the conference call hosted by the management of Shilpa Medicare Limited to discuss the recent milestone achievement in the CDMO business of the company.

Representing the company on the call today, we have Mr. Vishnukant Bhutada, Managing Director, and Mr. Alpesh Dalal, the Chief Financial Officer. Detailed information regarding the update has been mailed available in the Stock Exchange as of July 4, 2024. In case anyone requires any extra information, you can reach out to us and we'll be happy to provide the same. The management will initiate the call with further details on the dynamics involved in the milestone achievement in the CDMO business, followed by a Q&A session with the participants in the call. I would like to state that some of the statements made on today's call could be forward-looking in nature. A detailed disclaimer in this regard has been mentioned in the conference call invitation available in the Stock Exchange.

With that said, I would now like to invite Mr. Vishnukant Bhutada, the Managing Director of the Shilpa Medicare Limited to take this discussion forward. Thank you and over to you, sir.

Vishnukant Bhutada: Yes, very good morning to all. Welcome to this conference call. Today's call is specific only for the development of our CDMO business partner, Unicycive Therapeutics. I'll just brief on the OLC, which is the Oxylanthanum Carbonate, which is NCE, and this has been bought by the Unicycive. And with this, they have approach us in late 2020 for the development of the end-to-end this particular product, means from API, manufacturing validation, DMF and thereafter develop the formulation which can be used to reduce the hyperphosphatemia and help the kidney patients on this. It was not a simple task.

We have taken this challenge and with the expertise in our API, which has always expertise in the development of complex API and a formulations team, we have completed the drug master files of the API and made the formulation and given to them, which they have done the human clinical study and it has been passed recently, which they have announced recently also. They will file the NDA now in this particular quarter.

With this, we have requested them to made a binding agreement for the supply of the finished formulation, including API manufactured at our site. They agreed to this and along with this, they have agreed for the US $10 million milestone payment. Now, they are placing the binding agreement order for the 5 million tablets to be delivered before the June '25 and 15 million tablets before the December '25.

We need to supply them the product in next and with this binding agreements totally, the
agreement is there for next four years. Along with this, they are also funding us creating the
dedicated block for them, which shows how important this product for them. We are also equally
committed them for the timely delivery of the API and formulation as early as possible. So, we
have given the brief on what is the molecule, how it is used.
This is into the hyperphosphatemia and which is normally happens when the phosphate levels
increases, which damage the kidney because of the increase in the phosphate level in the blood.
Thi

s particular drug is used to bind the phosphate and help making the kidney patients healthier
in this. This is what the most important functions of this particular product. This is all from my
side.
Now, I am open for the Q&A.
Moderator: Thank you sir, we will now begin question and answer session anyone who wishes to ask
question press * and one on the touchtone telephone, if you wish to remove yourself from the
question que you may press *, participants are requested to use handsets while asking questions,
ladies and gentlemen, we will wait for a movement for the question que assembles
The first question is from the line of Rahil Dasani from MAPL. Please go ahead.
Rahil Dasani: Hi, am I audible?
Moderator: Yes sir, go ahead,
Rahil Dasani: First of all, good morning and thank you for this opportunity and thank you for arranging the
call on this update. So my first question has two parts. Primarily, among the six phosphate
binders, although OLC seems the most efficient across perimeters of adverse events and binding
capability and volumes required, the nearest competitor in terms of these factors is Fosrenol and
that is a very widespread generic.
So, first of all, what would be the pricing difference between the two and what's the incentive to
upsell OLC against Fosrenol? This may be more of a question for Unicycive, but this would be
impacting our volumes. And since you have worked so closely on this product, maybe you can
share some ideas.
Vishnukant Bhutada: Definitely, once they are doing on this, the most important what I – whatever the information
we had, it is like a rest all phosphate binder. They have to take eight tablets a day. Here, they
have to take only two tablets a day. This is the most important – and this is not, they have to take
it every day and it is very painful when it is going to be for the kidney patient to swallow eight
tablets a day against which OLC has the advantage of taking only two tablets a day. So the
pricing and all probably will be done by them only. It is not under our purview, but definitely
when they are doing all these things, they must have taken this into consideration.

Rahil Dasani: Yes, sir. So for the other binders, you are right, it is 8 to 12 tablets, but for Fosrenol, it is three
tablets and same is for OLC. So that is what I was trying to understand from the Fosrenol point
of view.
Vishnukant Bhutada: Main product is Sevelamer Carbonate you are talking or what now?
Rahil Dasani: Not Sevelamer. This is also Lanthanum Carbonate.
Vishnukant Bhutada: No, Lanthanum Carbonate is not three tablets a day. It is eight tablets a day.
Rahil Dasani: This announcement has been made by Unicycive itself in one of their preclinical trials where
they have made comparisons with Fosrenol. The tablets are three for both of these.
Vishnukant Bhutada: No, it is eight tablets a day.
Rahil Dasani: Okay, that's fine. Sir, the second question is, first of all, where are they filing this product initially
and where do they plan to file it for the coming two to three years?
Vishnukant Bhutada: Which one?
Rahil Dasani: Where are they filing OLC for now initially and where will they be filing OLC in the next two
to three years?
Vishnukant Bhutada: It is only OLC they are filing it somewhere. They are filing for US only currently.
Rahil Dasani: And is that the only plan or will they also target other geographies?
Vishnukant Bhutada: Of course that is for the Japan and China, for other all countries also they are equally seen
because these patients are available all over the world. So they will be definitely taking this for
the global but the currently main target is for US.
Rahil Dasani: Okay and what will be the total phosphate binder sales being currently done in the US?
Vishnukant Bhutada: I think it is more than a billion.
Ra

hil Dasani: More than a billion dollars, that is extremely nice. Sir the last question is, Unicycive is to place the binding orders from June and like you said, you will get 5 million tablets pre-June and 15 million post-June. So if you could exactly separate the visibility and you said you will get a binding contract for 4 years. So what would be the volume for each of those years?
Vishnukant Bhutada: For each of those years, it will be a multi-million. Initially, they are giving us by seeing this by June 25, they are giving this 5 million and December 25 is a 15 million. And every year definitely once the patient takes more and more probably with this, without getting this filing and without putting the approval, they are placing this order. That shows that how confident they are on their product.
Rahil Dasani: Got it. That is all for me. I will get back in the queue. Thank you very much.

Moderator: Thank you. The next question is from the line of Krishna Kansara from Molecule Ventures PMS. Please go ahead.
Krishna Kansara: Sir first of all congratulations on winning this very important contract. You are getting selected by a US pharma company and that too for such a critical drug is a very good news for the shareholders. So congratulations on that.
Sir my first question is regarding the broad timeline of this contract with Unicycive. So if you could just walk us through the entire timeline of let us say each milestone or the approval timeline or the commercial sales period. So just a brief idea of when will we achieve each of these milestones and when will the actual revenue from commercial sales will start coming in. So for example let us say the USFDA approval is expected to come by mid-2025. So, before that also, can we expect some portion of the milestone fees to be received? If you could just give us a brief idea of the breakup of the milestone fee as well as the commercial sales, that would be helpful.
Vishnukant Bhutada: Yes like from this quarter we got the getting the signing milestone. Then on the filing and acceptance we have one milestone. Then probably on approval we have a bigger milestone. And then on a launch.
Krishna Kansara: So this $10 million is the cumulative milestone fees that we will receive over a period of time or is this the upfront fee that we will receive?
Vishnukant Bhutada: No, it is not upfront fee. It is a cumulative fee.
Krishna Kansara: Okay. And sir when will the actual commercial sales, when will they start exactly? So when will they contribute to the revenue?
Vishnukant Bhutada: Their actual sales will start mostly by if they file it in this quarter. Normally it is NDA filing. So their approval will get in 10 months. So even if you take 12 months approval timeline, because this already they have done enough discussions with the FDA. So probably they will be more confident of getting the products max in a one year approval.
Once that is done then before that we have to start the commercial supplies because after getting the approval they will not wait for the supply. So before getting the approval probably we need to manufacture, give them enough supply in the market. So the supply will start from next year for sure.
Krishna Kansara: Next year okay.
Vishnukant Bhutada: Next year first quarter onward it will start.
Krishna Kansara: Okay understood. And sir you mentioned that -- sorry?
Vishnukant Bhutada: Our financial year I was mentioning, not their financial year.

Krishna Kansara: Correct correct. And sir you mentioned that the current agreement is of four years. So is this agreement extendable to, let us say, next few years once the initial agreement tenure is over or is this only for four years as of now?
Vishnukant Bhutada: No, it is four years plus automatically renewal for four years provided with some riders that depends on what we need to perform, what they have to do. I think with that, but totally it is four years plus another four years.
Krishna Kansara: Okay. And sir what would be the tenure of the new drug application that Unicycive will file? So is it five years or is it more? I am just trying to understand the runway that is available for us?
Vishnukant Bhutada: So it is for definitely it is more than that five years.
Krishna Kansara: Okay.
Vishnukant Bhutada: Because now they have 20 years. I think it will be not less than 10 years or 12 years for sure, but

I am not knowing exactly frankly, but I think once it is a NCE molecule so you can understand
they have enough runway.
Krishna Kansara: Correct. Okay sir. Thank you sir. That is all from my side.
Moderator: Thank you bye. The next question is from the line of Deepak Sharma who is an investor. Please
go ahead.
Deepak Sharma: hello,ya, Sir thanks for the opportunity and congrats for the achievement. Can you please put
some color on the EBITDA margin in this molecule?
Vishnukant Bhutada: It is a NCE molecule. So I think we are the exclusive supplier for them. So we have enough like
CDMO margin like we have the margins in this that much we can tell you above 50.
Deepak Sharma: Above 50? 5 0?
Vishnukant Bhutada: Yes.
Deepak Sharma: Okay. And please you are talking about the four year contract. So the number you have given
there 15 million tablets.
Vishnukant Bhutada: No no, 15 million is only for the tail supply, we have to supply before December. It will go to
multimillion later on every year. It is just initial signing they have given it.
Deepak Sharma: Okay so the total revenue which we are expecting this is $10 million for the four years?
Vishnukant Bhutada: No no no, 10 million is only licensing and the sales volume and that figures are different than
this. The 10 million is only licensing fees.
Deepak Sharma: Okay licensing.
Vishnukant Bhutada: Which will be completed before the launch. So after that there is a sales revenue.

Deepak Sharma: Okay sir. Thank you sir.
Moderator: Thank you. The next question is from the line of Neha Kharodia from Abakkus AMC. Please go
ahead.
Neha Kharodia: Am I audible,
Moderator : yes madam please go head,
Neha Kharodia: Yes. Good morning and thanks for the opportunity. Sir I just wanted to understand how big the
revenue generator can this project be for Shilpa?
Vishnukant Bhutada: It is a multimillion, but I think today projecting for the next year we have some indications from
them, but currently telling will be difficult but it is a substantial revenue for Shilpa. That much
we can tell you.
Neha Kharodia: Okay. Can we quantify it in some way?
Vishnukant Bhutada: No, currently I cannot do that, but it is a substantial revenue. That much I can tell you.
Neha Kharodia: Okay. And sir, when you mentioned that the capex will be funded by the innovators, so is it like
totally -- the capex amount is that we are expecting for the project?
Vishnukant Bhutada: Totally, almost they are giving around $6.5 million.
Neha Kharodia: And that will be the total capex done or like we also will have to do some of the capex?
Vishnukant Bhutada: No no. We are not doing. This is for one dedicated block. We are putting it only for that.
Neha Kharodia: Okay. And sir, in terms of asset turnover for this project?
Management: asset turnover is the following around, So Neha, I think you are asking the same question in a
roundabout manner. When you talk about the revenue potential and all, I think Mr. Bhutada has
already indicated that we may not be able to provide or quantify the amount exactly. I think we
will have to, you just need to wait and see how it progresses.
Neha Kharodia: Okay. Sure. Thank you.
Moderator: Thank you. The next question is from the line of Sanjay Kumar fr

om ithought PMS. Please go
ahead.
Sanjay Kumar: Hi. Thanks for the opportunity. So, in the previous question, you said that they are providing 6.5
million for the capex. Over and above that, we will be receiving 10 million in license payments.
This, I believe, will be spread over 5 years according to Unicycive Annual Report. Is that right?
Vishnukant Bhutada: No. Once it is before the approval of NDA, almost 95%, 90% of this will come. Once it is
launched, it may be 1 million. That's all. So, once it is approved, then before that, 9 million will
come to us.

Sanjay Kumar: Okay. So, and once this milestone is, licensing is done, do we have any milestone based on sales
or will it only be sales-related revenue that we will be getting?

Vishnukant Bhutada: No. Only sales-related. Then, the milestone doesn't come into the picture because in actual, it starts.
Sanjay Kumar: Okay. So, on that sales, we are saying we will be doing 50% EBITDA margin.
Vishnukant Bhutada: It's tentative.
Sanjay Kumar: Okay sir. So, and second, in our PPT, we have mentioned that we have three NDA filings of which two is already approved. The third one was mentioned as pending. Is this the pending NDA that we were talking about?
Vishnukant Bhutada: No.
Sanjay Kumar: Or is it something else?
Vishnukant Bhutada: It's a different one.
Sanjay Kumar: Okay. That's still in pipeline.
Vishnukant Bhutada: Yes, that's different.
Sanjay Kumar: Okay. So, that's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.
Girish Bakhru: Yes, just a clarification. Actually, you say this is a new product. Is it NCE? I mean, I'm just trying to clarify. Once approved, will it have NCE exclusivity?
Vishnukant Bhutada: Yes.
Girish Bakhru: So, for 5 years, like any other product, because Fosrenol being Lanthanum also, I mean, is there a certainty the FDA will approve another Oxylanthanum as an NCE or it will be just approved as a new product?
Vishnukant Bhutada: It's NCE.
Girish Bakhru: Okay. And just on the 4 year contract, can you give color on how pricing generally typically moves in such kind of a contract?
Vishnukant Bhutada: Pricing will be telling difficult for me. But as I mentioned, NCE molecule has a good, very advantageous product they are launching into the market. Their pricing is also very good and they are also a very good company. They are also giving us enough money.
Girish Bakhru: But in case their acceptance in the market is low, they are allowed to, of course, negotiate with you for lower pricing, right?

Alpesh Dalal: Girish, I think some of these things are commercially very sensitive matters. We wouldn't be in a position to talk about it in advance. So, kindly pardon us.
Girish Bakhru: Sure. If you could give indication, are there any committed volumes under the contract?
Vishnukant Bhutada: As would be 20 million. Currently, they are doing the binding purchase but that's not that we have it currently.
Girish Bakhru: Okay.
Vishnukant Bhutada: And of course, once they launch it, they will give. Once they are getting it near to approval, the more and more binding orders will come.
Girish Bakhru: Sure. Thank you so much.
Moderator: Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.
Harsh Bhatia: Yes sir. Thank you. Good morning. Just two quick questions. One, sir on this four plus four-year timeline of the manufacturing agreement, should we assume that for the first four years, we will be the exclusive suppliers because the binding agreement is for the first year? So, should we assume that exclusivity is for the entire four-year period? I'm just trying to clarify. It may be repetitive.
Vishnukant Bhutada: Yes, it's for four years exclusive.
Harsh

Bhatia: Okay. And last clarification, this manufacturing agreement is a global manufacturing agreement rather than only U.S. manufacturing agreement, right? This will be a global manufacturing agreement?
Vishnukant Bhutada: Yes.
Harsh Bhatia: Okay, sir. Thank you. Congratulations.
Moderator: Thank you. A reminder to all participants, ladies and gentlemen you may press * and one to ask question, The next question is from the line of C Srihari from PCS Securities. Please go ahead.
C Srihari: Yes, thanks for the opportunity am I audible, hello,
Moderator: yes please go ahead,.
C Srihari: So, my question is, the innovator has another molecule, LDC, which is comparable and that is also in Phase 3 currently. I think it's a pending FDA approval. So, can you please throw some light on that?
Vishnukant Bhutada: This is LDC, same lanthanum oxycarbonate.
C Srihari: That's right. Yes.

Vishnukant Bhutada: Oxylanthanum carbonate and lanthanum deoxycarbonate. Both are the same.
C Srihari: Both are similar?
Vishnukant Bhutada: Yes. So similarly that is the same. We call it LDC, you call it lanthanum deoxy carbonate.
Moderator: sorry sir, I request you to use your handset, you are not audible, you have lot of noise in your background
C Srihari: , is it better now,
Moderator: yes sir, please go head,
C Srihari: Yes so basically based on what I've read, I mean, they've already done the filing for LDC and USFDA has some queries.
Vishnukant Bhutada: Lanthanum deoxy carbonate, is that talking or which one you're talking?
C Srihari: I'm talking about LDC.
Vishnukant Bhutada: Lanthanum deoxy carbonate. No from FDA, they must have taken the clarification not the filing.
C Srihari: So you mean to say LDC and [LPC] are the same molecule?
Vishnukant Bhutada: Yes.
C Srihari: Okay, thank you.
Moderator: Thank you. The next question is from the line of Rahil Dasani from MAPL. Please go ahead.
Rahil Dasani: Yes. Hi, sir. So, just to confirm about the client funding the new plant you said the total spend would be 6.5 million and that's what we are spending wholly on the plant, right? Nothing from our side?
Vishnukant Bhutada: Yes.
Rahil Dasani: And what would be the capacity of this in terms of tablets?
Vishnukant Bhutada: It's not tablet, it's an API plant. It's not for tablet.
Rahil Dasani: Okay. And if you can just share maybe in some terms of utilization as to how much would this plant suffice in terms of the supply? It would suffice for the next two years, for the next one year?
Vishnukant Bhutada: It will definitely suffice for the next two, three years.
Rahil Dasani: Okay. And when is this unit commercializing?

Vishnukant Bhutada: Once we complete this, it is not that the existing suppliers of API will do from our existing blocks. It is not that we are not stopping to wait for this getting the block ready. This block will get ready in the next one year.
And then when they feel that there will be an increase in the volume, so they have given us saying that, you please put us the dedicated block for us which will not hamper their deliveries.
That is the reason why they are funding us for this dedicated block. So currently we are supplying from our and this will take care of their supplies.
Rahil Dasani: And the next question is, which other search projects are being done, which are closer to commercialization stage or even have a significant potential in terms of the molecule?
Vishnukant Bhutada: I have not understood your question.
Rahil Dasani: Which other search projects like OLC are in the pipeline, which are closer to commercialization stage or even have a significant potential in terms of the molecule?
Vishnuka

nt Bhutada: Currently, we are talking only on OLC today.
Rahil Dasani: Got it. The last thing is, I was again going to the clinical trial reports of Unicycive. The Fosrenol, I am sorry to repeat but the tablets required are again three. Yes, the weightage and the surface area is higher but the tablets required are three. So maybe if not for this call but for next call, if you can confirm this so that we can get a lot better idea on this.
Vishnukant Bhutada: I said it is eight.
Rahil Dasani: Okay, sure.
Vishnukant Bhutada: Thank you,
Moderator: Thank you. Reminder to all participants you may press * and one to ask question. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Vishnukant Bhutada: No, thanks for attending this conference with the short notice. We are committed to deliver such complex molecules in the near future also. Shilpa being the specially working on such type of projects since last four or five years and we continue to do that. That much we can say on this.

Thanks for attending all.
Moderator: Thank you. On behalf of Shilpa Medicare Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Vishnukant Bhutada: Thank you.

Call: Aug 2024

Shilpa Medicare Limited
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Date: 13 August, 2024

To

Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001.

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.

Dear Sir/Madam,

Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED

Sub: Transcript of the Q1/FY 24-25 Conference call

In furtherance to our intimation dated 2 August, 2024 with regard to the Q1/FY24 -25 Conference call held on Friday, 9 August, 2024 at 11.00 AM IST, please find the enclosed transcript of the call.

Thanking you
Yours faithfully,
For Shilpa Medicare Limited,

Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited Q1 FY25 Earnings
Conference Call”

August 09, 2024

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR,
SHILPA PHARMA LIFESCIENCES LIMITED
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER,
SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Shilpa Medicare Earnings Call for Q1 FY25. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Runjhun Jain from E&Y IR. Thank you and over to you, Ms. Jain.

Runjhun Jain: Thank you, Raj. A warm welcome to all the participants to the Q1 FY25 Earnings Call of Shilpa Medicare Limited. The "Financial Results" and the "Presentation" has been uploaded on the Company's website and on the exchanges. Please note that this conference is being recorded and the transcript along with audio of the same will be made available on the website of the Company, as well as the exchanges.

I would like to remind you that today's discussion might include forward-looking statements based on the current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Investors are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof. The Company undertakes no obligation to publicly update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

Now to take you through the Results and to answer your questions today, we have the management team from the Company represented by Mr. Keshav Bhutada – Executive Director of Shilpa Pharma Life Sciences Limited and Mr. Alpesh Dalal – Chief Financial Officer.

Now, I request Mr. Keshav to provide you with a "Brief Update" of the Quarter. Over to you, sir.

Keshav Bhutada: Thank you, Runjhun. A Very Good Morning, Everyone. Thank you for joining us today to discuss our Q1 FY25 results. I am Keshav Bhutada, and I will share with you various business segments brief overview before handing over to Mr. Alpesh Dalal, our CFO, who will provide the financial highlights post that, we can open the floor for any Questions that you may have.

Overall, I will give you major growth drivers in each segment and my briefing will be divided into four main verticals of Shilpa Group – API, Formulations, Transdermal Patch, ODF and Biologics.

So, let me start with the briefing of API business vertical. In the oncology segment, the major updates are that there were two NDA molecules which we were developing for our clients for many years in which NDA molecule #1 which we were developing for our US client, the client has received a breakthrough designation for the same product and for the same product NDA is

planned to be filed by our client in Q4 FY25. We have already secured a pre-launch order in this quarter for which the supplies will be done over the current quarter and subsequent quarters.

For the NDA molecule-II, currently the client project is under Phase-III supply. For the Phase-III clinical study we have successfully received order, for the same the delivery is already finished in the same quarter, and for this product, currently, the client is doing Phase-III three clinical studies.

Apart from that, two new oncology molecules, which is Abiretarone and Methotrexate, for which US DMF and European CEP is planned to be filed in Q3 FY25. And two new molecules plant scale up and validations in the oncology segments are already initiated and expected to complete in Q3 FY25. And for all four products, we are also developing our own formulation so that we are not dependent on only external sales, also we will have our internal captive formulation consumption. The major focus in oncology is with the exist

ing portfolio, build a differentiated long-term complex pipeline which can give us sustainable growth in years to come.

Now, I move forward to non-oncology business, in which the most important update for the Company in this quarter was Ursodeoxycholic Acid, which is a very complex and niche API which we have in our grid, for which the European CEP was received in this quarter. With the approval of CEP, it opens a big opportunity for Shilpa Medicare in export markets, and in the quarters to come, we are confident that this molecule is expected to grow in export market in a large volume.

Apart from that, UDCA, which is again an NDA molecule for which Shilpa is already developing the formulation. For the same molecule the DMF is completed, and the initial launch quantity orders manufacturing has already started.

In the non-oncology segment, we have always kept our focus on import substitute molecules and complex molecule. So, we have successfully completed two new non-oncology molecule's lab validation. For the same product, the plant scale up is currently initiated and we are planning to finish the plant validation and subsequently DMF filing for two new molecules, which are complex and import substitutes, which can give us a sustainable revenue in the years to come.

Now, I move forward to new verticals which is CDMO peptide and polymers, which is again very important focus for Company. In the CDMO space, the major updates are - for the US client the preclinical supplies were successfully done. Now, the program has advanced to Phase-I/Phase-II clinical studies for which we have successfully received order and for which the supplies are expected to complete in Q2/Q3 FY25.

For the second client, which is from Taiwan, the program has moved to the Phase-III study and currently client has given us order for finishing the client scale up and validation batches and making drug master file ready which again gives us assurance that we will be one of the major

suppliers for the same client. For this product also, we are expecting to complete the plant validation in this financial year.

Apart from that, two to three new CDMO projects were signed in this quarter, for which initial large-scale development is commenced.

Now, moving forward to polymers in which our major focus has always been on developing specialty complex polymers. In Q1, we are happy to share that we could crack one more US MNC client, for which the initial sample order was successfully completed in Q1, and for which the order is already received for the pilot quantity, for which the supplies are expected to complete in Q2/Q3. Apart from that, there are many other specialty polymer projects which are currently in the development phase.

Now, moving forward to peptides, our major focus has been a mix of GLP-I portfolio and some complex products. I am happy to share our first GLP-I product, which is Liraglutide, for which the plant validation was successfully completed, which is a very complex API and the DMF for the same is expected to be filed in Q3.

And the second update in peptides is, for one of the European clients which is the NCE molecule for a new indication, we have successfully finished the initial development phase of the contract, and the initial supplies were finished in Q1. Now going forward, we are expecting the supply for Phase-I, for which the Company is geared up.

Apart from that, Semaglutide, which is again a second molecule in the peptide space, the large-scale development is finished and now our target is to finish the plant validation and make drug master file ready in this financial year.

The last important update is on the regulatory front. In Q1, we could finish the ANVISA Brazil GMP audit for almost 29 products in Unit-II and the audit was successfully completed. I am sure in years to come; this will give us a good opportunity in Brazil market

also to sell our API.

Now, I move forward to the formulation business, in which the major updates are, our first NDA molecule for which we had received approval Pemetrexed for which the J Code was already granted. J Code is for premium pricing. Now, our partner has applied for the same product for K Code which will help them in insurance reimbursement for which they are expecting to get approval this quarter. So, going forward for Pemetrexed in the US, we are confident that in the quarters to come we are likely to gain good market share.

Apart from that, the second most important NDA molecule which Company had filed in the last financial year, we are likely to get approval for the same product in Q2/Q3 of FY25.

Now, the third update is, there is one more NDA molecule which is the oncology oral liquid, for which our partner had filed this product in the US, which is in the oncology space specially in

the oral liquid it is the first-of-its-kind US NDA which is filed and for which the approval is

expected in Q4. With this, we are confident that for the US market, the pipeline is very well built up and the same will give us growth in years to come.
Apart from that, in European market, now I move forward to our upcoming big launch, which is for Nilotinib where I am happy to share that our regulatory review for the same product is completed and the launch for the same product is expected in Q3 and for this product Company has partnered with the #1 Company in the generic space in oncology selling in Europe. So, we are confident that this product also will give us good sales in the European market.
The second update in European market is on the Transdermal Patch portfolio where our first product will be filed in September of this financial year, for which the complex clinical studies are completed and is successfully passing, and the product is expected to be filed in Europe in Q2 FY25.
Two new Transdermal Patch products deals were signed in this quarter, again with various partners, for which the development is already started, which will give us the confidence that on the Transdermal Patch portfolio, we have a sequential pipeline, and the partner is ready to sell our product.
Apart from that, when I speak specific on the pipeline, we have two NDA molecules which is SMLNUD07 which currently Company has developed for NAFLD indication for India and emerging markets. Currently, the Phase-III studies are expected to complete in Q2 FY25 and we are expecting to file this product in Q3 FY25 in India and we will start partnering in various emerging markets.
The second product, SMLTOP09, which is for Androgenic Alopecia, for the same product the Phase-II studies were completed, and for the Phase-III studies we have applied in DCGI, and we are expecting to start the Phase-III study in Q3 FY25.
Overall, our focus in formulation has always been to build a differentiated and complex portfolio which will give us sustainable growth and Company is very focused on cost spending, and we are only investing on programs where we have a partner and where we are confident of selling those products.
Now, on the regulatory update which is on the USFDA audit of our formulation facility. So, we have finished the meeting with the USFDA, and they have suggested us to appoint some subject experts for which the appointment is completed, and the review has started, and we are expecting to complete the review in Q3 FY25. Subsequently post which we will be again applying to US FDA for further course of action.

Now, I move forward to Biologics business, which has always been our interest and where we have seen a good traction in the last two quarters and the same you will observe in the current quarter also.
So, in the biologics, our first product Adalimumab was approved in Morocco market, which was our

first biologics approved in the export market and the same product is filed in many of the emerging markets currently we have filed, and we have started discussing on partnering also for the same products with other clients.
Now, the second product, the major update is on Aflibercept where currently our client scales up batches are ongoing, and we are expecting to start the Phase-III human studies for the same product in Q3 FY25.
The second major update on Aflibercept is we have finished the European scientific advice for the same product. We submit our study, our development data, our RLD data and we ask the EMA agency permission to start the Phase-III study. So, the initial advice has been positive and now going forward we will be submitting the permission for Phase-III study. And then for Europe also, we are starting to discuss with various partners in the European market.
Now, on the CDMO space in the biologics, the Korean client for which the complex project was well executed at our end, the various orders for the preclinical and Phase-I supplies have already started, and for the same, there was a GMP audit also with the same client which was very important for us to pass successfully. So, the Company could successfully finish the audit and now we are confirmed as a primary supplier currently for the client for the Phase-I and Phase-II supplies.
And apart from that, we have two new CDMO projects which are likely to be signed in second quarter FY25. And we are seeing very good traction in the biologics business where there is a lot of opportunity in the development space, in the manufacturing space, and we are confident that in quarters to come, biologics will be a very strong portfolio for Shilpa group.
Now, the last and most important update is on Albumin, where I am happy to share that Phase-I human study for the same product is completed and now we are rushing towards getting the permission for Phase-III study and we are expecting to start the Phase-III human study in Q4 FY25 and the study duration is for one year and the Phase-I study what we have completed was

against the European reference product. So, the same Phase-I data will also be submitted to European regulatory authorities for asking them the Phase-III permission.
Apart from that, the US DMF filing for Albumin for the excipient grade was successfully filed which gives us more confidence on the quality of our product with not only manufacturing but also with the dossier quality.

Apart from that, the new facility for large scale Microbial Fermentation, the project is going well on track, and we are expecting to complete the project in Q3 FY25.
Last but not the least, we are delighted to announce a key CDMO signed during the quarter with Unicycive Therapeutics for Oxylanthanum Carbonate. We will be supplying to them the finished formulation along with our own API. We will be receiving US$ 10 million milestones for this deal. As informed earlier, we will build a dedicated facility for them which will be funded by the customer. Initial launch quantity orders are received from the client for which the manufacturing with the current facility will be starting in the quarters to come. Considering all the developments and expected growth in biologics, we have been building our teams further.
In conclusion, we are confident in our ability to continue delivering strong performance, driven by our robust R&D pipeline, operational excellence and strategic focus on licensing and CDMO.
And Company's major focus has been on monetizing the existing assets and will continue to do so. We are committed to creating long-term value for our shareholders through consistent execution and innovation.
I will now hand over to Mr. Alpesh Dalal, who will Provide a Detailed Financial Overview.
Alpesh Dalal: Thank you very much, Keshav. Good morning, everyone.
Let me briefly take y

ou through the Financial Performance for the 1st Quarter of the current Financial Year:
Our top line stood at Rs.302 crores, registering a growth of 15% YoY and this was driven mainly by our formulations business which witnessed healthy growth in the emerging markets as well as in the licensing segment that we are operating in. The gross profit for Q1 was at Rs. 200 crores with a margin of 68% as compared to 66% in the comparable quarter last year. The EBITDA for the quarter was at Rs. 83 crores compared to Rs. 50 crores in Q1, again, a strong growth of 66% YoY and EBITDA margins were also up at 28% from 19% during the same quarter last year.
I am also pleased to inform that this is the seventh consecutive quarter wherein we we re able to improve our EBITDA and EBITDA margins. And as we continue to optimize our cost and enhance our operational efficiency and rationalize our R&D investment, we expect to continue this momentum. Also, PAT for the quarter stood at 14%, registering a margin of 5%.
Now, just a Quick Update on the Segmental Performance:
Our API business clocked a revenue of Rs. 173 crores, up 4% compared to the same quarter last year. Typically for our API business, Q1 ends up becoming a seasonally soft quarter, which is generally visible historically as well. But however, we expect that robust growth should come in going forward in this business as well. Formulations business for the quarter was at Rs.104

crores, registering a growth of 13% YoY. Biosimilar revenue is Rs. 16 crores, which obviously is a new business that we have entered into. So, has a healthy 81% growth right over there.
Now let me take you through our balance sheet details. Our net debt as on 30th June 2024 stood at Rs. 514 crores as compared to Rs. 912 crores at the end of March '24. And our CAPEX for the 1st Quarter was Rs. 58 crores, which was again mainly driven by our investment in our Albumin facility that we are setting up.
With this brief introduction, I would like to now open the Q&A.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Jigar Valia from OHM. Please go ahead.
Jigar Valia: One question if you can help with regards to Phase-II for Albumin, there is Phase-I and then all the updates are for Phase-III, so?
Keshav Bhutada: To give you a clear picture, currently in Albumin, we have finished a Phase-I study in which we have finished the evaluation of safety, immunogenicity as well as efficacy. Usually Phase-II is needed for compounds if the safety studies are not established in Phase-I. So, currently we have done a Phase-I/Phase-II study you can just tell that where we have also evaluated the safety of the product.
Moderator: The next question is from the line of Harsh from Bandhan, AMC. Please go-ahead Sir.
Harsh: Sir, two questions. One is on Albumin again. The Phase-I human trials are done and the excipient grade DMF is filed. Once you are done with the Phase-III trials, let's say at the end of fourth

quarter of FY26, should we assume that these are global trials or these will be selective market launch, let's say, Europe and emerging markets, how should one think about the human launch in the end of the FY26 or early FY27 as well as the excipient grade launch?
Keshav Bhutada: I will first update you on the clinical study. What strategy we have planned currently is that there will be two studies which will be running in parallel. One study will be for India and emerging markets and there will be a separate study which will be running for European market, so the studies will run in parallel. In Europe, the procedure is once your Phase-I study is complete, you have to submit to EMA and take their advice, after that only you are allowed to start the Phase-III studies. For Europe, it will be a more elaborated studies, instead of 12 months, it will be maybe for 15 months

. So, the strategy what we have built is, we will be doing two studies in parallel, one for India and emerging markets, and second one will be for Europe market. And on the second question on the excipient grade, the drug master file is filed. So, now various people will start using our Albumin as excipient in their formulation and then further they will be triggering it in their formulation and then we will be having a commercial high value sales for that application. But apart from that, there are many other applications which are non-GMP application, cell culture grade and multiple grades in Albumin. So, currently our focus is to build

a team which will promote this Albumin for excipient grade. So, for this, I will be able to give you more clarity on quarters to come as to how much sales we can do, and our focus is on getting good clients which can give us sustainable growth in excipient grade also.
Harsh: So, for the Phase-I that you have completed right now successfully, this data will then be submitted to EMA for their advice, which will help us to go into Phase-III for European studies?
Keshav Bhutada: Correct. So, even in Phase-I study before starting the study, we had done an EMA scientific advice and we had taken alignment with EMA for our Phase-I study protocol. After that only we had started the Phase-I study. So, the study what we have completed is very well applicable for EMA submission and for asking them for Phase-III permission.
Harsh: So, your Phase-I, which you have reported is very much in collaboration and the metrics which are required by the European authorities. If everything is successful then you will straight away move to the Phase-III part for both India, emerging as well as Europe.
Keshav Bhutada: Exactly. You are right.
Harsh: Just on this earlier comment of the two NDA molecules, one, the breakthrough designation part where you have secured the pre-launch orders and the second molecule with the molecules and the Phase-III studies. Could you help us give a little bit more color on the breakthrough designation candidate of what could be the overall commercialization timeline? Since it is a breakthrough designation, I am assuming that it will be a decent size market, but it may not be a billion dollar plus market to that extent. So, anything for us to understand, particularly for the breakthrough designation product molecule?
Keshav Bhutada: Currently for the first molecule which is in breakthrough designation, our partner studies have been successful, and they are planning to file NDA by end of this year. Currently, that is what they have given us as a plan and post which they will be having approval if everything goes well in the next financial year. So, I will be able to give you a right picture in the quarters to come because as and when the program advances, that is when usually there are more chances of having a long-term arrangement which you would have seen in case of Unicycive Therapeutics. So, there will be more advancements which will be happening in both the molecules in the quarters to come. So, currently. I will not be able to give you a clear picture on how big it will be, or how many billions, but I can tell you that having a breakthrough designation with such a niche opportunity, it is surely a good opportunity for Shilpa as a group.
Harsh: And the timeline for the second molecule will obviously succeed the timelines for the first molecule which is under breakthrough designation?
Keshav Bhutada: Yes, for the second molecule, it will all depend on the Phase-III study outcome for our partner, for which we are surely expecting some results for that in the next financial year. So, we will be able to give you more updates on that later.

Harsh: On Liraglutide, you mentioned that the plant validation is complete. And for Sema

glutide, you mentioned the large-scale development is finished. If you could give us a little bit more color on the general timeline, what could come next for both these products, and when does the conversation with the client happen, like in which financial year would that supply start,

assuming everything else falls in place?
Keshav Bhutada: With respect to the first molecule, Liraglutide, we have now finished the plant validation. So, now we will be promoting this molecule to various customers, and we will have some customers seeded in this financial year. So, for that molecule, I feel in the quarters to come there are chances that we will have initial sales happening. And also, we have developed our own formulation for this product, the formulation development is completed, and we are planning to scale up our formulation in Q3 FY25 and further it will be filed in various rest of the world markets. So, surely for this Liraglutide, we will see in quarters to come a lot of traction in API as well as formulation. And on the second molecule, Semaglutide, currently, the large-scale development is completed. And once we finish the plant validation with drug master file, that is when the commercial feature will start coming in. So, maybe for that you can assume in next financial year, we will have more picture on the commercial sales.
Harsh: Let's say if Liraglutide is more near to medium term, without getting into semaglutide, is that a better opportunity for you in the initial, let's say, next 2-3 years would be more of an emerging market and India market opportunity rather than the US, Europe market opportunity, would that be the right way to look at, because this is a fairly complex product, so there are very few players they'll be able to develop their own API, there are many formulation players, but API players are very far and few in between, would that be the right picture?
Keshav Bhutada: No, that is wrong because the API is developed for global market and our facility is already US FDA approved, EU approved, Japan approved, Brazil approved. So, we have global accreditations. So, I think many people will use our API in their formulations launch for US and Europe market in quarters to come if we are promoting it properly.
Harsh: And the competitive environment of Liraglutide is that the API players are far and few because the API complexity is very complex to that extent. And again, formulation players will be very high because they can buy the API from suppliers or the dual suppliers?
Keshav Bhutada: Exactly. Yes, you are right.
Moderator: The next question is from the line of Rahil Dasani from MAPL. Please go ahead sir.
Rahil Dasani: In the last call, we said we would update on the Pemetrexed injection post one quarter of commercialization. So, post-launch, what has been our sales to Amneal and what offtake have they seen for this product if you can provide some numbers?

Keshav Bhutada: Post launch currently Amneal has already sold more than 1,000 vials currently in US market and they are waiting for K Code which is again very important for insurance reimbursement which is expected to come in this quarter. So, post which I feel there will be more sales happening in the quarters to come.
Rahil Dasani: For Albumin, another player by the name of Albumedix, which was acquired by Sartorius, is also into recombinant albumin and has been selling the product commercially for a long time and that too in all the grades, while we use Pichia pastoris they use the Saccharomyces. So, what is the difference in terms of yield and efficiency?
Keshav Bhutada: I cannot comment on their yield and their process because that is confidential and not known to me. But what I can tell you is our process is highly competitive and Albumedix or Sartorius is currently selling this product only as excipient grade. They have been getting the

mselves
qualified for many years. So, that is why currently they have had a good market share in the excipient grade itself. So, what we are doing is we will be offering a combo which will be excipient grade as well as therapeutic use. So, for us, the market will be much wider than Albumedix.
Rahil Dasani: And are we planning to undersell them or go for a premium?
Keshav Bhutada: I think that is too early for me to comment currently because as you know Shilpa is more a B2B partner, so once we are entering into some arrangements in upcoming quarters or years to come, I think we will be able to give you much clear picture.
Rahil Dasani: For the excipient grade, now that we have got the DMF, what sort of interest are we seeing for our product, how many potential customers are conducting stability tests with our grade, something around that?
Keshav Bhutada: Yes, I think currently it is at a very early stage. So, I would prefer to answer this question maybe in upcoming quarters if it is okay.
Rahil Dasani: Okay. And for the licensing part of the business, this quarter's licensing revenue growth, was it led by increased partnering contracts and thus the initial fees or more of the older contracts doing better milestones?
Keshav Bhutada: Yes, it's a mix of both. As I have informed you in the previous quarterly calls also, we are a pure B2B Company, and our focus has always been on developing complex portfolio. So, if you see every quarter we have signed existing deals, we have upcoming milestones also and we have also had a new contract signed. So, from last four quarters, we have successfully signed in every

quarter deal with new clients, which shows that our existing contracts are also giving us revenue as well as new contracts. So, currently in this quarter, it's a mix of both; it's a ratio of maybe around 50:50.

Rahil Dasani: And just to quickly understand a few products in the pipeline, Dr. Clot seems to be a very innovative product and according to our last quarter's presentation, we launched it in India. So, what is the update for this product?
Keshav Bhutada: Currently in Dr. Clot because it is a product which is currently under prescription, we are trying to get approval under OTC, then the market will expand drastically which is a very time-consuming process which we are trying. So, currently I feel our focus is on getting that OTC, after that only we can have a good commercial market share. So, currently, I feel with the mix of so much of portfolio and all, Dr. Clot until we get a OTC permission, we will not have a big commercial business.
Rahil Dasani: Any timelines around that when we expect the approval?
Keshav Bhutada: No, I think so it is purely government-driven, and they have committee approval procedures which we are also doing for the first time. So, I will surely give you a right picture whenever we have some update on that.
Rahil Dasani: And according to this quarter's investor presentation, I saw a new product by the name of SML ODA010. We haven't talked about this before. So, what is this exactly and what is the early launch advantage?
Keshav Bhutada: Yes, that is the product which we have developed in our ODF division, where it is one very unique opportunity majorly in U.S. market where against the current formulation, which is of tablets and capsule, we have developed the ODF product. It is confidential. So, what I can tell you currently is it is a good opportunity where our human clinical studies we have successfully completed, and we are planning to file this product in US sometime in Q3/Q4 FY25.
Rahil Dasani: And for polymers, the supplies to two big customers were to start this year. Do we still stand on that?
Keshav Bhutada: Yes, in polymer majorly, as you know, in the previous quarters, we have already briefed, we are working with one US customer where we have supplied them initial

pilot quantities and now,
we are expecting big launch orders in the upcoming quarters. So, that is the update with first US client. And in the Q1 FY25 we could successfully secure one good order from a US MNC client which was the initial pilot order, but this is a complex polymer and if we are successfully delivering them, then this will be again a good long-term opportunity for us. So, we will be able to give you more picture on the upcoming quarters once the successful delivery is done.
Rahil Dasani: We were previously guiding for 15 to 100 crores of target. So, how much of that do we see from these two customers that we have talked about?
Keshav Bhutada: No. What we have mentioned is in a mix of CDMO-Peptide-Polymer, together it will give us a decent top line and bottom line. That is what we have given as indication. So, I will not be able

to disclose on client-specific details as to what will be the order value and how much it will be. But I can tell you as a mix of these three combo segments, there is good potential for us not only from top line, but also a very good bottom line.
Rahil Dasani: I guess, but you are confusing it because in the previous con calls we have said to get 100 crores of target in the next two to three years from Polymer segment alone?
Keshav Bhutada: Yes, in two to three years, that is what we have kept it as a target, and we are on it for sure.
Rahil Dasani: So, that's what I am just trying to understand, are these two customers enough for that or will we need more customers to achieve that target?
Alpesh Dalal: Rahil, I think as Keshav had mentioned earlier, these are early days to comment on some of these aspects. So, we are talking about a two to three years’ timeline. We will need to wait and watch how it develops.
Moderator: The next question is from the line of Tushar from MK Ventures. Please go ahead, sir.
Tushar: First, a quick understanding on Albumin. In the Albumin clinical trial, there is no efficacy data point, right, for us. So, Phase-III is essentially just an extension of Phase-I trial with more participants, right, or are there any specific efficacy data points also that we are going to observe?
Keshav Bhutada: No, Phase-I is more like a pilot study where we have also evaluated efficacy. So, Phase-III will be more extrapolation on a greater number of subjects and Phase-III is more done on a patient-based study with specific indications. So, that is the difference.
Tushar: And in terms of the excipient grade, now that we filed the DMF, what is the process in terms of when we approach clients, can they already include the product in their dossier or do we need to

wait for the excipient grade approval before they can start to include it in their plans, how does this work?
Keshav Bhutada: So, initially what clients do is because we have drug master file ready, right, so it's more like API selling where they will start taking the initial quantities and dial up their formulation and then they also register our product with their product with our API like Albumin API.
Tushar: And for the therapeutic grade, can you highlight if we are already in any kind of conversations with any of the global players, because now that we have a visibility over the near-term, are there any kind of conversations we are already engaging in or expect to engage shortly for business development?
Keshav Bhutada: I think it's too early for me to comment, Tushar. So, I will maybe update in the future quarters.
Tushar: Second, this quarter, the other income is on the higher side. In the past, management has highlighted that some of this other income is essentially operating income for us, but we route it

through other income. Maybe if you can just clarify again how much of this Rs 9 CR or Rs 10 CR other income is actually the operating incom

e of business-related income and how much of it is maybe interest income or otherwise?
Alpesh Dalal: So, Tushar, half of this income is interest related income, which is purely based on some FDs that we had created out of the QIP proceeds and the other half is more in the nature of other kind of incomes including some write-backs that we may have in the business and all, because ideally when the expense hits you, it is part of operating expenses, but if there is some write-back that happens, that goes and sits in other income.
Tushar: And the licensing income that we have booked for this quarter, does it include a component from Unicycive already?
Keshav Bhutada: Yes, there is a very initial milestone of Unicycive currently.
Tushar: So, this licensing income that we have booked, right, so we did about Rs 150 crores licensing income last year. And is it fair to expect that as some of our programs start to come towards commercialization or late stage that we should be able to maintain or better the overall licensing component, independent of whatever else we do in formulations, within the licensing income is sustainable and can further be strengthened this part of the business?
Keshav Bhutada: Yes, Tushar, it is very sustainable, and you will observe that in quarters to come.
Moderator: The next question is from the line of Dheeresh from WhiteOak. Please go ahead Sir.
Dheeresh: Alpesh, in the presentation, in the revenue breakup, we have given API and formulation. So, API is about Rs 173 cr, formulation is another Rs 104 cr and then there is excluding other income total revenues are Rs 293 cr. So, what we add up, there is still a gap of about Rs 17 crores. So, what explains between Rs 293 cr and what we add up Rs 104 cr and Rs 172 cr, Rs 276 cr. So, that extra balancing Rs 17 cr is what revenue?
Alpesh Dalal: Dheeresh, if you see, there is also biologicals piece that we have mentioned here, which is about Rs 15.5 crores, if you refer to Slide #4 that will explain you the entire pie.
Dheeresh: . And this Unicycive, when we are going to supply both API and formulation, right, in API there is a CDMO segment, so we will show that in CDMO API in the revenue classification that you have and when we supply formulation, we will show it in the geography breakup, how are you going to bifurcate, or you just put everything in CDMO which is in API?
Alpesh Dalal: So, first and foremost that here the API will be supplied by our API unit to our formulation unit and formulation unit will be supplying the final product to Unicycive. Now, currently we have the licensing fee coming into it, but as we go along, the way it shapes up, the sales from API to formulation as in standalone API business would feature as a CDMO revenue and likewise it will come up in the geography in our formulation business.

Dheeresh: That will show up in the US revenue in the formulation, right?
Alpesh Dalal: Right.
Dheeresh: How much is the CAPEX requirement this year, next year?
Alpesh Dalal: I think we have mentioned that for the year we have about Rs 125 crores kind of CAPEX requirements in toto, about Rs 50 crores for our Albumin project, about Rs 50-odd crores for our maintenance CAPEX and all and around Rs 25-odd crores for our Tranexamic Acid expansion, that's the full year number.
Dheeresh: And how much R&D is capitalized?
Alpesh Dalal: So, in this Q1 from a cash flow perspective, we have done Rs 58 crores, because that also includes certain advances that we would have paid and all.
Dheeresh: Rs 58 cr total. How much expense and how much through the balance sheet?

Alpesh Dalal: No, there's no expense in this. No, these are all balance sheet items. Only thing is some of them are part of CAPEX and some of them are sitting there as advances for CAPEX.
Moderator: The next question is from the line of Ranvir Singh from Nuvama Wealth. Please go

ahead, sir.
Ranvir Singh: Sir, my question is related to the UDCA. So, just wanted to understand how big this UDCA opportunity could be? And what I understand the raw material has been very scarce. I wanted to understand the whole business of the UDCA because of the sourcing of raw material and plus earlier we used to have a joint venture where this was a key product. So, after launching this, is there any conflict with the erstwhile joint venture for this product?
Keshav Bhutada: No, I think, see, UDCA has the opportunity. We are very bullish on the opportunity only because the market and the application for this product is very big and there is a worldwide very big consumption and the major players in this product has been over the years mainly Europe and China. So, in the export market, we are hoping very positive. Having a CEP grade API with complete drug master file support, we will be growing in this product very well. And answering your second question on the joint venture. Joint venture what we had is already concluded I think maybe 2-3 years back. So, there are no implications of that.
Ranvir Singh: I think the erstwhile joint venture is still into this business. So, is there any we are competing?
Keshav Bhutada: It's not in the joint venture, so that is not there currently, it's already completely ended the European supply with our JV client.

Alpesh Dalal: I think your question around, see, we have developed our own independent process, independent of the process which was there in the joint venture. So, there is no conflict with them on that front at all.
Ranvir Singh: Secondly, in CDMO business, I think that two molecules what we are talking about currently where the pre-launch orders are received, so just how big this could be, I think it would be difficult right now but still if you could give some number to understand that whether that is going to be very significant for overall financial perspective?
Keshav Bhutada: No, I think see what we are mainly focusing in our API business is to build more complex and long gestating business. So, that once we are securing and once we are entering with the clients in their Phase-III supplies, then it's a long-term business for us. So, in the years to come, maybe with the announcement of Unicycive Therapeutics, which already you would have read, which is the first CDMO supplies where we have made a long-term agreement with the client. So, I can tell you we are planning to do similar such arrangements in the quarters to come so that will give us more assurance on the long-term business.
Ranvir Singh: And last one is on taxes in front, what tax rate we are expecting for whole year for FY25?
Alpesh Dalal: Typically, our tax rates are in the region of about 35%-odd. For the quarter it has been on a bit higher side mainly on account of intercompany interest which has been there where the income is getting accrued in a higher tax Company as compared to the expenditure getting booked in a lower tax Company. Some of that we are correcting right now where certain loans have been already converted into equity, which you would have read in one of our notes as well. And in certain cases what also happens is that because some loans are given for pre-capitalization stage, the interest over there does not get hit to P&L. So, there the income is getting charged to P&L but there is no expense-related benefit coming into for that interest payment. These have resulted into higher tax rate for the current quarter, but generally we should be able to maintain it in the region of about 35%.
Moderator: The next question is from the line of Yash Mehta from Art Ventures. Please go ahead Sir.
Yash Mehta: Can you throw some light on the EBITDA margins? They have expanded considerably this time? And can you guide on what kind of EBITDA margins do you aim to maintain in this financ

ial
year?
Alpesh Dalal: See, the main reason for the EBITDA margin improvement is the mix that we've had. Some of this licensing income also helps in that because compared to that licensing income, the related costs are lower. Also, we see decent growth has happened in the formulation business, which is a better margin business as compared to API. So, some of these businesses mix related aspects have contributed to improved margin and obviously as we have been mentioning it since the past few quarters that we are very actively looking at more efficiency in our operations and also keeping our costs under check. So, this is a combination of all these efforts which you are seeing

in the improvement in the EBITDA, and we expect that the EBITDA should remain in similar

kind of range.
Yash Mehta: Any guidance on the revenue for FY25?
Alpesh Dalal: I don't think we would be in a position to provide any guidance first. That's something that is a policy we do not do.
Moderator: The next question is from the line of Prisha from Molecule Ventures PMS. Please go ahead.
Prisha: My first question is on the formulation side. So, if we look at the breakup, the US formulation segment has come down from Rs 30 crores to Rs 10 crores if we compare it on a quarterly basis. So, could you please explain the reason behind this because as far as the data goes, the contribution from Pemetrexed injection was supposed to come from this quarter. So, what caused this kind of performance in that segment and then how much of that was contributed by Pemetrexed?
Keshav Bhutada: See, there are two aspects here. In Pemetrexed for U.S. business, we are having an arrangement with our partner where we supply them at a floor price and then we have a profit sharing. So, whatever sales revenue you will see in the last quarter in the US, which was for one-time supply for the US market, which we have done at a floor price, and for which we will be expecting in quarters to come, a profit share also which you will see it will be in the US sales income which you will see in the upcoming quarters to come. So, as I already mentioned in Pemetrexed case, there are two code J Code and K Code. So, J Code for the premium pricing already secured. So, once K Code which is the reimbursement code approval which we are expecting in this quarter, once we receive that, then you will see a jump in the sales in the upcoming quarters.
Prisha: Because let's say last quarter Rs 30 crores and this quarter Rs 10 crores, so how much was contributed by the Pemetrexed if you can give the break-up?
Keshav Bhutada: In the last quarter, Pemetrexed contributed as a total revenue of Rs 20 crores.
Prisha: And in this quarter?
Keshav Bhutada: This quarter it has not given any contribution because the supplies were one-time which was done in the fourth quarter.
Alpesh Dalal: They were all launched earlier.
Prisha: So, you are seeing the profit-sharing sales income will start coming from next quarter?
Alpesh Dalal: So, partially it has started coming in, but it takes time for things to come in. So, I think these are early days for a product launch and we will have to wait for it to take shape and develop.

Prisha: Sir, my next question is on debt. So, in the previous con call you had mentioned that the prepayment option will get active in August. So, has the timeline changed or are we on track to repay or sort of prepay our debt in this month and what amount will be prepaid in August and if I am not wrong, the entire amount will be long term debt, correct?
Alpesh Dalal: We are on track to prepay as we had mentioned earlier. We have earmarked Rs 300 crores out of the QIP raise that we had done and that is something that we would prepay during this particular month. We are on track for it. And this prepayment is happening towards NCD

which
is a long-term debt.
Prisha: My next question is on the third biosimilar which you have mentioned in this PPT, which is Pembrolizumab. The market size that we have mentioned is huge, around $28 billion. Can you provide us with more details with respect to let's say the development of the biosimilar or the milestones that we are looking at in future regarding this product or when do we plan to launch it and other details like that?
Keshav Bhutada: See, on Pembrolizumab, as it is very important development in our pipeline, so in quarters to come what you should observe is how the product is moving from large scale development to validation stage and then the clinical studies. So, what is important for us is as a pipeline we have taken that molecule already increased, and we have finished initial lab scale development already. So, in quarters to come we will be moving the product from lab to clinical studies.
Moderator: The next question is from the line of Neha Karodia from Abakkus. Please go ahead.
Neha Karodia: Sir, first question was regarding the Albumin. So, please correct my understanding if it's wrong. So, for excipient grade can we expect a launch in FY26? I understand that therapeutic grade launch can be a little later maybe in FY27 once we complete the clinical studies on that.
Keshav Bhutada: See, in albumin, in excipient grade, there is nothing like a launch because once we have drug master file, right, we will start feeding our samples or we will start selling initial small quantities in various markets in the quarters to come. So, important is in the quarters to come, we will see how the traction is, how the market is taking volumes. So, I will be able to give you a right picture in the upcoming quarters. So, currently I am not in a position to give you a right picture.
Neha Karodia: And also, other question was about this line item of loss from JV and associates which has increased in this quarter versus YoY as well as QoQ. So, if you can maybe help us understand more details about that?
Alpesh Dalal: With one of our associate companies, we had a certain balance. Now, in that case there were

certain losses that were reported in the earlier period when we received the financials, we had to take those into account and that has been corrected during this particular quarter.

Neha Karodia: On the tax rate, as you explain that it will be 35% overall broadly in that range for FY25, but FY26 onwards, can we expect some moderation there or more normalization or it can remain in that same range only?
Alpesh Dalal: Neha, let's take one thing at a time, right. We will talk about that in the coming periods.
Moderator: The next question is from the line of Sanjay Kumar from iThought PMS. Please go ahead Sir.
Sanjay Kumar: First is on albumin. Do we plan to out-licensed before Phase-III itself or will it happen after Phase-III? I just want to understand our strategy given both efficacy and safety are established.
Alpesh Dalal: See, some of these are strategical things which are fairly confidential from a corporate perspective and as Keshav had explained that we are initiating our Phase-III studies. So, this is probably not the right time to have these kinds of discussions from a corporate perspective.
Sanjay Kumar: Do we plan to start US specific trials for this?
Keshav Bhutada: Yes.
Sanjay Kumar: Any timelines for that?
Keshav Bhutada: Now, since our Phase-I study is completed, so same as Europe and US also we will be submitting this data and once we have response from the agency, accordingly the timelines will come in picture. So, I think we will have a more picture in maybe by Q3 FY25.
Sanjay Kumar: Second is on Liraglutide. When can we start the commercial sales, do we have any firm orders because one Indian Company is launching this financial year, two more in FY26, but all three have existing pa

rtners I am told. So, our launch cannot be or will not be before FY26, is this a right understanding?
Keshav Bhutada: No. See, because we were waiting for the drug master file to be ready because that is very important for anyone to use our API, which has been made ready just in 1st Quarter. So, you will see in quarters to come, there will be sales for this product which will slowly start ramping up also. And about the source qualification, see, because no one will wait for the launch and then start adding source, everyone in the development, once their filing is done, they will start adding additional sources for launch so that they are more competitive in the market. So, there are possibilities where we will be starting to get qualified in the formulation source of some of the clients.
Sanjay Kumar: And finally, is on biologics, 8 KL Mamillian facility is yet to be utilized, so we've added one US client, we've added two more CDMO customers. Are these expected to add two more in Q2 FY25, are these for mammalian facility, can you talk about the therapy, are there indication for these three customers?

Keshav Bhutada: Since we are under confidential agreement with this customer, so I will not be able to tell you about these things, but what I can tell you is we have a mix of mammalian microbial projects.
Sanjay Kumar: The South Korean CDMO, the peptide molecule, once we start the GMP supplies, can we utilize our 2 KL microbial facility at Dharwad just from this or we need more such molecules?
Keshav Bhutada: No, we can utilize it.
Moderator: I would now like to hand the conference over to Mr. Alpesh Dalal for closing comments.
Alpesh Dalal: Thank you, all. Thanks for your continued interest in Shilpa Medicare. We continue to remain available to you for any further questions or queries that you may have, and we will speak to you soon again. Thanks a lot for joining our call.
Moderator: On behalf of Shilpa Medicare that concludes this conference. Thank you for joining us and you may now disconnect your lines.
(This document is edited for readability purpose)

Call: Nov 2024

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To
Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001. National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.
Dear Sir/Madam,
Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED
Sub: Transcript of the Q2- H1 FY 24-25 Conference call
In furtherance to our intimation dated 8 November, 2024 with regard to the Q2- H1 FY 24-25 Conference call held on Thursday, 14 November, 2024 at 05.30 PM IST, please find the enclosed transcript of the call.
Thanking you
Yours faithfully,
For Shilpa Medicare Limited,
Ritu Tiwary
Company Secretary & Compliance Officer

"Shilpa Medicare Limited
Q2 and H1 FY 25 Earnings Conference Call"
November 14, 2024

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR –
SHILPA PHARMA LIFESCIENCES LIMITED
M R. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED

MODERATOR : MS. RUNJHUN JAIN – EY INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Shilpa Medicare Q2 and H1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Runjhun Jain from EY Investor Relations. Thank you, and over to you, Ms. Jain.
Runjhun Jain: Thank you, Neerav. Good evening, everyone, and a very warm welcome to you. To take you through the results and answer your questions today, we have the management team from the company represented by Mr. Keshav Bhutada, Executive Director of Shilpa Pharma

Lifesciences Limited; and Mr. Alpesh Dalal, Chief Financial Officer.

Please note that the financial results and the presentation have been uploaded to the company's website and on the exchanges. This conference is being recorded and the transcript along with the audio will be available on the website of the company as well as exchanges. I would like to remind you that today's discussion might include forward-looking statements based on the current expectations and assumptions.

These statements are subject to risks and that could cause actual results to differ materially. Investors are cautioned not to place undue reliance on these forward-looking statements which speak only as of the date hereof. The company undertakes no obligation to publicly update or revise any such forward-looking statements whether as a result of new information, future events or otherwise.

With this, now I'll hand over to Mr. Keshav for the opening remarks. Over to you, Mr. Keshav.

Keshav Bhutada: Thank you, Runjhun. Good evening, everyone. Thank you for joining us today to discuss our Q2 and H1 FY25 results. It has been a very exciting quarter for us, full of excitement where we had multiple complex product filings and few approvals, which gives us confidence that we are in the right path for monetizing our assets.

Now I will start briefing about various business segments in which Shilpa Group is invested. So let me start with the API, which is the core business for us. Under API, we have mainly 5 main verticals in which oncology business, where our first client program, which is an NDA program for the US client, where the client has received breakthrough designation from FDA for which the orders were received for the Phase III clinical studies for which the partial quantity supplies were done in current quarter.

The second NDA program for our US client, which is currently under Phase III, the program is on track as per our customer and they are planning to complete the clinical study by next year. Multiple filings were done in the oncology segment by us where Nilotinib which was first DMF with our captive formulation with a non-infringing strategy. The European DMF, it received approval in the current quarter. Lenvatinib, Europe DMF also we have submitted in the current quarter.

And apart from that, 2 new product validations are already initiated, and we are planning to finish those validations by Q4 FY25. Multiple captive formulation launches are expected in upcoming quarters for which we have our own API, which will in turn help us in growing our oncology business for API. We have also seen a slow increase in the quarter-on-quarter uptake from our biggest customer in the oncology side, and we are seeing slowly a traction and increase quarter-on-quarter.

Now I will start briefing about non-oncology business with Tranxemic Acid expansion, which was a very important expansion project, which we had initiated in last year is on track. And from t

he Q3 onwards, we are planning to start the validation batches, and we will start having commercial supplies from Q4. For the UDCA, in the last quarter, we had received CEP. After that, we have seen a good traction from various customers from Europe and multiple rest of the world markets and we have started doing sample feeding for all the customers.

Apart from that, on UDCA, we are also planning to file in US and the US DMF is planned to be submitted in Q4 FY25. Phenylephrine which we had completed the product validation for that, CEP is filed in the current quarter. Two new non-oncology molecules, Mycophenolate Sodium and Mycophenolate Mofetil, we are expecting to start plant validation in Q4 FY25.

Now I'll start briefing about CDMO business, in the current quarter, we have started the dedicated block creation, which we are planning to do it for our current partner, Unicycive Therapeutics and the block is expected to commission in next financial year. Among multiple CDMO programs, which currently are going on for one of our partners for US, where we are developing for their NCE program, API and formulation. I'm happy to share that the client has received fast track designation from FDA, which again helps us in giving more confidence that we are working on multiple complex programs.

Now I'll start briefing about peptides and polymers. In peptide and polymer, our first product, Desmopressin, we have received CEP. And again, here, we have started giving samples to various customers. Our second product Octreotide, we have already filed CEP in the current quarter. Apart from that, multiple GLP-1 peptides currently company is seriously working on it, in which Semaglutide lab development is completed in current quarter. And we are planning to take this product for the plant validation in Q4 FY25. Teriparatide, which is the product peptide, which we had developed for osteoporosis, the product lab validation is completed in current quarters.

And on the polymer side, we had received order for one of the complex polymers from one of the big pharma, where in the current quarter, we have finished the initial development quantity supply for them, which they are planning to use in the ADC program.
Now I'll move to the formulation division, where in formulation, we have had lot of filings as well as few approvals. So first, let me start with Nilotinib which is the non-infringing formulation, which we have developed for which we are expecting a launch in Q3 FY25 where already we have partnered with the number one generic company in Europe. Axitinib, which is a second product in Europe, we have received approval in the current quarter. And we are planning to launch this product upon patent expiry, which is likely to happen in next financial

year. Pemetrexed RTU, where already company had received NDA approval, we are seeing good sales traction. And quarter-on-quarter, there is a steady increase in the sales. Second NDA product, which is Bortezomib RTU, which is a subcutaneous injection, for which we are the only company currently in the US to offer ready-to-use subcutaneous injection. We received NDA approval in current quarter and the launches are expected to happen in upcoming quarters. Where already company has partnered in US. Our product Rotigotine transdermal patch is also filed in Europe, which is a very complex product where there were multiple studies which were involved, which were very complex. So, we have successfully completed that, and we have already filed this product with our partners. And for the said product already company has partnered for launch and likely we are expecting approval in the next financial year. And then subsequently, we will do launch.
SMLNUD07, which we were developing for non-alcoholic fatty liver disease, the product Phase III studies were completed, and we have filed this product in India.

Company is strongly focusing
on developing multiple products on the GLP-1 especially on the diabetic side. So, for all the peptides, which we are developing API, we are also planning to develop formulation so that our focus on GLP-1 is also very much there. And our first product, Liraglutide formulation, validation batches we are planning to start in Q4 FY25.
On USFDA remediation, the company is seriously working as mentioned in the previous quarter, and our remediation activity is expected to complete by end of Q3. And subsequently, we will wait for the further actions from the agency and further way forward.
Now let me start briefing about biologics, where we have invested over multiple years and company is seriously working in this segment where our first product Adalimumab in the current quarter we received approval from multiple additional indications in India market, which will help us in growing market share.
For second product, Aflibercept, which is a complex eye injection, the company has started Phase III clinical studies in current quarter, and we are expecting completion sometime in next year. And subsequently, we will be planning to file this product in India. Two new biologics products, which are complex, among which the first product already in the lab development is completed and now the scale-up activity is getting started. And for the second product, the lab development is ongoing.
On the CDMO side in biologics, the first project, which we are working with the Korean customers, all the deliverables are completed for the current preclinical studies for our clients and the subsequent orders are expected in upcoming quarters. Our second CDMO project, which we are developing for a US customer, the first phase of the development of all our clients, we have successfully completed and now the project is expected to enter into second phase of development.
On the third CDMO project for US client, we are expecting to complete the development phase for the third client in current Q3 FY25. In the current quarter, 2 new CDMO projects, we have signed where the development activity is getting started in Q3 FY25.

Now let me update you about recombinant human Albumin where I'm happy to share that our Phase I human studies were completed and successfully, we have submitted our application for Phase III clinical study to DCGI in India. And we are expecting to start the Phase III clinical study post approval from DCGI. Also, the USDMF for the Albumin is already filed and now for the excipient grade and multiple other applications, we will start doing sample feeding to various

customers.
And last but not least, on our CDMO partner Unicycive Therapeutics in the Q3 FY25, they have received NDA acceptance with the US FDA, which we have recently announced, which is very important milestone for the company, and we are expecting approval in next financial year.
As we move forward, we are confident in our ability to drive growth and success, our unwavering commitment to innovation, combined with our strong financial position enables us to capitalize on emerging trends and solidify our leadership position in the industry. I will now hand over to Alpesh, who will provide a detailed financial overview for the quarter.
Alpesh Dalal: Thanks, Keshav, and good evening, everyone. Let me briefly take you through the financial performance for the second quarter and half year ended September '24. Our revenues for the quarter stood at INR349 crores. That's a growth of 11% year-on-year and 16% sequentially and this was mainly driven by our formulations business, which witnessed very healthy growth in emerging markets as well as in the licensing segment.
And the EBITDA for the quarter was at INR91 crores as compared to INR62 crores in Q2 of last year and with a strong 46% growth year-on-year. And EBITDA margins were 26% vis-à-vis 20% d

uring the same quarter last year. I'm also happy to inform that Q2 FY25 was the eighth consecutive quarter of improvement in sequential EBITDA that we have witnessed.
The higher EBITDA led to better PAT which stood at INR18 crores for the quarter versus INR1.6 crores in Q2 FY24, while PAT margins improved to 5%. Additionally, I'm also pleased to inform you that during Q2 FY24, our Biologics business under Shilpa Biologics has turned positive at net profit level for the first time.
Now moving on to our half yearly performance. Our total revenue for the first half of current financial year stood at INR651 crores, recording a 13% year-on-year growth. And EBITDA for the same period was INR174 crores as compared to INR112 crores in last year. So that's a strong 55% year-on-year growth that we have witnessed. Margins also improved to 27% as compared to 19% last year.
Our PAT for the first half was INR32 crores, and PAT margin again was at 5%. Interestingly, the PAT at INR32 crores during first half is slightly higher than the entire profit for the whole of last fiscal year. So, what we have done the whole of last year, we have already achieved PAT level in the first 6 months of the current financial year.
Now coming on to the segmental performance. Our API business clocked revenue of INR193 crores, which is down by 13% year-on-year and 12% sequentially. And formulation revenues for the quarter were at INR120 crores. That's a growth of 40% year-on-year and 15%

sequentially. Let me also give you a quick overview of our balance sheet and cash flow positions. Our net debt was INR489 crores as on 30 September 2024.
During the quarter, we repaid NCDs of INR300 crores out of INR450 crores and our finance cost during the quarter includes a onetime charge of INR8.3 crores for the proportionate issue related costs that were to be amortized over the entire life of NCDs, which have now been fully accounted for on account of prepayment.
The prepayment is also likely to result in interest savings of INR5 crores in a quarter compared to the current quarter cost that we reported. And on the capex front, our capex in the second quarter was at INR56 crores, which was majorly on account of the Albumin facility that we are setting up. With that brief financial overview, I would now like to open the session for Q&A.
Moderator: The first question is from the line of Sanjay from ithought PMS.
Sanjay: Congrats on a good set of numbers. First on the second CDMO project for Fill-finish, I think it has been signed for existing customers of the US market. Is the Fill -finish just vials or have we retrofitted our Fill-finish facility with cartridges, so that we can cater to insulin and GLP-1s.
Keshav Bhutada: Yes. The current project, what we have signed is for a vial. But in our current biologic facility, we can even do cartridge filling, which are currently mainly used in GLP-1. So, the facility is well equipped to do both vial and cartridge filling.
Sanjay: What would be the capacity in terms of say pens or cartridges, how many millions? I think 30 million, right, roughly?
Keshav Bhutada: Sorry, I am not aware about the exact capacity. So maybe on that, I can send you over the mail separately.
Sanjay: So, given that innovators are moving towards GLP-1s, is there a plan for us to focus on rest of world (ROW) insulin market. Our Dharwad microbial facility can be used for it, right? And even in the Kadechur new greenfield facility till Albumin is stabilized or ramped up, can we use that plant for insulin and GLP-1 drug product.
Keshav Bhutada: I think currently, we are not working on insulin because we have a lot of pipeline work on which

we are focusing on monetizing. But yes, in the Dharwad facility or in the new fermentation facility, we are planning to do some fermentation products which are used in GLP-1s. But currently, these are at early s

tage of evaluation. I will be able to give you a clearer picture in the upcoming quarters.
Sanjay: Okay. The third CDMO project, tech transfer is ongoing for NBE project. If you could use the therapy or the market size for this NBE.
Keshav Bhutada: Yes. We are not aware about the market size because usually in the CDMO contracts, we don't get to know that, but it's a project which is currently into early stage and entering Phase I studies. So, I think it is too early for us to comment there.

Moderator: Next question is from the line of Monish Shah from Antique Stock Broking.
Monish Shah: So just a few questions on your Formulations division for Pemetrexed that you said that K-code approval has come now. So, can you help us understand what is the expanded market size and the opportunity versus earlier?
Keshav Bhutada: Currently on Pemetrexed, the most important part is, as you know, we have to get the insurance reimbursement as well as premium pricing. So, both the things are currently completed in Q2, in which one of the J-code we were granted in Q1 and then subsequently, we got K-code granted in Q2. So, the main market share traction, we will see starting from Q4 or Q1 of next financial year.
So, at that time, I'll be able to give clearer picture, but slowly quarter-on-quarter, we are seeing increasing uptake of volumes.
Monish Shah: Got it. And this will remain a limited competition product, right?
Keshav Bhutada: Yes, you're right.
Monish Shah: Okay. And secondly, on Nilotinib that we are ready for launch now. This product, is it likely to remain an exclusive product for us for a few quarters or do you think competition will come in?
Keshav Bhutada: We expect some competition to come in next financial year for sure. But for this current financial year, I think it will be a limited competition, and we will be one of the earliest movers in this.
Monish Shah: Okay. And lastly, on Rotigotine, you mentioned that trials are ongoing, and we submitted, so when do you expect the launch? And can you just help us understand the opportunity size here also.
Keshav Bhutada: See, in Rotigotine, as I mentioned, there are no generic approvals currently, and it's a launch on approval product for us. So, we are expecting approval sometime in next financial year because we have recently filed the product and it's under validation phase. So, after validation phase, we will receive timetable from EU. After that, I think we can give you more accurate timelines.
And coming to the market size, it's a decent market size and being a complex product, we expect less generic competition. So, I think it will be a decent sizable product for us in the quarters to come.
Monish Shah: Perfect. And just a question on tax rate to Alpesh. So, can you give us the outlook for the tax rate, ETR for next year and probably the year after also?
Alpesh Dalal: Yes. So, I think on the tax rate front, there are a few things which we are trying to correct on the interest income generated in the parent entity from especially the foreign subsidiaries. Also, one of the subsidiaries where the operations have not yet started the interest is getting capitalized.
And that's the main reason why we are having this discrepancy in tax rate. Once we restructure these things, we should be in the region of 35% tax rate overall.

Monish Shah: Okay. So, you think 35% tax rate will be effective from second half of FY26 or a little later in FY27?
Alpesh Dalal: Yes. So, the second half of FY26, we should be able to achieve it, hopefully, a little earlier than that.
Moderator: Next question is from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: First of all, congratulations on a very good set of numbers and also for the ongoing debt reduction program. Sir, my first question is regarding the formu

lation segment and US formulation
segment in particular. So, if we see on a quarter-on-quarter basis, our US formulation sales are

up from INR10 crores to INR19 crores.
So, in the previous con call, you had mentioned that there was no contribution from Pemetrexed.
So, I just wanted to check what was the contribution in this quarter since we will now start to get the profit sharing numbers in our book.
Keshav Bhutada: So, the main reason why we are seeing increase in US sales is with Pemetrexed, we are seeing the profit share revenue started kicking in from the current quarter, and it will start growing in the upcoming quarters.
Krisha Kansara: Okay. So, what was the contribution in this quarter?
Alpesh Dalal: Providing some of these specific numbers in relation to profit share is commercially a bit sensitive. So, we may not be able to share exact profit share numbers. So, you'll have to excuse us for that.
Krisha Kansara: Sure. No problem. And sir, my next question is regarding the debt. So, our long-term debt has come down from INR560 crores to now almost INR260 crores. So, congratulations on the prepayment of INR300 crores. Now in our QIP, we raised close to INR430 crores for reducing our debt. So, we have the balance of INR130 crores. When do you plan to prepay that remaining debt using our QIP money. Any guidance on the timeline?
Alpesh Dalal: So as far as QIP money is concerned, it has been fully utilized. And the balance money that you were talking about was utilized immediately on receipt of QIP money because that was used for reducing our working capital debt. So, this was to be timed in the month of August, the NCD payment. So that was the last piece that was pending. But everything else apart from the INR300 crores was fully utilized into the operations in the first quarter itself.
So, as we speak, entire QIP proceeds have been utilized for the purpose for which it was raised, and our monitoring agency also has given us a report specifying that it's been closed now. Everything has been utilized.
Krisha Kansara: Okay. And sir, our CDMO customer, which has recently received the fast-track designation. So, did we receive any kind of a development fee or a milestone fee in this quarter from our CDMO customers? Since we supply the initial quantities to them?

Keshav Bhutada: No, this is only a pure supply arrangement. Here, we don't have any milestones because this is the API supply.
Moderator: The next question is from the line of Bhawani Somani from Krijuna Research.
Bhawani Somani: Sir, first of all, congratulations on the great set of numbers. Sir, my question was like right now, we have the share pledge of the promoters. So, for what purpose are they utilized?
Alpesh Dalal: See the current share pledge is of a very small quantum of the total promoter holding, which is there, that was for a short duration requirement that they had which they wanted funding for. So again, it is expected that in the next 6 to 9 months' time, the same should get cleared as well. This was for some of their personal requirements, a very small requirement for which they had placed a small percentage as pledge.
Bhawani Somani: Okay. Are you planning any further debt reduction in this financial year?
Alpesh Dalal: So, basically, if you look at our cash flow, we have been generating sufficient cash flow at operating level, but we also have some capex for our Albumin facility going on and some capacity enhancement, which is happening in Tranxemic Acid plant. So, depending on when it comes up and what are those requirements, the additional cash flow that we generate out of operations, we are using that to reduce our working capital borrowing. But NCD borrowing, we will not be reducing from any of our borrowing yet in this financial year.
Moderator: Next question is from the line of Maruti Nandan Sarda, Individual Investor.
Maruti Nan

dan: Congratulations for delivery of a great set of numbers. I want to understand, what the management thinks in terms of 5-year vision for the company. Where do you want to see it at the end of 5 years? And what's the plan? How you're going to do it basically?
Keshav Bhutada: So, I think to answer where we are going forward and in 5 years, I think, you have seen the Shilpa history. So, our main focus has always been to grow as a company as a one-stop solution. So, in 5 years, you are currently seeing we are into small molecules, we are into biologics, we are into Albumin, we are into formulations. So, the main focus is to monetize these assets. And in 5 years, if we do this itself properly. We will see that great numbers happening, which we have been seeing from last 8 quarters. So, the main focus what management is currently into is focusing on complex products and not only developing it, monetizing them at the right time and then having a clear launch strategy for each product and partnering at the right time. So that as a company, we are well established, and everyone recognizes us as a company which is into all the segments.
Moderator: Next question is from the line of Neha Kharodia from Abakkus Asset Managers.

Neha Kharodia: Sir, just wanted to understand about the weakness in the oncology API business. So, Keshav, you also spoke about the slower pick up from one of the clients, but any other reasons into that?

Keshav Bhutada: The main dip in the oncology business, if you see quarter-on-quarter, there has not been any increase nor decrease. But if we see against large financial year, there has been a decrease. And the main reason is because of our major customer, Intas, who had received the FDA warning letter in last financial year. And over last multiple quarters, they have worked on remediation of that.

And now we are seeing quarter-on-quarter a slow uptake from them. And I think in the upcoming quarters, we should see good traction with Intas also. And if we see the total business from Intas for last financial year to this financial year H1, we have seen almost a big decrease, but we have been still able to sustain that decrease in business.

Neha Kharodia: Okay. So as that business recovers, how should one look at the growth in the oncology as well as non-oncology, if you can also talk about that.

Keshav Bhutada: See, on the future numbers, I think I am not in a right position currently to specify that. But I can tell you that currently, it's not about our external sales. Our main focus is on our captive formulations, where if we go on launching all the products which we have planned, in the upcoming quarters, we will see a good traction and good growth in oncology as well as non-oncology business.

Neha Kharodia: Okay. So, we may not speak about the exact numbers, but one should look at the single-digit growth going forward? Or we can expect even further improvement considering contribution increasing from the newer products as well as from the recovery of the lost business.

Keshav Bhutada: Yes. I think, surely, you can expect a single-digit growth. And in the upcoming financial year, we are very positive of even double-digit growth.

Neha Kharodia: Okay. And also in the presentation, you have mentioned about 3 new CDMO client additions in the API business. So, any color into those projects?

Keshav Bhutada: Yes, these are 3 new projects. So, this is a cycle in CDMO where every quarter, we will keep adding some clients. And this is, again, a program which is currently started into development phase.

Neha Kharodia: Okay. And any color into the potential of these projects like how should one look at it?

Keshav Bhutada: No, in CDMO, we can give the right picture when the program is in the advanced stage, maybe in Phase II or Phase III and close to commercial launch. But up to development and Phase 1 supply, it's

more about milestones and their deliveries.

Neha Kharodia: The Europe business, that has remained weak year-on-year as well as sequentially. So, just wanted to understand the reason behind it and how should one look at it going forward?

Keshav Bhutada: In the Europe business, the main focus, what we are having is on Ursodeoxycholic Acid API, which I mentioned in call, where we were waiting for the CEP approval for that. So, you will see a good increase in the Europe API business in the upcoming quarters.

Neha Kharodia: Lastly, on the tax rate. So as Alpesh has mentioned that we should expect that to come in the region of about 35% from, let's say, H2 FY26 or earlier. But even till then we should see sequential decline or any further color into that?

Alpesh Dalal: As I mentioned that we are working on various aspects to reduce this particular effective tax rate, this is broadly because of certain intercompany transactions that we have got. So, we are working on that. We should start seeing some improvements there as well, but I will not be able to provide a complete color on this from a timing perspective as to how much will happen at what point in time.

Moderator: We take the next follow-up question from the line of Krisha Kansara from Molecule Ventures.

Krisha Kansara: I have one question on Albumin. So, we are expected to start the Phase III trials by early next year. So, if you could please guide us on the timeline of, let's say, excipient grade Albumin versus the therapeutic grade Albumin. Since you are expected to start the filing formalities in, let's say, FY26 or FY27 early. So, will this finally pertain to excipient grade first and then we will move to therapeutic grade. So, I wanted that timeline on both the types of Albumins, if you can guide us on that?

Keshav Bhutada: See, on Albumin, as you know, there are 2 applications. One is excipient grade and second is

therapeutic grade. So, in excipient grade, now we don't have to wait for any of the filings. And currently, since we have already drug master file for this product. So, anyone who gives us the inquiry for samples or for future quantities, we are in a position to start that business. So, we are already starting to work on that. And when we have a good picture on that, we'll surely update all of you, And, now coming to therapeutic use, yes, you are right, we are planning to start Phase III clinical study sometime early next year. And the study duration is 1 year and after that, we will be filing this product. And then subsequently, we will be launching.
So, sometime in FY27 is something we should be able to file and get approval for the launch.
Krisha Kansara: So can you guide us on the end usage for therapeutic grade Albumin. What would be the majority end users? Or are there any new areas or new end user industries opening up for Albumin, just a color on that, if you can give.
Keshav Bhutada: Yes. See on the therapeutic use, the main application for which Albumin is used is to maintain blood osmotic pressure. But apart from that, Albumin is widely getting used now into vaccines, in drug deliveries, in cell culture grade. So, like I can list down more than 20, 25 applications that are there for usage in Albumin; in cell and gene therapy also, many companies are using it.
So, the market is expected to grow year-on-year, and multiple applications are getting discovered in this.
Krisha Kansara: Okay. But can we say that a majority of Albumin will be used as cell culture media, like that will be the major end usage.
Keshav Bhutada: No, the major end use in Albumin is in therapeutic use which is mainly used in hospitals to maintain blood osmotic pressure.

Moderator: As there are no further questions, I will now hand the conference over to Mr. Alpesh Dalal for closing comments.
Alpesh Da

lal: Yes. Thank you, everyone, for your continued interest in Shilpa, and we'll continue to keep interacting with all of you. Happy to answer any follow-on questions that any one of you may have. You can reach out to the company through our Investor Relations team. Thanks a lot.
Moderator: Thank you very much. On behalf of Shilpa Medicare Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you
(This document was edited for readability purpose)

Call: Feb 2025

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To
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P.J. Towers, Dalal Street,
Mumbai – 400 001. National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
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Dear Sir/Madam,
Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED
Sub: Transcript of the Q3 FY '25 Conference call
In furtherance to our intimation dated 4 February, 2025 with regard to the Q3 FY '25 Conference call held on Tuesday, 11 February, 2025 at 11.00 AM IST, please find the enclosed transcript of the call.
Thanking you
Yours faithfully,
For Shilpa Medicare Limited,
Ritu Tiwary
Company Secretary & Compliance Officer ~ I Innovating for .... affordable healthcare

“Shilpa Medicare Limited
Q3 FY '25 Earnings Conference Call”
February 11, 2025

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR –
SHILPA PHARMA LIFE SCIENCES LIMITED
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED
MR. MONISH SHAH – HEAD, STRATEGY AND INVESTOR
RELATIONS – SHILPA MEDICARE LIMITED

MODERATOR : MS. RUNJHUN JAIN – EY INVESTOR RELATIONS

~ , Innovating for ~ affordable healthcare Innovating for
affordable healthcare
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1 I with confidence

Moderator: Ladies and gentlemen, good day, and welcome to the Shilpa Medicare Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode,

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Runjhun Jain from EY. Thank you, and over to you.
Runjhun Jain: Thank you, Yashashri. Good morning, and a warm welcome to everyone. To take you through the results and answer your questions today, we have the management team from the company represented by Mr. Keshav Bhutada, Executive Director of Shilpa Pharma Life Sciences Limited; Mr. Alpesh Dalal, Chief Financial Officer; and Mr. Monish Shah, Head Strategy and Investor Relations.
Please note that the financial results and the presentation have been uploaded on the company's website and on the exchanges. Note that this conference call is being recorded and the transcript along with audio of the same will be made available on the website of the company as well as the exchanges.
I would like to remind you that today's discussion might include forward-looking statements based on the current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Investors are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof. The company undertakes no obligation to publicly update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.
I would now like to request Mr. Keshav to provide you with a brief update on the quarter. Over to you, Keshav.
Keshav Bhutada: Thank you, Runjhun. Good morning, everyone. Thank you for joining us today to discuss on our Q3 and 9M FY '25 results. It was a very exciting quarter for the company with multiple opportunities shaping up well for supporting us in growing for years and quarters to come. I'll start briefing about the various business segments in which Shil

pa is currently invested, mainly
into API, Formulations, Biologics and CDMO. So I'll start briefing with API business segment.
In API, let me start with the oncology segment, for the current year in the oncology segment, our main focus was on building products which are more complex and where there are not many manufacturers or either it's an import substitute. So many of our existing production blocks where we were manufacturing some old products, we have replaced that with new products and validated them so that for the upcoming financial year, we will have a good growth opportunity in the oncology segment.
So let me start with molecule 1, which is an NCE molecule, which we are supplying to one of the US big pharma client, where they have already received breakthrough designation therapy ,£,_ I Innovating for .,_ affordable healthcare

for one of the cancer treatment. For the current year, all the supplies for the clinical trials have been completed, and there is already a forecast which is given by them for next financial year. And the current clinical trial Phase III is going as planned by our partner. That is the update what we have from our partner.
Now I'll start updating on molecule 2, which is also an NCE molecule, we are supplying to one of the US big pharma company, which is currently under Phase III, where we have a pending order for Phase III supplies, which we are planning to complete in Q4 FY '25. Apart from that, for Methotrexate, which was an important product in our oncology pipeline, we have validated in the current financial year and the CEP and DMF is filed in Q3 FY '25. And for next year, we are hopeful that we will start having commercial revenues from it.
Apart from that, abiraterone acetate we have developed this molecule with in-house API, and also we have developed a differentiated formulation. For API, the process validation batches are completed and DMF will be ready in Q4 FY '25. Two new molecules in oncology, mainly Olaparib and Palbociclib, the plant validations are ongoing, and we are expecting to complete in Q4 FY '25. With this, we will have a total of 4 new oncology product launches planned for next financial year, where we will have a growth having supplies to our internal formulation and also supplies to external formulation players.
Now let me start briefing about non-oncology segment. In non-oncology, mainly on Tranexamic Acid, where we had earlier invested on capacity expansion. In the current quarter, the capacity expansion was completed, and commercial production has started. And we will start seeing a delta of revenue increase in this product from next financial year.
On second molecule, UDCA, a molecule for India, where very few companies are manufacturing, we have received CEP in previous quarters, and we have started feeding samples to various customers in export market. And we are hoping positive that we will have a likely

good traction in export market with multiple commercial orders in UDCA for exports.
Third molecule, which is NorUDCA, where company has developed their own API and formulation, which is NCE in India developed for non-alcoholic fatty liver disease. The molecule is expected to have approval in Q4 or Q1 FY '25 for which the API supplies will start from Q4 for our internal formulation, where we will be the only supplier for our formulation.
With this for the next year, we will have an increase in revenue mainly from NorUDCA and our additional orders from ursodeoxycholic acid in export market and also Tranexamic acid where the capacity expansion is completed. So with this, we are positive that in the next financial year, both our oncology and non-oncology segments are likely to perform well.
Now I'll start briefing about new segments, mainly CDMO, Polymer and Peptide, where we have had very good traction in current quarter also. So let me start with

CDMO- lanthanum
dioxycarbonate, which we have developed and where we are manufacturing both drug substance and drug product for our US partner, the launch order execution has started. And the API supplies for that is expected to be completed in Q4 FY '25 or Q1 FY '26. And with this, the product commercial API sales will start coming in from Q4 FY '25.

The second molecule where we are the only supplier for our US partner, where we are manufacturing both API and formulation. The molecule is being studied for multiple indications and our partner has received Fast Track Designation and the molecule is being studied for more than 5 indications, where we are the only API and formulation supplier. In the current quarter, we have finished the API supplies for our partner for their Phase II clinical studies. And the formulation supplies are expected to complete in Q4 FY '25. And with our partner the Phase I/II studies are ongoing.
The next update is on Polymer, where I'm happy to share in the current quarter, we have received a ~$4 million worth of single purchase order for one of our partners, where we are the only supplier for them from India for the specialty non-pharma application, which is a very complex specialty Polymer. And once the supplies which are likely to be finished in first quarter of FY '26, we expect a repetitive order from them.
The next update is on Peptides where the GLP-1 portfolio in which we are seriously focusing. Liraglutide is the first molecule in which our drug master file is ready now and our formulation registration batches are planned in Q1 FY '26. And once the formulation batches are done with 6 months stability, the molecule will be filed globally in Europe, US and all the rest of the world markets. The second update is on Semaglutide, where our API development is complete and our API process validation batches are planned in Q1 FY '26.
The next update is on regulatory where in the current quarter, we had an audit from Mexican authority and the audit was successfully completed for multiple products. So with mix of oncology, non-oncology and CDMO, Polymer, Peptide, we are having a positive outlook in FY '26 for our API business.
Now I'll start briefing on formulation business. In formulation, totally, we have now 3 NDA approvals with us currently, in which the first molecule, Pemetrexed, for which already the NDA approval is received. The molecule is already launched in US with our US partner. And the molecule is having good traction quarter-on-quarter, and we are hopeful of doing well for the next financial year also with being only generic player to have a RTU room temperature stable product.
The second molecule, Bortezomib, for which the NDA approval is already received, and we had applied for various codes which are required for selling this molecule for insurance reimbursement and premium pricing. The codes are received recently, and our partner is planning to launch this product in April 2025.
Now the third molecule which is Imatinib oral liquid, which is again an NCE molecule where we are the only company to have this oral liquid oncology product approval in US for Imatinib. The molecule is launched by our partner in Q4, and we look forward to have a positive outlook for this also in next financial year.
Apart from that, now let me start briefing about Europe business where Nilotinib, which was our first generic launch in Europe with non-infringing strategy. We were the only player to launch with a number 1 partner in Europe in generic space, and the molecule is expected to really do

well in quarters to come. And with being only generic player in the market and with non-infringing API, company is well positioned to do

well in quarters to come.
Apart from that, the second molecule, which is Axitinib, where the formulation approval is already received. And this is again a molecule with non-infringing API strategy. And upon patent expiry, we are planning to do day 1 launch, which is planned in Q1 FY '26. Third project, which is SMLNUD07, which is a molecule which we have the NorUDCA, which we have developed for non-alcoholic fatty liver disease.
Our filing in India is completed, and we are hopeful of getting approval in Q4 FY '25/Q1 FY '26. With this, we will be the only company to launch this NCE molecule in non-alcoholic fatty liver disease. And there is a serious interest from multiple partners, and we are under final negotiation with multiple partners for launching this product in next financial year.
The next molecule, which is Rotigotine, we have already filed this product in Europe, which is a very complex transdermal patch product. And we are not expecting many generics in this product and expecting to launch this product in next financial year. We will be one of the very few generics to have this product. And already, we have partnered with the very strong player in Europe who is very strong in Parkinson's disease for which this molecule is being treated.
Two new transdermal patch products, which are already signed with our European partners. For the 2 molecules, currently our product development is already completed, and our pilot clinical studies are starting in Q4 FY '25. We also have multiple other 4 to 5 new differentiated products for which we have given a brief in our investor presentation. And we are really hopeful that each of this molecule will progress very well in quarters to come. And upon launch, it will give us a sustainable growth in quarters to come.
We have a very strong order book in formulations with not only Europe market and US, also from rest of the world market, where the multiple registrations, which were done in previous years, we have approvals for these products and we have multiple launches in multiple markets.
On regulatory front, our US FDA remediation, I'm happy to share that we have successfully completed all the remediation actions, and we have submitted to US FDA requesting for audit.
Now next, I'll start updating you on biologics front. In biologics, our second molecule, which is Aflibercept, which is again a very complex ophthalmic product. The clinical trial batch is completed and our Phase III clinical study is already initiated. We are expecting to complete this study and file this product in India and rest of the world market in next financial year.
And it will be one of the very few generic molecules with very limited competition in India and ROW markets. We have also added two new molecules in our pipeline in current financial year, which are progressing very well. These products being Nivolumab and Pembrolizumab, are major blockbuster molecules being top 10 biologics in world. We plan to initiate preclinical trials in Q4, and we are hopeful to start human clinical studies in next financial year.
And there were 3 new blockbuster biologics, which we have added already in our pipeline, and we are planning to start preclinical studies for these products in next financial year. In total,

company will have almost 6 biologics products with each molecule having a market size of more than $1 billion, at a global level. Now mainly, I'll start updating on the CDMO business for biologics. In the current quarter, we have had very good traction on multiple RFPs, and there is a serious interest from multiple CDMO partners to partner with us for our CDMO business in biologics.
As on date, company has more than 5 CDMO projects, which are in various stages of development, some molecule being where we have already submitted the material for prec

linical
studies and even Phase I studies. And as mentioned in previous quarter, every quarter, we have a target of signing at least one new CDMO project, as and when the program will ramp up, we will have a likely increase in the revenues.
Now I'll start updating on albumin, which is recombinant human albumin, which is a New Biological Entity being a first synthetic albumin being studied for the therapeutic use. Our molecule Phase I study data was reviewed well by Indian SEC authority, and we have successfully received permission to start the Phase III clinical study, for which the material generation is currently in progress, and we are planning to start the Phase III human study for India and rest of the world markets in Q1 FY '26.

Apart from that, for the global market, for Europe market, our Phase III clinical study protocol is submitted to EMA, and we are expecting response from European authority in Q4 FY '25. Once the response is received from the European authority, we'll be submitting the same clinical study protocol for US, and we will be taking the alignment with US FDA also in Q1/Q2 FY '26. And with that, we will be planning to start a global Phase III study for US and Europe market in next financial year.

Now lastly, I'll update on the Unicycive project, where company has partnered with Unicycive Therapeutics for drug substance and drug product supply. For the molecule, the launch order for 5 million tablets is under execution for which API manufacturing is ongoing, and we are planning to finish formulation supplies of initial 5 million tablets in Q1/Q2 FY '26.

Once these supplies are done, there will be repetitive orders from our customer. At last, we are very positive on company's outlook for FY '26 with multiple assets getting very close to monetization, and we are very positive of having a growth.

I will now hand over to Alpesh Dalal, who will provide a detailed financial overview.

Alpesh Dalal: Thanks, Keshav, and good morning, everyone. Let me briefly take you through the financial performance for the third quarter and nine months ended December '24. Our total revenues for the quarter were INR320 crores, recording a growth of 11% year-on-year and 12 for the 9 months period.,

The growth was largely driven by improved performance in our Formulations and Biologics business, and that was partially offset by the muted performance in our API business. Given the improved business mix, the gross margin for the quarter improved to 72%, which was higher by 5% year-on-year and 7% quarter-on-quarter. And then the resultant EBITDA was at about

INR82 crores as compared to INR68 crores in Q3 of FY '24, showing a growth of 20% year-on-year.

And EBITDA for 9 months FY '25 stood at INR256 crores, which I'm happy to report that it was higher than the entire EBITDA reported during the previous financial year. So we have done significant improvement on the operating side. And EBITDA margins for the quarter and nine months were at about 26%.

We believe that going forward with further improvement in operating leverage and better asset utilization of newer initiatives that we have taken and also the improvement in the business mix that we have been witnessing, we could witness further improvement in the margins.

I'm also happy to share that on back of repayment of a substantial part of our NCD and other loans post our QIP issue, the interest burden has started coming down with the interest cost declining 55% year-on-year during this quarter. Going forward as well, we are working on measures to reduce this interest burden.

Now on the profitability side, profit after tax for the quarter stood at INR32 crores versus INR5 crores last year, whereas for nine months ended December '24, the PAT was INR64 crores, which has almost doubled the entire PAT of FY '24. On the s

egmental performance, our API business clocked a revenue of INR182 crores during the quarter. That was down 10% year-on-year, largely on account of lumpiness in purchase pattern from our key customers.

Formulation revenues for the quarter were at INR118 crores, which grew by 64% year-on-year, and the growth was mainly driven by our EU business, where we launched a limited competition product as Keshav had explained about Nilotinib. Similarly, the biosimilars business recorded a revenue of INR18 crores, which was a growth of 43% year-on-year.

Now a quick update on a couple of balance sheet items. Our net debt was INR532 crores as at 31st December 2024. And our capex for the nine months period ending December '24 was INR173 crores. And this was mainly on account of our albumin facility, which is coming up.

And with that brief update, I would now like to open the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question from the line of Kiran B from Table Tree Capital.

Kiran B: Fantastic update of all the molecules. I have a broader question than any specific question. Are there any particular molecules that can give us a delta of INR100 crores, INR150 crores, INR200 crores in FY '26? Because apart from Pemetrexed scaling, all the other molecules are relatively smaller is my understanding, but I'm happy to be corrected.

So the answer that I'm trying to look for is, are there any molecules which can give us a delta over FY '25 about 100, 150, 200 crs more apart from Pemetrexed scaling up? Because OLC goal date is 28th June, then J-code and it will take time to scale. That's probably FY '27. So that's roughly what I'm trying to understand.

Keshav Bhutada: I will not be able to tell it will be INR100 crores, INR150 crores or INR200 crores delta. But what I can tell you is the molecules what we have mentioned, mainly the NCE opportunities and our Nilotinib launch, Axitinib launch, Rotigotine launch, I think the delta in the revenue is surely possible.
How much it will be that we have to see because as you can also understand, these are mainly NCE molecules, and being a 505(b)(2) product, more complex product. So I feel that giving the number for us currently is difficult. But I can tell you with mix of each of the opportunity, there is really a good opportunity for the company.
Kiran B: Got it. Then sir, the other question that I have is Pemetrexed, we launched maybe in Q4 FY '24, but let's say, Q1 FY '25. So we have taken about a year for Pemetrexed to really start scaling. Is that going to be a similar case for all the other molecules as well? So for example, bortezomib we're going to launch in Q1 FY '26.
Is it going to take 1 more year because even Pemetrexed, we had J-code, we had everything. Is it how the market dynamic usually works that it takes offer all the 505(b)(2) products because of the payer and insurance and everything else. Does it take a year to scale? I mean, just like Pemex is taking, will bortezomib and the other launches in the US take similar amount of time?
Keshav Bhutada: No, Kiran, I'll try to help you understand. Pemetrexed was the first 505(b)(2) injectable launch for our partner also. So, there were some codes which we had to apply for this product, which were applied post approval. But what we have done is in bortezomib case, we have done differently. So, once we had approval, we immediately applied for codes.
It take more time for J-code approval. So in case of bortezomib, that is already available now for us, which we have recently received. And with that only, our partner is planning to launch in April. So I'm very sure that for bortezomib, the case will be better, and we should have a revenue ramp-up as we will be the only RTU player with subcutaneous use, which is a big indication in bort

ezomib. It will be a better opportunity for us for sure.
Kiran B: Got it, sir. And my final question on the OLC, Oxylanthanum Carbonate. So OLC, 5 million tablets by June 2025, additional 10 million by December 2025. So I'm just trying to understand the dynamics here. OLC goal date is 28th June. Hopefully, we get the approval within 28th June. And then the J-code application and all those things are going to happen, right? So this 15 million tablets that we are pushing in the market, we can't really push in the market. Is that a fair understanding? And therefore, the real growth in OLC will happen only in FY '27?
Keshav Bhutada: No!. One is the launch, but this being an NCE molecule. Our partner is not planning a direct launch. There is a different strategy, which they are adopting, which I'll not be able to disclose. But what I can tell you is for OLC, for next year, already 10 million tablets order is confirmed for us. And the supplies are planned accordingly.
Moderator: We'll take our next question from the line of Nikhil Upadhyay from SIMPL. ,£,_ I Innovating for .,_ affordable healthcare

Nikhil Upadhyay: Thanks for a detailed input on each of the assets. It's really helpful. So as these products now get launched into the market, so would we see that the license fee income, which we received this year would drop off and it would move more towards formulation sales, how should we understand the dynamics between the license fees and the actual formulation sales? So would there be a drop-off?
Keshav Bhutada: There are 2 things which you should understand. One is the existing products, once the approval comes, that will move to the sales revenue, you are very right. But for the company every year, we add at least 4 to 5 new complex pipelines, which we have already been doing for last 4, 5 years. So there is already a pipeline. If you go through our investor presentation, there are already 5 differentiated products which are already in Phase II, some are in Phase III, some are in preclinical or some are close to filing and approval.
So those molecules will also get out-licensed. So there will be a licensing income, which will start coming in from these new molecules, which are already under execution. So, dynamics will be the existing molecules once the approval comes, we will move to the sales revenue and the new molecules for which already we have been investing from last 3, 4 years. their licensing income will start coming in.

Nikhil Upadhyay: Okay. Secondly, on the API side. So just at a broader level, some of the companies did mention that the pricing pressure in the API has again come back. And if we look at our onco sales and the non-onco sales, year-on-year or over the last 3 quarters, we have seen a drop off. Is it more pricing driven? Or is it just a difference in terms of when the molecules will start getting the supplies? Is it a timing difference? Or is it actually a pricing pressure also you are witnessing?
Keshav Bhutada: Very good question, Nikhil. So I think for us because as you understand that at Shilpa API, mainly we are manufacturing more of a complex APIs and not a me-too generics. So, we have not had so much of pricing pressure, but the major decline what we have experienced in our oncology business this year against last year was because of our major customers who has received some regulatory issues in last financial year. So, they have worked on remediation and after that, slowly quarter-on-quarter, the revenues started kicking up. But what we have done is for this year, we have taken this as an opportunity.
And all the new molecules which were in our pipeline, which we couldn't execute for validation and DMF filing and for future growth, that execution we have done in current financial year, which has resulted in revenue decline. But because, again, these are complex APIs and not many players

have it, and we will supply to our own formulation and to the external customers, with classic example being Nilotinib, where we have a non-infringing API. So we are mainly focusing on building such pipeline in our existing production blocks, which will improve the efficiency of the block as well as it will give us increase in revenue.
Nikhil Upadhyay: Okay. So to some extent, we are prepared for the future, and we've used this opportunity to put our capacities and be ready on the back end. So whenever demands come, we are ready with the supply.

Keshav Bhutada: Yes, we already have some visibility that there will be a demand for some products where we have selected and worked on these products. So that is the pipeline on which we are mainly focusing.
Nikhil Upadhyay: Okay. In the Europe, On formulations, we've seen this jump from current run rate of INR12 -16 crores to INR35 crores. And if I understand our commentary of previous quarters, it's only one product which we have launched this quarter and the rest 2 would be launched in Q4 and Q1. Is that understanding correct?
Alpesh Dalal: Yes, its largely due to Nilotinib launch and this is likely to continue for quarters to come. Apart from that, Axitinib, which is a second molecule, will be launched in Q1 FY '26. And then there are a series of launches in upcoming quarters. So yes, you are right that our existing Nilotinib will continue to have revenues, which is already launched, and then there is a pipeline of upcoming launches.
Nikhil Upadhyay: And this Nilotinib opportunity, how long do you see can remain a limited competition kind of opportunity? Because earlier in last call, you had mentioned we would be the first generic player. But when do you see competition can come in or any sense if you can give there?
Keshav Bhutada: Currently, it is difficult for us to give any thought there. But we feel at least for a couple of quarters, we'll not have any competition.
Moderator: We'll take the next question from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: So sir, my first question is on our API division. So in the last Concall, you had indicated that the European API segment is now set for a good growth in the coming quarters. And in the last 6 months or so, we have received close to 4 or 5 API approvals for Europe market, including Desmopressin, UDCA and many other approvals. So how do you see Europe as a market shaping up for us? If you could give us the context as to how much of our API sales in, let's say, in this quarter or 9 months were contributed by Europe market? And what is your view on European API segment in the upcoming quarters?
Keshav Bhutada: In API when we are selling to our formulation, for many of the partners, they don't take molecule by saying that we are taking only for Europe. It will be for a global market because we make single quality for all the grades. So for me, it will be difficult to give you exact percentage as to how much of our API is going to Europe because many of the partners are using our API for US, Europe, ROW and many multiple markets.
But Europe business and rest of the world market is again a very big opportunity. And since we have a pipeline of products like UDCA, Tranexamic Acid or some complex molecules in Peptides like Desmopressin, Octreotide, Liraglutide for which now our DMF is ready. So, what will happen is in quarters for years to come, these all will start giving us a delta of revenue.
So, I'll not be able to give you an exact percentage of how much it will be, but we are positive that all these new molecules, what we have in pipeline will start adding revenues. And since you

can understand that for many of the formulations which

are launched and to be launched, we are
backward integrated, which will be a source of revenue for us from Europe market.
Krisha Kansara: So, for us going forward, Europe will be a key market is what we can assume, right?
Keshav Bhutada: Not only Europe, but it will be a mix, like when we are doing CDMO for multiple partners, they are mainly targeting US market. So I will say it's a mix of US, Europe and rest of the world market.
Krisha Kansara: In our biosimilar segment, so we reported close to INR18 crores of top line in this quarter. Now correct me if I'm wrong, but our entire biosimilar revenue as of now is coming from Adalimumab and CDMO projects that we have. And previous quarter, we did INR31 crores in sales in this segment. So it has come down from INR31 crores to INR18 crores. So is it fair to assume that this is because of the CDMO project lumpiness nature? Or are we seeing some kind of a slowdown in the Adalimumab segment?
Keshav Bhutada: I think we are not seeing any lumpiness in our biologics business. It's mainly because of seasonality of our customers, especially in CDMO. Like in last quarter, we had given one big supply to one of our Korean partner for their Phase I and preclinical supply, which actually gave us a big growth. But apart from that, you are right that our current major revenues are coming from CDMO and Adalimumab sales. But going forward, you will start seeing more of the revenues from multiple licensing opportunities in multiple markets.
Krisha Kansara: Okay. So will you be able to give a breakup of, let's say, how much was from Adalimumab then from CDMO.
Alpesh Dalal: At this juncture, we wouldn't be providing those details. But as Keshav was mentioning, Adalimumab is having consistent sales currently. So we are not seeing any challenges over there. CDMO business remains lumpy depending on the development stage. So to that extent, yes, there will be lumpiness.
Krisha Kansara: Okay. And if we observe our gross profit margin has improved significantly. If we compare on a sequential basis, it is up from 65% to 72%. But the same has not been translated into EBITDA because of an increase in other expense. So I wanted to understand as in what drove our other expenses. Was there any onetime expense that we took in this quarter? Were there some remediation expenses that we took in this quarter? Or what was the composition?
Alpesh Dalal: Yes. So there are a couple of items over there. I think one of the things is that because of the developmental cycle that we have, some of our R&D spends during the quarter have been on a higher side as compared to what it has been in the past. Also, due to euro exchange rate going against the exporters, there has been an exchange loss as well. These 2 have been the main contributors for the other expenses going up during this quarter. But I think going forward, it should come back into the normal region.
Krisha Kansara: Okay. So what was the remediation expense in this quarter?

Alpesh Dalal: Remediation expense was not significant, maybe roughly about INR2-odd crores, not much.
Moderator: We'll take our next question from the line of Rupesh Tatiya from Intelsense Capital.
Rupesh Tatiya: There are so many segments, CDMO, non-CDMO, biologics, FDF. I am very new to the business, and it's very complicated. So can you maybe just give some sort of a 2-, 3-year revenue and EBITDA guidance?
Alpesh Dalal: Sorry, as a policy we do not provide any guidance.
Rupesh Tatiya: Coming to specifics. First question now is on the biologics. So, we have these 5, 6 assets in biologics and then also, I think recombinant albumin, some commercialization, which is expected towards the end of FY '26. So, can we expect, biologic to become, let's say, INR300 crores business for us in FY '27? I mean is that like a reasonable estimate?

Can business have
that kind of trajectory? Or do you think it will take longer?
Alpesh Dalal: So first, as I mentioned, as a policy, we don't provide any guidance. I think what we can tell you is that the way our business is building up with development happening for our pipeline products as well as the CDMO contract pipeline that is building up for us. I think we see a very good traction happening in our biologics business, and we should be able to generate sizable revenues

going forward.
Rupesh Tatiya: Okay. What is our total CDMO revenue? Because I am confused. In API segment, you say some CDMO revenue of INR25 crores in 3Q and INR62 crores for nine months. And then there is this licensing services revenue in formulation. So maybe can you help me with the 9 months numbers, what is our total CDMO revenue, all development plus commercialization combined?
Alpesh Dalal: So again, this CDMO revenue that we have got in API business is north of INR60 crores during the nine months period.
Rupesh Tatiya: Okay. And then there is no CDMO revenue booked in FDF?
Alpesh Dalal: No.
Rupesh Tatiya: Okay. And then so what is this licensing services component? Maybe can you just explain that a little bit? And I think earlier participant also asked how will this move in, FY '26, FY '27? Can this component decline?
Keshav Bhutada: Since you are new to the business, I'll give you some understanding. See, Shilpa Medicare as a company, we are mainly into B2B. In all the markets, except India for a few of the molecules.
So what happens is for all our pipeline molecules, we partner with some of our partners like we have relations in Europe, US and multiple markets.
So for each of these molecules, we partner with some company to sell the molecule. So when we partner with them, there will be upfront licensing fee and then there will be various milestones on approval on launch, post-launch sales achievement milestones. So these are all revenues which are called as licensing income. Is it clear?

Rupesh Tatiya: Yes. So, it is not CDMO though, it is kind of like out-licensing for our products we have developed in generics.
Alpesh Dalal: Yes. Fundamental difference in licensing and CDMO would be that in licensing, the IP belongs to us. We own the IP. We have developed it on our own account. After developing that IP, we have given the license for the IP to somebody else. In CDMO, we do the development for our partners.
Rupesh Tatiya: Okay. And then, sir, maybe another question is, this OLC that we are developing for Unicycive. Can you give some sense of the market opportunity? How large a product can this be? I mean, however you want to explain it by number of patients or therapy or application, but how large can this product be?
Keshav Bhutada: Just to tell in simple words, this molecule going forward, it's for our end customer, it's likely to be more than $1 billion opportunity.
Rupesh Tatiya: Okay. And we are a single source supplier, for API and formulation?
Keshav Bhutada: Yes.
Moderator: We'll take our next question from the line of Neha Kharodia from Abakkus.
Neha Kharodia: So, my first question was regarding the API business. So, in case of oncology business, we were expecting the supplies to Intas to improve in the coming quarters as per our commentary in the Q2. So just wanted to understand the reason behind the decline in the current quarter for the same and why there was lumpiness in the client business?
Alpesh Dalal: The Intas business against the last year in Q3 once they had the remediation issues. From there, it has significantly improved in current financial year. But it is still ramping up. So as per our end customer, they are hoping to do better for next financial year with respect to our API supplies also. So that is the understanding we have with Intas. Still, it is ramping

up, it is not fully ramped
currently. That is why you will see this. It's slowly increasing.
And since in the last financial year, these were very big revenues, from Intas. So, you will always see that degrowth. But what we are also doing is, the blocks where we were manufacturing for Intas, in those blocks we have currently changed our production plan, and we are manufacturing some more high-value complex good gross margin products, for which currently we will have some pain for some quarters. But for next financial year, they will again contribute to the commercial revenues.
Neha Kharodia: Okay. Sir, but even sequentially, we have seen a decline in the oncology business. So, like the supplies have further reduced to Intas or was it led by some other reason?
Keshav Bhutada: Yes. Sequentially, it has decreased mainly because of Intas and for some of our products where we have orders, but we have taken production of Nilotinib because that's an important launch for our formulation. So, because of that, you will see a decline in the current quarter because in those blocks now we are manufacturing mainly Nilotinib for our formulation.

Neha Kharodia: Okay. So the situation for oncology business, if my understanding is correct, is likely to improve from Q1 and probably in Q4 as well, we can see some pressure on the oncology business?
Keshav Bhutada: Yes. I think from Q1, there will be improvement.
Neha Kharodia: Understood. And also on the non-oncology business, so with the Tranexamic Acid expansion, we expect the commercial supplies from Q4. So how should one look at the non-oncology business because there also we have seen sequential as well as year-on-year decline?
Keshav Bhutada: Yes. In non-oncology, what we have done is for some of our molecules, which we were manufacturing for many years like Ambroxol, Phenylephrine, there we have reduced our production and for those production blocks, we have now replaced with high-value products like UDCA, which will also go in the export markets and followed by NorUDCA, which is for a formulation for NAFLD. So going forward, in FY '26, the old molecules, which were not giving a significant revenue jump, those molecules we have replaced with some better molecules with better margins. So, you will see a good increase in the non-oncology business also starting from Q1.
Neha Kharodia: Understood. And also, regarding the tax rate. So as of last quarter, it was at 51%, and we had guided that it is likely to come down to 35%. So just wanted to understand the reasons for improvement in the current quarter? And how should one look at the tax rate going forward? Will the 24% level of the current quarter be sustainable or how to look at it?
Alpesh Dalal: The current quarter numbers that have come up, there are certain MAT credits and all that have come in, which may not necessarily continue. But as we had guided that we were taking certain measures to arrest the tax leakage happening on account of intercompany loans and all. So, a large chunk of that we have done that has helped us from an overall perspective. And as I had guided last time also that overall, we are likely to remain in the region of 35% tax rate.
Neha Kharodia: For FY '26?
Alpesh Dalal: Yes. We should reach nearer to that. We are currently at about 39%, 40% for the 9 months. So, we might be slightly a couple of percentage points higher during this year. But next year onwards, we should reach 35% our tax rate.
Moderator: We'll take our next question from the line of Deepak Sharma, an Individual Investor.
Deepak Sharma: How will the Trump policy impact the export revenue of the company? If yes, then how much there will be impact on which segment?
Keshav Bhutada: I think on the Trump recent announcement on tariff, whatever they have given. still, I think multiple things they ha

ve not clarified how much will be the tax rate and for which therapy of drugs, etcetera. But what I can tell you is if you have gone through our numbers also majorly, in our formulations, still the US revenues are not significant. And the molecules which we are manufacturing are more of a life-saving drugs. We think this should not have significant impact, but we should observe in quarters to come.

Deepak Sharma: Okay. Will you sustain the EBITDA margin of 26% to 27% in the coming quarters?
Keshav Bhutada: Yes, that should be sustainable, as I was mentioning in my commentary as well that we do believe that there are opportunities to improve it further. But certainly, 26%, 27% is maintainable.
Moderator: We'll take our next question from the line of Vishal from Systematix.
Vishal: One clarification on Nilotinib and Axitinib. So, since you have launched this ahead of others on the market through a non-infringing route, so basically, have you been able to kind of circumvent the patents around this and launch it earlier? Is that the case here?
Keshav Bhutada: Yes.
Vishal: Okay. So, how long this window will last for you?
Keshav Bhutada: That depends on how the litigation goes for other partners for which we don't have clear information. But as I mentioned, at least for a couple of quarters, we will be the only generic, what we feel.
Vishal: And post that, do you still expect this to be limited competition? Or you would expect kind of markets getting flooded with several generics?
Keshav Bhutada: No, this is a very complex product. So, I will not say that there will be like 10, 20 generics like that. But how many will come, how the market will shape up, I think we have to observe.
Vishal: Okay. And are you also kind of trying to build on this opportunity for the US markets through the non-infringing route?
Keshav Bhutada: No. US has a different strategy, and we think at the moment there is no opportunity for this

molecule in US for us.
Vishal: Okay. And with respect to the Rotigotine transdermal patch, you would be a generic, a substitutable generic, right?
Keshav Bhutada: Correct. You're right.
Vishal: Okay. So, it would be easier to garner market share.
Keshav Bhutada: Yes, you're right.
Vishal: Okay. And just on this licensing income, if you can kind of talk about the events that trigger a licensing income for you? And, some guidance on a broad range, like if you can set a floor for the licensing income that you would expect probably a basic level of licensing income that you can generate every year with whatever assets you have currently?
Alpesh Dalal: So, I think as far as the various milestones related to licensing income is concerned, Keshav already explained those, that each contract is different. And depending on various milestones

that you reach within the contract, which could be either submission of a dossier or completion of certain studies or filing of the dossier receipt or marketing authorization approval, launch of product, there could be several such milestones for which licensing revenues can be generated or triggered. But it differs from contract to contract.
As far as setting any expectations or floor for the licensing fee and all, I think what we have been mentioning is, see, we are a B2B company. So, this is part of our regular business that we would develop products, and we would generate licensing income out of it. How much is the quantum and all will be dependent on each opportunity that comes up, the kind of product, which is there, the kind of market potential that the product has. So, it is very difficult to quantify or provide any guidance on that.
Vishal: Okay. So just if you could share whether there was a onetime lumpy licen

sing contribution from
a single product this year? And so, if you could share that? We have different opportunities that we have worked on, right?
Alpesh Dalal: We have had different opportunities that we had worked on and we can't disclose specifics about any contract because of the confidential nature of the agreements that we have.
Vishal: Maybe whether there was a single product contributing to a large part of the licensing income, Not the name of the product.
Alpesh Dalal: As I mentioned, we have a number of such opportunities, which we have worked on.
Keshav Bhutada: So, just to clarify, for the current year, we did not have a licensing fee only for 1 product or 2, 3 products. It was a mix of more than, I can tell you, at least 15, 20 products in different customers in different territory with multiple products, multiple strengths. So, it is very difficult to quantify exactly that. But I can tell you it's from a multiple pipeline product.
Vishal: Okay. And on the biosimilar Aflibercept opportunity. Do we have the block manufacturing Aflibercept capitalized or once it is commercialized, you will capitalize the asset then?
Alpesh Dalal: Yes. The capitalization will happen once everything is completed, and the product is ready and all. So, capitalization has not yet happened fully over there.
Moderator: We'll take our next question from the line of Tushar Bohra from MK Ventures.
Tushar Bohra: Just to carry over from the previous participant on licensing. Is it just fair to assume that given you have highlighted so many new products that you are working on and a lot of opportunities are closer to commercialization or in advanced stages, that licensing income should continue to be a major driver of both revenue and profitability for us going forward over the next maybe couple of years? Not looking beyond that, but in the foreseeable future, do you think that it will continue to be a major driver?
Alpesh Dalal: Yes, it's right. I'll not say it will be only a major driver, but it will be one of the major drivers.

Vishal: Got it. So, we should continue to model for licensing as one of the important revenue drivers for the firm.
Keshav Bhutada: Yes. We are a B2B company, And yes this will be an income which will continue for us every quarter. It can be sometimes very high, sometimes it can be down against previous quarters, but it will be there every quarter.

Tushar Bohra: Second, on CDMO, so when the contract with Unicycive came up, I think it caught a lot of people by surprise who are not aware that Shilpa is in advanced stages of development in any CDMO project. Maybe you would like to highlight overall strategy behind building our CDMO business across API as well as biologics. And if there are any other products that may be similarly placed, which could come up over the next couple of years in terms of commercialization possibility?

Keshav Bhutada: So, there are a lot of molecules already in pipeline, and the main focus is on CDMO because these are surely a good gross margin business. And also, once if you have a good customer where you are supplying API and if you get even formulation, you will be one of the only suppliers for them or at least there will be a second source or third source opportunity. So, it will be a sizable opportunity as and when there are milestones which our partner will achieve.

Tushar Bohra: Maybe, if you can qualitatively highlight what kind of efforts the company is doing to build up the revenues of the business development of CDMO specifically?

Keshav Bhutada: Yes. Like company has a good talent pool in various markets, starting from US, Europe and some high-quality rest of the world markets. And since one good thing with us, many people ask us that we are into so many segments, but that is the main strength what Shilpa has. Because we are

into API, we are into formulations, we do Peptides, we do Polymers, we do Biologics, we do fermentation, so when we go to any customer, we have multiple offerings. And if we enter with them in any of this one vertical, that's a hit for us. So that is the kind of advantage which company has.

Tushar Bohra: If you can highlight on albumin besides the therapeutic grade, if any efforts are being taken to develop it for excipients and cell culture, etcetera?

Keshav Bhutada: Yes, on excipient grade, we are focusing on developing some clients, where we want to start feeding them samples. So, there is a business development team, which we have appointed, and they have joined. So slowly, there is an effort now getting started for selling this excipient grade, which we are doing for the first time. So, we have to observe how it will evolve now in the upcoming financial year.

Tushar Bohra: If you can highlight more on the ADC side, what are we doing exactly on antibody drug conjugate?

Keshav Bhutada: Yes. Because we manufacture biologics, we have small molecule capabilities also. So, we have now taken some ADC molecules in our pipeline. Similar to how things are today where in top 5 molecules globally, 2-3 are Biologics.

So same way for ADCs will get into picture in the coming years. This being more targeted than even biologics. So, we are well positioned because we have biologics, we have small molecules where we can manufacture payloads, linkers, etcetera. So together, we have very good manufacturing and development capability of ADCs now.

Moderator: We have a next question from the line of Bhawani Shankar Somani, an Individual Investor.

Bhawani Shankar Somani: We have big product being lined up for launch in next financial year. So, I wanted to know from the management perspective, which are the top 3 products, which according to you will be the biggest revenue generator next financial year.

Keshav Bhutada: Yes, the top 3 molecules will surely be Nilotinib, Axitinib and our CDMO products what we are doing broadly.

Bhawani Shankar Somani: Okay. I have a question slightly different from the business perspective. So, there are a few promoters. I think they have been with the company for like 6, 7 years, but now they are trying themselves to be reclassified to public category specific reason or?

Alpesh Dalal: I think some of the promoter family people who are not involved in the business, they have not been actively doing anything. They have not been participating in anything. And obviously, as promoter group, there are additional responsibilities cast on you. So, it was just more of a compliance-related requirement that was coming up, which they wanted to avoid, nothing more than that.

Bhawani Shankar Somani: Okay. Like you mentioned in biologics segment about one new project being signed up in food sector. So, I just wanted to know more about like what's the product and what the project basically is like.

Keshav Bhutada: It's one of the projects, which is developed by fermentation. I wont be able to disclose the molecule name, but it's a CDMO project where the client has regular commercial requirements. And now we will be the one more source for them where the development activity he has initiated with us.

Bhawani Shankar Somani: So, will that be launched in India and/or other foreign countries?

Keshav Bhutada: It's mainly for export market.

Moderator: Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand over the call to management team for closing comments. Over to you, sir.
Alpesh Dalal: Thank you very much. Thanks, everybody, for your continued interest in Shilpa. We hope we were able to answer most of your queries. If you have any follow-on questions or queries, you can reach out to our IR team, and we will get back to y

ou. Thanks a lot.
Moderator: Thank you, members of the management team. On behalf of Shilpa Medicare Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. L I Innovating for ... affordable healthcare

Call: May 2025

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Date: 30 May 2025

To
Corporate Relationship Department
BSE Limited,
1st Floor, Rotunda Building,
P.J. Towers, Dalal Street,
Mumbai – 400 001.
To
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051.

Scrip Code: BSE - 530549/ Stock Symbol: NSE – SHILPAMED

Dear Sir/Ma’am,

Sub: Transcript of the Q4 FY '25 Conference call

In furtherance to our intimation dated 19 May 2025 with regard to the Q4 FY '25 Conference Call held on Monday, 26 May, 2025 at 17:00 hrs. , please find the enclosed transcript of the call .

Thanking you,

Yours faithfully

For SHILPA MEDICARE LIMITED

Ritu Tiwary
Comp any Secretary and Compliance Officer

“Shilpa Medicare Limited
Q4 FY '25 Earnings Conference Call ”
May 26, 202 5

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR AND
CEO – SHILPA PHARMA LIFE SCIENCES LIMITED
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED
MR. MONISH SHAH – HEAD, STRATEGY AND INVESTOR
RELATIONS – SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Shilpa Medicare Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presenta tion concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Monish Shah from Shilpa Medicare Limited. He is the Head of Strategy and Investor Relations. Thank you, and over to you, sir.
Monish Shah: Thank you, D orwin. Good evening, and warm welcome to everyone to our fourth quarter results conference call. Today on the call, we are joined by Mr. Keshav Bhutada, Executive Director and CEO of Shilpa Pharma Life Sciences Limited; and Mr. Alpesh Dalal, our CFO.
Before we begin the call, please note that the financial results and the presentation have been uploaded on the Exchange . Note that this call is being recorded and the transcript along with the audio of the same will be made available on the website of the company and the Exchange as well.
I would like to remi nd you that today's discussion might include certain forward -looking statements based on the current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. Investors are c autioned not to place undue reliance on these forward -looking statements, which speak only as of the date hereof. The company undertakes no obligation to publicly update or revise any forward -looking statements, whether as a result of new information, furt her events or otherwise.
I would like to hand the call over to Mr. Keshav for his opening remarks. Thank you, and over to you.
Keshav Bhutada: Thank you, Monish. Good evening, everyone. FY '25 as a year has been very exciting year, and a year full of oppo rtunities for us. And our focus on monetization of assets has helped us to bring in a good performance .
Now I will start briefing you about our fourth quarter performance as well as on the full year results. So first, let me start with the briefing on var ious business divisions. So overall, my briefing will be divided into API, Formulations, Biologics. These are the 3 main divisions in which I'll be giving you a firm update.
So, when it comes to API, my overall briefing will be in oncology, non -oncology , CDMO peptide and polymers. Starting with oncology, for the current quarter, our first molecule, which is the NCE molecule for the Innovator customer , we have completed Phase III clinical study. And we understand from the customer that the results are very promising. And now subsequently, after that, they will be planning the DMF and finished product filing. The customer has also received the breakthrough designation for bladder cancer and the filing is expected in FY '26.

The second molecule, for which we are supplying , is an oncology API , the Phase III clinical studies are ongoing.
Apart from that, the molecules like Methotrexate for which CEP is already filed . The CEP review is going on track, and we are expected to have approval in current financial year FY '26.
Nilotinib, which was a non -infringing API developed by Shilpa and for which even the formulation was non -infringing, the product is successfully launched by our Formulation division for which API supplies were successfully done by our API division. And in the next financial year, we expect to launch Axitinib in Q1FY26 for which, the API supplies are ongoing.

With this, we are confident that in the current financial year, the oncology overall revenues are likely to grow on year-on-year basis .
The sec

ond update is on non -oncology division, for Tranexamic acid we have completed capacity expansion and commercial production has started . Apart from that, our second molecule, UDCA for which CEP was already granted , we have started to ship export samples and we expect to start commercial orders .
Third molecule is Nor-UDCA , for which we have developed the Novel API and for the first time the formulation for NAFLD in India and our approval of formulation is expected in the first half of FY '26. And subsequently, launch is also planned in first half of FY '26. The API manufacturing for Nor -UDCA has also started for Formulation division and is expected to complete in first half of FY '26.
The new molecule, which is Mycophenolate Mofetil where the PV campaign is ongoing, and we expect to complete PV and file the product in FY '26.
CDMO peptide and polymers are very important divisions in which Shilpa has invested a lot. In this, the major updates will be on Unicycive where we are constructing a dedicated block for the customer and the construction is happening as planned , this is expected to be complete d in first half of FY '26. Subsequent to that, the PV batches and the filing from this new block will be planned into FY '26 .
The second project in CDMO is a Phase II molecule where we have developed both API and Formulation for our NCE customer, and the customer has received clearance from agency for starting the Phase II clinical studies, for which the material is supplied from our end and Phase II clinical studies will be started in first quarter of FY '26 by our partner.
Apart from that, in the Q4 FY '25, we have successfully signed two new CDMO contracts in which one molecule is a commercial product where we are doing a site transfer to our facility, where the project is awarded to us. The second project, which is an NCE molecule for development for a different indication for one of our Australian clients, for which, again, the program is awarded, and initial development work has started.
In peptide division, for Liraglutide our PV campaign was completed and o ur DMF is expected to be filed for this product in first quarter of FY '26. Semaglutide where, Shilpa has invested a

lot of resources on development of this product , and out process development in R&D is completed. Our PV campaign is planned in first half of FY '26 for the API.
Polymer division, as earlier updated in the previous call , we have received one order from one of the U.S. customers for $4 million, for whic h the commercial supplies have started, and the revenue is expected to be realized in FY '26. The second polymer project, which is a very complex polymer, we have developed for one of the U.S. companies . The material is supplied to our partner and their trials are ongoing.
Apart from that, I'm happy to tell you that in the current quarter, our API business, both Unit 1 and Unit 2 have successfully finished USFDA inspection. And for the Unit 1 we have re ceived EIR with VAI status.
Now let me start briefing about our Formulation division. In Formulation, as on date with the company, we have 3 NDA approvals in place, which is Pemetrexed, Bortezomib, and the third product is an oral liquid product in U.S. A ll the 3 product commercial launches have completed, and revenues will be realized in FY '26.
Apart from that, for the Europe market, our Nilotinib launch is doing well . And as on date, there is no competition in the market, and we have a good market shar e via our partner . Second molecule, which is Axitinib , having launch planned in Q1 FY '26 . We have the supply orders in hand and we are expecting the deliveries to start from 1Q FY '26.
Nor-UDCA, which is again an NCE molecule, which Shilpa has done a clin ical study in India for NAFLD. The product approval is expected in first half of FY '26 and even t

he launch is
planned in first half of FY '26. And company has already partnered with various companies in India for this product .
Apart from that, the transdermal patches, our specialty division , we expect to get approval for Rotigotine transdermal patch, in FY26. This will be our first TD product for which the review is ongoing with the agency.
The second transdermal project, whic h is again a very complex transdermal patch, here we are developing against a tablet for which the pilot bio is successfully completed, and now the PV batches and clinical studies are expected to start in FY '26.

SMLINJ011, which is a long -acting injectab le, a very unique product, where we have our own IP, for which the Phase III study is expected to complete d in Q3 FY '26. And subsequently, we'll be filing this product in India. And parallelly, for the said product, European scientific advice is already s ubmitted , so for this molecule, we will be going ahead with the U.S. and Europe studies also in FY '26. Our major focus for the formulations will be on advancing 2 to 3 new such specialty pipeline products to the advanced stage s.
And on the regulatory sid e, I'm happy to tell you that for our transdermal patch and ODF facility, we have received our EUGMP certificate in the current quarter. Apart from that, on the USFDA

issue for our formulation manufacturing facility, the USFDA remediation is completed from our end, and we are waiting for the response from agency.
Now I'll start briefing you about Biologics division. Biosimilar Adalimumab, which is our first commercial molecule launched in India, the sales are doing well. And for the current year with the approved additional indications, we are expecting to double the sales in the current financial year FY '26.
Aflibercept, which is our second biosimilar, the clinical studies are ongoing, and we are expecting to file this product in FY '26 in India market. Nivolumab and pembrolizumab, which are 2 blockbuster molecules by revenue , the product development in R&D scale is completed, and our preclinical studies are ongoing , and we expect to start human studies in F Y '26.
Coming to CDMO Biologics we have 2 projects, for which a sizeable amount of work was done in FY25. These molecules are expected to generate decent revenue in FY '26, where the Phase 1 supplies are expected to start , or preclinical, will be ongoing.
For the current quarter, we have signed one more large -scale microbial long -term contract for more than 5 years, for which we will be developing both DS and DP, for which we have a binding contract. Apart from that, there is a second project which is a m ammalian project, which we have signed with one of the U.S. based customer and for which we will be starting the development work. We are seeing very good traction on the CDMO Biologics side, and we expect to add more products in FY '26.
On o ur deal with MAbTree Biologics, where it's an NDA asset for which Shilpa will be exclusively developing for our partners. The cell line delivery is expected in first half of FY '26. And our customer is expecting to start their investigational trial in FY '26.
I'm happ y to tell you that on Biologics side that our facility has received EUGMP approval, which gives additional regulatory certification to our customers that the facility is very well capable of supplying to Europe and the global market.
Next, I will start br iefing about Albumin . As most of you are aware, the manufacturing facility, which Shilpa is building, the facility is expected to commission in this year, and we are planning to start the product batches in current financial year. And apart from that, in Europe, we have already submitted our scientific advice, and we are expecting the response closure in first quarter of FY '26. Subsequent to that, in FY '26, we will be starting the c

linical studies. In India market,
we have receive d the permission for starting Phase III clinical studies, and we are planning to start supplies for the India clinical Phase III studies in FY '26.
I'm happy to announce that we have strategic partnership with Orion Corporation for exclusive commercialization in Europe region. And Orion will be our exclusive partner for distribution, marketing and sales of recombinant Albumin, and this partnership is purely for the Europe market, and this is for only therapeutic use.

Apart from that, the applications, which are in excipient grade and other applications that is not in the scope of current agreement, and we are allowed to sell our product for these user s. Also note that this deal is mainly for Europe market, and we are still open for U.S. , RoW and India market s. This underscores the commitment we have had to this project over the past eight years. We have made significant strides over the years, and we a re confident of commercially launching this product in years to come.
With this, I would end my briefing on business. And at the end, I would want to tell all our investors that as a company, we are very focused on monetizing the assets and whatever asset s which Shilpa has invested over years, we will ensure that we get revenues from each one of

them.
With that, thank you, and I hand over to Mr. Alpesh Dalal.
Alpesh Dalal: Thanks, Keshav, and good evening, everyone. Let me briefly take you through the fin ancial performance for the fourth quarter and the full year ended FY '25. Our total revenue for the quarter stood at INR338 crores, recording a growth of 15% year -on-year and growing 13% for the full year to INR1,310 crores. The growth for the year was lar gely driven by finished dosage form and biologics verticals. On the gross margin front, our gross margin for the quarter improved by 200 basis points at 69% compared to the same quarter last year. And this improvement came despite lower contribution from licensing income and CDMO revenues, which also underscores the profitability of our business model. The EBITDA for the quarter was at INR84 crore as compared to INR73 crore in the fourth quarter last year, showcasing a growth of 15% year -on-year. Whereas EBITDA for the whole year was at INR340 crore as against INR253 crore last year. The EBITDA margin for the quarter were at 25%, whereas for the full year, the margins were at 26%. With the improving business mix and higher utilization of assets, we could expect some further improvement in the EBITDA in the future quar ters.
I'm also happy to share that our interest burden has started coming down with the interest cost declining by 38% year -on-year for the quarter. Going forward as well, I believe that there are savings expected out of lower interest costs. During the y ear, we repaid high -cost NCD loans of INR300 crore out of the proceeds of QIP and replaced another INR75 crore NCD with a significant lower cost. We expect to repay the balance NCD of INR75 crore by mid of August '25 to enable further reduction in our inte rest burden.
On the tax front, our effective tax rate for the year has reduced to 36% compared to 41% last year on the back of conversion of loans given to subsidiaries into equity, resulting in lower tax expense. During the year, we also had a onetime ex ceptional item pertaining to settlement of our pending litigation with Celltrion amounting to INR29 crores but adjusted for exceptional items for the quarter stood at INR33 crores versus INR20 crores on year -on-year basis, whereas adjusted PAT for FY '25 w as INR97 crore, growing by more than 2.5x compared to previous year.
On the segmental performance for the quarter, our API business clocked a revenue of INR188 crores, growing 3% year -on-year. In this business, we have done portfolio rationalization and also improved off

take of key products from our newly expanded capacities.

Formulation business revenues for the quarter were at INR 133 crores , growing 38% year -on-year. And the growth in the Formulation business was driven by our new geography where we continue to have limited competition for Nilotinib. And significant ramp -up in our RoW market that witnessed a growth of over 3x compared to the same quarter last year.
Our Biosimilar business recorded a revenue of INR10 crore during the quarter.
Let me now give you an overview of our balance sheet and cash flow items, where our net debt was at INR558 crores as on 31st March ’25 compared to INR905 crores for 31st March '24. And the reduction in debt, coupled with improved performance has resulted in our net debt -to-EBITDA improving to 1.6x from 5.8x last year.
On the capex front, our net capex for FY '25 was INR216 crore, and it was majorly for our large fermentation facility that we are building. Additionally, I'm also happy to inform all of you t hat the Board at today's concluded meeting has decided to declare a 100% dividend on the back of improved performance of the company.
I would now like to open the floor for Q&A.
Moderator: We have our first question from the line of Krisha Kansara from Mo lecule Ventures.
Krisha Kansara: My first question is related to the Biologics segment. So you mention ed that the sales from Adalimumab will double in FY '26? Now if we see in FY '25, segment reported close to INR75 crore of top line. So if you can give us the breakup of this INR75 crore number, how much was from the CDMO segment and how much was contributed by Adalimumab?
Keshav Bhutada: So if we see on overall Biologics segment in Adalimumab, we have clocked a revenue of INR15 crores to INR20 crores, in the last financial year, which is expected to double in FY '26. And rest of the revenue, is split between CDMO and licensing revenue.
Krisha Kansara: My second question is on the Formulation segment. So first of all , congratulations on the official launch of Bortezomib in U.S. market and also for the J -code approval. Our ramp -up in case of Pemetrexed has been slightly slow and gradual, and it has been more than a year now.
And now we are expecting to see a pickup in Pemetrexed sales from, let's say, FY '26 onwards.
So can we expect the same gradual ramp -up in case of Bortezomib because this is the same market and the same distribution partner for us, the ramp -up in sales could be much faster?

Keshav Bhutada: What I c an tell you is with Pemetrexed, first, we had the approval, the sales pickup took time because there was also eagle pharma another competitor in the market . But when we talk about Bortezomib, there is not much competition in the market. We are the only company having the subcutaneous approval right for the RTU. I think that will really open up market quickly. But how it will evolve in the financial year, we have to observe because for us also, this is a new kind of opportunity which we are exploring. Howeve r, we are confident that the partner should do good numbers in FY26 on both Pemetrexed and Bortezomib.
Krisha Kansara: So you are observing a pickup in sales in Pemetrexed for FY '26?

Keshav Bhutada: Yes.
Krisha Kansara: My third question is on the Albumin side. So first of all, congratulations on your partnership with Orion with respect to Albumin. I have 2 sub -questions related to this. First is, what kind of milestone fee can we expect from such kind of an out -licensing agreement for a new biological entity?
And usually, what is the timeline for that? Can we expect some fee to be received once we conclude the Phase III trials, let's say, 9 to 12 months down the line? And my second question is, we were supposed to start the Phase III trials in first quarter o

f FY '26, and we are almost 2 months into the first quarter. So I just wanted an update on the fee.
Keshav Bhutada: Coming to financials, we will not be able to disclose that because of our confidentiality with our partner. But I can tell you it's a very good deal, mainly because Shilpa has invested a lot of time on this product, from so many years. And yes, there will be milestones, which will be spread across signing, filing, approval, launch. So that way, the various milestones will be divided.
And yes, coming to the second question on the clinical studies. We were expecting to start in first quarter, you are right. But I think we may have some delay, maybe it may move to 1 or 2 quarters because we are trying to give our Phase III clini cal study supply from our new facility, so that the new facilities are in our part of our dossier from day 1.
Krisha Kansara: So what is the delay that we can expect for Phase III?
Keshav Bhutada: It may move by 1 to 2 quarter.
Krisha Kansara: On the impor t alert side. So we have completed all the remediation initiatives and all. Now my question is, have we received any final inspection date from USFDA then? Why I'm asking this is because once we are through with this issue, we might see some kind of improv ement in our margins because the cut that we basically pay to the CMO players as of now for our U.S. Formulations will no longer be paid. So any update on the final inspection date? And also, is my understanding on the margin improvement, correct?
Keshav Bhutada: No, there are 2 things. See, first thing on the FDA import alert, we have completed all the remediation activities. And lately, what we have seen is FDA is more doing surprise inspection . So I think we will surely have, or we are likely to have in the current financial year a surprise inspection. So this is something which we know currently. And apart from that, the second question on the margin improvement. Margin improvement will not happen because we are currently paying to the CMO. However, t hat cost is not significant. Only improvement, what will happen once the U.S. approval of the facility happens is we may see a good increase in the CDMO revenue. And apart from that, our existing products, where the final approval is not received, there all approval will get started.
Moderator: Our next question comes from the line of Rupesh Tatiya from Shree Rama Managers PMS.

Rupesh Tatiya: My first question, is on this Formulation slide, slide number 17. The licensing revenue, it was INR34 crore in Q4 FY ' 24. It's gone down to INR24 crore in Q4 FY '25. And my understanding was with new product launches, I mean, we have launched Nilotinib, Pemetrexed, Bortezomib. So my understanding was this revenue should have gone up. So can you explain why it didn't go up? And then overall on FY '25, we have this INR181 crore revenue. So can you give some idea about how much of it is onetime milestone payments? And how much of it is linked with the sales or the production of the Formulat ion?
Keshav Bhutada: First thing is when the product is commercialized in any of the market, the revenue line item where we will be reporting the numbers, that will not be in licensing , those numbers will be in the sales revenue . So if you see the numbers, what we have shared, the Europe revenues have

increased . So whatever sales revenue, which we have generated from Nilotinib or any profit share, that all will come in the Europe business sales, not in licensing .
And apart from that, on your question on de crease of revenue from fourth quarters FY '24 to fourth quarter FY '25, right, or even from third quarter to fourth quarter, licensing revenue is such a way, as I mentioned in previous call also, that is a product once we out -license, there will be various milestones, which will be there for the product. So sometimes in so

me quarter, you will see it will be more. Some quarter; it will be less. So the variation will be there, but only the kind of product mix, which we have out licensed in that quarter, that will define my licensing income.
And of the last year, there was no onetime income as such , as I have mentioned before , we have a strong pipeline of molecules. So once one molecule in first quarter have out licensed , second quarter, there will be one more molecule. Third quarter, there will be one more molecule. And every year, we will add new pipeline. At the same time, existing pipeline I will advance and out -license. So that is how the licensing revenue will be a continuous revenue. It is more like if you have a company which is doing purely CDMO business, they will have a fixed CDMO revenue. Sometimes it may be more, sometimes it may be less, based on the product deliverables.
Rupesh Tatiya: The reason to ask that question, it is almost 50% of our EBI TDA. And at least as an analyst, I have no way of predicting it that this will grow 15% every year, right? It is quite lumpy. So that is why I was asking you that question.
The second question, is, what is the significance of this EUGMP approval that we h ave received for Biosimilar plant? Is that like a major approval where now we can see Biosimilar revenue going from, let's say, INR75 crore to INR150 crore, INR200 crore? Does that approval enable us to do that? That is one. And then another one, if you ca n give some update on Lenvatinib settlement?
Keshav Bhutada: I think on the first point of EUGMP approval for the facility, yes, it's a significant update for our Biologics facility because if you see in India, the number of Biologics facilities and in tha t, how many are EUGMP or USFDA approved? I think as analysts, you will understand that there are not many . So if you have a facility with regulatory accreditation, especially from Europe, I think that opens a lot of door s for CDMO services .

And yes, the revenue is expected to increase. How much it will be in this year, how much it will be in next year, it will all be decided mainly on the CDMO revenues . So we have to observe that with time. But yes, we are confident as a company that this approval will gi ve us good uptake for CDMO revenues.
Keshav Bhutada: And on Lenvatinib settlement we are currently not disclosing anything right now as its confidential.
Rupesh Tatiya: My final question, is when are we expected to recruit all the patients for Albumin Pha se III? And when can we see some results of that?
Keshav Bhutada: For Albumin, once we start our clinical study, our clinical study duration is between 12 to 15 months, including the study , dosing, the analysis and report.
Rupesh Tatiya: The first patient has been recruited?
Keshav Bhutada: No. See, for patient recruitment, first, we have to supply the material. And supply of material from the facility which we have commissioned, the large -scale microbial facility. From there, if we are supplying and with that only if the clinical study will start, then once I file my product from the same fa cility, I can commercialize also.
So our current plan from the new facility is, the large -scale batches are ongoing. And once that is completed in this current year, maybe sometime in Q2 or Q3, we are expecting to start our Phase III clinical studies for India. That is the plan. And in next year, we will be completing our Phase III s tudy.
Rupesh Tatiya: And where are we on the nontherapeutic usage?
Keshav Bhutada: See, on nontherapeutic, as I explained in the previous calls also, I will be able to give you more clear picture in the next financial year once I see how the uptick is. But yes, we have started feeding our samples to various customers and they are testing our product.
Moderator: Our next question comes from the line of from

Meet Katrodiya from Niveshaay.
Meet Katrodiya: Sir, my question was on the part of CDMO business. Beyo nd the commitment of 20 million tablets, is there any visibility for further scale up in FY '27 or FY '28? Also could you help us to understand the expected annual revenue from this engagement?
Keshav Bhutada: I think I will not be able to give you how muc h will be the expected revenue. But for sure, I can

tell you that we have a good visibility . And the kind of indication where this molecule is targeted, we are expecting it to do better. But once the product is launched and it is in market, then only we ca n give you more clear picture.
Meet Katrodiya: So second question is on part of intangible assets. So there is also a good rise in intangible assets. So how we plan to impair or amortize the intangible assets? Could you throw some light on it?

Alpesh Dalal : Yes. We follow a very structured policy for amortizing the intangibles. At a point in time when we start commercial usage of that particular intangible asset, we end up amortizing it over its useful life. We have generally come to a conclusion that broad ly that useful life should be on an average at about 10 years. So we amortize it over a period of 10 years.
Moderator: Our next question is from the line of Kumar Saurabh from Scientific Investing.
Kumar Saurabh: So my question is on the recombinant Albumi n, from the overall market, this share is only 5%, and it is dominated by 3 global players. So first question is, are we targeting more than this 5% market? And how we plan to compete against the bigger players? And given I think it's the cost which will kind of bring this in favour , if you want to take a bigger share. So how do you plan to fight o n the cost side to have a bigger market share?
Keshav Bhutada: Yes. I think, first thing, currently with recombinant Albumin, where specifically, the application, which we are targeting is a therapeutic use, where currently recombinant Albumin globally, th ere is no approved product for therapeutic use . That is first part which I want to clarify. So recombinant Albumin, whatever you will see some market where people are selling it as an excipient grade. So that is a completely different market, which is for nontherapeutic applications .
Apart from that, how do we see to ramp -up? See, our partnership with Orion, I think that itself will give you a clear picture that the molecule has very good potential of selling. And obviously, if we are cost competitive, the n only any partner will come and sign with you for the product . So we are confident that we are cost competitive and manufacturing -wise as well as clinically and getting the product to market .
Kumar Saurabh: My second question is around some of the new pro ducts like Rotigotine or Bortezomib. So these are expected to be launched in FY '26 and I heard in your commentary also. If you can talk something about the addressable market size of these opportunities and what is the kind of market share , we want to tak e in some of these molecules / products?
Keshav Bhutada: See, mainly in transdermal patches globally, there are not many companies who are working on it. And especially for products like Rotigotine where we already know that many companies have taken this product in R&D , but have failed either in clinical or at manufacturing level . So totally, the end market for Rotigotine as on date is, I think, more than EUR 200 million as per IQVIA data.
And we have already partnered for this product wit h one of the very good European companies , who is very strong in selling Parkinson's disease products. So this is an add -on to their already existing sales force where they have experience of selling such products. So yes, there is a good sizable opportuni ty for us, and we just need to see how it will evolve based on numbers.
Kuma

r Saurabh: Last question because I have started studying the company only for the last 2, 3 months. The CDMO and the Biologics business, I think a lot of effort and a lot of invest ment has gone, but the numbers doesn't reflect the actual potential. So one question is, what is like if the business

performs up to its potential, maybe in next 3, 4 years, what is the expected asset turn out of this business? And what do you feel is goin g to be a sustainable return on capital on this investment?
Keshav Bhutada: Yes. I think, your question is very long. But what I can tell you in short words is once you will study more about our company and if you come on every quarterly call, I'm sure you will get a very clear insight. But as a company, if you see in India, there are very few companies who are having both development and manufacturing platform like Shilpa because we can do small molecules, we can do peptides, we can do polymers, we can do biologics, we can do ADCs, we can do injectables, we can do oral solid, we can do PFS.
When you have a company which is a one -stop solution for any partner when it comes to development and manufacturing, where I feel the opportunity what we are talking is significant. And in years to come with more focus on CDMO, we are confident that each of these assets will

start giving us returns. As on date, if I understand correctly, our ROCE is around 9%.
Moderator: Our next question is from the line of Ajay Surya from Niveshaay.
Ajay Surya: Sir, my question is on Albumin. So with the Orion partnership in place, can you please provide more clarity on the regulatory filing timeline , the expected launch here? And more on our readiness in terms of our fermentation capa city?
Keshav Bhutada: As I already mentioned, our manufacturing facility for supplying this recombinant Albumin is almost ready, and we are starting our scale -up batches in this facility. So manufacturing -wise, we are confident, and we are ready with the product. The scale -up and the registration batches will be completed in this year and including suppl ies to clinical trials , that's the only milestone which we are targeting for the current financial year. Once we do that , it's a 12 to 15 months' timeline for completion of the clinical study and subsequently filing an d approval.
Ajay Surya: My next question is, how do we compare the recombinant Albumin in terms of cost? Like where would Shilpa be placed versus other players like the larger players like Albumedix? And how much of the total capacity, which we plan to put there? And so how much of that capacity do we plan to target for the therapeutic grade and the excipient grade? Can you give any breakup on that?
Keshav Bhutada: No, I think giving breakup on capacity -wise, will be not at all possible for us currently. But what I can tell you is our major market focus will be on therapeutic use because that's a very large and sizable market , for which we have built this facility. Apa rt from that, nontherapeutic is surely something where once we get customers, we will supply. But I think major ity of our capacity will be utilized for our therapeutic applications.
Ajay Surya: And on the costing side, if you can help ?
Keshav Bhutada: The costing, I can only tell you, we are competitive.
Ajay Surya: One last question. If we look at the human grade Albumin market, which is quite large, maybe to the extent of $7 billion, $8 billion, but wanted to understand how much extent can the

recomb inant Albumin replace this market? Because to our understanding, this cannot be replaced completely. So I just wanted to understand to how much extent can this replace? And we also mentioned that as of now, there is no other company which is doing apart f rom the excipient grade, they are not targeting. So

I wanted to understand why are other companies not targeting for the therapeutic grade ? Is it because of the lower addressable market? Or is there any lack of my understanding? If you can help on that.
Keshav Bhutada: No, I can not tell why other companies are not doing, what is their strategy. And even if someone is doing, we are not aware as on date currently . So let me be clear on that. So what we have done as a product we have invested in Albumin almost 7, 8 years before, where we acquired a company, we built this asset. We've completely scaled up the development of fermentation process, and we even did preclinical studies, even did Phase I clinical studies. So this is a long journey, so every company ha s a different strategy .
Ajay Surya: How much of the extent can this RHA replace the human grade Albumin market?
Keshav Bhutada: That we cannot tell it today. I think we have to observe that with time.
Ajay Surya: Over the last 3 years, if I look at our service income and license fees, it has grown nearly 3x from like INR94 crore in FY '23 to almost INR310 crore in FY '25. And one of the previous participants also mentioned that there was a noticeable dip in the curr ent quarter.
So just wanted to know the thoughts on the sustainability of this growth. How much of this growth is driven by recurring royalty income versus milestone based? Or is it a onetime payment? And going forward with the Unicycive and this Orion pa rtnership, should we expect a more predictable revenue stream? Or will this line item continue to be lump in nature?
Alpesh Dalal: As explained a little earlier in the call , the licensing revenues that we receive are towards the initial signing as well as certain milestones related to a few project development s that happens or the filing that happens or the approval that comes through or the launch that happens. Once the product is launched and commercial supplies start, they do not form part of the licensi ng income bit . That is part one. Part two, our company has remained a B2B company, where we do develop products and out -license to various potential partners. So as with any pharma company, we do have a developmental pipeline. And as and when we keep devel oping more and more products, we keep out -licensing them. So that out -licensing the molecules or the products is part of our normal strategy and business revenue stream.
Having said that, yes, because different molecules can have different potential in different geographies and even the timelines for some of these milestones when they accrue could differ. So there could be lumpiness in a few quarters. But by and large, bec ause we have a larger or broader portfolio of this, we should be in a position to generate this revenue fairly regularly.

Moderator: Our next question comes from the line of Tushar from MK Ventures.

Tushar: So the CDMO revenue that we typically generate, w e have multiple heads under which we are booking revenues . So we have API CDMO, we have some Formulation CDMO projects. We also have Biologics CDMO.
Can you help aggregate the revenue which is being booked under different heads? What would be the componen t of revenue generated for us, which is basically where we are working with innovators or large pharma or biotech? And which can be sort of classified in the nature of a CDMO project, even if it is right now being bucketed in different heads?
I'm just try ing to understand what is the total component of work that we're doing, or which is by other firms classified as CDMO, which we may be putting under different heads? And also, how many projects, some more qualitative details around the CDMO part of busines s?
Keshav Bhutada: I think if you see overall details what we have given on the investor presentation also, our CDMO revenue for FY '25 is around INR158 crores. And number of programs

is 20 -plus, which we have currently in our CDMO segment. And what we are trying to do , is that in the years to come or in the next financial year, segregate CDMO revenues. We are even considering that and showing it separately. Overall, yes, there is a lot of opportunity of CDMO work, which already company has done , we are clocking a revenue of INR158 crores for FY '25.
Tushar: But let's say, at the beginning of this call, there was this commentary on a couple of oncology projects in the API business, what I could figure out on the call is more in the nature of devel opmental work being done for the Innovator. But if your commentary puts it under the oncology API business, has that been counted in the CDMO or would that be separate from the INR158 crores?
Keshav Bhutada: No, it's already included in INR158 crore curren tly as part of oncology. And going forward, we are trying to segregate and make investors understand more clearly all these revenues because initially, we were not segregating separately as the CDMO revenue. So our dedicated CDMO reporting numbers, we have just started from last few years . So that is the clarity.
Tushar: Also, given that both Biologics as well as the number of projects on the CDMO side and developmental projects, a lot of projects, there is a pivotal outcome expected in FY '26 and maybe FY '27. Would it be fair to assume that from this year onwards, we should see an accelerated improvement in the overall earnings profile and the return on capital generated, given that a lot of the projects for which costs have already been incurred, or do we see a sharp operating leverage at the business this year in short?
Keshav Bhutada: I think only what I can tell you is we are expected to do good during the upcoming financial year also.
Tushar: Can you highlight some more about the new CDMO projects i n Biologics that you have picked up?
Keshav Bhutada: Yes. The major opportunities, which I mentioned to you in Biologics, where one of the project s is a long -term collaboration, which we have done with one of the partners, is a long -term contract

where we are developing both drug substance and drug product. And post that, we also have commercial suppl ies for minimum 3 to 5 years. And apart from that, there are several NBE programs, which already we are under development for our partners. Some are under prec linical, some are in Phase I.
Tushar: Last question on Unicycive. I think we are expecting the approval for Unicycive product in this financial year, right? I think it was the first half of the financial year. Does t hat remains on track? Would you have an idea of that?
Keshav Bhutada: No, that approval doesn't remain on track. However, we are expecting approval in this financial year. But we have to observe this with time how it will evolve. But overall, from a revenue perspecti ve for the company, there is no major change because the revenue numbers, which we have considered for Unicycive, post commercial launch and the scale up in revenues were considered in FY '27. So I think still we remain on track for that. I will be able to give you more clear picture in maybe Q2 FY '26.
Moderator: The next question is from the line of Gaurav T. from Antique.
Gaurav T.: Sir, the presentation still talks about a PDUFA date for OLC on June 28, 2025. So has the partner

got some queries from the filing, and that's why we're expecting a delay now?
Keshav Bhutada: Yes. I think, what happens is PDUFA date still remains same. But majorly, the issue is the facility where the batches were done, the facility had some issues with the USFDA, where the company is working on remediation.
In the meantime, what we have done is , we have also successfully completed manufacturing of registration batches from the new facility, with a new partner and planning to put this new facility

in the application. So PDUFA date still remains same. Once we apply with the new facility, then we have to see how the negotiation happens with agency on the approval and launch.
Gaurav T. Which facility was this expected to be supplied from?
Keshav Bhutada: That's confidential. We ca nnot disclose.
Gaurav T. So we are not expecting launches. So the major growth driver this year will then come from the Formulation division, right? Is that understanding, correct?
Keshav Bhutada: No, because the major growth will come not only from Formul ation division, but also from Biologics and API division. So if you see all of our divisions, each one has their own pipeline, their own products, which are growing at their respective pace.
Gaurav T. Any guidance on what was the R&D spend for FY '25 and w hat we're expecting in FY '26?
Alpesh Dalal: Yes. See, basically, we have an R&D spend that depends on the programs that are being conducted. But for the current year, we have had a run rate of about INR30 crore to INR35 crore per quarter . And we expect th at this thing would be in a similar range.

Gaurav T. This INR30 crore, INR35 crore is what is seen in the P&L, right?
Alpesh Dalal: Right. That's what is charged in P&L.
Gaurav T. So gross margins for FY '25 is improved. EBITDA margin, you expect some improvement. But on the gross margin front, do we continue to see improvement in FY '26? Or are we expecting them to be more stable at the current 70% level?
Alpesh Dalal: See, as far as gross margins are concerned, as you would know that in pharmaceutical business, typically, all the generic products are under constant pricing pressure. Having said that, there are incremental benefits that you try and get from your new product launches. So it balances out more or less, it remains in similar region. But wit h new launches and good launches coming in, it can improve with improved business mix.
Gaurav T. What would be the capex spend for FY '26?
Keshav Bhutada: Yes. For the FY '26, we have to still see, there are some capex which we are trying not to do. But wh at we can tell you is it is not significant capex , when we compare to last year.
Moderator: Our next question is from the line of Shubham Sehgal from Skill Ventures.
Shubham Sehgal: My question was on the Formulation business. So in this quarter, Q4, what drove such high growth in EU region? Like was it just Nilotinib? Or did we see other molecules also ramp up? And likewise, if you could provide the reasons for higher growth in RoW and lower growth in U.S.?
Keshav Bhutada: Yes, mainly in the Formulation si de, for the current quarter, the major revenues are from Nilotinib, you're right. Apart from that, there are some small launches also, which we have done in Q4 .
Shubham Sehgal: So with the higher growth in RoW region and lower growth in U.S. So what was th is driven by?
Keshav Bhutada: Yes, majorly higher growth in RoW is only because of various tenders where we had participated, we have got approval. And also, there are a lot of registrations which Shilpa has done from last 2 to 3 years, where the approvals have started coming in and also the commercial sales have already started. That is majorly bringing us this increase in the RoW sales.
And when it comes to U.S. sales, U.S., as you know, our facility is under import alert . There is a decrease in U.S. sales only because of uptake of difference between azacitidine and other products like NDAs, which we are supplying from the CMOs.
Shubham Sehgal: And so I wanted to ask like we have incurred higher OpEx costs. So in the previous quarter, I think we had me ntioned that, that we increased our R&D spend and there was also FX loss. So the quarterly OpEx spend, which are there, like will this be sustainable, which will continue? And like is there any one -offs this tim

e?

Alpesh Dalal: So see, there are times that some small portion of OpEx could have certain one -offs like some write -offs that happen or at times some fluctuations that happen in OpEx. But more or less, our OpEx for the quarter remains in the region of INR70 crore to INR75 crore, and we should be continuing with that.
Shubham Sehgal: My last question was on our API business. If you see over the years, either our API business has been flattish or declining. I mean I know that we had an issue with our bigger customer. But going forward now, with the upc oming launches and the work we are doing in our API division, do we see API division to grow further? Or do we think for the next 1, 2 years, it will still stay the same?
Keshav Bhutada: Yes, it will grow You will see growth in FY '26.
Shubham Sehgal: And like what would you base that on? Like what would be the major drivers according to you?
Keshav Bhutada: See, majorly, all our captive products for which we are making APIs, starting from Nilotinib to Nor-UDCA, that all will start adding in revenues. Apart from that, even UDCA for which we have CEP will add revenue. Tranexamic acid, where the additional capac ity is added, that will add revenue. So we are positive that for FY '26, the revenue will grow against FY '25.
Moderator: The next question is from the line of Vishal from Systematix.
Vishal: On the generic API business, would you be able to put the growth number for FY '26, say, mid - teens or higher?
Keshav Bhutada: Yes, possible.
Vishal: And on Nilotinib, do we continue to be the sole player in the European market? And what market share we would have achieved? And any sense on whether we expect competition to be there?
Keshav Bhutada: Yes. I think last call also I mentioned. On the Nilotinib, yes, currently, as on date, we are the only generic in the market. But in quarters to come, we can expect some players to come in the market. A lot of supplies are don e and then distribution and then getting those numbers back in IQVIA, it takes time. So I think as on date, we are not clear how much market share they have taken.
Vishal: So would the entry of competition be staggered or we can expect all of the generic p layers to come together?
Keshav Bhutada: See, I think we will not expect like generic where there are suddenly more than 10 players entering the market . How many players will come that only time can tell.
Vishal: And sir, do we have follow -on products to ki nd of substitute for the dip in Nilotinib revenues post entry of competition?
Keshav Bhutada: Yes. We have a lot of such products, which are very differentiated also. So yes, there is a continuous pipeline in place which will add on revenues.

Vishal: And on the transdermal patch, any sense on when we can expect the launch in the Europe markets?
Keshav Bhutada: In Europe, we should have launch sometime in Q4 FY '26, tentatively or it can be Q1 FY '27.
Vishal: And just on Biosimilar Aflibercept, should that approval come through this year? And would we be the first one?
Keshav Bhutada: No, approval for this should come in Q1 FY '27 because this year, we will finish clinical trials and file the product. Competition -wise, we may have 1 or 2 players with us, but not many. It's a very complex product.
Vishal: And on Nor -UDCA, would this product compete with Saroglitazar, or it would compete with UDCA?
Keshav Bhutada: Nor-UDCA, the way it works, the therapy -wise, the molecule efficacy -wise, it is very different than both Saroglitazar and UDCA.
Vishal: So you mean it would be even better than Saroglitazar?
Keshav Bhutada: Yes.
Moderator: The next question is from the line of Deepak Sharma, an Individual Investor .
Deepak Sharma: My question is for the Albumin side . What is the average

realization figure per gram basis and the average cost from therapeutic and excipient side?
Keshav Bhutada: I think that is confidential, so we will not be able to disclose currently.
Moderator: Ladies and gentlemen, due to paucity of time, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments.
Alpesh Dalal: Thank you, everybody. Thanks for your continued interest in Shilpa. We hope we have been able to sati sfy your questions. And we hope to continue to interact with you in the future as well. Thanks a lot.
Moderator: Thank you. On behalf of Shilpa Medicare Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lin es.

(This document was edited for readability purpose)

Call: Aug 2025

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Scrip Code: BSE ■ 530549/ Stock Symbol: NSE – SHILPAMED

Sub: Transcript of the Q1 FY26 Conference call

In furtherance to our intimation dated 6th August, 2025 with regard to the Q1 FY26 Conference call held on Wednesday, 13th August, 2025 at 17.00 hrs, please find the enclosed transcript of the call.

Thanking you
Yours faithfully,
For Shilpa Medicare Limited,
Ritu Tiwary
Company Secretary & Compliance Officer ~ I Innovating for ... affordable healthcare

“Shilpa Medicare Limited
Q1 FY26 Earnings Conference Call”
August 13, 2025

MANAGEMENT : M R. KESHAV BHUTADA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHILPA PHARMA LIFE
SCIENCES LIMITED
M R. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
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M R. MONISH SHAH – HEAD OF INVESTOR RELATION
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J.... j Innovating for ~ affordable healthcare Innovating for
affordable healthcare

Shilpa Medicare Limited

Moderator: Ladies and gentlemen, good day and welcome to Shilpa Medicare Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conferen ce is being recorded.
I now hand over the conference to Mr. Monish Shah from Shilpa Medicare Limited, Head of Investor Relations and Strategy. Thank you, and over to you, sir.
Monish Shah: Thank You and welcome to our first Quarter FY '26 Results Conference Call. We are joined by Mr.
Keshav Bhutada, Executive Director and CEO of Shilpa Pharma Lifesciences Limited; and Mr. Alpesh Dalal, our CFO. Before we begin th e call, please note that th e financial results and the presentation have been uploaded on the stock exchanges. Note that this call is being recorded and the transcript, along with the audio of the sa me, will be made available on the website of the company and the stock exchanges as well.
I would like to remind you that today's discussion might include certain forward-looking statements based on the current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. The company undertakes no obligation to public ly update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.
With that, I would like to hand the call over to Mr. Keshav for his opening remarks. Thank you, and over to you, Keshav.
Keshav Bhutada: Thank you, Monish. Good evening, everyone. Tha nk you all for joining our call. We have had an exciting start to the new FY, delivering our highest ever quarterly EBITDA. With our relentless focus on monetization of assets, we are confident to continue the momentum in upcoming quarters.
Let me start with briefing you on each segment. My overall briefing will be divided into 3 main business verticals: API, Fo rmulations and Biologics.
Let me start with the API business division. I' m happy to inform you all that for the current quarter, we have delivered our

highest ever Q1 performance, which helps us understand that as an API business segment also, we have started focusing now on de livering good numbers. So let me start with the briefing from oncology segment, which is our key business segment in API division, we are currently working on the 2 main NCE programs. In the first program we are producing API for the customer, the NCE is filed by our customer, and we are expecting the commercialization in next financial year.
Similarly, the second NCE program, where we ar e delivering API to our customer, the Phase III study is ongoing, and they are expected to comple te by next year. Apart from that, -- our all the generic molecules have strong order book in pl ace, and we are confident of delivering good numbers in the upcoming quarters. ~ / Innovating for ~ affordable healthcare

In the current quarter, we validated two ne w oncology products, where the product -- process validation is completed in the current quarter, and we'll be filing the DMF and CEP in next 6 months with 6-month stability. Our captive products, where we have developed some non-infringing API and wherein our formulation was al so developed non-infringing, we are seeing good traction for our captive formulations in the end market and for which the API delivery to our captive is expected to grow quarter-on-quarter.
Now, coming to the non-oncology segment, we had completed capacity expansion of Tranexamic acid capacity and the commercial supplies were started from 1QFY26, with the rise in capacities there is an increase in our sales turnover.
Second product, where we have increased capacity is Ursodeoxycholic acid. So, as on date, our run rate is almost more than 10 metric t ons per month. Third pr oduct, Nor-Ursodeoxycholic acid, which is an NCE molecule, we have develo ped the – API for captive formulation. The API commercial supplies are expected to start from second quarter FY '26. Moving to the next product, Mycophenolate Mofetil, which is a new non-oncology product, which we have taken in the grid, and the process validation is completed in the current quarter, and we'll be filing DMF and CEP with 6-month stability.
Coming to CDMO, peptide and polymer, which are very strong growth driving segments for us.

Currently, in CDMO, we have more than 25 ac tive CDMO projects, which we are developing for our customers, wherein multiple programs are in preclinical, in Phase I, Phase II, Phase III. In next year, we are expecting 2 CDMO projects to get commercialized, for which, our partners have filed the NCE. Apart from that, for polyme r segment, the commercial supplies have started for a project from an MNC in Q1 and we expect to complete by 2HFY26. And after the supplies are completed, we expect to have a replenishmen t order. So this will be a steady business for us for the next few years. Second, we have developed another specialty polymer, for one more big pharma customer, and the specialty polymer manufacturing and supply was completed in current quarter. The customer will be using our polymer for their NCE application, which will open a
good opportunity for the company in years to come.
Now, coming to peptides, we have three main products which we are working on are the GLP-1s viz. liraglutide, semaglutide and tirzepatide, where company is planning to do both API and formulation. So in API, lirag lutide is ready with the manufacturing validation batches done, and 6-month stability complete d. We are now working on registration of our formulation batches are which are expected to be completed by end of September. Once that is completed with 6-month stability, both API and formulation will be filed in global markets. Second product is
semaglutide, where our API our development is completed, and we are planning to start the registration batches in Q3 FY '26. So by end of Q4, we are planning to

complete semaglutide's
API and formulation registration batch.
Tirzepatide, is a very interesting product in the GLP-1 space, our lab deve lopment is completed, and we will be starting the scale-up in Q3 FY '26. So I think API, as a business division, with a mix of oncology, non-oncology, CDMO, peptide a nd polymers, we are positive to have a good growth in the upcoming quarters to come. ~ / Innovating for ~ affordable healthcare

Now, I'll start briefing about Formulation bus iness division, where we have had a significant milestone in the current quarter by -- with the approval of Nor-Ursodeoxycholic acid, which is the first NCE which was developed by Shilpa. A nd globally, it will be the first country where we will be launching this product, which mark s a significant footprint of Shilpa in launching new chemical entities in market. This will be the first of the kind NCE new chemical entity program, which Shilpa has developed and -- start to end, and also will be commercializing.
Apart from that, there are a total of three NDA pr oducts which are approved in U.S., and sold in the market via our partners. We are expecting a very reasonable contribution from all these three NDA molecules in the current fina ncial year, where we will be st arting to see the numbers in quarters to come once the reconciliati on and profit shares are received.
Apart from that, Nilotinib, our flagship product in Europe where we were the first company to launch with a non-infringing formulation. The product is doing reasonably good, and we have a very strong order book for upcoming quarters. Apar t from that, our Rotigotine transdermal patch, which is filed in Europe, we expect to get approva l in 2HFY '26. We also doing U.S. our clinical studies which are expected to be completed soon, and we are planning to file Rotigotine in U.S. in Q3 FY '26. Apart from that, there are 4 more differentiated assets, wh ich the company has in its pipeline and the details are provi ded in the investor presentation.
So the main focus in our Formulation division will be doing differentiated products and also working on NCEs, which will help us in having sustainable growth every quarter and for years to come. Also, I'm happy to inform everyone that in the current quarter, we have received EIR from U.S. FDA for our transdermal patch manufac turing facility, which wi ll open opportunities in the U.S. market also for our transdermal patch facility.
Now, I'll start briefing about the Biologics division . So in Biologics division, as we have already publicly announced regarding the two NBE programs, Alveolus Bio and mAbTree. For both the NBE programs, the company has entered into agreement wherein for both the programs, we will be doing start-to-end development and manufactu ring. So we are expecting both these NBE
programs to enter into the human studies next y ear, which is the most important milestone. Apart from that, in the Biologics division, as on da te, we are having five active CDMO projects, wherein each program is at different stages of preclinical and Phase I supplies. And as and when, in the quarters and years to come, the programs a dvances we will see a good revenue trajectory for Shilpa Biologics.
Apart from that, Antibody Drug Conjugate, which is our main focus area going forward, we have our first antibody drug conjugate product development under initiation, and we are planning to enter into human studies next y ear. And on the biosimilars front, Nivolumab which is our flagship product will be entering into th e human studies by end of this year. We have completed the preclinical studies and we have put the application to start Phase I/III human clinical studies. Besides this, we

also have four more biosim ilar products under development,
where the cell line development is completed. Apart from that, recombinant human albumin for
which we h

ave signed a partnershi p deal for Europe market with Orion, for the said product, the
scale-up batches have started in the facility and we are planning to start the human studies by ~ / Innovating for ~ affordable healthcare

end of this year as planned. We are also planning to submit our advice in U.S. for our clinical
study strategy, and we are expecti ng to have outcome of that in Q4 FY '26. Afte r that, we will
be targeting the U.S. market for albumin. And on the excipient market, which is a DMF grade
market, we have started sending samples to some of the customers, and the initial evaluation at various customers is going on.
With this, I will be happy to re-emphasize that our long-term focus is on complex pipeline and
also working on NCEs and NBEs, which will help us in having sustainable and long-term growth. With that I would like to hand over to our CFO for financial highlights.
Alpesh Dalal: Thanks, Keshav, and good evening, everyone. Let me briefly take you through the financial
performance of the first quarter of current fina ncial year. Our revenues for the quarter were at
INR328 crores, recording a 9% growth YoY. And the growth for the quarter was largely driven
by growth in API and Biologic verticals. Our gr oss margins for the quarter were at 76%, an
improvement of 700 basis points compared to last year. And this improvement was mainly
driven by a better product mix, and all these meas ures have resulted into us recording our highest
ever EBITDA during the quarter, which stood at IN R98 crores as compared to INR83 crores in
Q1 of last year, showcasing a growth of 18% year-on-year, with EBITDA margins at 30%.
Our finance cost for the quarter was INR19 crores as compared to INR24 crores in Q1 of last
year. I'm also happy to share that as indicated in my earlier communication, we have replaced
our remaining high-cost NCD of INR75 crores with a low-cost debt, so this should help reduce
our interest burden even further. And in anot her development, we ha ve recently received
approval from NCLT Bangalore for amalgamation of INM Technologies with Shilpa Medicare.
And the tax impact of unabsorbed losses of INM is likely to result in lower tax outflow for the previous financial year, and the effect for the same has been captured in the current quarter. This
has also been explained in our notes to the results that have been published. And because of this
reduction in the tax component, our effective tax rate for this particular quarter has come down
to 5.5%.
On the segmental performance, our API revenues on a consolidated basis were INR187 crores,
growing at 8% year-on-year. And the grow th was primarily on account of portfolio
rationalization and improved offtake of our key products from the newly expanded capacities.
The Formulation revenues for the quarter were INR98 crores, and the main drivers for the
Formulation business were the ROW and the Europ ean businesses. And likewise, the biosimilars
business recorded a revenue of INR73 crores during the quarter.
Let me also give you an overview of some of th e balance sheet items. Our net debt was at INR550
crores as on 30th of June. And our capex during the quarter was INR70 crores, majorly for our
fermentation plant being built at Kadechur. Add itionally, I'm also happy to inform you that the
Board, at the recently concluded meeting, has proposed a bonus issue of 1:1 for the benefit of
all the shareholders.
With that brief, I would now like to open the floor for Q&A. ~ / Innovating for ~ affordable healthcare

Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: Congratulations on a wonderful set of numbers. Sir, my first question is related to albumin and
our partnersh

ip with Orion. So when Orion released its recent financial re port, it mentioned that
its cash flow also included the signing amount, which was paid to Shilpa for the albumin
agreement. And the amount in their books was close to EUR 13 million. So can we assume that
majority of this amount was related to the signing fee, which was paid to us by them? This is my first question?
Keshav Bhutada: We are under confidentiality with our customer on this product. So, as we've mentioned before also, we are
not allowed to disclose any numbers on this. Sorry, I'll not be able to tell anything

on this.
Krisha Kansara: Okay. But the INR57 crores licensing income in this quarter includes the signing amount, right, received from Orion?
Alpesh Dalal: We will not be able to provide the details. Whatev er is recognizable as re venue at this point in time has been included in that INR57 crores.
Krisha Kansara: Sure. Understood. Okay. Sir, my second question is on Unicycive contract. Now that there is a delay in this contract because of the issues at our earlier CMO partners, I would like the management to throw some light on how do we plan to move forward. With Unicycive announcing that it has already found another CMO vendor, how long will it take for the FDA to get back and approve the product? And also, assuming this delay, how was our order book impacted? And just some light on this contract will be helpful?
Keshav Bhutada: On Unicycive, as I mentioned previously also, the financial number per se, the order book and the commercialization, the bigger values will reflect in the next financial year only. So there was no major revenues which we were projecting for the current year. Second part is, yes, with our current CMO site where we had issue, we have done a successful technology transfer into one more CMO partner, which is U.S. FDA, EU a pproved. And from the other facility, already the exhibit batches are completed. And with 1-year st ability data, we have submitted this data to Unicycive team.
So now, they will be taking it further with the U.S. FDA, whether the U.S. FDA wants them to wait for 6-month stability data or with 1-year stability data, they want us to file, that is what they will be checking with FDA. We will get to know in the upcoming quarters, but tentatively, what we feel is, even if FDA asks them to submit with 1-year stability data, they will be submitting it in next year. And once that is submitted, we can surely get the commercialization, or we can likely get the commercialization in next financial year itself because all the GMP data, clinical data is already reviewed by the agency. So this will be just the additional CMO data, which they will be reviewing.
Krisha Kansara: Yes. Clear. Understood. That was helpful, sir. And just one more question. So in this presentation, in this quarter's presentation, you have given the API sales breakup, including ~ / Innovating for ~ affordable healthcare

captive consumption, like including captive sales. So would it be possible to give the same breakup excluding the captive sales just so that we can compare to previous quarters on the same line?
Alpesh Dalal: Yes, we'll provide that. That should not be a problem, Krisha.
Krisha Kansara: Okay. Sure. And just one more question. Afte r the repayment of debt that we announced yesterday, as of now, what is the debt level at the consolidated company level?
Alpesh Dalal: As I mentioned during my speech that debt as on 30th of June was INR550 crores. This is only a replacement of high-cost debt with a lo wer cost debt. This is not repayment.
Krisha Kansara: Okay. The yesterday's announcement is related to refinancing is what you're saying?
Alpesh Dalal: Yes, it has been -- we have repa id that by a lower-cost debt.
Moderator: The next question is from the line of Suvaan Mi ttal from MFC.
Suvaan Mittal: I have two questions. M

ainly on the gross marg in front, it has increased to 76% from 69% on a Q-o-Q basis. So if you could give some color that is it because of an increasing consumption, captive consumption of API of the FDF client? What is the percentage of FDF for which the API is captively consumed? And some future ou tlook on two, three year perspective on do we intend on increasing that and to what level? That's the first.
Keshav Bhutada: The total API revenue including captive is IN R227 crores, right, of that, around INR40-odd crores is of captive. And going forward, we are trying to align more revenues for our captive consumption because that is where our big growth drivers and sustainable growth is possible for this oncology segment. So that will continue to grow. Apart from that, our key products like Nor-Ursodeoxycholic acid or Nilotinib, Axitinib, ar e used for making our own formulations. So captive API consumption is sure ly expected to grow quarter-on-quarter. On the second query, Our gross margins are improving mainly based on the product mix and also on account of profit share, licensing fees, which are a part of our sales revenue. So it's a mix of product mix, licensing fees and sales revenue.
Alpesh Dalal: Yes. Just to add on to that, this margin improvement that has come in, at times, in certain quarters, you do have significant ly higher-margin products going in. But obviously, that's not something we would say as a guidance should continue to be considered.
Suvaan Mittal: Okay, sir. My second question being, you have me ntioned that our main growth did come from Biologics, and we have grown considerably from INR10 crores to INR37 crores Q-o-Q basis. So is it because that the Adalimumab is the ma in growth driver? And if you could quantify on your end that what is the CDMO revenue in th at? And in terms of the licensing revenue from

Biologics, do you expect it over a 2, 3-year peri od to mirror the licensing revenue we have from FDF?
Keshav Bhutada: To answer your first question on Biologics, it's mainly on the mix of multiple things, we have signed some new CDMO deals in the current quarter and apart from that, we also have a ~ / Innovating for ~ affordable healthcare

licensing income, which Alpesh has mentioned, from our Orion albumin deal. So it's a mix of revenues, which is from albumin and also fro m our new CDMO contracts and existing CDMO contracts.
And going forward in next 1 year, will it be equi valent to our FDF? See, that's something we will be able to tell you maybe in the upcoming quarters to come how the things are progressing in Biologics. But as a company, we are very much interested to focus on Biologics, and we are confident that going forward, once our molecules like Nivolumab, the ADC program, the NBE programs are progressing well, we are expected to do good in Biologics also.
Moderator: The next question is from the line of Sanjay Kumar from ithought PMS.
Sanjay Kumar: First on NorUDCA, what is the marketing auth orization timeline? And what revenue are we targeting in, say, FY '26 and '27?
Keshav Bhutada: NorUDCA is a very significant opportunity for the company, why it is so differentiated for us? It's one of its kind of molecule approved in Indi a till date, which mainly works on liver health activity, which directly targets liver health and then thereby cures NAFLD. Marketing authorization from the central is already received, now, we will be going to state authorities and getting the license, which is a 15 to 20 days process, and then the artwork, everything we will be completed. So tentatively, we will be launch ing it by October. We have all the launch orders in place for NorUDCA. And for the said produc t, we have partnered with one of the top companies in India and a total of three companies are partnered for this product. We have signed licensing and there are some milestones also which we

are expected to get with 6 months, 1 year of the sales. Besides these, we will also get th e commercial revenue. And how big it will be? It's a different experience for us because it is the first NCE molecule which Shilpa will be launching in India. So we should see how it will be doing in the quarters to co me. But NAFLD is a big disease in India, and more than 40% patients in India are going through this disease. So it's a very large population, which we'l l be targeting this product.
Sanjay Kumar: Okay. And second on albumin. So has GMP approval -- what's the timeline for the GMP approval for the albumin new plant? Has Phase III kicked off? How many patients have we recruited? And when can we expect results? A nd if you can update on what the European and the U.S. FDA have commented on albumin?
Keshav Bhutada: On albumin, our clinical study design has been s ubmitted to the EU agency, and we have got alignment on our clinical study. So our Phase III clinical study will be starting by end of the year or next year, early quarter. And all the things ar e already in place for us. And once the clinical study is starting, it will take us maybe 12 to 15 months to comple te the study. And after that, we will be filing this product, after which, it is a 1-year approval process.
Sanjay Kumar: Okay. Will U.S. also be on the same timelines or will U.S. be much later?
Keshav Bhutada: U.S., we cannot tell you currently because as I mentioned in my speech, U.S., our clinical study strategy, we are submitting in Q3. And once we have response from the FDA on our clinical study approval by Q4, we will be able to give you good timelines or clear timelines on U.S. We ~ / Innovating for ~ affordable healthcare

are trying to see that if the existing study can be bridged for U.S. also, but we need to see how the agency is accepting it or if they are asking us to do some additional stud ies. So it all depends on that.
Sanjay Kumar: Okay. And third question on the EU GMP approval for the biosimilar plant, which biosimilar products within our pipeline are you planning to take to EU, and if possible, U.S.? Do we -- can we file Phase III for, say, Aflibercept or the subsequent products in our pipeline?
Keshav Bhutada: Yes. We will be surely taking our biosimilars to Europe and U.S. So I feel our first product will be Nivolumab, for which the human studies will be starting by Q4 of this financial year.
Sanjay Kumar: Okay. So both albumin and biosimilar, we again ta ke it global because a few quarters ago, we weren't fully convinced of going -- doing global st udies for these products. So, that strategy has

changed?
Keshav Bhutada: See, for albumin, it was always a global product. For biosimilars, we were first trying to do India study, and then we were going global. But recently, there are a lot of changes in the clinical study requirements globally. And there is good chan ce that whatever study we will be doing in India, with the same study, even Europe will accept that study. So we will be going with the same strategy for Europe. And even for U.S., we'll be trying it.
Sanjay Kumar: Okay. Final question. One is -- 2 products that we have listed as formulation, one is long-acting injectable, SMLINJ011. There, from the previous quarter PPT, the market size has dropped from $930 million to $375 million. If you can comment on this? And the second one is, the last formulation that we have listed, SMLOSD014, which is for anticoagulation segment, is it targeting Apixaban, where the patent is expiring in 2028?
And can we get some sort of exclusivity because this will go through the 505 route or the release mechanism is different? If you can comment on these 2 formulations , it will be very helpful?
Keshav Bhutada: For SMLINJ, right, the market size has not dropped. What we have done is that, earlier we were mentioning for various markets, apart

from the one in the antiemetic space, there are globally many products that target this product. But now, after our study, the way we have designed it, what we have tried to do is mainly on the highly emetic patients, we have tried to segregate that global data. And that is what we have mentione d in the presentation. So the product, what we have developed is a very specialty product for highly antiemetic patients . And already, as we mentioned, our clinical study Phase III in India has been completed, and we are expecting to file this product in Q3 FY '26 in India market.
And on the second product, on SM LOSD014, that's a differentiated product, and we will not be able to disclose the name. But it's a differentia ted opportunity, which at the right time, we will be able to disclose. But for the said product, already the registration ba tches, we have just completed last month.
Sanjay Kumar: Okay. And what are we doing in semiconductor? I saw that you are participating in SEMICON India, which is very surprising? ~ / Innovating for ~ affordable healthcare

Keshav Bhutada: We are not doing anything in semiconductor. It's just that we are making some chemicals, which we feel can go into semiconductors. But this is very early for us to comment because we have just tried to present there and understand the market.
Sanjay Kumar: Okay. And one feedback before I join the queue. See, Krisha also had the same question. Most of us would have had the same question after yesterday's filing. If you could give a better explanation in all your filings, that will be very helpful because from what you filed yesterday, the understanding was that you have repaid that entity.
We didn't know that you only refinanced that cost of debt. So if you could -- going forward, if you could have a better explanation in all your fi ndings, that will be ve ry helpful. Even your Nor-UDCA filing, we weren't sure what approval m eans. Is it MA approval or is it just product approval? That wasn't very clear from the filing. So that's one feedback.
Moderator: The next question is from the line of Kiran B from TripleTree Capital.
Kiran B: Congratulations, Shilpa team. I mean, one of the mo st optimistic presentati ons I've seen after a while. So congratulations on the optimistic tone as well. I ha ve a few questions. One, on Lenvatinib adverse outcome, I mean, that we had 1 month, 1.5 months ago, are we challenging? Are we not challenging? Are we still doing at-risk launch? Is there something that you can share with us on the adverse outcome, please?
Keshav Bhutada: On Lenvatinib, as we mentioned previously also we will not be able to disclose currently to anyone because that's purely a market intelligence, and our strategy is very different. And we will be able to share with you the right insight s at the right time once we have a reasonable outcome.
Kiran B: Got it. Okay. Perfect. Second qu estion is, Phase III for albumin, you just mentioned that 12 to 15 months from the start, and then 1 year for appr oval. So we are basically about 2.5 to 3 years in total by the time we gather patients and everything else. So FY '29, is that a fair estimate of when we can potentially commercially launch?
Keshav Bhutada: Yes, end of FY'28 or early FY'29 shoul d be a good time. We have to see.
Kiran B: Got it. And can you tell us a similar timeline fo r Aflibercept Phase III?
Keshav Bhutada: The Phase III study is ongoing for India and ROW launch, and we are expecting to complete this study in this financial year.
Kiran B: Got it. So commercialization will be next year?
Keshav Bhutada: Yes. Next year, we'll be commercial. You're right.
Kiran B: Got it. Sorry, on the albumin thing, did we already start on Phase III? Or are we still gathering patients and getting the

stuff from Kade chur plant and so on and so forth?
Keshav Bhutada: As I mentioned, the clinical stud

y will be starting in Q4FY26. ~ / Innovating for ~ affordable healthcare

Kiran B: Got it. Last question, Formulatio n FDA approval, do we have any sense of -- or did we get a visit from FDA already on the Formulation plant? Because that can be a big driver, given our pipeline. So just wanted to understand if we ha ve had any indications from FDA as to when they can potentially visit?
Keshav Bhutada: FDA, it will be a surprise in spection surely. We don't know when they will come, but we surely know that they will be coming any time.
Kiran B: Got it. Sorry, last, one clarifica tion question for Alpesh. Alpesh, the finance expense, Q4 FY '25 was INR14 crores. We suddenly jumped to INR19 cr ores in Q1 FY '26. Is there any particular reason why there's a Q-o-Q INR5 crore jump of finance cost?
Alpesh Dalal: See, basically, in one of our su bsidiaries, we have taken an in terest swap loan, so it has got converted into a euro loan. And with appreciatio n in euro, there is a M-to-M impact that has come in. So, that M-to-M impact is to the tune of INR6.5 crores. So in reality, the cost has actually come down by INR1.5 crores. But because of that M-to-M impact, which is more of a book entry that we have to take, it has jumped to INR19 crores.
Kiran B: Got it. So if you go back to normalization, given INR550 crores end of June, on a steady-state basis, we are expecting a INR14 crore ki nd of run rate on interest, right?
Alpesh Dalal: We should be able to reduce that a bit with NCD getting replaced.
Kiran B: Got it. Okay. Sorry, Keshav, if I can ask one last question. Nilotinib, Axitinib and Rotigotine may be Q3, Q4 approval. But from a formulation perspective, in export markets, Nilotinib, we've already launched last year. Axitinib, we -- I th ink we launched early April. Is there any other pipeline molecule that we're going to launch in Europe from a formulation perspective for the next 6 or 8 months?
Keshav Bhutada: Yes, we have some other product s also, which we will be launching in 8 months' time. But at the right time, we will be disclosing that.
Moderator: The next question is from the line of Suvaan Mi ttal from MFC.
Suvaan Mittal: My first question being, in the previous con call , you had suggested that you will be starting to list CDMO revenue from all your verticals separately also. So if you could just clarify the CDMO revenue from combined FDF, API and Biologics in the Q1?
Keshav Bhutada: Yes, we are still working on it because there is a lot of consolidation, which we need to do on the group level. I'm sure, in the upcoming quarters, at the right time, we will be starting to report CDMO separately.
Moderator: The next question is from the line of Ha resh Bilakhia, an Individual Investor.
Haresh Bilakhia: Yes, sir. Last year, company had entered into an agreement with Unicycive, some company, for supply of some tablets by June 2 025. So I just wanted to know whether the company has started activity with Unicycive? ~ / Innovating for ~ affordable healthcare

Keshav Bhutada: As we already clarified it. For the Unicycive opportunity, where the commercialization was expected to start this year, because of the facil ity issue of our CMO partner, it has been delayed by 1 year, and the commercial revenues will start in next financial year.
Moderator: The next question is from the line of Gaurav from Antique.
Gaurav: Sir, just taking cue from an earlier participant question, could we quantify the biosimilar sales this quarter and the Biologics CDMO revenue in this quarter?
Keshav Bhutada: Of the total revenue, our major revenues in Biol ogics today is from CDMO and licensing only. Our major biosimilar revenues will start once we have more products in the market, especially in Europe and U.S. or in the export market.
Gaurav: Okay. So is it fair to assume t

hat the Orion licensing income, if any, would be booked in the Biologics segment?
Alpesh Dalal: That's correct.
Gaurav: Got it, sir. Coming to NorUDCA, on the go-to-market strategy, now the patient population is huge, but diagnosis is a problem. A nd we see another peer with a similar product having partners for this launch. So would that be a go-to-market strategy as well? Because the front end is not large. So will we look for

partners and that a nnouncement should be made in the next quarter or
two?
Keshav Bhutada: So, as I mentioned, for the said product, alread y we have partnered with the 3 big companies, and these are amongst the top 10 companies in IPM who will be commercializing this product for us. Apart from that we have also kept a license with us aswell. So totally, there will be four people who will be launching. For the said pr oducts from the three big companies whom we have partnered, we have a licensing income, and also there will be a supply sales what we will be securing. We already have launch orde rs from all the 3 big companies in place.
Gaurav: Got it, sir. Okay. Sorry, last quest ion on the -- so Pemetrexed, you've been gaining market share. I think profit share is expected in the subsequent quarters. So that's an upside. Borte, we've been in the market for a couple of months. Any indication how the ramp-up has been? And how soon can we see market share further inching up?
Keshav Bhutada: It will be same like Pemetrexed. So you will see that Bortezomib is also a very differentiated product. However, the product was launched recently. We expect to see a reasonable contribution from Pemetrexed and Bortezomib, and it will continue in the upcoming financial year.
Gaurav: Yes. But just a clarification on that. So Pemetrexed market share ramp-up took almost 10 months since launch. So we can see a similar kind of a tim eline for uptake in Borte or that could be faster as well, given no competition?
Keshav Bhutada: We feel it can be 1 quarter early, because we have now some good experience on Pemetrexed. So maybe 1 quarter early, we will start seeing better realization. ~ / Innovating for ~ affordable healthcare

Moderator: The next question is from the line of Kiran B, TripleTree Capital.
Kiran B: Sorry, just a quick clarification, Keshav. The reason -- again, we have three competitors for NorUDCA, and we are very excited about that product launch. So Zydus does Saro. Sun does Ursocol. Abbott does Udiliv. So I mean, do we -- you said there are three partners. Is there any point -- at any point, you will reveal who those three partners are or we should just wait for Q3 launch or are these the same partners who already have competitive pr oducts in the market?
Keshav Bhutada: We would prefer to wait for one quarter to disclose.
Moderator: The next question is from the line of Sanjay Kumar from ithought PMS.
Sanjay Kumar: So you've mentioned two NCE projects to commer cialize in FY '27. This is under the CDMO division. If you can give what pr oduct, what indication or the ma rket size for these 2 products?
Keshav Bhutada: The first product which is an NCE is filed by ou r U.S. partner, the NCE is for gall bladder indication, and they have developed a very differ entiated product for which we will be supplying only one part of the total product, which is API. And that commercializati on will be starting next financial year. And the second product is OLC, Unicycive, whic h already all the details are available with you.
Sanjay Kumar: Okay. And what could be the market size for the first gallbladder product?
Keshav Bhutada: See, that all depends on our partner because they will be the one who will be selling this product, right? But we feel that it could do good.
Sanjay Kumar: Okay. Second, so I see that, at least in my mind, we'll take albumin, NorUDCA, SMLINJ011 and a few of our biosimilars global. Tha

t means that will need a lot of capex for these global trials. So what capex plan do you have for the ne xt 2, 3 years? And how are we going to fund it? Because I was just worried if we'll have to go into another leveraging cycle again?
Keshav Bhutada: As we already mentioned to everyone, for all th ese assets, usually, wh at we are doing now is, after one stage, we are usually part nering so that we have a partner who is also giving us licensing fees, which is further taking care of the cost fo r our clinical studies. So we don't foresee any significant change in capex because of these products going into global or going into multiple studies because for each of them will be partnered at the right time and this also hedges our risks.
Sanjay Kumar: Okay. But capex numbers for FY '26 and '27?
Keshav Bhutada: On capex numbers for FY '26 and '27, we are working on it, we want to do some additional capex in our API business. So we would be able to finalize that in this quarter. So I think we'll be able to give you a good pict ure in next quarterly call.
Sanjay Kumar: Okay. Sure, sure. All right. And just an extension to the gallbladder. Is the same drug as the FDA Breakthrough designation drug that you mentioned?
Keshav Bhutada: Yes, you are right. ~ / Innovating for ~ affordable healthcare

Sanjay Kumar: Okay. And any reason for doing bonus, any particular reason for issuing bonus?
Alpesh Dalal: I think what we believe is that the way the compa ny is growing, the current equity base is small. There are less than 10 crore shares on the market . And the way the interest in the company has been increasing whatever we have been hearing from generally the investors and all, I think improving the liquidity of the stock is an importan t aspect. So, that was one of the driving forces. And generally, also, we felt that investors, who have been with us for a longer period of time, we also need to, in a way, provide them the right kind of benefit.
Sanjay Kumar: Got it. Final question. Since you can't disclose many things because it's market intelligence related to our products, can you provide an overall guidance on revenue growth for, say, FY '26 and FY '27? In fact, we should ha ve a separate call for each of our divisions. That's how complex our business is. So any revenue growth guidance for the next 2 years?
Alpesh Dalal: Generally, we do not provide an y guidance, but we have indicated what the drivers are for the businesses for the next couple of years. So, that should provide a decent understanding of what kind of growth can be expected. But we don't provide specific guidance per se.
Moderator: The next question is from the line of Gaurav from Antique.
Gaurav: Sir, on the novel biologics and the 2 investments, minority that you've done in Alveolus and mAbTree, you're expecting them to enter Phase I in FY '27. Would that entail an additional investment from Shilpa for progressing those trials or an inch-up in R&D cost for FY '27 for us?
Keshav Bhutada: Majorly for both the deals our main interest is in developing and manufacturing these assets at our facility, for which all the major infrastructure required is available with us. So there will not be any significant change in our expe nditure because of these 2 programs.
Gaurav: So we would be supplying clinic al trial supplies for Phase I?
Keshav Bhutada: Yes. For the clinical studies going forwar d, we will be their exclusive suppliers.
Gaurav: Got it. On the tax rate for the remainder of the year, how should we look at it? This quarter, we had a benefit. But for the remainder of the year , what would be our expected tax rate, please?
Alpesh Dalal: Generally, we are in the region of about 35%, 36% tax rate.
Moderator: The next question is from the li ne of Shubham Sehgal from SIMPL.
Shubham Sehgal: Yes. I just wanted the latest update on a few of our molecules. So from API

like the three molecules, Palbociclib, Olaparib and Teriflunomide?
Keshav Bhutada: So in API on Palbociclib, our validation batches are completed, and we will be filing the DMF for the product in 3 months' time. And coming to Olaparib, the validation batches have started, and we are expecting to complete by October of this financial year. And after that, with 6-month stability, we will be filing this product. And on Teriflunomide, our formulation is completed, and our API is already commercialized.

Shubham Sehgal: Okay. And just lastly, on peptide, so I think we have these two. One is Desmopressin and the other one is Octreotide Acetate?
Keshav Bhutada: Yes. On Desmopressin and Octreotide, both th e products already are commercialized. And we have a strong order book for Desmopre ssin already for next 2 quarters.
Shubham Sehgal: Okay. I'm sorry, but could you just mention in which regions have we commercializ ed these two?
Keshav Bhutada: Yes. Mainly, we are supplying to some customer s in Europe and U.S. and ROW. So it's a mix, where they have started giving us initial quant ities of the current commercial product. So going forward, in next year, we expect that value to further increase.
Shubham Sehgal: Okay. Got it. And so the major increase we saw in ROW sales for this quarter, was it like driven by mainly one or two products or was it like again a mix of products?
Keshav Bhutada: It's a mix of multiple products as we have multiple registrations in ROW, which were done in last 3 years. Our focus remains on mone tizing these products in various markets.
Shubham Sehgal: Okay. Got it. That’s all from my side. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was th e last question for today. I now hand over the conference to Mr. Alpesh for closing comments.
Alpesh Dalal: Thanks, Pari. Thank you, everyone, for taking time to attend the call. We continue to be excited about the path forward. And in case you have an y queries or any of your questions have remained unanswered, please reach out to our IR team and we'll be happy to help you. Thank you.
Moderator: Thank you. On behalf of Shilpa Medicare Lim ited, concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Date: 19th November 2025
To,

Corporate Relationship Department,
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Mumbai-400 001
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai-400 051

Dear Sir/Madam,

Sub: Transcript of the Q2 - FY26 Conference call

In furtherance to our intimation dated 5 November, 2025 with regard to the Q2 -FY26 Conference call held on Monday, 17 November 2025, at 11.00 hrs., please find enclosed transcript of the call.

Thanking you

Yours faithfully,

For SHILPA MEDICARE LIMITED

Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited
Q2 FY '26 Earnings Conference Call”
November 17, 2025

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHILPA PHARMA
LIFESCIENCES LIMITED
M R. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED
M R. MONISH SHAH – HEAD, STRATEGY AND INVESTOR
RELATIONS – SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shilpa Medicare Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah, Head of Strategy and Investor Relations. Thank you, and over to you, Mr. Shah.

Monish Shah: Thank you, and welcome to our quarter 2 FY '26 Results Conference Call. Today, we are joined by Mr. Keshav Bhutada, Executive Director and CEO of Shilpa Pharma Lifesciences; and Mr. Alpesh Dalal, our CFO.

Before we begin the call, please note that the financial results and the presentation has been uploaded on the stock exchanges. Note that this call is being recorded and the transcript, along with the audio of the same will be made available on the website of the company and the stock exchanges as well.

I would like to remind you that today's discussion might include certain forward-looking statements based on current expectations and assumptions. These statements are subject to risks and uncertainties that could cause the actual results to differ materially. The company undertakes no obligation to publicly update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

With that, I would like to hand the call over to Mr. Keshav for his opening remarks. Thank you, and over to you, Keshav.

Keshav Bhutada: Thanks, Monish. Hi, everyone, very good morning to you all. The current quarter marks a very big breakthrough for us. We recorded highest quarterly EBITDA, and the excitement is not only to share another set of results, but to share the momentum, the confidence and the direction that the company is focusing on ensuring better asset utilization.

We are operating in some of the most advanced, complex and high entry barrier segments, namely API, Formulations, Biologics, as an integrated one-stop solution. So I'll start briefing about each of our business segment.

Let me start with the API business division. In API, mainly we are working in 4 key verticals: oncology, non-oncology, CDMO, peptides and polymers. In oncology and non-oncology segment, we are developing 2 NCE programs for a big pharma customer.

For the first product, our customer has got approval, and the commercial supplies are expected to start from Q4 FY '26. The second NCE program, where our partner is currently doing Phase III clinical studies, for which the filing is expected in FY27.

The third product, which is Nilotinib, where we are supplying our differentiated API to a formulation, the quarterly volumes are increasing, and we are gaining market share every quarter-on-quarter. In the current quarter, we have successfully completed 2 new products filing in U.S. and Europe. And we could also complete one new product, PV, in the current quarter.

Coming to non-oncology, Tranexamic Acid, the volume is growing every quarter-on-quarter, and we are expected to achieve our full capacity utilization in the current year. And we are also planning to build additional 100 metric tons capacity -- for which the capex investment has already started, and we are expected to commission this in next financial year.

The second product, Ursodeoxycholic Acid, we had received CEP approval in the previous financial year. Post the initial Business development activities we are expecting to start commercial supplies from Q3 FY '26.

Third product, which is NorUrsodeoxycholic Acid, which is a novel product, where our API commercial supplies will start f

rom Q3 FY '26, and expect it to contribute meaningfully in next financial year. And there is one more new product, which is an import substitute, where the PV batches have started in current quarter.

Coming to CDMO, peptides and polymers, we are having good traction in the CDMO business, with several programs advancing in various stages of development. The Lanthanum Dioxycarbonate, a product which we have developed for Unicycive Therapeutics. We have built a dedicated facility, and we are planning to commission this block in Q3 FY '26. And the commercial launch for this product is expected in next financial year.

Coming to polymer, where we are doing commercial supplies to our U.S. customers and every quarter, the volumes are increasing. On the Peptide front, Semaglutide remains a very important product for us. We have finished all our development activities and our planned PV batches are initiated.

We are planning to complete our PV campaign in Q4 FY '26. And company is also investing a large dedicated peptide facility with fully advanced automation systems, and we are planning to commission this facility in next financial year. Overall, API business is expected to continue growth in double digit year-on-year.

Now coming to Formulation business division. Today, I'm happy to inform everyone that we have successfully launched our first NCE program in India, NorUrsodeoxycholic acid. Globally, to bring this product to market, Shilpa Medicare is the only company to launch this product in India.

The other 3 NDA products, which were approved in the last financial year, and the launches in U.S. have already begun. We continue to see encouraging response from our launches, especially in Pemetrexed injection where our market share is increasing quarter-on-quarter. And the other 2 products, slowly, we are seeing that there is a growing traction. And we are also planning to take NorUrsodeoxycholic acid to the global market.

Now coming to Europe market, where the Nilotinib, which was launched in Europe in last financial year. Every quarter, the market share is continuing to grow. And even today, we don't expect much generic competition for the current quarter. Coming to Rotigotine, transdermal patch, which is a very complex transdermal patch for Europe, we are expecting approval in Q4 FY '26.

And company has successfully completed U.S. clinical study, and we are planning submission in Q3 FY '26. The 2 new -- 2 other transdermal patches, which are already in the advanced stages of development, we are planning to file this product in next financial year.

Coming to Ondansetron long-acting injection, which is first of its kind long-acting injection for advanced patients with antiemetic diseases, where the Phase III clinical studies are completed, and we are planning to file this product in India in Q4 FY '26 and plan to launch in next financial year. Besides this we are having 5 more differentiated 505(b)(2) programs in different stages of development. NCE program, OLC of Unicycive Therapeutics is expected to have approval in FY '26.

Coming to Shilpa Biologics, we have 2 new NBE programs, one with mAbTree Biologics and second program with Alveolus, and both the programs are expected to enter Phase I human studies in FY '27. Our first ADC biosimilar, which our development work in lab is in the advanced stages, and we are planning to again enter this product in human studies in FY '27.

So now we have 8 biosimilar programs including our pipeline products, which are under various stages of development. Amongst these Aflibercept is the most advanced program, which is currently under Phase III studies, we expect to launch this product in FY '27 once the clinical studies are successful.

The second program is Nivolumab, which is a blockbuster product globally, the Phase I/III human clinical trial in India are likely to start

in Q4 FY '26. And in our Biologics division,

totally, we have 6 active CDMO programs, which are in various stages of development.

Now coming to Recombinant Human Albumin, we have permission to start India clinical studies, and we are also planning to submit our IMPD submission in Europe for starting European Phase III clinical study. And we are planning to start European Phase III clinical studies in Q4 FY '26. And product scale-up and filing in Europe for IMPD submission is on track.

Overall, company continues to position itself as one of the advanced integrated API peptide, polymer, differentiated formulation and biologics and CDMO services company. And overall, our financial results reflects discipline, innovation and resilience. And more importantly, it reflects the Shilpa of future, a stronger Shilpa, a more profitable Shilpa and a globally competitive Shilpa, which is defined by innovation, scientific depth and discipline to increase its asset utilization.

With this, I hand over the call to Alpesh Dalal. Thank you.

Alpesh Dalal: Thanks, Keshav. Good morning, everyone. Let me briefly take you through our financial performance for the second quarter and the first half of FY '26. We reported our highest ever quarterly revenues at INR372 crores, recording a growth of 7% year-on-year, whereas revenues for the half year were at INR700 crores, reflecting an 8% growth.

Our gross margin improved to 72% for the quarter and 74% for the first half. And this improvement in gross margin was seen despite lower contribution coming in from CDMO and licensing business as compared to previous year and thereby reflecting a strong margin in our base business, driven by scale-up in our share of complex product portfolio.
Now for the quarter, we recorded the highest ever quarterly EBITDA at INR110 crores. We have crossed INR100 crores landmark for the first time in our history. And that was as compared to INR 91crores in Q2 of FY '25, showcasing a 21% growth. And the EBITDA for the first half was INR208 crores, growing at 20% year-on-year.
Now with this strong top line growth, the company also reported a strong EBITDA margin at 30%, both during the quarter as well as for the first half, reflecting a 4% and 3% improvement in margins on year-on-year.
Now with the increased market share in our base business products, coupled with the introduction of novel products like NorUDCA, we believe that this change in business mix should help sustain our profitability in the current quarters. And besides this, we also have a very strong pipeline of complex FDF products, which would be launched across various markets in the globe.
We also continue to see a reduction in our interest outgo year-on-year basis, and we believe that we have now stabilized at the current level from a run rate perspective. And we also expect that most of our capex program would be funded through internal accruals. So, the interest outgo should be at the current levels.
The PAT for the quarter was INR44 crores. And for the half year, it was at INR91 crores. I'm happy to report that the PAT that we have achieved in the first half has surpassed our full year PAT in FY '25, which was at INR78 crores. I would also like to draw your attention to the fact that the ROCE profile of the company has been improving steadily.
Our adjusted ROCE, excluding investments made in our high-growth potential biological and NBE business has seen a significant improvement from 4% in FY '23, to approximately 17% in the first half of FY '26.And with Biologics business progressing well, we remain confident of improving our operating leverage driven by improved business mix and thus improving the overall ROCE in the coming years.
Now a very quick highlight on the segmental performance. Our non-captive API business clocked a turnover of INR205 crores, and the growth was on account of

higher offtake of key
products from our newly expanded capacities. The Formulation business for the quarter was INR109 crores, growing at 16% year-on-year.

And if we exclude the licensing income, the base business reported a robust growth of about 60% for the quarter compared to previous year and a 67% growth in the first half of current financial year. Thus, the base business growth is driving our growth in the Formulation business. And this growth was mainly driven by increasing the market share of our complex product portfolio in the U.S. and limited competition product in the EU market.
Likewise, our Biologics business has been growing well, recording revenue of INR25 crores in Q2 and INR61 crores in the first half of the current financial year. Moving on to the balance sheet items. The net debt at the end of September was INR569 crores with capex investments of INR153 crores during the first half of the financial year.
With that brief introduction, I would now like to open the Q&A.
Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Sucrit D. Patil with Eyesight Fintrade Private Limited.
Sucrit D. Patil: I have 2 forward-looking questions. My first question is, as pharma industry shifts towards more specialty drugs, oncology or global partnerships, looking beyond the quarter number, how are you planning to position Shilpa to build a lasting edge beyond just quarterly growth or licensing deal? Or is there any deeper plan of action that you are going to be putting into place that will keep the business strength strong? That's my first question. I'll ask my question after.
Keshav Bhutada: Yes. Thank you, Sucrit. As a company, if you see our historical performance and our historical investments, we have always done investments in something which is more complex and in specialty divisions. And Shilpa has done significant investments in Biologics, in our transdermal facility, in our fermentation facility for Albumin.
What we will be doing in next 3 to 5 years, we will try to monetize all these investments. I think that's a simple formula which we will follow because Shilpa has all the technical know-how, the complex pipeline in place, the R&D team is well positioned for such complex development. So only a focused strategic execution and monetization of asset is something which we will be focusing.

Sucrit D. Patil: My second question is to Mr. Dalal. Again, a forward-looking one because it has -- given the current guidance, I just want to understand how things go ahead. When costs rise, whether it is raw material, compliance or R&D investments, how do you make sure the margins stay steady without slowing down growth?

Is there any system you have built? Like smarter sourcing, pricing discipline or operational efficiencies that will help you keep the profits in line even when things sometimes get a bit out of control, or you don't have any -- certain crises may stand up in the coming days. Just want to hear your view on that.

Alpesh Dalal: Yes. The business is marked with uncertainties at all points in time. What we end up doing is that we end up having a very agile and efficient system in place where we keep monitoring the

changes happening in the marketplace and determining the actions required to offset some of those challenges that may come up.

What we try to do is we try to predict the market situation. Say, for example, if we expect a particular raw material is likely to come up in short supply, which would end up increasing the cost of the material in the coming days, we might end up stocking up that material.

We look at leveraging -- building on a lot of operating leverage of various businesses. As you know that we are present in various businesses across various seg

ments and all. And we try to cross utilize a lot of our business intelligence from one to the other.

And even on the operational side, what we do is, some of our big cost items are constantly under our radar to ensure that we are looking at alternates which will allow us to reduce the cost and allow us to complete our ESG-related obligations simultaneously. So, the case in -- an example could be green energy related solutions, where we try to bring the cost down as well as building more sustainability. And that's a constant exercise that we keep doing all the time.

Moderator: Next question comes from the line of Krisha Kansara with Molecule Ventures.

Krisha Kansara: My first question is regarding NorUDCA. Now that we have launched this in Indian market, my question is with respect to the potential of this product. I'm aware that we have tied up with 3 marketing companies, and we are also going to launch our own brand. But I have 3 sub questions to this topic. One, can we assume that our own brand will take some time to scale up? And for at least next 2, 3 years, a substantial amount of top line will come from the profit-sharing arrangements which we have with our marketing partners. That is the first question.

Second, what is the kind of market potential that this drug has? What kind of an opportunity are we looking at in terms of, let's say, top line or profitability when it comes to our books in the next 1, 2 years? And also, if you can highlight -- if you can throw some light on the competitive landscape of this drug. I know Shilpa is the first company to treat NAFLD with this drug. But in terms of the other existing treatments of this disease, where are we placed?

And what do we bring on the table to compete with the other players? And the third part of the question is what kind of licensing income are we expecting from these 3 marketing arrangements that we have made? That is my question on NorUDCA.

Keshav Bhutada: Yes. Thanks, Krisha. On the first question, we don’t have a profit-share arrangement. The arrangement is more with respect to supply price. So the revenues which will be coming in the upcoming quarters, it will be mainly with respect to supply price.

And second part, yes, we have a licensing income, we have received some portion of it and the remainder we will be getting it in the upcoming quarters. Mainly, we have some milestones which are year-on-year, which our marketing partners must achieve. Once it is achieved, then we will get those milestones.

But the most important part here is we are not expecting a big licensing income here. It will be more of a sales revenue, which we will be getting in the upcoming quarters. When it comes to NorUDCA -- and if you see the press release also, the NorUDCA as a product, it's a very differentiated opportunity because especially the NAFLD patients, the amount of patients which are available in India for this disease are significantly high.

And with respect to clinical adoption dynamics, we expect at least we will get ~10% of the treated NAFLD populations, that will get convert to NorUDCA. This is what is our estimate over the next 3 to 5 years.

Krisha Kansara: So you're saying that you'll be able to capture 10% to 20% of the market share of current NAFLD treatment, correct?
Keshav Bhutada: Yes. This is what is our estimate. But as I previously also mentioned in our previous calls, Shilpa is launching such innovative NCE, complete NCE first time in India. We have partnered with few of the best companies in India who have very strong marketing presence with various doctors, and with various specialty hospitals. Maybe in the current Q3 and Q4, it will be just supplies. But from the next financial year, we surely expect a sizable numbers from NorUDCA. This is our estimate.
Krisha Kansara: Okay. Understood. And sir, my second question is regarding the import a

lert. So we have been hearing from the market that USFDA is here for the final inspection at our Jadcherla plant. So would you like to provide any update on that?
Alpesh Dalal: As far as USFDA inspections are concerned, whenever we have any update to be provided to the markets, we will inform. As of now, we don't have any update to be provided.
Krisha Kansara: Okay. Sure. I understand. And one last bookkeeping question and then I can join back the queue. If you can provide the sales breakup of the API segment without including the captive consumption, just so that I can compare the numbers from previous quarters.
Alpesh Dalal: Yes. We can get in touch with Monish, and we'll provide you the breakup.
Moderator: Next question comes from the line of Shubham Sehgal with SIMPL.
Shubham Sehgal: Yes. My first question was, so what has been the effect of U.S. tariffs on our 505(b)(2) portfolio? And have we experienced any market share loss in these products, which we are supplying to the U.S.?
Keshav Bhutada: All the 505(b)(2) launches, which are critical for U.S. market, we are launching from our third-party partner CMOs. So especially all the 505(b)(2) products which are getting launched or to be launched, it will be all from a USFDA-approved third-party CMOs.
Shubham Sehgal: Okay. All right. Got it. But so for our existing products, like have we faced any challenges?
Keshav Bhutada: No.

Shubham Sehgal: Okay. Got it. My next question was, have we received a lower amount of licensing fees from Amneal compared year-on-year?
Keshav Bhutada: No, I think there is a confusion because there is no licensing income which we will be getting from Amneal currently because the product is already commercial. So currently, it is more a supply plus profit share what we get from Amneal.
Shubham Sehgal: Okay. But -- so is there any -- I was just trying to understand, is there any specific reason you'd like to mention that -- I'm aware that licensing fees is -- like it will vary from quarter-to-quarter and year-on-year. But is there any specific reason that we saw a little lower licensing fees compared to last year?
Keshav Bhutada: No, there is no specific reason. It is just that many of our products, which were in pipeline last year have moved to the commercial phase. So you will see whatever income we were getting in licensing have moved to the commercial supply revenues.
But more importantly, we have a similar strong pipeline, which we have mentioned in our investor deck also. and the licensing income will remain lumpy depending on the progress of various products to different phases.
Alpesh Dalal: In terms of quarter, as we have been mentioning in the past also, that the licensing income could be a bit lopsided depending on what stage the products are in. So that's not something which we keep comparing.
As Keshav was mentioning that we do have a strong pipeline wherein licensing income will continue to remain an important portion of our business going forward as well. But what we are seeing right now is that some of those initial licensing fees that we had received has started getting converted into a regular supply plus profit-share business now.
Shubham Sehgal: Okay. Understood. Got it. My next question was, so we had mentioned that we have partnered with around 3 companies for NorUDCA. Have we partnered with any more? Like have we increased the number of partners there?
Keshav Bhutada: No, for this product, the kind of market opportunity, the patients and the hospitals where we want to reach, I think we don't want to have a lot of partners who inturn would compete among each other. So it's more a strategic partnering what we have done for the product. And we feel, with this number of partners, we will be able to get a decent market share.
Shubham Sehgal: Okay. Understood. Just one clarification. So OLC, which we are supplying to

Unicycive, are we expecting it to commercialize next financial year or by end of this financial year?

Keshav Bhutada: It will be next financial year, but this is purely anticipation, right? No one can give you a firm clarity on that. But based on our experience and current expertise, we feel it will be next financial year.

Shubham Sehgal: Okay. Got it. Just last question, and then I'll get back in the queue. Could you throw some color on our new peptide project, which we have supplied initial quantities through an MNC? Like, what kind of project is it? Like, could you provide any color on this?

Keshav Bhutada: See, we will not be able to disclose more about project. But what I can tell you is it's a significant potential project, which we have in peptide. And what Shilpa has been doing, if you see across last 3- to 5-year journey in peptides, we have invested in R&D. Today, we have 2 manufacturing lines.

Now we have invested in third high-capacity manufacturing line. And with the pipeline of GLP-1s, like Semaglutide, and then with some mix of CDMO projects, we feel that peptide going forward will be also an important revenue driver for our API business.

Shubham Sehgal: Okay. But is this project -- like, is this product apart from the other products that we are currently into and working towards?

Keshav Bhutada: Yes. But currently, the other program, which you are mentioning, the supplies initially, are done for the pilot quantities to our partner. And we are expecting the commercialization to happen in year 2027.

Moderator: Next question comes from the line of Ankit Gupta with Bamboo Capital.

Ankit Gupta: So we've seen a very healthy jump in the European Formulation revenues during this first half. So on a broader level, we have a very good portfolio on the Formulation side. So as a market, how do you see European oncology injectable? And what will be our strategy to take it to a higher level of revenue contributing, let's say, INR300 crores, INR400 crores of annual revenues. Anything you can share on that?

Keshav Bhutada: In Europe, if we see, as a company, we are developing both the generic -- complex generic products as well as differentiated products. So today, a major of our European revenue is coming from Nilotinib, a differentiated product which in launched last year. And similarly, we have a range of around 3 to 5 products which are in pipeline, which are complex generics.

And next year, we expect commercialization of at least one of them to happen, which is specialty complex generics. besides this we also have some other products which are me-too generics, but there is less competition. So what I'm trying to tell you is, in summary, going forward, European business is expected to grow continuously.

Ankit Gupta: Sure. But as a market, how do you see -- on oncology injectable side, how do you see the competitive intensity there? We also hear about some shortages in the key markets of Europe happening for some of the products, like in our portfolio also, we have something like docetaxel and also, we keep hearing that. So if you can give your views on the competitive intensity there, especially on the oncology injectables side?

Keshav Bhutada: Yes, Europe is a very competitive market. And here, if you just go with me-too generics, then there is a big competition, and you cannot get market share. So in Europe, if we really want to

grow and increase our market share we need to focus more on complex generics and differentiated early non-infringing formulations.

So to tell you, yes, there are shortages in market, but there is a severe competition for me-too generics in European market. Since Shilpa is end-to-end fully backward integrated, with the focus on complex generics we expect that we will be well positioned to get market share.

Moder

ator: Next question comes from the line of Kiran D. from TableTree Capital.

Kiran D.: Congratulations, Keshav and Shilpa team for launch of our first NCE on NorUDCA and obviously, a great set of results as well. A couple of questions, Keshav. First question, we're saying the NCE, one project will commercialize in FY '26, another project in FY '27. I know you can't share clients, but if you could share indications of this NCE molecule, at least for the launch of FY '26 and market size of this molecule, any potential competition? If you just give some color on this, that would be great?

Keshav Bhutada: I will not be able to disclose more on the indication. But what I can tell you the API, which we are supplying to our partner, it's for an NCE program. And the partner to whom we are supplying

this product, they are a big pharma. So we can expect a sizable opportunity for Shilpa.
Kiran D.: Okay. Sure. Second question, Keshav, is -- I mean, there's always this confusion. Total service income for the quarter is INR72 crores, out of which is from the P&L. INR46 crores in Formulation, which is from the presentation. So there's a delta INR26 crores, is it coming from API or biosimilar biological? Second question is, service income, does it include profit sharing, or it's just pure licensing, that INR72 crores?
Alpesh Dalal: The overall licensing income is under all the 3 business divisions. So there is income that is coming in Biologics. There is business income that comes in our API business, also a small portion. And then there's licensing income coming in predominantly in our Formulation business.
Kiran D.: Yes. So INR46 crores is from Formulation. This is in the investor presentation, Alpesh ji, right? So your total service income in your P&L statement is INR72 crores. So there is a delta of INR26 crores. So is it coming from API or Biologics biosimilars?
Alpesh Dalal: INR72 crores will also have some of the CDMO income coming in. It's all other operating income. It is not necessarily just the licensing income.
Kiran D.: Okay. So service income includes CDMO development revenue plus licensing is what you're saying?
Alpesh Dalal: Correct.
Kiran D.: Got it. Sir last clarification, Keshav. We spent INR165 crores capex in H1. I mean we also see in the investor presentation that large capacities are unutilized, maybe different business units, right? Maybe biosimilar Biologics, large capacities are unutilized. Where are we spending this INR165 crores capex? And what's the capex program for FY '26 and '27?

Alpesh Dalal: Yes. So I think, the capex for H1 has been INR153 crores. And our Albumin facility is still being put up, so certain capex is going there. And certain capacity-related capex we are doing in our API business.
So those 2 are the major this thing. We also are looking at probably some small portions coming up in our Formulation business, but some of them is maintenance capex, but the growth capex is predominantly into our Albumin business as well as our API business.
Kiran D.: FY '26, what would be the capex? FY '27, what is the estimated capex?
Alpesh Dalal: Yes. So for FY '26, we should be doing another about INR75 crores to INR100 crores from here on. And I think, for FY '27, once we are through with this particular capex cycle, we'll update you a little later, say, around Q4 or so.
Moderator: Next question comes from the line of Sanjay Kumar of iThought PMS.
Sanjay Kumar: First question is on Albumin. Recently, I think, CDSCO SEC has asked us to revise Phase III protocol for Albumin. I thought we already had one protocol since September 2024, which was approved in Jan 2025. Now we have another protocol later July and on which there has been a revision -- another revision. So can you explain what's happening and why this latest revision? So how many more months will it take now? What is the delay from

the revision?
Keshav Bhutada: No, I think, there is a confusion. We have 2 clinical studies for which we have put permission. One is for India, one more is for European clinical study, so the new protocol which we are talking that is for Europe clinical study, where we have submitted our recent protocol, and we have received comments.
And same way, we are also submitting in Europe, which we call it as the IMPD submission. Once that is done, then with the updated clinical study protocol, the approval and time line is sometime in Q3.
So we are expecting to start our clinical study, Phase III clinical study, in Q4 FY '26. So there is no delay. It's just the protocol, as you know, in any clinical study when we submit any protocol for any other market, there will be feedback against which we have to just revise the protocol and take approval. So this is as planned, and we are planning to start, if everything goes well, in Q4 FY '26 clinical study.
Sanjay Kumar: So in CTRI NIC, we will be registering 2 separate trials, is it?
Keshav Bhutada: Yes.
Sanjay Kumar: Okay. Got it. And second question on peptides. See, Semaglutide, you are saying it will be ready by Q4. And then we file it by H1 FY '27. But by then, everyone would have launched or filed, right? So who are we developing this for? Given the pricing drop, does it still make sense to do it? And a technical question, what process do we use to make Sema? Is it solid phase peptide synthesis? Or do we use our recombinant method? Or do we buy the P29 fragment like other companies and do the final 2 amino acid coupling?

Keshav Bhutada: Yes, we are late in Semaglutide, but what we have developed and the strategy which we have adopted is we are having both synthetic and semisynthetic API. And our major sales will also go to our captive formulation because we are developing the formulations. So with end-to-end backward integration on the process, we believe that we will be competitive.

And given the size of the opportunity in Semaglutide, we are not targeting like a 30% market or 50% market share. We are positioning ourselves as a reliable supplier for the product as of now.

And the only advantage what Shilpa will have, and other competitors will have is the kind of regulatory approvals that we have in our facilities. So our interest is not only India market, but many of the rest of the world markets where we have partnered.

So overall, for us, opportunity in Semaglutide is, it's our own formulation with end-to-end backward integration with global regulatory accreditations. And coming to your second question, which is the technical of whether our process is semisynthetic or synthetic, we are doing both, and we are fully end-to-end integrated.

Sanjay Kumar: Okay. And extension on peptides. You said that you are planning a dedicated capacity. What will be the capacity you are planning? And what will be the revenue potential? And given these are new modalities, which are growing rapidly, do you want to keep doing the generic ones like Desmopressin and others? Or do you want to be a CDMO for innovators going forward?

In fact, I think, we have even listed one ARBM101, which I think is Methanobactin and who -- their website states that they will get into first-in-human trials in 2026. Are we still on that program?

Keshav Bhutada: Yes, we are still on that program, and that's in our Biologics business, where they will be starting the Phase I clinical study next financial year, for which we have received the order for supply of this Phase I material.

For any company generic products are always a cash flow. However in our case we will enter generics products only if there is a niche opportunity where the competition is also less, this is how we are positioned. And the kind of capacity what we are building, we will be disclosing that in the upcoming quarters.

Sanjay Kumar: O

kay. And on polymers, we have one customer for now, it looks like. And you seem to manufacture very uniform high-purity polymers, which I don't see a lot of CDMOs or Indian companies have.

So do you see this capability becoming another strategic pillar for us over the next 3, 5 years? Or do you plan -- if you can comment on some of these projects? Are these multiyear development programs or these generic catalogue products that we are planning? And how large can this polymer business become for us over, say, next 3 years?

Keshav Bhutada: See, to answer your question, yes, it is a very complex expertise, which we have built over years. And yes, we have multiple programs. There are some other programs, which are in early stages of development, We are also supplying some polymer to big pharma customers also.

So what is our plan in polymer in next 3 to 5 years is, we expect to also add a significant revenue in our overall API business. How much it will be and all, I think, I will not be able to tell you today. But I can tell you, it will be significant. And the kind of programs that we are running, we are confident that in the upcoming years, it will really grow.

Sanjay Kumar: Okay. And Ondansetron, you've mentioned that the global size is $375 million. But can you give the -- given that we'll be launching only in India first, what is the potential in India? And what's the sort of competition for this product?

Keshav Bhutada: See, for Ondansetron, one of the unique things that we have done is developing a long-acting injection. And especially in the highly emetic patients, currently, Ondansetron is a very well-known safe drug. But the only thing which no one has thought is to develop a long-acting injection because usually when patients are in highly emetic conditions, they are using along with paclitaxel and various other taxels.

And currently, for this, there are competitive products like Palonosetron which are getting used. But being Ondansetron is such a safe drug and making a long-acting injection of that and entering into a long-acting injectable antiemetic patient space, is a good opportunity that we are targeting.

How big it will be? It is too early for us to comment. But now since our Phase III studies are

completed, and we will be submitting to Indian government, and then we are expecting approval. We have also started to discuss with potential partners, and we will be able to give you some more clarity in the upcoming quarters.
Moderator: Next question comes from the line of Krisha Kansara with Molecule Ventures.
Krisha Kansara: Sir, in this quarter, we reported a licensing income of INR72 crores. If you can tell us how much of this was received from Orion Corporation for our Albumin contract?
Alpesh Dalal: We will not be able to provide client-specific information. That is confidential.
Krisha Kansara: Okay. And sir, second question on the OLC contract. Now that Unicycive is planning to resubmit the data by this year-end, and it is confident of getting approval in the first half of next year. So can we assume that in the quarter 2 of FY '27, we will start seeing the contribution from this contract in our books? And also because we are the exclusive supplier for them, our order book should be known to us beforehand only. So what kind of orders can we expect in the first year of launch?
Keshav Bhutada: On OLC opportunity, let me be very clear that today, all the focus is on getting the product approval by our partner. And here, the most important part is the submission of this new facility data. So I don't think we will get the approval in the first half of financial year. It will be more in the second half of next year financial. And yes, next year, surely, there will be a commercialization revenue if everything goes as planned.

How muc

h it will be and all today, our partner and even us are purely focusing on submitting this new site data and getting approval. And as I already mentioned, there is a dedicated block, which we are building only for OLC. So once the commercial requirement comes, we are fully geared up for giving the supply.
Krisha Kansara: Okay. So you're saying that commercial revenues can come in the second half of '27 financial year?
Keshav Bhutada: Yes.
Krisha Kansara: Okay. And just one last question. So previously, we had indicated that Adalimumab market has doubled with additional indications in place. So what kind of growth did we see in this quarter? And in the Biologics segment, if you can give us the breakup in terms of how much came from Adalimumab sales and how much was our CDMO revenue, that would be helpful?
Keshav Bhutada: Yes. Coming to Adalimumab, I think the kind of revenues which our partner is doing is not significant because India as an opportunity is not very big in Adalimumab. But because we could launch with a high concentration and a differentiated product, we could get good market share. But mainly the important part for us to launch Adalimumab was to give us confidence and a message in the Indian market that Shilpa is developing complex biosimilar and good products. And what we have seen even after launching so late, Adalimumab, we have got decent market share. And the kind of numbers what we are getting are not very significant. But it is like every quarter, we have some revenue contribution coming from the product.
Krisha Kansara: Okay. And would it be possible for you to give the breakup of the Biologics segment revenue, Adalimumab versus, let's say, CDMO revenue?
Keshav Bhutada: Yes, you can maybe contact Monish Shah, and we'll send you that later.
Moderator: Next question comes from the line of Kiran D. with TableTree Capital.
Kiran D.: I just have some quick clarification. So NorUDCA Phase III trial for Europe and U.S., are we planning to kick off that in Q4? Or will it be later? And is that market size as big as India? Because India is the highest number of NAFLD patients. So I just wanted to get some clarity on that.
Keshav Bhutada: Our global strategy is very unique in this product, and we will be updating that in the right time. But what I can tell you is, Europe clinical studies will be starting in next financial year.
Kiran D.: Next financial year. Got it. Second is around Androgenic Alopecia. We've completed Phase II. It's been more than 15 months. We have not started Phase III yet. Any particular reason? Or are we planning to start that soon?
Keshav Bhutada: Yes. The reason was there were some additional preclinical studies which were asked to be done, which we have recently completed. And now we have applied for Phase III clinical studies. And

we'll be starting our Phase III clinical studies for this product again in first half of next financial

year.
Kiran D.: Got it. Last clarification, Afli, we have done Phase III only for India, right? The U.S. and Europe Phase III will be later in FY '27, if it all?
Keshav Bhutada: Yes.
Kiran D.: Okay. And Afli is a big molecule compared to Adali cases in India? Yes.
Keshav Bhutada: Yes.
Moderator: Thank you. Ladies and gentlemen, we have come to an end of question-and-answer session. I will now hand the conference over to Mr. Alpesh Dalal for closing comments.
Alpesh Dalal: Yes. Thank you, everyone, for taking time to attend the call. We continue to remain excited about the path forward. And in case you have any queries or any of your questions have remained unanswered, please reach out to our IR team, and we'll be happy to provide you the requested details. Thank you.
Moderator: Thank you. On behalf of Shilpa Medicare Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

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Dear Sir/Madam,
Sub: Transcript of the Q 3 - FY26 Conference call
In furtherance to our intimation dated 30 January 2026 with regard to the Q 3 -FY26 Conference call held on Friday, 6 February 2026, at 1 6.00 hrs., please find enclosed transcript of the call .

Yours faithfully ,
For Shilpa Medicare Limited

Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited
3Q and 9 M FY '26 Results Conference Call ”
February 06 , 202 6

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER , SHILPA PHARMA
LIFESCIENCES – SHILPA MEDICARE LIMITED
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED
MR. MONISH SHAH – HEAD, INVESTOR RELATIONS
AND STRATEGY – SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the 3Q and 9 Months FY '26 Results Conference Call of Shilpa Medicare Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
I now hand the conference over to Mr. Monish Shah, Head, Investor Relations and Strategy. Thank you, and over to you, Mr. Monish.

Monish Shah : Thank you, and welcome to our 3Q and 9 months FY '26 results conference call. Today, we are joined on the call by Mr. Keshav Bhutada, Executive Director and CEO of Shilpa Pharma Lifesciences; and Mr. Alpesh Dalal, our CFO. The financial results and the pre sentations are uploaded on the stock exchanges. And the transcript, along with the audio, will be available on the website of the company and the stock exchanges as well.
Please note, today's discussion might include certain forward -looking statements based on current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. The company undert akes no obligation to publicly update or revise any forward -looking statements.
With that, I would like to hand the call over to Mr. Keshav for his opening remarks. Thank you, and over to you.
Keshav Bhutada : Hi, good evening, everyone. Thank you for joining our call today. Each quarter, our strategy is translating into tangible milestones, and this quarter is no exception. We are pleased to share another quarter of highest revenue and EBITDA numbers for the co mpany.
As a company, our focus is on limited -competition products, first -in-class therapies, complex delivery platforms, integrated CDMO offerings and high -value biologics. And our model is simple: invest in R&D, build differentiated assets, launch it with strong margins, scale it through partnership.
Now let me start briefing about various business divisions. I'll be briefing my talk on 3 divisions : API, Formulation and Biologics.
Let me start with the API business, and within API, let me start with the specialty CDMO where we have added 3 new CDMO programs. Amongst our existing programs, our first NCE program with a U.S. customer is now commercialized by our partner. Our second NCE program is in Phase III for which the studies are ongoing . And the third U.S. NCE program, which is partnered with Unicycive Therapeutics, for which we are constructing a dedicated commercial block , is likely to get commissioned in Q4 FY '26, and exhibit batches will be taken in Q1 FY '27.

Amongst our other CDMO program which is a Phase II NCE program, we are developing both API and formulation for the innovator . Our partner has received orphan drug designation along with Fast Track designation , the program also has application in multiple indications.
Now, let me start briefing about oncology and non -oncology business. We have added 10 new oncology products in grid, which are blockbusters products globally, of these 3 new oncology products were validated in the quarter. We have also completed scale -up of 1 non -infringing oncology API and the validation batches will be completed in Q4 FY '26 . And for the same product, we will be doing formulation as well .
On the peptide - Semaglutide, which is one of the largest blockbusters on GLP -1, we are developing both injectable and oral solid formulations . And on the API side, we are developing both synthetic and semisynthetic API s. The planned scale -up and validation batches are initiated, which are likely to be completed by Q4 FY'26 /Q1 FY '27.
On the capex , the company is planning to b

uild a large -scale peptide manufacturing capacity,
for which, the work has already started, and we are planning to complete this capex in second half of FY '27.
Now, let me start briefing about Formulation business.
So, on the Formulation side, our first NCE molecule, which was launched in the current quarter , was NorUDCA, NorUrsodeoxycholic acid, has exceeded our expectations, and we have had great response from the physicians.
We also have a very good visibility for the product as we have firm orders for Q4 , as the molecule has excellent response in patients, and we are confident that it will have significant potential in next financial year.
We are also planning to take NorUDCA to global markets of Europe and U.S. for which we are planning to start human studies for Europe in next financial year. We are also doing the same product for multiple other different new indications also.
On the existing commercial products, where 3 commercial 505(b)(2) products which are in market, we are seeing good traction. And every quarter, we are seeing healthy growth number on sequential basis . Within Europe Nilotinib continues to see strong traction on volumes on QoQ basis.
On the development side, we have completed scale -up batches for a new complex injectable product, and we are planning to complete registration batches by Q4 FY '26, and the same product will be filed globally.
In the current quarter, we have successfully received marketing authorization for our first

transdermal patch product, which is Rotigotine. And we will be planning to launch this product with our partner in FY '27. We are also planning to file Rotigotine transdermal patch product in U.S. in Q4 FY '26.

Now, I'll give you a short update on complex pipeline.
On complex pipeline, our first product, which is Ondansetron long -acting injection, we have successfully completed Phase III clinical studies, and the product is already filed in India, and we are planning to commercialize in first half of FY '27. For same product, we will be planning Europe clinical study in Q4 FY '26, and we will be planning to complete European Phase III studies in FY '27.
Second product, SMLTOP09, which is a topical product for androgenic alopecia, and we are planning to complete human clinical studies in FY '27. For the same product, we have already submitted European scientific advice, and we have got positive outcome on our clinical study design.
Third product, is SMLOSD014 it's a first of its kind what we are developing in generic side, but a complex 505(b)(2) product, where our registration batches are completed, and we will be starting clinical study in Q1 FY '27. And filing is planned in second half of FY '27 in U.S. In the next financial year, there will be 2 new launches, which will be happening in Europe market on Formulation side.
Now, let me brief you about our CDMO agreement, where we are doing in the integrated API with formulation project with Unicycive Therapeutics .
Unicycive Therapeutics has resubmitted the filing to FDA and they have received PDUFA date of June 29, 2026. We expect commercialization to happen in FY '27.
Now, I'll brief about our Biologics division.
Our Phase III studies in India are going as planned for Aflibercept, which is a complex eye injection , and we are planning for submission in first half of FY '27. We expect the product to remain a limited competition opportunity in India having high potential, we have partnered with 2 companies having a strong footprint in ophthalmic therapy .
We have 2 new biosimilar products which are already entering human studies in FY '27. Apart from these, SBPL01 which is our first ADC product, has completed lab development and we will be entering human studies of our first ADC product in next financial year.
On the NBE , for MABs we have partnership with Alveolus and mAbTree,

where both Alveolus
and mAbTree projects will be entering Phase I human studies in FY '27. I'm happy to inform everyone that mAbTree product, for which we are exclusive CDMO partner, the product has received orphan drug designation for 2 different indications.
GMP facility for our ADC manufacturing, we are planning to commission in Q4 FY '26. It will be first of its kind ADC manufacturing facility in India with integrated payload linker and conjugation facility.
On CDMO in biologics, we have 5 active programs ongoing with multiple partners, in which 2 programs will be entering Phase I studies in next financial year for our partner.

On Albumin, which is a new biological entity, which company is developing, the global CT clinical trial protocol approval is received in current quarter, and IMPD submission for Europe is targeted in Q4 FY '26.
In summary, whatever heavy lifting was required for the company on the investment side, we have largely completed in last many years, and the focus now is on execution, scaling and getting maximum ROCE from all our investments. Thank you.
Alpesh Dalal : Good evening, everyone. I'll just quickly take you through the financial performance for Q3 and 9 months. We have reported the highest ever quarterly revenue of INR411 crores, recording a growth of 28% year -on-year, whereas our 9 months revenue were at INR1,110 crores, growing at 14%. Our gross margin for the quarter stood at 68%, and 71% for 9 months period.
We also reported our highest ever quarterly EBITDA at INR115 crores as compared to INR82 crores in Q3 of FY '25, reflecting a robust growth of 41%. And EBITDA margins for the quarters were at healthy 28% as against 26% last year, whereas EBITDA margins for 9 months were 29% as compared to 26% last year. So this improvement in EBITDA margin was primarily driven by

increased revenue, driving positive operating leverage.

Now, moving to other financial highlights. Our interest outgo has seen reduction year -on-year, and we believe it has now stabilized at the current quarter run rate for the near future, as we expect to fund our capex program m ainly by our internal accruals.

And during the quarter, we also had an exceptional item amounting to INR13 crores pre -tax on account of change in Labo ur Code implemented by the Government of India. Adjusting that, the PAT for the quarter stood at INR55 crores, and INR146 crores for 9 months period. The 9 -month PAT is nearly double of full year PAT of FY '25, reflecting the acceleration that we are witnessing in our growth.

We have also incurred a capex of about INR87 crores during the third quarter. And I would also like to draw your attention to the fact that despite increased capex, we have been able to improve our ROCE profile of the company. Our adjusted ROCE, excluding investments made in our high-growth potent ial businesses like Biologics and NBE, we have seen significant improvement from 3.5% in FY '23 to over 17% in the first 9 months period. With Biologics business pipeline progressing well, we remain confident of i mproving our operating leverage, resulting into higher ROCE in coming years.

Now, a quick highlight on the segmental performance.

Our non -captive API business clocked a revenue of INR186 crores compared to INR183 crores in the previou s year. However, our API unit has been progressively increasing its support for our in -house product portfolio of Formulation business. And including the captive business, the API business witnessed a robust growth of 11% from INR218 crores in third quarter of previous year to INR243 crores in the current year.

As far as the Formulation business is concerned, the Formulation revenues for the quarter were at INR177 crores, growing at 50% year -on-year. And ex -licensing income, the base bus

iness
reported a robust growth in the revenue of 104% quarter -on-quarter a nd 83% for the 9 months period.

And to sustain this revenue momentum in our FDF vertical, we continue advancing the pipeline of complex products. Our strategy of developing and launching niche products globally through strategic partners is gaining traction, as evidenced by our EU Formul ation business, which delivered over 100% revenue growth year -on-year.

In our Formulation business, we also launched NorUDCA domestically under a dual strategy, one under our own label and along with a strategic partnership with 3 large pharma companies in India. And the strong initial reception that this product has received has translated into a very healthy order book f or the coming quarters as well.

During the quarter, we also received approval for our complex transdermal product, Rotigotine, from EMA. With launch preparations underway with our market partner, we expect to launch in Q1 of FY '27.

With this, I would now like to open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shubham Sehgal from S iMPL.

Shubham Sehgal : So, my first question is that we reported revenues for the Europe region around INR73 crores for this quarter. And also, like, the scale -up that has been there the few past quarters , does this revenue include purely product sales, or it also includes the licensing income for this product?

Alpesh Dalal : Licensing line item is separate. So what we have reported here under EU is only in relation to product sales.

Shubham Sehgal : Okay. And so, similarly, for even the U.S. revenues, it just represents the market It does not include any licensing revenue, right?

Alpesh Dalal : Correct.

Shubham Sehgal : Okay. Got it. Next question is that -- so actually, yes, so apart from the licensing revenue in the Europe sales only, I wanted to ask , does it include any profit share in that INR73 crores?

Alpesh Dalal : Profit share is part of product sale only. It's just that profit share comes in a little later, but it is in relation to product sale only. So profit share is included there. Yes.

Shubham Sehgal : Okay. So for example, for Nilotinib product, what could be the range, like, in which time, we receive the profit share? So like earlier mentioned , for Amneal, we received half yearly. But for Nilotinib, like how does the profit share range? When -- with how much lag do we receive it?

Alpesh Dalal : So basically, we do get updates from our partners quarterly. There are times that we have to do some reconciliation, and also there might be some small adjustment here and there for that. But generally, we do receive all the updates from our partners on a quarterly basis.
Shubham Sehgal : So I was asking about the Non -Onco API segment. And basically, the revenues that we are seeing right now, the scale -up, is it affecting the capacities that we've expanded? Or is there still room for more scale -up there in the expanded capacities?
Keshav Bhutada : So we are not utilizing full year non -oncology capacity because there are some products where the launch and full volumes are expected to grow quarter -on-quarter. So we will see an increase in non -oncology revenues in the upcoming quarters also and even in next financial year.
Shubham Sehgal : Okay. And that will -- so like, we do have room, right? Like the capacity expansions that we have done for our products, there is still room left?
Keshav Bhutada : Yes, you are right.
Shubham Sehgal : Okay. Got it. My next question was about the CDMO molecule, which has received the U.S. FDA approval and expected to commercialize in Q4 FY '26. Could you provide any color on it, like what could be the scale of the molecule and -- if that's possible?
Keshav Bhutada : It is our partner

’s product, and we are bounded by confidentiality.
Shubham Sehgal : Okay. But are we the exclusive supply partner here?
Keshav Bhutada : Yes.
Moderator: The next question is from the line of Kiran from TableTree Capital .
Kiran: Fantastic results, Keshav. All the fructifying of a lot of years of effort is coming through. I had a couple of clarifying questions. On the Formulation scale -up, I mean, it is very heartening to see we had about INR176 crores total, and ex -licensing is ab out INR146 crores. Should we take this as a base revenue because Europe, INR73 crores, I don't know if it's base, or because it includes profit share, it can vary. But do you think about INR150 -plus crores revenue now seems base case for Formulation ?
Keshav Bhutada: Yes. You're right, Kiran. It can be assumed at least for upcoming quarters.
Kiran: Got it. Any reason why RoW has de -grown this year, Keshav, not year -on-year. But essentially, in Q4 FY '25, we did INR44 crores, then INR36 crores, then INR25 crores and INR24 crores. RoW, are we facing any challenges ?
Keshav Bhutada: No, see RoW is a purely tender -driven supplies. And sometimes, there are a few tender supplies which we would have done in 1 quarter and that is supplied for like 2 quarters . So I think, RoW is majorly a tender -driven business market. So you will see that quarter -on-quarter, there may be variation. But overall, if you see on a year -on-year basis, right, RoW business has grown.

Kiran: Got it. Okay. My second question, Keshav, is in terms of oncology scale -up, we are struggling to cross that INR140 crores, INR150 crores mark because Q1 was INR116 crores, then INR141 crores, then INR111 crores. Any particular direction or challenges in terms of how we can grow this oncology revenue substantially over the next 1 year?
Keshav Bhutada: On oncology side, large part of our supplies are towards captive which can be seen in growth of formulation sales. But apart from that, there are many other new products which are under validation.
So for last 2 years, we had some issues with taking new product validations, which we have resolved, and we have now good capacities available for taking new products. So you will see that in the upcoming financial year, oncology as an overall business als o, we will grow.
Kiran: Got it. Got it. And last -- final question, albumin, in the presentation, we are saying Phase III trials, we have started both for India and Europe in Q4 FY '26. Did we start recently? I mean, we are supposed to start in Q2. So any particular delays? Are w e filing from the new facility? If you could just give some color, that would be great?
Keshav Bhutada: What is important is, we're getting the clinical study approval. So you will see our global clinical studies is divided into 2 parts. We have patients from India as well as Europe, okay? So from India, whatever patients were there, we have even informed eve ryone that our India clinical study approval, we have received in Q3 to do global clinical studies from India -- from Indian regulatory body.
And in Europe, to start any European clinical study, you have to go for IMPD submission. So IMPD submission is something which we are targeting in Q4 FY26 . Once that IMPD submission approval is there, then the study will start. So tentatively, our study should start in next quarter, like, I mean, in the first half of FY '27 with IMPD approval.
Kiran: That is for Europe. India has already started?

Keshav Bhutada: India, the study will be started from our new facility.
Kiran: Any timeline, Keshav, on albumin in terms of when you would expect the trials to get completed, especially, India ones -- I mean, Europe can take time.
Keshav Bhutada: We are planning to complete our India study maybe –by end of FY '27, or maybe first quarter of FY '28.
Moderator: The next question is from

the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara : First of all, many congratulations to the entire team on a very impressive set of numbers. My first question is on Nilotinib. So if we look at our European Formulation segment this quarter, it has grown from INR35 crores to INR73 crores if we compare it year -on-year. So how much of this growth was contributed by Nilotinib?

And also, in earlier calls, we had emphasized on lack of competition from generic players in this case. So has the scenario changed? And -- or is it still the case that competition remains limited? This is my first question.
Keshav Bhutada: Yes. It's a very good question. And see, first part, what I want to clarify, Europe is a very tender -driven market . And even today, if you see, we have launched Nilotinib in Europe from many quarters. Even today, innovator controls almost 40% market in Europe, So what I'm trying to say is, Nilotinib, as a product by itself in Europe, is a tender -driven product.
And the situation has not changed as on date currently. We are seeing good traction on volumes, as well as on sales, which I mentioned in my speech also that quarter -on-quarter, the sales is increasing . And coming to second question, we don't disclose product -specific numbers. So I think that part, it will be difficult for me to explain, sorry.
Krisha Kansara : Okay. No problem. My next question is on our API segment. So if you look at our history of last 7, 8 quarters, there has not been any growth. And we had recently increased our capacity of key APIs, including Tranexamic acid and others. So when can we expec t our API segment to start benefiting from this increased capacity base and eventually start recording a double -digit kind of a growth?
Keshav Bhutada: So first part, API segment, if you see our 9 months number itself, and if you compare last year against this year, last year, we have done close to INR622-odd crores. And this year, we have done INR725 crores. So API by itself in 9 months has grown by almost 17 %?
Krisha Kansara : But if you exclude the captive consumption, the growth is not...
Alpesh Dalal : The API business is also supporting the Formulation business with the supplies. And that's a strategic call that we have taken because you get end -to-end margins there. There is a sizable volume supply that happens, from the same plant for captive consumption . So excluding that and saying that the growth is not happening in API probably is not a correct way of analyzing it.
Krisha Kansara : Yes. Okay. And when can we expect to start seeing the benefits of the increased capacity, like the recent capex that we did in API? Like, has the volume ramp -up started?
Keshav Bhutada: So you will see volume ramp -up happening maybe from second quarter of next year.
Krisha Kansara : Second quarter of next year. Okay.
Keshav Bhutada: Yes.
Krisha Kansara : And just one last question on NorUDCA. It's been a few months since we launched it, and I understand that this could be too early for any sort of guidance. But in our last conversation, you mentioned that from Q1 of FY '27, we could see a meaningful ramp -up in this molecule. So if you can just give an update on that, how is the order book shaping up from, let's say, the 3 marketing partners with whom we have tied up? If you can just give some sense around NorUDCA?

Keshav Bhutada: See, especially on NorUDCA, the launch was very successful, and it has exceeded our expectations. So whatever growth we were expecting to start from Q1, we would see that in Q4FY26 itself. So you will see that we have a strong order book.
We are seeing good traction in the molecule , and as and when we have more product being sold and it reaches more patients, I think we'll have more inputs on the product.
M

oderator: The next question is from the line of Amish Kanani from Knowise Investment Managers.
Amish Kanani : Congrats on a very good set of numbers. Sir, it looks like FY '27 also will be a very good year, and you mentioned that in presentation. The question is, sir, one, which division do you think will really contribute in next year? I know maybe each one is fi ring, but if you can give some sense for us to model FY '27, which division we should look forward to as something which will really contribute to the higher growth? And second -- you may not quantify it, sir.
And second, sir, congrats on this rare cancer drug -- orphan drug confirmation. The question there is, sir, one, since it's a partner drug, should we look forward to some licensing income as it progresses? Or should we be worried that FY '27 will be an inv estment year for some clinical trial and maybe the benefit will come later? Because it looks like it could be a sizable trial if it gets an approval.
Keshav Bhutada: Yes, Amish, I I'll answer your second question. So, on the product which is for orphan designation, we are not expecting any licensing revenue there but we will manufacturing revenue , and our partner will be doing clinical studies, in next financial year
I think that is the major part of revenue, which we will get as and when the molecule is advancing in the development phase . And to answer your second question, I think growth will come more from our Biologics and Formulation business. And API will be more like a steady business, which will continue to grow at a steady pace.
Amish Kanani : Okay. And sir, one last quick question on the albumin side. Sir, is there a, now, line of visibility that it should be commercialized if we are successful in FY '28, at least in India, one? And two, if you can just remind us, if possible, on the overall ma rket opportunity size for that drug, let's say, in India or globally? What kind of size -- potential size, which we are which we are interested in ?
Keshav Bhutada: To answer your first question, yes, FY '28 commercialization in India, yes, it's very much possible for us as on today . And what is the potential, how big it will be? I think that is something we don't want to commit or even comment on that. It's a good opportunity. Albumin by itself is a product which is under shortage and has many complexities in supply chain .
So bringing a recombinant version, purer version will always have advantage. So I think our focus is on starting and completing clinical studies, , which I think is the most important milestone for this product.
Moderator: The next question is from the line of Nikhil from SIMPL.

Nikhil : On NorUDCA, as you mentioned in the call that the launch has been pretty good, better than our expectations. And in the starting, you mentioned we would look at trials in Europe and U.S. But as we understand, in Europe, there is already a trial which is on going, and that player has also out-licensed it to for some of the geographies. So based on the the market development, which we have seen, how are you thinking about RoW markets where, based on Indian trials, you may be able to launch? So any thoughts on that?
Keshav Bhutada: I'll divide my answer into two parts. One is Europe and rest of the world. So for Europe market, already there is a company which is an innovator, who is doing this product for some indication .
What we are doing is completely different , It's for a different indication .
And more details on which indication, how the market size etc we would inform at right time , in order to gain competitive advantage . So currently, what I can tell you, we are going ahead for Europe, and it's a very promising study, which we will be planning, but it will be for a completely different indication .
Now, coming to the RoW market question, our India study was co

vering RoW study design also.
And already, in RoW markets, we have started partnering And started filing in some of the RoW markets. Our target in the next financial year is to file in all the major RoW markets.
Nikhil Upadhyay : Okay. So based on India market and RoW market and based on whatever studies you would have done, do you see this product has the potential to like become a significantly large product, like INR200 crores, INR300 crores kind of a product? I'm not asking for timeline. But based on the market opportunity and based on the indications what you have received, how do you see it?
Keshav Bhutada: Yes. See, the product if for NAFLD which is very prevailing In India itself, as there are ~ 25% patient population who are suffering from NAFLD, as per the statistics. So I think, yes, it's a significant opportunity and a meaningful opportunity for the company. How much it will be, when it will be, we can guide about the opportunity in the upcoming quarters.
Moderator: The next question is from the line of Sanjay Kumar of ithought PMS.
Sanjay Kumar : First question on oncology API. Small companies are entering and gaining market share. Large companies, which are present in other therapies, are entering onco and gaining market share, filing DMFs. You alluded to capacity constraints, okay, but that's fin e. But even in terms of product development, I think, if I look at the timeline, w e were late to file Palbociclib?

Our other DMF filings are more of base chemicals like Methotrexate. We are yet to file products like Tivozanib, Relugolix, Ruxolitinib. So where did we lose the plot in terms of new product development, especially in onco, where we are supposed to be ahead of peers?
Keshav Bhutada: Yes, Sanjay, I think it's a very good question. Oncology has been our main business, and we'll continue to focus on it. And you are right, in last 1 year, we have not taken new oncology new molecules. Only which were required for our captive sales, we have done it. That's a very right observation.

But as a company, yes, we have very strong oncology pipeline. Palbociclib and all, these were validated in the past 1 year so you will see in the next 1 year, there will be a lot of filings which will be coming. And as I already mentioned in my speech, right, each of these molecules are blockbusters.
And one differentiation which Shilpa will always have, I feel, is, we'll have something differentiated, either in API or in Formulation, which will help us in getting better market share. Like, you have seen classic example of Nilotinib, right, where we have done Nilotinib base, which has given us advantage in launching early . Similar to that, we have already shortlisted products, which are in various stages of development, we have close to 4 to 5 products which are in advanced stages of development.
Sanjay Kumar : Okay. Can you name those products and also give an update on the U.S. FDA remediation work and the warning letter for Jadcherla?
Keshav Bhutada: We will not be able to give currently because you would have seen, even in Nilotinib case, right, we have disclosed that in a very later stage just to ensure that we get maximum market share, and to avoid competition.
And coming to your second question on U.S. FDA , after the U.S. FDA inspection, we have finished all the CAPA, and CAPA responses are submitted to U.S. FDA. Now, we are waiting for revert from U.S. FDA.
Sanjay Kumar : Okay. Okay. Got it. And second, on -- you mentioned about a new peptide capacity. Do you have any visibility there? What kind of products do you want to make? What is the magnitude of the capex, the quantum of the capex? The reason for asking is, we spent big on albumin, transdermal patches, dispersible films way ahead of time.
I understand albumin because the potential is significant. But in terms of IRR, in terms of

ROCE,
I think our capex in patches and films will take a lot of time. So have you calculated all those when you want to set up a new peptide capacity?
Keshav Bhutada: As a company we have very clearly defined ourselves that now, we will not invest anything, which is a long -gestating investment, okay?
So API, we always have good investments made which are giving us good returns in terms of ROCE. And when it comes to peptide the investment is very strategic for us because, I think, there are large GLP -1 products, which are going off patent this year , and if we consider global landscape as well there are multiple markets where the patent expiries are happening in next 2 to 3 years.
And what Shilpa is doing? We are doing already GLP -1, liraglutide, semaglutide. For liraglutide, we have filed U.S. DMF, and formulation registration batches are ongoing. Our second product, which is semaglutide, where our API validation batches are ongoing. And for our formulation both injectable and oral solid development is completed. And we are planning to take registration

batches in first half of next financial year which will also be filed globally. So overall, we are seeing good opportunities on the GLP -1 side.
And also, there are significant CDMO opportunities, for which we expect many inquiries on the peptide side because there are a lot of new biotech developments which are happening on the peptides. So, that is the reason we are planning to build this new capacity. And it is not a very significant capex, which is required for this. We are planning to invest close to INR40 crores, for this peptide facility.
Sanjay Kumar : INR40 crores would roughly be 40, 50 kgs of peptides?
Keshav Bhutada: It is more than that. It depends on product, which product we will be taking, but it is a decent capacity.

Sanjay Kumar : No, let's say, if your full capacity for semaglutide, can we do 50 to 100 kgs of peptide?
Keshav Bhutada: Yes, we can do more than 100 kgs.
Sanjay Kumar : Got it. Got it. Okay. Final question. So samples we have sent for nontherapeutic albumin, any feedback? Because when I saw the exports, we have sent it to multiple companies, some in U.K., some in U.S., and for different applications also. So have we recei ved any feedback? That's one. And any competition coming in Nilotinib in Europe? Just these 2 questions.
Keshav Bhutada: Yes. On albumin therapeutic, we are seeding our samples in various markets. And in some markets, our initial samples were approved. Now, they are taking further quantities because these all products will be going into their formulations.
And once the development is fixed, they will be taking registration batches with our albumin, then filing for approval. It's a long -gestating business. And on Nilotinib we have not seen any significant competition. There is competition but not very significant now . But as you know, we have partnered with the number 1 generic company of Europe , so we are currently having decent market share. And at least for a couple of quarters, we don't see any competition, any big change in the numbers.
Moderator: The next question is from the line of Parth Mehta from Vallum Capital.
Parth Mehta: Yes. So I just wanted to ask, on the licensing income, if I see on the 9 -month basis, the licensing income revenue is down by over 40%. So what would be the reason? And do we see, for the full year, licensing income coming back to the FY '25 levels?
Keshav Bhutada: Yes. Licensing revenue is something which depends on product, market, when it is getting licensed, what are the milestones we will be realizing in that quarter and upcoming quarters. So there will be some variation in the licensing fees quarter -on-quarter or yea r-on-year basis. But if you see, we have already mentioned previously also, we will see a steady run rate of close to INR150

-odd crores licensing income every year.
Parth Mehta: Okay. So for this year also, it should cover up in the fourth quarter is what you are alluding?

Keshav Bhutada: Yes.
Parth Mehta: Okay. Understood. And can you help me with what would be the current utilization of our formulation plant?
Keshav Bhutada: In our Formulation s plant we have good capacity available for the requirement we have for the upcoming launches . Recently, we have also commissioned a new oral solid line, which will be available, and will help us in generating additional revenues in the next financial year.
Moderator: The next question is from the line of Kiran from TableTree Capital.
Kiran : Yes. I just had a question on the financial side. In terms of debt reduction, where are we on debt? How much are we planning to pay, let's say, this year and projected next year, given our cash flows are decent now?
Alpesh Dalal: Yes. So I think on the debt front, broadly, we are in a comfortable position with our debt -equity in the region of about 0.25 or 0.26. We obviously have been investing in our growth capex also. So we haven't seen any reduction in absolute terms. And if you look at our presentation also, we mentioned that our debt -to-EBITDA ratio is constantly reducing. So overall, the kind of investments that we are making right now is generating sufficient returns for us.
Kiran : Sorry, how much is the absolute debt, sir, now -- right now, as of 31st December?
Alpesh Dalal: So, as on 31st December, our net debt was about INR625 crores.
Kiran : Okay. And essentially, the plan is to keep it at this level even through next year or pay a substantial amount? Because Shilpa generally is known for being net debt free. That's the reason I'm asking.
Alpesh Dalal: So I think we are not looking at increasing our borrowing. We also keep repaying of our term loan, and to that extent, debt will keep coming down. But there are times we have to take some more commercial and business -related calls where, based on opportunities or requirements of the business, we might have to take some borrowing on our books. But as I mentioned that broadly, we are keeping things under check where we do not exceed certain levels based on our performance.
Moderator: The next question is from the line of Yogesh Shroff, an individual investor.
Yogesh Shroff: Congratulations on very good set of numbers. So over the last 2, 3 years, I think the company is going through a capex phase, where we're investing a lot. But in terms of top line, we are not seeing a lot of traction coming up. And this quarter especially stood out because of very solid growth numbers. So do you guys actually forecast that this should actually continue forward? Or we should see -- or was this a one -off quarter where we saw 30% growth and the growth numbers should tail down from here? And if yes, I think, for '27 and -- FY '27 and FY '28, what are the major contributors for that?

Keshav Bhutada: Previously, we were running through more of an investment cycle , And now, we are sweating our assets and getting maximum returns . So you will see, in all the coming quarters, based on the visibility that we have ROCE will see improvement .
Alpesh Dalal: As you have seen the revenue is growing and Licensing income will remain as a part of our ongoing business, but excluding licensing also if you see our base business has been growing across key verticals, which is giving me a lot of confidence that we should be able to continue with the run rate.
Yogesh Shroff: Just last question. On a mix basis, what do you think would be the peak revenue from the capacities that we're doing? Obviously, that might or might not convert into actual revenue. But if you can give us a suggested broader range in terms of this is th

e p eak revenue with the current capacity we can do, I t hink that will be super helpful?
Alpesh Dalal: We may not be in a position to put up a number as to what would be the peak revenue as a lot depends on the product mix . But we do plan out our capacities in a manner where we ensure highest level of production efficiency and bring in more productivity to continuously keep churning higher volumes of products, which will end up generating revenues for us.
Even in the process, a lot of process efficiency that we build in, in the same capacity, a lot of times, we are able to get more output from the same capacity. So that's why I'm saying we may not be able to put an actual number saying that this would be th e peak revenue that we can generate from the existing capacity.
Yogesh Shroff: Got it. So I think a suggested number of -- between 2013 and 2020, we had an asset turn of average around 2. So would it be right to assume that this is the possible asset turn that we can have in the future? Or that would be the wrong assumption?
Alpesh Dalal: No, it changes because in 2013, a large part was API sales. Now, we have got other assets verticals which are contributing so it may not be right to say that 2x will be the peak asset turnover.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Sanjay Kumar from ithought PMS.
Sanjay Kumar: First on the ADC biosimilar, we've stated that it will enter human studies in FY '27. I don't know if I missed it, is it for India specific or is it for global? Now that U.S. FDA has relaxed norms for biosynthesis for biosimilars, are we looking at global trials?
Keshav Bhutada: Its for Global , and to update you , majorly all our products, in the Biologics side are for global market.
Sanjay Kumar: So even Nivo and Pembro, you will go global?
Keshav Bhutada: Yes, you're right.

Sanjay Kumar: Okay. And I'm already seeing a lot of companies are signing partnerships for these products for various markets. So will you go direct or through partnerships? When will we be signing partnerships?
Keshav Bhutada: So we expect some partnerships surely in FY '27.
Sanjay Kumar: Okay. Okay. Got it. And I was also -- I wanted to know the KPIs for you and Madhav? And are ROCE, market cap part of your KPIs?
Keshav Bhutada: Yes. It's part of our KPIs.
Sanjay Kumar: Okay. Okay. And for any project, what would be the internal IRR that you guys usually target?
Alpesh Dalal: I think some of these are fairly strategic in nature for our organization and we would not like disclose at the moment .
Sanjay Kumar: Okay. Okay. Final question. So was there any one -off in Q3 Formulation revenue? You did say that this is a base, but just trying to get your thoughts again. Was there any one -off in the Q3 revenues?
Alpesh Dalal: No. There was no one-off.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Alpesh Dalal for closing comments.
Alpesh Dalal: Yes. Thank you, everyone. Thanks a lot for your participation, and we appreciate you making time with us. If you have any follow -on queries, feel free to reach out to our IR team, and we'll be happy to answer your questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Shilpa Medicare Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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Date : 26 May 2026
To,

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Dear Sir/Madam,

Sub: Transcript of the Q4FY26 Conference call

In furtherance to our intimation dated 14 May 2026 with regard to the Q4FY26 Conference call held on Friday , 22 May 2026, at 1 6.00 hrs., please find enclosed transcript of the call.

Thanking you

Yours faithfully,

For SHILPA MEDICARE LIMITED

Ritu Tiwary
Company Secretary & Compliance Officer

“Shilpa Medicare Limited
Q4 FY26 Results Conference Call ”
May 22, 202 6

MANAGEMENT : MR. KESHAV BHUTADA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHILPA PHARMA LIFE
SCIENCES
MR. ALPESH DALAL – CHIEF FINANCIAL OFFICER –
SHILPA MEDICARE LIMITED
MONISH SHAH – HEAD, STRATEGY AND INVESTOR
RELATIONS – SHILPA MEDICARE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY26 Results Conference Call of Shilpa Medicare Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an assistant by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Monish Shah from Shilpa Medicare. Thank you, and over to you, sir.

Monish Shah: Thank you, Ria, and welcome to our fourth quarter and full year FY26 results conference call. Today, we have with us Mr. Keshav Bhutada , Executive Director and CEO of Shilpa Pharma Life Sciences; and Mr. Alpesh Dalal, our CFO. The financial results and the presentation are uploaded on the stock exchanges, and the transcript along with the audio will be available on our website and the sto ck exchanges as well.

Please note that today's discussion might include certain forward -looking statements based on the current expectations and assumptions. These statements are subject to risks and uncertainties that could cause actual results to differ materially. The compan y undertakes no obligation to publicly update or revise any forward -looking statements.

With that, I would now like to hand the call over to Mr. Keshav for his opening remarks. Thank you.

Keshav Bhutada: Very good evening, everyone. There are certain years in company's journey where performance improves, and there are certain years where foundation for next decade is built. For Shilpa Medicare, FY26 has been one such year where we have built our foundation. Today, Shilpa is no longer defined by single vertical.

We are building a highly differentiated pharmaceutical platform spanning across complex APIs, specialty formulations, biologics and ADCs with integrated CDMO capabilities. Few companies in India operate with a breadth of technology and capabilities across both small molecule and biologics.

Importantly, we believe we are still in early stage of monetizing few of our platforms. As utilization improves across our manufacturing infrastructure and more differentiated products enter into our commercial phases, we see a clear path towards sustainable growth, stronger margins and increased return ratios in coming years. Let me walk you through our Q4 FY26 performance and for the full financial year.

I'll start with our API business. So , in specialty CDMO segment, our first U.S. NCE program, which was launched in Q4 by our big pharma company. Our second U.S. NCE program with one of our partners where we are supplying them API for their Phase III program, the Phase III studies are ongoing.

The third U.S. NCE program, where we are developing API and formulation for our U.S. customer, Unicycive Therapeutics. The program submissions are already done, and we are

expecting approval in this financial year FY27. The dedicated manufacturing production blocks for OLC was successfully commissioned in Q4 FY26. And we are planning to do the validation batches in this new block in Q1 FY27. Two new NCE programs where the client audits were scheduled were successfully completed in Q4 FY26, and we are expecting to start initial development revenues in FY27.

Apart from that, on the generic side, we have added more than 15 new oncology products to our pipeline, these are top oncology blockbusters at global level , having patent expiry up to 2032. One new non -oncology product, which is completely import substitute product, process validation was successfully completed in Q4 FY26.

Methotrexate, which is again very complex import substitute oncology API, CEP for the product was received in Q4 FY26. We have added a n ew oncology block to our existing set up, increasing ove

rall oncology API capacity. The block is expected to get commissioned in FY27.

On peptides, we continue to remain optimistic on the growth for peptides, where we are working on multiple generic peptides and CDMO peptides. New dedicated peptide large -scale manufacturing block, the equipment ordering is already completed, and we are ex pecting to commission the facility in FY27.

We are also working on multiple payloads and linkers, which are going into ADC program. In Q4 FY26, the payload which we had supplied to one of the big pharma companies, the registration batches were completed at their end using our payload. So subsequently, it will be taken in the filing at the end. Overall, API business is likely to have a steady growth in next financial year FY27.

Coming to formulations. Our first new chemical entity, which is Nor Ursodeoxycholic acid. As explained in the previous quarter, the product is really doing good, and we see very good clinical results in the patient. And we continue to see good traction in FY27. NorUDCA as a product, we are also planning to take globally.

We have done scientific advice and submission in U.S. and Europe, and we are planning to start
human studies in FY27. Three commercial 505(b)(2) products are currently approved in U.S.A.
and all products are doing good , and we expect the volumes to grow steadily quarter -on-quarter.
Abraxane, which is paclitaxel albumin -bound product, is a very complex injectable product.
Exhibit batches were successfully completed in Q4 FY26, and we are expecting launch of this
product in FY28. Enzalutamide tablets, which is a very complex product, we have successfully
completed the registration batches for this product, having non-infringing route and we are
planning to file this product in U.S. and Europe in FY27.
So, both Abraxane and Enzalutamide tablets are expected to get commercialized in FY28.
Rotigotine Transdermal Patch Europe launch, as explained in the previous call, will be launched
in Europe in FY27. We have also successfully submitted with U.S. FDA Rotigotine Transdermal
Patch in Q4 FY26.

Ondansetron extended -release injection, which is one of a very complex injectable product
developed by us, we are expecting to launch in FY27 in India. We are also planning to take this
product globally, and we'll be starting human studies in FY27. Apart from above, we have very
good complex differentiated 505(b)(2) product pipeline, for which details are provided in our
investor presentation.
Overall, with existing and new product launches, there is likely to be a good growth possibility
in FY27 in the formulation division.
Now coming to Biologics. Aflibercept, which is one of our most complex ophthalmic product,
our human clinical study is on-going , and we are on track for launch for FY27. Our second
product, which is Nivolumab, our human clinical study approval received for India. And also
for EMA, we have submitted our scientific advice. We are expecting response in Q1 FY27. Four
new biosimilars were added in portfolio in Q4 FY26.
Coming to new biological entity pipeline. Our first program with mAbTree Biologics, the
program development is successfully completed, and we are planning to enter human Phase I
studies in FY27. Our second program where we have partnered on this product with Alveolus
Bio, the program development work has been initiated, and we are expecting the program to
enter into human studies in FY27.
Two NBE programs will be entering in the Phase I studies in FY27. Coming to CDMO business.
As mentioned previously, 5 active CDMO and NBE programs are ongoing. And in the Q4 FY26,
the Phase I clinical study batches for one of the innovator program was initiated, and we are
planning to finish the supplies in FY27.
Our first ADC biosimilar, which we have developed completely using payload, linker and
conjugation was successfully

completed. The development work was successfully completed,
and we are planning to enter human studies in FY27. We have also initiated development of
second ADC biosimilar product.
The main strength, what we are building in the ADC space is we are building our own ADC
manufacturing suite, which will have manufacturing of mAb, manufacturing of payload, linker
and conjugation. With that integrated manufacturing capability, it will be o ne of its kind in India.
Now coming to our recombinant human albumin program. Global Phase III clinical study
approval was received from CDSCO for our Europe study. We are also planning to submit
IMPD, which is required to be submitted in Europe when we are planning to start a stu dy in
Europe. That submission is planned in first half of FY27. Overall, our focus remains on
monetization of all our investments, and we remain confident that work we are doing today is
shaping Shilpa into a global technology -driven health care company i n years ahead.
Thank you, everyone. And I will now hand it over to Mr. Alpesh Dalal.
Alpesh Dalal: Yes. Good evening, everyone. A warm welcome to each one of you to our Q4 results call. Let
me briefly take you through the financial performance for Q4 as well as the full year ended in

March. I'm pleased to report that we have delivered our highest ever quarterly revenues of
INR439 crores, recording a growth of 30% year -on-year. And for the full year '26, we have had
historic revenue number, delivering INR1,549 crores, growing at 18%.
Our gross margin continued to remain healthy at 68% for the quarter and 70% for the full year.

And along with our highest revenue that we have reported, we continue to report highest ever EBITDA also, both on a quarterly as well as yearly basis. For the qu arter, EBITDA was at INR121 crores, growing at 40% year -on-year with an EBITDA margin of 28%, improving around 2% year -on-year, whereas for the full year, EBITDA was at INR445 crores, reflecting a growth of 30% year -on-year, with yearly EBITDA margin of 29%, an, ~3% year -on-year improvement. This improvement in EBITDA was largely driven by increased revenue from key verticals driving positive operating leverage.

Moving to our other financial highlights. Our interest outgo for FY26 has seen reduction on a year-on-year basis, and we believe that it has now stabilized at the current quarter run rate for the near future as we expect to fund our capex programs broadly via internal accruals. During the quarter, we also had an exceptional gain amounting to INR30 crores on account of stake sale in one of our JV company, Sravathi Advance, where we have sold 31% stake and now hold 34% stake.

This company no longer remains a JV company. Now -- it is now classified as an associate company. Overall, our adjusted PAT before considering any exceptional gain for the quarter was INR87 crores. And for the full year, it was INR232 crores, growing at about 135% year -on-year.

On the debt front, our net debt for the year increased to INR613 crores from INR550 crores in the previous year, which is in line with the growth in our business operations. And our capex of INR361 crores in FY26 was primarily funded by internal accruals and deployed in key verticals of API, CDMO and albumin facility.

I would also like to draw your attention to our improving ROCE profile, where our adjusted ROCE, excluding investments made in high -growth potential businesses like biologics and albumin, has seen a significant improvement from 4% in FY23 to 17.4% in FY26. And all these have been contributed by all the verticals across the board.

And with our formulation s and biologics business showing steady growth. We remain confident that this improving operating leverage will help us achieve better ROCE in the future. Now on the segmental performance .

Our API business clocked a revenue of INR259

crores for the quarter and INR985 crores for the full year, growing at 16%, both on a quarterly as well as yearly basis. The growth was on account of improved uptake of key products from newly expanded capacities, coupled with strong captive demand from our finished formulation vertica l. This vertical integration of our formulation products helped improve the overall margin profile of the entire group.

Formulation revenue for the quarter were INR205 crores, growing at 54% year -on-year, and revenue for the full year were INR618 crores, growing at 30% year -on-year. But importantly,

excluding the licensing income, the base business reported robust growth of 64% for the quarter and 75% for the full year.

Now to sustain this momentum in our FDF vertical, we continue advancing a pipeline of complex products and our strategy of developing and launching niche products globally through strategic partners is gaining very good traction, as evidenced by our Europe an formulation business, which delivered revenues of over INR200 crores, growing by more than 100% year -on-year. Our Novel product, NorUDCA, which was launched in India in the previous quarter, continues to gain traction, and the strong reception has tran slated directly into a healthy order book for the upcoming quarters.

Moving to the Biologics segment. The revenue for the year were INR150 crores, growing roughly 100% year -on-year. And the strong growth was driven by continued deal momentum that we are witnessing in our CDMO business. With that brief introduction, I would now like to open the session for Q&A.

Moderator: First question is from the line of Kiran D. from TableTree Capital.

Kiran D. : A couple of questions. The first question, especially our U.S. partner has significantly grown its market share in 35% in Pemetrexed and 5% in Bortezomib, based on prescription data. However, our U.S. formulation revenue has grown only from INR54 crores in FY25 to INR80 crores in FY26, and it's kind of flatlined over the last 2, 3 quarters, right, around INR28 crores, despite all this.. So my question why aren't we seeing a steep growth in our U.S. revenues in line with our U.S. partner market sha re gains?

Keshav Bhutada: So I think on the U.S. revenue front, as you rightly mentioned we have seen an increase in revenue, and that will most likely continue in the FY27 also. Only against last year, this year, we have stopped selling our generic product, which was azacitidine in U.S. Since the market dynamics have changed for the product we have discontinued. So now we are focusing more on selling super specialty products.

Kiran D. : What was the Azacitidine revenue in FY25?
Keshav Bhutada: We can share that offline .
Kiran D. : Second question, sir, is in terms of our NorUDCA scaling with three of our partners and our own brand and so on and so forth. Are we seeing a steep scale up? Or have we kind of flatlined over the last four months in terms of demand and there are multiple ot her studies going on or the doctors are still trying to test it.
So what I'm trying to understand is, are we going to see a steep scale up in FY27 of this NorUDCA along with our partners? Or are we kind of saying, okay, last quarter results is what might get repeated for the following year?
Keshav Bhutada: If you see NorUDCA, we have launched the product in Q3, sometime in November. We have seen steep growth on QoQ basis . So we must see how the trajectory will be for the upcoming

quarters because the disease curability duration is 6 months. So once the 6 months duration is completed, then we will have more data from doctors, from hospitals.
Kiran D. : Understood, sir. So we will probably get a better handle by the end of FY27?
Keshav Bhutada: So yes, as I mentioned, NorUDCA, we have just launched in Novemb

er, and it's a 6 -month
disease duration. So we must observe how the volumes will further grow. So we will be able to give you a clearer picture in sometimes in second quarter of this year.
Kiran D. : Last question, sir, is our EBITDA margin for the year, again, is 29%. Do we expect over the next 1 to 2 years as and when Shilpa scales for our EBITDA margins to go to 35% back -- and second question is service income is around INR200 crores. Do we expect a similar kind of run rate, I mean, expectation, similar or more in FY27?
Alpesh Dalal: As far as EBITDA margins are concerned, Kiran, the fact is that as the business grows, a bit of operational leverage does kick in, right? But obviously 35% is an ambitious target, which we would be working towards achieving. But we can't really say that it would be achieved immediately because whilst we grow the business, we also have to spend more for growing the business.
And on other question, Licensing income is something which at times could be a bit lopsided. But you can see in our presentation also that we have a very robust pipeline of molecules coming in. So there is certain visibility that we have got for our existing deals that we have si gned. And then there are a lot of other things which are in the pipeline. So it will depend on some of those aspects. But generally, we do expect our licensing revenue to remain in similar range at least.
Moderator: Next question is from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Congratulations for a good set of numbers and for the full year as well as for the quarter. So the first question is on the European formulation business. So if you see Rotigotine doing well and we have scaled up well during FY26. So given when do you expect the first -- the second generic launch for Nilotinib happening?
And secondly, we know about the Rotigotine launch in this financial year. Apart from this, you have mentioned 7 products. So which will be the remaining 6 products that we are planning to launch? What can be the scale of these products? If you can elaborat e on that? And how should we see the Europe formulation scaling for us in FY27?
Keshav Bhutada: So Ankit, there are two questions here. So first part on Nilotinib, right? As I mentioned in the previous calls also, we are expecting some generic competition to come in current financial year. But as Europe is a very typical market where usually the tender contracts and all are for more than one year or even two years for many of the markets.
So we don't see that for the current financial year, there will be a significant change in the Nilotinib volumes with respect to value. The more impact will be there for the FY28. So to answer you, that is what is the answer for Nilotinib.

And on second question on the launches for Europe, apart from Rotigotine, there are many other generic products also like I mentioned previously, we have Tadalafil oral disintegrating film that will be launched in Europe in this financial year. And apart f rom that, there are some generic products like Axitinib and many other products, which we will be launching and further market share will be improving in FY27.
Ankit Gupta: So we should be assuming decent 40%, 50% growth in Europe in FY27 as well given the base

of FY26?
Alpesh Dalal: We may not be in a position to provide any guidance, but we do expect the European business to have a healthy growth.
Ankit Gupta: And the second question was on the biologics business. So if we look at it, like this year, we had INR150 crores sales, we would have gone -- got some milestone payment from Orion also for albumin. So like how should we look at the growth for FY27 and FY28? FY27, what will be the key triggers -- because Adali as a molecule in India is growing at a decent pace, but it's still a small molecule.
So how should we look at this n

umber for FY27 and FY28, especially given Afli will be launched towards the later half of FY27 and the remaining Nivo, Pembro launches will happen only in late FY28. And like the other -- the CDMO business on the biologics side is something if you can elaborate more, how should we see the growth? So if you can broadly talk about the biologics business, the key drivers for the business for FY27? And what kind of growth should we expect in FY27 and FY28?
Keshav Bhutada: I think in biologics, the most important part in biologics is if you see till last year, right, we have launched 1 product and partnering was done more for India. We just started in Q4 where we have partnered our first product, Nivolumab, that also for LatAm market with a company called SteinCares, right? So for the current year, you will see mainly in biologics, the main growth drivers will be CDMO.
We have existing CDMO programs, which are going on and some more programs which are in discussion. We'll surely convert some programs. So there will be good revenue contribution from our CDMO business. And, we will be doing licensing for biosimilars as well for global markets especially in Europe and ROW markets. So there will be a good amount of licensing income also what we would achieve in FY27.
Ankit Gupta: Sure. So in this, can we expect the growth rate for last year to continue this year, given our base is still small currently, but last year also had the Orion milestone payment. So despite that, what kind of growth rate should we expect for FY27? And FY28, I can clearly see the triggers, but for FY27, how should we look at it? And even in FY28, can this segment ex of albumin become a INR400 crores, INR500 crores revenue generator for us?
Keshav Bhutada: We don’t provide guidance on any specific divisions . But what I can tell you is there are a lot of growth figures which are possible in biologics. And we are seriously working towards monetizing of each of these assets. So yes, there is a good growth possibility. What would be

that percentage? How much we will grow? I think we have to observe that. More details you will get to know in upcoming quarters.
Ankit Gupta: And last question on OLC. The PDUFA date is approaching. And in your presentation, you still mentioned that we are hopeful for launch in FY27. So like how should we look at this because it becomes a very key growth driver for us for the current financial year, given we'll receive milestone as well as our formulation supplies for the product. So like how sure are we on getting clearance for the product and going ahead with the manufacturing here?
Keshav Bhutada: We don’t project any meaningful contribution coming from OLC in FY27. When they will get approval, how is their filing strategy, many of these details, are confidential in nature .
Moderator: Next question is from the line of Krisha Kansara from Molecule Ventures.
Krisha Kansara: So first, congratulations on a very good set of numbers. The first question is quickly on the P&L side. The share of profit of INR18 crores from associates and JVs, which we have reported in this quarter. So from which entity or rather from which joint venture or which associate entity has this profit come? Was there any one -off in both companies because we have never reported this k ind of profit from our JVs? That is my first question.
Alpesh Dalal: Yes. So Krisha, this particular entity is our associate entity. It is not a joint venture. It's an associate entity by the name of Maaia , where we hold 35% stake. It has been a research -driven company, which over a period of time has been investing in a lot of programs. And hence, we were taking our share of their accumulated losses that were coming up, which made our investments in consolidated results come to zero, right?
Obviously, the business in the company was not good. So we h

ave never impaired those assets in our stand -alone books of accounts. But in our consolidated results, we -- as per accounting standards, we had to take impact of our share of loss. This year, when we have received their financials, they have shown a very significant improvement in the performance based on which the entire value has been reinstated.

Also, the profit part of our profit share of our portion has also been accounted for. So this is something that the company has started generating revenues and which is showing up. Whether it can continue with the same set of performance or not is very dif ficult for us to comment because that's not an entity that we control.
But we are in touch with them. We closely monitor their operations. But at this stage, we will not be in a position to comment whether this is something that can continue as a regular feature.
Krisha Kansara: Okay. Understood. And sir, my second question is on biologics segment on Aflibercept. So we had out -licensed this molecule for India and Russia markets. So have we received some part of the licensing income from these two partners or it is expected after t he Phase III completion? And will the licensing income in case of Aflibercept be higher than that of Adalimumab?

Keshav Bhutada: So, we have received only a few milestones in last few financial years. But a major part of milestone will be received in the current financial year on launch and then on one year completion . And t he licensing income Is higher than Adalimumab.
Krisha Kansara: Okay. Okay. And sir, the INR150 crores of biologics revenue, which we see in FY26, would it be possible for you to break it up in terms of how much was from CDMO, how much was from our own biosimilar revenue? And what kind of revenue was from licensing income?
Alpesh Dalal: Yes. you can reach out to Monish to get those details later on.
Moderator: Next question is from the line of Parth Mehta from Vallum Capital. The line of Mr. Parth has been disconnected. Next question is from the line of Raghav.
Raghav : Sir, my question is on the biologics side. So when do we see our biologics portfolio entering Europe and U.S. developed markets?
Keshav Bhutada: I think in the current financial year, Nivolumab . ADC product and 2 NBE products, will be entering human global studies in current financial year. We expect sometime in FY29, the commercial revenues to start in from Europe and ROW.
Raghav : Okay. But Adali and Aflibercept, we don't expect that to be launched...
Keshav Bhutada: Adalimumab already we are getting India revenue. And Europe and ROW market revenues will come in FY29 . And for Aflibercept, currently, there is no plan of going into Europe market because it's a very long study and very costly study, and we feel that we are late for Europe market. So we are not planning to go for this product until and unless there is some partner who is ready to invest in the clinical study.
Raghav: Understood, sir. And sir, what would be the time line for same for NorUDCA? When do we see that reach larger parts in the developed markets?
Keshav Bhutada: Even NorUDCA would be in FY29 for Europe, but if I tell you about ROW market, we will start seeing revenues in FY28 in ROW markets.
Raghav: Any color, sir, on what would be the opportunity size for this in ROW market?
Keshav Bhutada: I think that can only be told maybe in the second half of this year, because now we have started discussing with some ROW partners. And we will have a lot of Indian study data as well . So I think once with that, when we start working with our ROW partners, we will be able to throw more insight. But we feel there is a decent potential.
Moderator: Next question is from the line of Sh aikh Moha mmad, an Individual Investor .
Shaikh Moha mmad : Congratulations for the excellent set of numbers. I'm not having that

much knowledge about
company products because it is very in detail products. I just want to know regarding the FY27 guidance and top line and bottom line, if any, if you can provide?

Alpesh Dalal: I think as we have been explaining that we do not provide any guidance per se. But I think we have been growing since past 2, 3 years at a very healthy rate, and we expect that trajectory to continue.
Shaikh Moham mad: Okay. Sir, Tranexamic Acid spray product has been launched in India or it is exclusively for any particular country?
Keshav Bhutada: No, it is currently not launched in India because we are working on some government regulations.
Shaikh Mohamad: Sir, previously, we have launched Green T ea Film, right? So is that product continue or we have discontinued that product?
Keshav Bhutada: We have discontinued.

Moderator: Next question is from the line of Sanjay Kumar from ithought PMS .
Sanjay Kumar: First set of questions on dutasteride. Correct me if I'm wrong, it seems to be a blockbuster product based on the Phase II trials. Yet -- despite completing Phase II in late 2022, you didn't file for Phase III until April '24, you didn't start Phase III ti ll Jan 2026.
Now that we are going global for most of our products, we should speed up our clinical trials processes, right? And on that note, do you feel this is not a good product? Can you talk about this product and the potential for topical dutasteride?
Keshav Bhutada: Yes. SMLTOP09, why we did not start in last year human studies because there were additional preclinical study data, which were requested by the regulatory bodies that we were generating, now all that data generation is completed. And now we are entering into global studies. So that is what we will be starting in the current financial year.
Sanjay Kumar: Okay. Can you talk about the potential of this product and it is better to sell it? And do we have any out -licensing conversations for India at least for this product?
Keshav Bhutada: No, currently, we don't have any out -licensing discussion. Because the product is still in clinic and especially androgenic alopecia is a very big market, but there is a lot of data generation on safety, which is a very important requirement. So the data what we will be generating in the Phase III study, I think af ter that, we will discuss more on the partnering.
Sanjay Kumar: Okay. Okay. Got it. And you have three novel products in India which is NorUDCA, Ondansetron and the one that you just discussed dutasteride. Can these three products do like cumulative -- all three put together, INR500 crores, INR600 crores in two, three years because all three are very niche novel and huge potential.
Keshav Bhutada: I think that will depend on our partners also, right? Because you will see for many of the products, we partner and our partner ’s performance is very important for us. As you know for important products we have partnered with good companies, right? So even for the other

products, we would love to partner with the best companies in India. I think if we get a good partner and the product is performing well, we feel it's a very good possibility.
Sanjay Kumar: Okay. Just last question before I come back. On the patent and the FTO question for Ondansetron and NorUDCA because NorUDCA, I think Falk has a polymer patent in EU and I think globally. So do we have a different crystalline form that's on NorUDCA? And the n on Ondansetron, do we have a Freedom to Operate versus Heron, the innovator. I know Ondansetron is not polymer - based. It's insoluble salt, but do we -- will our patent be at risk when we go global for both these products?
Keshav Bhutada: These are very confidential strategies. But what I can tell you, we are having our own IP strategy on this, and we are starting

human studies for global markets. Obviously, all this work we would have done.
Moderator: Next question is from the line of Girish Bakhru from OrbiMed.
Girish Bakhru: Yes. Just wanted to actually talk on albumin. Why is the IMPD submission delayed? I think last quarter, we mentioned it would be Q4 and now we are saying first half?
Keshav Bhutada: I think as I mentioned previously also, on IMPD submission, what we are planning to do is we are planning to do it from our new facility, right? So in the new facility, the batches for IMPD submission are ongoing. So once that is complete, then we will be submitting. That is the reason I mentioned it will be in first half of FY27.
Girish Bakhru: And typically, after submission, how much time does the regulator take for giving you trial approval?
Keshav Bhutada: It takes usually 3 to 4 months.
Girish Bakhru: Okay.
Keshav Bhutada: So the Europe study is divided into two parts, the Indian patients and Europe patients, okay? So in Indian patients, the study approval already we have received. So once the batches are completed, we will be starting our India study, which is for Europe su bmission as well .
Girish Bakhru: Can you again explain these two patients studies, what individual differences are there in between two studies?
Keshav Bhutada: So there is no individual difference. Only there is a requirement in Europe when you submit such complex products. They want some patient data also on European patients.
Girish Bakhru: Understood. Okay. And Phase III, let's say, does it -- I mean, addresses again more data on -- whether this can be therapeutic grade or immunogenicity. What exactly would the outcome be focused on here?
Keshav Bhutada: In Phase III, we will be evaluating both safety and efficacy of the product on more number of patients, and that is the data we will be submitting to the agency.

Girish Bakhru: And because -- I mean, I'm just asking because it's a new technology, right? And there are very few products out there, recombinant ones. So would you say this would not require any further investments or additional studies before you see some revenues fro m FY29?
Keshav Bhutada: I think if you have followed our previous conference calls, we have successfully completed with European agency scientific advice. So scientific advice is like a written document, which you submit to the agency and take their approval on our clinical study . So that approval is already in place and we don't expect after this any other additional studies are required .
Girish Bakhru: Understood. Understood. And just lastly, I mean, so how big would you say would be the market size in India, particularly? And because it's a largely import -dependent product, right? So would there be, let's say, some sort of incentives that we can see eve n if the product is approved?
Keshav Bhutada: Albumin, everyone knows it's a very good and decent opportunity, and there is always scarcity in the market. The product itself will have a differentiation, the recombinant highly pure product. So I think that should drive the volumes.
Moderator: Next question is from the line of Pratik Shrivastava from Nivesh Wisdom.
Pratik Shrivastava : First of all, congratulations for great set of numbers. My first question is on the API, oncology side of things, sir. So, we have this new oncology block expansion, which is underway and is about to be completed by FY27 for around like 15 -plus new oncology APIs, right? Sir, how does that translate into contribution to the revenues per quarter?
Because most of the time, I think our contribution has been like lower than INR130 crores per quarter for the last several quarters. I know that some of this has been translated to formulations. But can you share some more color on this -- on the contribution to the revenue from this side?
Keshav Bhutada:

In API, oncology side, you will always see that even in future, a lot of our sales will be to our captive formulation because our main strength in oncology API is we are very strong in developing non -infringing APIs. And we usually try to forward integrate with our formulation and then go to the market that will have maximum realization.
So even going forward, it's not that these products are something which will be launched once the batches are done like next day. So oncology as a business for us in API will further grow, but it is not a steep growth. It will be a steady growth.
Pratik Shrivastava : Got it. And you're saying it will continue to contribute more towards the formulation business. This is more of a backward integration story? Or this will have its own sales cycle, sales channel, different commercial DMF filings, things like that, sir?
Keshav Bhutada: So it will be both, but major contribution will be to formulation, our own captive formulation.
Pratik Shrivastava : And my second question is on the semaglutide GLP -1 side of things, sir. We completed the validation in Q4. Congratulations for that, sir. And what I read is DMF is to be ready by first half of '27. Sir, there are -- I see in the market now, there are lots of different players. A lot of

Indian -- several Indian players are also developing semaglutide story. So what will be our differentiation?
Keshav Bhutada: For S emaglutide, our main strength is that we are doing both synthetic and semisynthetic API. And, we are forward integrating with our own formulation. So , semaglutide itself is a very big opportunity. And because our facility has the global accreditations, we still feel in such a big opportunity if we get even small pie of that market share, will give us a decent revenue.
Pratik Shrivastava : Got it. And are we targeting India first and then the regulated market, ROW?
Keshav Bhutada: No, our main focus will be on the export market.
Pratik Shrivastava : Okay. Got it. For that, have we identified any partner for commercialization, sir?
Keshav Bhutada: As I mentioned, we are also doing our own formulation. API will be launched by us and formulations will be launched in various markets via partners.
Moderator: Next question is from the line of Amish Kanani from Knowise Investment Managers.
Amish Kanani: Sir, one thing which is noted is API is now 50% of the business and formulation and biologics is 50%. So congratulations on kind of going in that direction where we are value adding. The question, sir, is, as we grow at a high rate and given our gross marg ins are high, our EBITDA margins also are reaching at a very healthy level.
But given the programs that we have and the R&D needs that we have, we'll also have reinvestment that will be done. So how do you think, sir, about EBITDA margins given that otherwise, if we restrict our investment, it can go really very high. And obviousl y, as a

businessman, we would like to reinvest back.
So how do you think about investment versus increasing the EBITDA margin at some level, you will reinvest back. So any thoughts there, sir, it will be helpful. And on the API side, sir, any challenges on the RM or key starting material s because of the supply chain disruptions globally, if any -- are there any issues that you need to worry about?
Keshav Bhutada: See, I think on your first question, Amish, as we previously mentioned also, Shilpa as a company, principally, what we are doing is we are not investing into anything which is long term. So whatever investments we are doing, are going to have revenue generation in near term and midterm .
So yes, we don't want to invest anything, which has long gestation . So if we continue this investment in our existing near -term and long -term opportunities, then only there will be a decent growth, which is possible. So we will continue

to do that. And on second question on the raw material and solvent availability, yes, we don't see any major challenges on that, but only the prices have gone up significantly. So that is the only thing, but availability is there, no problem.
Amish Kanani: Okay. And sir, quickly, can you recap the capex for this year and next year, if possible?

Keshav Bhutada: Like for the current year already, it's available. So we don't see any significant capex growth than last year. It will continue to sustain.
Moderator: Next question is from the line of Abhishek from Padmaja Investments .
Abhishek: On the Jadcherla USFDA audit, it should not come by now, right? Is there any issue with this as such?
Keshav Bhutada: So Abhishek, I think as previously mentioned in our quarterly calls also for majority of products which are being sold in U.S. are now being done from third -party CMO sites. And we don't have a pipeline of like 10, 20 products launche s every year. So we have very complex differentiated products, which we want to launch.
So our major focus on U.S. will be from third -party CMOs. There is no issue with the FDA. It's just that the facility when the audit happened, the FDA has given some observations. We have done the compliance. And now we are again waiting for the reaudit of that. So we can come out in some time. It's not that we will never come out, but it will not have any impact on our revenues.
Abhishek: Okay. But the audit already happened and the decision is still pending, if I understand it. Is that the case as of now...
Keshav Bhutada: Yes, correct. So we are working closely with FDA on the next steps with U.S. FDA audit.
Abhishek: Okay. And the plant utilization, even though it is not actually being used for U.S.A. is being used for other geographies?
Keshav Bhutada: Yes, because our facility has all the global accreditation starting from Europe, LatAm, Saudi, all the markets . So the plant occupancy is not at all an issue. And because we have such a strong pipeline of differentiated products. We don't see any capacity crunch issues currently in our formulation facility.
Abhishek: But there are certain tentative approvals pending because of this audit issue, how many products are in that current...
Keshav Bhutada: See, whatever products which are in tentative approval space, many of them are already genericized, and we don't see much potential even if we get the approval for these products ..
However, there are few products which are having high value and have tentative approval, but the patent expiry and the launch for those products are late.
Moderator: Next question is from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: On Rotigotine patch Europe launch, can you share like what time can we take to reach full potential? And any sense on the peak potential that you expect from the product?
Keshav Bhutada: Rotigotine transdermal patch, as you know, is very complex product, and we have approval for this product. So in the current year, it will be more like initial launch and ramp up will happen in the subsequent which is FY28.

Vishal Manchanda: So you can reach full potential by next year. Substitution will not take long once you are approved across markets?
Keshav Bhutada: Yes, you're right.
Vishal Manchanda: Okay. And on Nilotinib, do we expect approvals in other markets? Or we are kind of fully in

terms of geographic reach, we are there...
Keshav Bhutada: Actually, Nilotinib in our rest of the world market is also expected to do well. And we will be launching in some of the rest of the world markets also in next financial year.
Vishal Manchanda: Okay. And Europe, you are fully entrenched in terms of the potential opportunity?
Keshav Bhutada: Yes, you're right.
Vishal Manchanda: Ok

ay. And if you could share what -- on our CDMO business, like what was the total CDMO business across all domains, API, formulations and biologics?
Keshav Bhutada: For the full year on the API side of the business, we have clocked approximately around INR110 crores of CDMO business . And we are also doing similar CDMO business on the biologics side also. So majorly, our CDMO revenues are in API and biologics.
Vishal Manchanda: Got it. And on the licensing fee number, do we have any contribution of the CDMO business or that licensing fee doesn't have any CDMO contribution?
Keshav Bhutada: That doesn't have any CDMO. That's pure product licensing.
Vishal Manchanda: Okay. And just one final one. The oncology breakthrough molecule that you are servicing to an innovator, any color there? Can that be meaningful this year or next year?
Keshav Bhutada: Yes, we expect it should be meaningful in FY28.
Vishal Manchanda: Okay. And so would that be larger than the numbers you would have attained in the past?
Keshav Bhutada: No.
Moderator: The last question is from the line of Kiran D. from TableTree Capital.
Kiran D. : So a couple of questions. One, sir, the polymer business, we had a contract 4 million contract, I think, was mentioned in the annual report last year. So this year, what is the kind of revenue? And more importantly, more than the polymer revenue this year, how do you see the potential of our polymer business in the next one to two years? H as it a potential to reach a 20 million kind of run rate? If you could just elaborate, that would be great.
Keshav Bhutada: I will not be able to give you exact numbers, but polymer as a business, it's a business which will have good growth possibility, but it takes some time. So like currently, we already have one commercial product in the polymer space. Which has added decent revenue in FY26. So we will

see how the opportunities are scaling up in FY27. But yes, going forward, few of years ahead , it has a good potential .
Kiran D. : Got it, sir. Okay. Cool. And one question for Alpesh. Alpesh, you mentioned ROCE 17.4% in FY26, excluding investments made in potential high -growth biologics and NBE business, it's in the investor presentation as well. So our gross block is INR2,281 crores. So when you say excluding investments made in potential high -growth biologics and NBE, how much is that? Is it like approximate INR700 crores, INR800 crores? Is that the right number?
Alpesh Dalal: Yes. I think some of those numbers, you should reach out to Monish to get those details .
Moderator: Due to time constraints, that was the last question of the day. I now hand the conference over to Mr. Alpesh Dalal for closing comments. Over to you, sir.
Alpesh Dalal: Thank you, everyone, for your time and your thoughtful questions. Each year, we remain committed to growing and scaling the company to new heights and your continued interest and support mean a great deal to us. Should you have any questions that have rema ined unanswered, please reach out to Monish, and we'll be happy to provide those answers to you. Thank you.
Moderator: Thank you. On behalf of the Shilpa Medicare Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.